

SBI Cards (SBICARD)

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Call: May 2023

May 5, 2023

The BSE Limited

Corporate Relationship Department.

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai -400 001

SCRIP CODE: 543066

SECURITY: Equity Shares/Debentures

Dear Sirs, The National Stock Exchange of India

Limited

Exchange Plaza, C-1, Block G,

Bandra-Kurla Complex.

Bandra (E), Mumbai -400 051

SYMBOL: SBICARD

SECURITY: Equity Shares

Re: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure

Requirements) Regulations, 2015 -Transcript -SBI Card 4O'FY23 Earnings

Call

In compliance with the provisions of Regulation 30 read with Schedule III Part A of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the Earnings Call held on April 28, 2023 with analysts /investors, has been made available on the website of the Company at the below mentioned link. Further, the same is also attached herewith for reference.

<https://www.sbicard.com/en/who-we-are/analyst-investor-meeting.page>

Kindly take the same on record.

Thanking you,

Yours faithfully,

For SBI Cards and Payment Services Limited

Payal Mittal Chhabra

Company Secretary & Compliance Officer

SBI Cards and Payment Services Ltd.

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CIN -L65999DL 1998PLC093849

Page 1 of 19

"SBI Cards & Payments Services Limited

Q4 FY'23 Earnings Conference Call "

April 28 , 2023

MANAGEMENT : MR. RAMA MOHAN RAO AMARA – MD & CEO

MR. GIRISH BUDHIRAJA – CHIEF SALES AND MARKETING OFFICER

MS. RASHMI MOHANTY – CHIEF FINANCIAL OFFICER

MS. NANDINI MALHOTRA – CHIEF CREDIT OFFICER

OSBICard

SBI Cards & Payments Services Limited

April 28, 2023

Page 2 of 19

Ladies and gentlemen, good day and welcome to SBI Cards and Payments Services Limited Q4 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rama Mohan Rao Amara, MD and CEO, SBI Card. Thank you and over to you, sir.

Rama Amara: Thank you, Yashashri. Good evening, everyone! I am pleased to welcome you to the Q4 and FY23 earnings call. I really appreciate your presence today.

As you would know, while global economy remains uncertain due to many factors, including geopolitical ones still persisting, it seems to be inching towards improvement with IMF predicting growth rate bottoming out in 2023 to 2.8% before rising to 3% in 2024.

Amidst this, economic activity in India remains resilient. The real GDP growth expected to be 7% in 2022-23, as per RBI. Both PMI Manufacturing and PMI Services remain robust in March 2023 at 56.4 and 57.8, respectively. Aggregate demand conditions remained resilient in Q4 2022-23. According to RBI's recent Consumer Confidence Survey, consumer confidence continues to improve. Most importantly, the survey showed that household spending was buoyant on the back of higher essential and non-essential spending. And, more than a third of the households expect a rise in non-essential outlay over the next year. This is a good sign for consumer demand and discretionary spends.

Apart from its comparative economic resilience during these times, India is also being hailed as a frontrunner when it comes to digital payments. This is true when we look at aspects like innovation in payments, the pace of its adoption amongst populace, and the vast user base.

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According to a recent industry report, India's digital payments market will increase from \$3 trillion to \$10 trillion by 2026.

Credit cards too continue to ride this digital payments' growth wave. Credit cards base grew from over 73 million in March 2022 to over 85 million in March 2023. This is despite the closure of around 12 million inactive cards by the industry. Card spends have also increased significantly by 28% from Rs 1.07 lakh crore in March 2022 to Rs 1.37 lakh crore in March 2023 – the highest ever monthly spends for the industry. Cards spends continue to remain over Rs 1 lakh crore for last 13 months with e-commerce contributing to a significant share in spends. It is interesting to note that in FY23 the industry saw highest ever annual card spends at Rs 14 lakh crore plus. In FY23, the industry saw the highest festive season card spends during October at Rs 1.29 lakh crore and a strong winter holiday season added to increased travel spends. This clearly demonstrates the robustness of the demand and usage for credit cards.

In fact, the past year has been a pivotal year for the industry, with many significant changes to the business model that have set the tone for future of credit cards industry. The industry has largely adjusted to and incorporated these in a seamless manner during the past six months and is now ready for the next level of growth. I would like to reiterate my confidence in India's credit cards market potential. The significantly underpenetrated market offers ample growth opportunities.

Let's now look at SBI Card's Business Overview in FY23. OSBICard

SBI Cards & Payments Services Limited

April 28, 2023

Page 3 of 19

I am proud to say that SBI Card was successfully able to navigate through the year and register a robust business performance demonstrating the resilient and sustainable business model that we have built over the years. As always, we continue to create value for our stakeholders and am pleased to share that we declared an interim dividend of INR 2.5 per equity share for FY 23, in the month of March 2023.

Throughout the year, we put focused efforts on three aspects: Strengthening acquisition channels and acquisition quality, enhancing sustainability of the business, and ensuring an engaged and active customer base.

As a result, during the course we have achieved some new benchmarks. We added 5,202,000 total new accounts in FY23, which has been the highest ever during a financial year. In FY23, our new accounts grew by about 46% vs FY22. During Q4 FY23, we added 13.71 lakh new accounts, at a growth rate of 37%YoY. We continue to focus on adding about 900,000 to 1 million cards per quarter on net basis and in line added ~900,000 cards in Q4. Our cards in force stood at 1.68 cr in Q4 FY23. We continue to be the second largest credit card issuer in the country and our CIF market share improved by 100 bps to 19.7% during FY23. Our spends have also seen new heights in FY23. SBI Card saw the highest-ever retail spends in FY23 at over Rs

2 lakh cr, which is a 41% increase over FY22. Our card spends in Q4 FY23 stood at Rs 71,686 cr with 32% YoY growth and this is the best -ever quarterly spends at SBI Card. Out of this retail spends contributed over Rs 55,500 cr with 33% YoY growth in Q4 FY23. Again, the best quarter for us in retail spends. It is noteworthy that our retail spends per card has also increased by 9% YoY in Q4 FY23. On that note, I am pleased to share that we are no. 2 position in the spends market share.

During Q4 FY23, spends growth, on QoQ basis, have been driven by growth in categories like departmental stores, health, utilities, education, consumer durables, furnishings & hardware, etc. Travel, entertainment & restaurant category also saw good growth. In fact, Q4 FY23 has been the first quarter in last 3 years to surpass the travel spends momentum seen in Q

4 FY20. Online

retail spends continued to grow in FY23 reaching at 56.9% share of total retail spends. Our continued robust business momentum also helped us register healthy financials in FY23. Our total revenue stood at Rs 14,286 cr and has grown at 26% YoY during FY23. Our revenue from operations has seen 28% YoY growth in FY23. Our receivables continue to increase steadily. Receivables at 40,722 cr. have grown by 30% March 2023 as compared to Rs 31,281 cr in March 2022. The share of interest earning assets has improved to 61% in March 2023 as compared to 59% in March 2022. In FY23 SBI Card has achieved a PAT of Rs 2,258 cr, registering a significant 40% growth over FY22.

SBI Card undertook some significant initiatives on the product side during FY23:

We further expanded our core card portfolio and added CASHBACK SBI Card, a clutter -breaking product. Since its launch, the card has seen very encouraging response from the consumers. We launched a new co -branded card Aditya Birla SBI Card in partnership with Aditya Birla Finance. OSBICard

SBI Cards & Payments Services Limited

April 28, 2023

Page 4 of 19

We have been working on several initiatives in strengthening our acquisition channels and enhancing customer experience. Technology has been playing an important role as we bring these to fruition.

SBI Card SPRINT roll out - SBI Card SPRINT an end -to-end digital acquisition channel, has been a significant initiative to be launched during the year which has made enrollment for customers easier, seamless, faster and instant. This allows the customers to get a card in just 5 - 7 minutes.

Digital KYC enhancement - We have launched several initiatives to digitize the KYC process across the customer journeys to enhance security and convenience for our customers. Multiple modes, e.g., Biometric eKYC, Digital Locker, Video KYC etc. are used for customer ease. It is noteworthy many such efforts are helping us in rationalizing the cost of acquisition, thus bolstering the business fundamentals.

We are excited with the opportunity from the linkage of Rupay cards with UPI. Access to a larger merchant and hence customer base is good for the industry players. We plan to roll out the UPI and Rupay linkage over the next few months.

Speaking of business viability, it is important to note that a higher customer spends active rate is vital and at SBI Card our spends active rate has always been healthy at 50%, including FY23. We continue to have a full -strength and highly capable senior management team to lead the company towards new phase of the growth journey.

I am proud to share that this year too, our all -round efforts have been duly recognised. SBI Card has earned various prestigious recognitions in different areas. For instance, ET Best Brands 2022 award, Stevie Award for Customer Service, and Golden Peacock National Training Award for excellence in training & development initiatives.

Coming to the financial performance in Q4 FY23 & FY23 .

Our total revenue in Q4 FY23 has been at 3,917 cr. registering a growth of 30% YoY . In Q4 FY23, our revenues from operations have been at Rs 3,762 cr with 32% YoY growth. In Q4 FY23, our PAT grew at Rs 596 cr. registering a 3% YoY and 17% QoQ growth respectively.

In FY23, as expected, owing to consecutive interest rate increases, our cost of funds has also witnessed significant increase. As we communicated last quarter, our COF increased by 39 bps in Q4 over Q3. We were able to minimize the impact on NIM and our NIM for Q4 is only 5 bps lower at 11.5%. Our Cost to Income for FY 23 was at 58.9%. We saw an improvement in Cost to Income ratio to 58.1% vs 61.9% in Q3 FY23, with spends expenses being lower this quarter. On asset quality , Our NPA increased marginally in Q4. GNPA stood at 2.35% as of Q4FY23. Our Gross Credit Cost increased to 6.3% in Q4FY23. We revised the model estimates thi

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quarter which resulted in a one-time impact of 20bps on the credit cost. Adjusted for that, our gross credit cost would be in the range that we have shared always – 5.8 to 6.2%. We have identified a subsegment from the legacy portfolio that has contributed to higher slippages in last OSBICard
SBI Cards & Payments Services Limited
April 28, 2023

Page 5 of 19

few quarters impacting the NPA and write-off numbers. We have taken portfolio action and expect that with actions taken, we will be able to address the issue. The new acquisition from 2020 vintage onwards is behaving as per expectations in terms of delinquency. Our profitability ratios also continue to improve. In FY23, Our ROAA increased to 5.6% vs 5.4% in FY22. In Q4 FY23, it has been at 5.4%. During the year, our ROAE has also seen an increase, reaching to 25.3% vs 22.8% in FY22. In Q4 FY23, ROAE has been at 24.6%. In Conclusion, India remains resilient, and the domestic consumption remains encouraging. At SBI Card, as always, we have maintained an agile approach and taken well-calibrated measures to ensure that the company remains on the sustainable and profitable growth path. Interest rates remain elevated; however, these have been factored in, and are likely to stabilize from here. With such growth momentum and most key policy measures too now largely in place, the credit card industry is likely to witness sustained growth momentum. I would also like to share that this year SBI Card will be celebrating 25 years of its immensely successful journey. We look forward to celebrating this with all our stakeholders. While we look at the last 25 years journey with pride, we believe that the future is much more promising.

So now we are open for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question.

Ladies and gentlemen, we will wait for a moment while the question queue assembles. We have a first question from the line of Mahruk Adajania from Nuvama. Please go ahead.

Mahruk Adajania: Good evening, sir. My first question is on credit cost. You already explained that there was a one-time impact of change in ECL assumption. If you could elaborate on the change. And also, in general, for the industry, the revolve rates have come down a lot post-COVID. So why are credit costs still sticky? Is there a scope for Credit Cost to come down because if the revolvers are declining so much, then credit costs should also be lower, is the general sense?

Rama Amara: This one-time adjustment with an impact of 20 basis points is in terms of strengthening the ECL model where we stress the model and based on the current macro-economic factors, we further modified the model which has resulted in around INR20 crores kind of impact in a quarter. In annualized terms, it works around 20 basis points. In fact, if you adjust the credit cost for this 20 basis points, it's around 6.1% which is at a higher end of the spectrum what we have given. I talked about a broad range of 5.8% to 6.2% credit cost which takes into account the current composition of the asset, the current share of revolver, transactors, EMI loans, current economic conditions, the kind of environment in which we are operating and the recovery culture, all that stuff. So, we are at a higher end of the spectrum. As I communicated earlier, we have identified the segment very clearly, we have been taking portfolio actions, we are expecting that credit cost will have a trajectory of coming down in the next few quarters. It will come down.

Mahruk Adajania: Okay, sir. Thank you so much. OSBICard
SBI Cards & Payments Services Limited
April 28, 2023

Page 6 of 19

Moderator: Thank you. We have our next question from the line of Karthik Chellappa from Indus capital Advisors, Hong Kong Limited. Please go ahead.

Karthik Chellappa: Two questions from my side, sir. Over the last few quarters, you have seen a very good recovery in our Card Volume Share, which is at about 19.7% But if I look at the difference between our Card Volume Share and Spend Share, which is almost close to 1.5% now, that's almost at a nine to ten quarter high. So, given that we have got really good momentum on the volume side, why is it not reflecting in spends yet? Is it a reflection of the quality of customers that we are getting either geography-wise or self-employed and salary-wise? And at what point of time do you think this difference narrows down?

Rama Amara: While I will respond to your query, Girish also can supplement. One thing is, you know the spend comprise, both retail and the corporate spends. So, we have seen the kind of volatility in the market share in terms of the spends. Whenever the corporate card spends move from one place to another, it has a significant bearing on the spend share. So being mindful of this and also being mindful of the fact that it is only a top line, it doesn't add much to the bottom line, but

it can potentially bring a risk. We have been playing a very calibrated game here. That's the reason our corporate card spends is actually range bound, its 22% to 25% of our overall spend. But with regards to new issuance, you have also commented about robustness in the volume. As you know, it takes some time for the customer to start using the limit fully. They may start with their smaller transactions to begin with, but the moment they experience the benefits of using the card, they will start using it for discretionary spends, etc. And then you can see a large -ticket transactions. In as much as the volumes have come only post -COVID, after 2020, I think there is a catch-up here. In terms of being equal to the portfolio, it will take time for the new intakes. Anything you want to add, Girish?

Girish Budhiraja: Karthik, in the new customer acquisition that we are doing, these days because of the RBI guidelines, you have to keep the customer active. And if the customer is inactive for more than 12 months, in any case, that customer gets taken off your portfolio. What we are seeing is that all the new customers that we are getting, their average spend actually is coming out quite better and higher than the earlier vintages that we are getting at the same point of time, so which is a good sign. The second thing which is also visible in the portfolio is that these customers' active rates are also higher in terms of let's say two months, three months, four months active rates, so they are also higher. So, we don't see an issue there. As Sir was mentioning, the issue on the market share primarily is because of the mix that we are targeting of retail versus corporate spends. So, there will be some banks which will target a higher corporate versus retail mix. So, the shares will look very, very different. When we check, because there are other sources through which we check, we see that average retail spend of ours is similar to the industry number.

Rashmi Mohanty: These details are given on the slide number 8 in the deck. You can see that our Q4FY'22 average retail spend was INR124,000 and it has gone up to INR136,000 for Q4FY'23. So, there is an increase that you can see already in the retail spend per average card. Since a lot of sourcing for us has happened in the last one and half year, two years, there is a bit of catch up as well which should start reflecting. But already we are seeing the benefit of the spend going up in metric on spends per average card. OSBICard
SBI Cards & Payments Services Limited
April 28, 2023

Page 7 of 19

Karthik Chellappa: Got it. This is very useful.

My second question is basically on the new RBI direction on pre-sanctioned credit lines through banks using UPI. Now although the details are yet to be unveiled, is there any thought process on how it is going to be impacting credit cards?

Girish Budhiraja: As you rightly said that there are guidelines still fully yet to come. But these kinds of products are already available. So, people were already giving, because UPI is essentially in a way if you see for a debit card to make a transaction online, that model is there. And OD limit on the bank account or debit cards are always there. So, we will also see as to how it goes further. But this is just a different version of the earlier product which was available.

Karthik Chellappa: Got it. Okay. That's it from my side. I will come back in the queue for more questions. Wish the team all the very best for the next year.

Moderator: We have our next question from the line of Rohan Mandora from Equirus Securities. Please go ahead.

Rohan Mandora: Good evening, sir. Thanks for the opportunity. I just wanted to understand the nature of slippages that have happened in this quarter. What is the vintage of the customer and is it coming from salaried or self-employed, some colour on that? Second is that if you look at the originations, they have picked up in a self-employed category in the last two to three quarters. So, if you can touch upon, what is the customer profile of these customers and what is the origination channel for this. And lastly, if you could share some guidance on NIMs and cost of funds for FY '24? Thanks.

Rama Amara: With regard to the vintage, as I clarified in my speech as well, the new vintages are holding good in terms of whatever expectations we had, in terms of every broad delinquency band and an ECL kind of assumption, they are behaving normally, there is no issue around that. But in the legacy vintages, we did identify a small customer base, which was showing a higher delinquency. Obviously, that was resulting in a higher flow rate and then higher NPA and eventually leading to higher write-offs. This segment was identified. There is nothing that can be pointed out, this is all across in terms of geographies and the nature. So, we are taking portfolio actions, that are required. So, we are confident that actually as the weightage for the recent vintages increases and the actions taken on this particular segment shows the results, actually the credit cost will trend lower.

With regard to cost of funds, I will ask Rashmi to answer that.

Rashmi Mohanty: On the cost of funds, we saw that the RBI actions on rate hike taken until Q3 resulted in the cost of funds going up in quarter 4. There has been one more action by RBI, which is a 25 basis points increase in February. On account of that, we do expect that the cost of funds for Q1 FY

'24 will be higher by about 10 basis points to 15 basis points. It seems, from the statement that RBI has made so far, while the Governor did mention, it's a pause and not a pivot, I do not expect any further rate hike from the RBI. If that is the case, I would expect that, the cost of funds would stabilize for quarter 2 and maybe start to inch down in the second half of the year. On the NIM, therefore, the corresponding impact will be that, while we have been able to maintain the NIMs in quarter 4, very marginally dip from quarter 3, we do expect that the NIMs to stabilize over OSBICard SBI Cards & Payments Services Limited
April 28, 2023

Page 8 of 19

quarter 1 and quarter 2. And any benefits coming in from the cost of funds and also any actions that we have been taking, which we took in quarter 4 and we will be taking further in quarter 1, on the customer yield, will help us, strengthen the NIMs in the second half of the year.

Rohan Mandora: Follow up on the first reply, the earlier vintage, which one, we were seeing a d

elinquency, are

these pre-pandemic originations, just to confirm? And also on the self-employed originations, if you can just touch upon, that question is pending.

Rashmi Mohanty: Yes, the portfolio that Mr. Rao did mention, is a pre-pandemic portfolio. It's a sub-segment that we identified, which was originated pre-pandemic. And your question on self-employed, the answer is, it's a mix of self-employed and salaried. But we've taken corresponding portfolio actions based on whatever further sub-segmentation that, we can do on that.

Rohan Mandora: Sure. Thanks.

Moderator: Thank you. We have our next question from the line of Bhavik Dave from Nippon. Please go ahead.

Bhavik Dave: Hi, good evening, sir. I hope, I'm audible. Two questions. One is on your cost of acquisition, in the sense that, when we see our incremental card that, we are adding, in the last four or five quarters we've been adding card in the tier 3 tier 4 regions. I just wanted to understand, if the cost of acquisition is similar, when we do metro acquisitions versus tier 3, tier 4 acquisitions. That is point number one. Point number two is, when we see quarter to quarter, the operating expenses haven't fallen that, we've seen last year. So, in time, what would be the logic or what has led to this cost of other operating expenses being flat? Within that, the fees and commissions have increased by 5%, 10%, quarter-on-quarter. Just want to understand, what exactly is happening there. To that, just want to understand going ahead, can operating expenses come out lower as a percentage of our income considering, we are doing this online channel that, we've opened up incrementally. So just want to get a sense on that. Thank you.

Girish Budhiraja: Cost of acquisition on a year-on-year basis, we have seen a downward trend. It's actually 10% plus downward trend that, we have seen in the cost of acquisition. You mentioned metro versus tier 3, tier 4, while we do not look at it from that perspective, but we can tell you that Banca cost of acquisition is lower than open market cost of acquisition. And for the natural reasons that, in the Banca scenario, there is a kind of leads, which is available from the customer. Apart from this, there is a constant effort on the digital side of things, to bring the cost of acquisition down. As going further, as we go more digital and as MD sir mentioned that we have launched the SPRINT journey, where you can get the card within five minutes to six minutes, in your hand. As more number of customer pass through that and we are able to generate more volumes there, the cost of acquisition will further trend downward, in that direction.

Rashmi Mohanty: Your second part of the question was that the operating costs has been flattish quarter-on-quarter. Is that what you're asking?

Bhavik Dave: Yes. And last year, same time, third quarter to fourth quarter, there was a dip. Just want to unwind up. If you see this quarter versus last quarter, the number of cards that, we added, the gross additions were lower, right? Like a million card versus 9,00,000 cards, this quarter. Just OSBICard SBI Cards & Payments Services Limited

April 28, 2023

Page 9 of 19

want to understand like, why are, we seeing like the cost of other expenses going down quarter-on-quarter?

Rashmi Mohanty: So, the reason for the cost to be flattish quarter-on-quarter between quarter 3 and quarter 4 are certain IT expenses that we've done, certain projects that we have kick started in quarter 4, and the cost of that has come in. So, while as Girish explained that the cost of acquisition quarter-on-quarter has been coming down, the overall operating cost is higher due to certain project costs, taken up in quarter 4.

Bhavik Dave: Sure. This cost of acquisition going down should benefit us in FY '24, right? The cost should not, except our rewards and promotional expenses

that we do, except that, the other part of the

cost structure should trend flattish or lower, right? Is that a fair assumption?

Girish Budhiraja : On a quarter -on-quarter basis, there can be some variation because in our model of acquisition, there is, if we acquire through digital, then the cost is very low. But otherwise, if you do through manpower, there is a set of fixed costs and then there is a set of variable costs. There is usually, some amount of variation and that happens, on a quarter -to-quarter or a month -to-month basis.

But on an annualized basis, we will be trending downwards.

Bhavik Dave: Yes, sure. This is the last question. How much is the Sprint journey contributing to our 9,00,000 cards? And how is it trending? That's the last question. Thank you.

Girish Budhiraja : So as of now, Sprint does not contribute much, large percentage into it. It's a very small percentage. The reason primarily is that as of now, we have kept it only for purely digital and for cashback card customers, in that sense. We are slowly integrating it with our partners. So as of now, the process of integrating it with our co -brand partners is on. One is already done. The other partners are in progress. We also want to integrate the Sprint journey with our Banca with YONO, along with the internet banking. So, these are the things, which is in progress. So once that happens, more number of customers suddenly can express and use the Sprint journey, on a regular basis. So, we expect this to rise rapidly. Now that we have tested that, it works absolutely fine, and the customer can be given a card within five minutes.

Moderator: Thank you. We have our next question from the line of Bhavesh Kanani from Ask Investment Managers. Please go ahead. Mr. Bhavesh Kanani.

Since there is no response, we'll move on to the next question from the line of Alpesh Mehta from IIFL AMC. Please go ahead.

Alpesh Mehta: Sir, two questions. First is on the yield on loans. We are seeing the substantial improvement, in the yield. So, what has been the increase in the percentage

Moderator: I'm sorry, sir, we can't hear you again. Mr. Mehta.

Since there is no response, we'll move on to the next question from the line of Shubhranshu

Mishra from PhillipCapital. Please go ahead. OSBICard

SBI Cards & Payments Services Limited

April 28, 2023

Page 10 of 19

Shubhranshu Mishra: Good evening. Thanks for the opportunity. Two questions. One is, given the fact that the revolvers are still range bound, what are the new revenue line items that we are looking at or we want to develop? That's the first. Second is, what is the margin contribution difference between retail spends and corporate funds?

Rashmi Mohanty : You have to repeat the first question, Shubhranshu. We got the second one. What was the first one?

Shubhranshu Mishra: So, given the fact that revolver as a proportion is lower or range bound, so the interest income is therefore getting mitigated. So, what are the new revenue line items we are looking at or focusing on, which can be incremental to the top line of funds?

Rama Amara: we have stated in the past that we will be looking at the revenue optimization through the cross sales. We have various products like EnCash, Flexi Pay, we have Balance Transfer, and the subvention products are there. Of course, we are also adopting a risk -based pricing, to be more competitive offering in the market. We are also looking what are the other risk mitigations that are available to expand our base that is eligible for availing these products. So, that way we have steadily increased the share of this interest -bearing NEA, if you look at overall revolver plus EMI, it has increased by 2% points for a year's time. So, this endeavor will continue. But, of course, we will also be looking at the fee income, whatever the other ways and means of supplementing some of the revenue lines

that got evaporated particularly after some changes

have come into effect from 1st of October. We did notify the market and the stakeholders. We have introduced two types of fees. So, we will continue to look for kind of avenues to augment our current state.

Rashmi Mohanty : Second question is the margin contribution in retail spends and corporate side.

Girish Budhiraja : So, on the corporate spend, the margin contribution is very minimal because whatever we earn as primarily interchange, gets passed back to the customer in the form of a pass back or an offer.

So, on the corporate side, the contribution is fairly minimal. On the retail side, while we get interchange, but we have to give customer rewards points so, there is an element there. And we also give up to 52 days of credit free period. So, these are the two major things. After that, there is a margin which is still left. We also make money from fee and charges also from interest income. So, there are multiple other sources in the retail scenario. Whereas, in case of corporate, because the customer pays 100%, so there is no interest income.

Shubhranshu Mishra: Thank you for that. If I can slip in one last question, what kind of spend growth are we looking at in 2024 and 2025? Thanks.

Girish Budhiraja : So, as per industry sources, we believe that the spend should grow anywhere between 22% to 25%. We will try and keep an alpha on top of the industry numbers.

Moderator : Thank you. We have a next question from the line of Alpesh Mehta from IIFL AMC. Please go ahead. OSBICard
SBI Cards & Payments Services Limited
April 28, 2023

Page 11 of 19

Alpesh Mehta: Okay. Just two questions. Sir, firstly, on a sequential basis, we have seen around 30, 40 basis points improvement in the yield. So, what kind of pricing action you would have taken on to the EMI segment? Because the mix is largely stable on a Q-o-Q basis?

Rama Amara: I said in the past, we adopted a kind of risk-based pricing, which permits like a kind of transmission of the rate whenever the funding cost increases or whenever the other costs increase, we also can transmit back to the customer, so, that is a strategy that was adopted. Last quarter when we revised the prices for some of these loan products, I talked about EnCash, talked about Flexi Pay and other loans. So, we were able to successfully transmit the rates for the new disbursements. Because unlike the kind of others in the industry, where the entire portfolio gets reset because they are linked to the external benchmark, in our case mostly the loans carry fixed rates. So, the opportunity to transmit the rates is only with respect to new disbursements, which we were able to do successfully last quarter.

Alpesh Mehta: Okay. And there is no change on to the revolver yields? Or Revolver yields remain the same?

Rama Amara: There is no change in the ATR. Revolver remains the same and the share in the overall asset also remains the same. So, obviously, there is no change in the revolver contribution.

Alpesh Mehta: Perfect. And just the last one, if you can throw some light on to the instance-based fees and the others, because that contribution has gone up sequentially. So, any major line item that would have contributed more in this quarter?

Rashmi Mohanty: The instance-based fee was higher largely because, if you recall, we introduced the fee on the rental and we also increased that fee from INR99 to INR199 in the month of March. While of course, the impact of that increase is minimal in Q4 given that the number of days that it was effective for was less, but a significant portion of that increase has come from the rental fee. And there are some other elements as well, but this was a major contributor.

Alpesh Mehta: Perfect. And lastly, the 20%, 25% increase into the spend growth that you are factoring in, does that include any action on the rental payment side as well?

?

Rashmi Mohanty: Sorry, the 20%, 25%...

Alpesh Mehta: Growth on to the spend side that the industry is expecting, since now on the rental there are no rewards, and some fees are also introduced on that. So, do you expect that to be stable or that could be, that could see some drop in the spend growth?

Girish Budhiraja : No, should not, because in between Q3 to Q4, as Rashmi was mentioning, in the mid of Q3, we levied INR99 as a fee and in March we increased it to INR199. We have not seen any drop on a month-on-month basis from Q3 to Q4 on the rental spends. So, while absolute growth might not be similar to industry level growth, but it will still remain stable or marginally equable.

Moderator: We have a next question from the line of Anand Dama from Emkay Global. Please go ahead.

Anand Dama: Yes, sir, thank you for the opportunity. So, firstly on the NPAs front, which we have gone up quarter-on-quarter and our credit cost also have gone up, where you said that the ECL provisions OSBICard
SBI Cards & Payments Services Limited

April 28, 2023

Page 12 of 19

has revised. But just want to check like whether these NPAs have come, or the stresses come primarily from the monitorable or the identified stress pools or this was all of a surprise that basically came through in this fourth quarter. And if you have the typically do the exercise of identifying the stress, then is there any pool that you can talk about that you identified or that you monitored?

Rama Amara: I think you will have to repeat the question. Most part of it was not audible.

Anand Dama: So basically, sir, one is that the NPA flow that you saw during the current quarter was basically out of the identified stress pool or basically, this was all of a surprise that we saw in the fourth quarter?

Rashmi Mohanty: The question is that the NPA increase that we have seen, is it largely from the identified stress pool that we called out or this is a surprise?

Rama Amara: I talked about the small segment having a higher delinquency. It means you do expect a kind of contribution from the legacy portfolio, some new vintage and everything, but this segment, what we identified has a higher propensity to become delinquent. We have seen the recovery efficiency or collection efficiency in this segment, we noticed that there is actually stress there. That was the reason we have taken some portfolio actions there in terms of minimizing the cross sell or not offering the cross sell and other portfolio actions that are available. We have taken a few and

some more are on the anvil, but again, as a matter of repetition, the latest vintage is behaving exactly as per our expectations. So, we expect that these actions will eventually result in a kind of lower credit cost over a period of a couple of quarters.

Anand Dama: Okay. But going forward, like running into the first quarter, do we have any kind of stress pool that we have identified already and if yes, if we can quantify that?

Rashmi Mohanty: Quantify for the next quarter?

Rama Amara: As I said, it is a work in progress, but some of these things will also take time. While we are very confident that it will have a downward trajectory, I think a quarter will be a kind of stabilization period before it actually starts evidencing a kind of real drop in the rate. But of course, this one-time kind of thing what happened is not expected to repeat in the next couple of quarters because it is purely a model related adjustment. So, we are confident that the overall credit cost will maybe, it will not cross the upper band whatever we have given. That confidence is there, but actions will take time. But over a couple of quarters, it will definitely come down.

Moderator: We have a next question from the line of M.B. Mahesh from Kotak Securities. Please go ahead.

M.B. Mahesh: Hi. Two data keeping questions and one qualitative question.

The first is to Rashmi ma'am. Can

you just explain, what explains the sharp increase in business development income and also, how do you account for recovery from previously written off accounts? Does it go to the non-interest income line or is it adjusted against the provision?

Rashmi Mohanty: So, the business development incentives are basically the milestone, the kind of milestone incentives that we get from our partners. These are part of, these are basically contracted, slab OSBICard SBI Cards & Payments Services Limited

April 28, 2023

Page 13 of 19

rates in a way, in terms of the number of cards that we issue on a particular network and also on the spend that, we do on those cards.

M.B. Mahesh: Yes, in a sense, what explains this jump, for the quarter?

Rashmi Mohanty: The jump is explained basically by the sourcing of cards that, we did in quarter 3 and quarter 4 and also the higher spend, we saw in quarter 3 and quarter 4. While most of it, was seen around December or so, but the impact of that has come in in quarter 4 only, largely.

M.B. Mahesh: Okay. And recovery from written-off?

Rashmi Mohanty: Recoveries from written-off, go into our other income as bad debts recovered.

M.B. Mahesh: And this gets clubbed under instance basically, right?

Rashmi Mohanty: It gets, sorry, it's part of the ...

M.B. Mahesh: Where would you club this income, in the non-interest income line? Which line item?

Rashmi Mohanty: It goes into the other income line. So, if you look at our financial statements and if you pick up the other income line, there would be other ...

M.B. Mahesh: INR154 crores.

Rashmi Mohanty: As bad debt recovery.

M.B. Mahesh: Okay. And the qualitative questions are to brief probably, this question. If you look at your card book today and you look at the, let's say the below prime segment, how has been that spend category set of customers kind of, where are they in the journey of recovery post-COVID right now?

Rama Amara: So, Mahesh, after the, let's say, customers with vintage, which was pre-COVID, on their spend journey, they have all recovered back. In fact, they had recovered back long, I would say, almost a year back, they have recovered back. New customers, which we acquired during COVID, they were showing some bit of depressed spend, in the year 2021. And it is that catch up as Rashmi was mentioning, which is now happening. And it has, we have seen that, this has happened this year.

New customers acquired during this last, I would say 15 months to 18 months are showing very good spending behavior, very good activation rates. We have, as you have been seeing, we have been focusing on more younger customers, where the activity rates are far better. So, from a spend perspective, on an overall basis, we have, it is already caught up. There is only one category of spend, which is international spend, where I believe that, there is still more opportunity. The balance has broadly reached higher than COVID. In fact, on the travel side, we have declared some of the numbers also. So, this is the first quarter in Q4 after FY '20 that, we are indexed at almost 140% of what we were in COVID on the travel, specifically on the domestic travel. OSBICard

SBI Cards & Payments Services Limited

April 28, 2023

Page 14 of 19

M.B. Mahesh: In a sense, the choice of spends that, they seem to be taking still seems to be overwhelmingly on

the EMI side rather than to work. That journey has still not happened from that segment.

Rama Amara: I would state that, if I look at spend conversion to EMI that, spend conversion to EMI, if I take out the rental spend, because rental typically is more of a transactor spending in nature. If we take out the rental spend, our spend conversion to EMI, actually that percentage has become higher. So, that number has gone up compared to, what it was pre-COVID number. And that trend

is fairly visible across segments. And when I am looking at conversion to EMI, it is either at the point of sale or after you have spent and before payment due date, you have converted to EMI.

Moderator: We have a next question from the line of Gao Zhixuan from Schonfeld. Please go ahead.

Gao Zhixuan: Thanks for the opportunity. So, just follow up on the Cost of fund comments, so, basically, you are saying that, because of repo hike last quarter and then the first quarter, we will see 10 basis points to 15 basis points increase in Cost of fund s. And then after that, because RBI had a pause, we should not see any increase in cost of fund s, right? I'm just a bit confused because if I look at historically, when RBI was cutting rates back in 2019 and early 2020, the repo rate bottomed about 4% at June 2020. But if I look at our cause of fund, it only bottoms about three quarters, four quarters later. So, there's a timing lag in terms of calculation of the time, when repo paused or bottomed to our cause of fund stabilize, right? So, just wondering, why this time, the cause of fund should immediately stop increasing, the moment RBI stoppe d hiking. I thought 25%, 30% of our funding is from NCD, which should be priced with a bit of lag, right?

Rashmi Mohanty: Your comment is that the cost of fund, why is it increasing, when the RBI has still paused?

Management: Why it should not increase?

Gao Zhixuan: Because you guys are saying that second quarter FY '24, cost of fund should not increase, right? Because RBI has paused. But historically, our cost of fund re -pricing, if I just look at most recent episode, where RBI was cutting rates, your cost of fund is still declining three quarters, four quarters after RBI stopped cutting rates. So, on the way up, shouldn't there be a re -pricing lag as well? So, our cost of fund should continue to increase a bit even after RBI paused because some of our fu nding could be priced with a lag?

Rashmi Mohanty: I'm pulling out the data for the 2008 -2009 that you're telling me about it. . But just a few pointers in terms of how do we see, how does our portfolio get impacted. Number one, as we stated in the past as well, that the transmission of any market rate change happens in our port folio with a lag. So, what we saw an increase in the cost of funds in quarter three and now in quarter four and what I'm talking about in quarter one is with a lag. The RBI started increasing rates in April of last year. So, April 2022 is, when we saw t he first increase in the repo rate. We didn't see an increase in our cost of funds till quarter three. So, it was almost after about seven months to eight months that, we first felt the impact of an increased market rate, on our portfolio. The second point as to why did we see it after six months and why are we not immune to it for another 12 months, 24 months is because our liability portfolio, largely comprises of short -term borrowings and that's typically again to do with the kind of assets that, we hav e. If you look at the asset OSBICard SBI Cards & Payments Services Limited

April 28, 2023

Page 15 of 19

breakup, almost about 39% odd is transactor. There is a revolver percentage, which again is short -term in nature. We don't really have too many chronic revolvers. In order to have an ALM and in order to have a match funding posi tion with respect to assets and liability, we've also been borrowing short and which is, why every six months, every nine months, when the portfolio comes for a re -pricing is, when we're actually able to feel the impact of the market rate. So, those are th e two characteristics that, I wanted to first lay out. As I said earlier, we've seen another rate hike in February. The impact of that will be felt as our portfolio comes, whatever portfolio, whatever amount of our portfolio comes for re -pricing in the fir st quarter, we've done some modeling around that

and we expect that that increase is going to be about 10 to 15 basis points.

I called out earlier and if there are no further rate hikes, we should see the cost of funds stabilize over the next two odd quart ers. And if the market rates start to trend down from now onwards till the third quarter of this financial year, we will then see the impact of cost of funds where it starts to come down towards the end of this financial year. So, you're absolutely right, it is with a lag because our portfolio gets re -priced almost at about a six month to an eight -month kind of a frequency. This is how we felt the impact of the market rate .

Moderator: Thank you. Ladies and gentlemen, request you to restrict your question to only one at a time. You can join back the queue for follow -up questions. We have our next question from the line of Pankaj Agarwal from Ambit Capital. Please go ahead.

Pankaj Agarwal: Hi, good evening. Ma'am, if I look at your cost of funds, it used to be 8% before COVID and the policy rate was almost similar to the current year. It used to be in the r ange of 8 % to 8.5 %,

right? So, what has fundamentally changed in your funding profile over the last three, four years so that your funding cost will remain below pre-COVID?

Rashmi Mohanty: I don't think we have mentioned that the rates are going to go up.

Rama Amara: His question is around with the policy rates remaining more or less at the same level, how are we confident about the trajectory being only limited to increase being limited only 10% at this point? I think if you're comparing the situation three years back or four years back, I think the share of long-term in our overall funding has increased over a period of last four years from a 9%, 10% to 15% to now 35% in the overall. So, that provides a kind of insurance against rate increases. So, we have been steadily increasing but of course, when the rates start to peak, obviously we are looking at what is the right timing and what is the right instrument. So, our endeavor is to continue to increase it in a meaningful way, in a very calibrated way. So, as we select. But of course, as Rashmi has also said, like we want to do the match funding and we want to get the opportunity of pricing it actually at the lowest rate whenever the market rates give. So, that's the fundamental difference between a four-year back scenario and a current scenario.

Pankaj Agarwal: So, basically duration of your liabilities has come down over the last three quarters?

Rama Amara: Duration of liabilities increased because the long-term share, long-term liabilities might be of NCDs of three years or otherwise subordinate bonds kind of thing, maybe of 10 years, what we rise. That way it has increased actually over a period of time. OSBICard

SBI Cards & Payments Services Limited

April 28, 2023

Page 16 of 19

Pankaj Agarwal: But then, I mean, if that is the case, don't you think then your funding cost can go back to 8% at some point of time despite the current policy?

Rashmi Mohanty: And what you also need to take into account is what Mr. Rao just mentioned that the increase in our long-term funding has happened in a scenario when the rates were lower. So, we have been increasing our long-term funds post-COVID and post-COVID the rates were low and we are benefiting from that.

Pankaj Agarwal: Okay. So, basically you logged in lot of funds at a very low rate, and they are longer duration.

Rashmi Mohanty: Yes.

Rama Amara: Yes.

Pankaj Agarwal: The reason I am asking this question is that generally, you know, there is a tenure premium, right? So, keeping everything as constant, if your tenure of liabilities are higher, the cost of funds should be higher. And as I said, at a similar repo rate, you will need to have 8% cost of funds three years back or four years back, right? So, ideally if your tenure premium, your tenure has gone up, then at some

point of time at the similar policy rate, you know, your cost of funds can go back to 8%.

Rashmi Mohanty: I think we will have to go back and look at the numbers there. I mean, I do have the numbers for 2018-19, they are at about 7% or so. You also will have to look at the other things besides the repo rate, the credit premium, etc. as well. As to how much was the credit premium at that point in time for that AAA rated entity compared to where it is right now. So, we will have to look at all of those factors.

But as I said earlier that our modelling shows another 10 to 15 basis points, stabilization and beyond that, we will have to see as to how the market reacts. Now, if the credit premium goes up, obviously even if the benchmark rates remain low, the credit premium will come and impact the cost of funds for SBI cards as well.

Pankaj Agarwal: Okay, fair enough. Thank you.

Moderator: Thank you. We have our next question from the line of Anand from HDFC Mutual Fund. Please go ahead.

Anand: Ma'am, I just wanted to understand on the spend based fee income, how should we look at that going forward? As most of the spend category, where the SBI are generally higher are opening up and we are seeing the action on that. Should we expect the spend based fee income to grow higher than the overall spend next year?

Girish Budhiraja: Spend based fee income is primarily the interchange that we earn from on the spending. It is dependent on the three elements as we have always been stating. The mix of the categories in which the spend is happening, which kind of products, whether it is a premium product which is at the higher end of network spectrum or at the lower end, which card person is spending and thirdly, whether it is a retail versus corporate mix. Because corporate typically, now even though OSBICard

SBI Cards & Payments Services Limited

April 28, 2023

Page 17 of 19

it gives you a higher interchange, but you have to do a pass back. So net margin as we have

stated is very less. Over the last period of, during the COVID we saw this interchange rate going down because people's consumption in the discretionary items was going down and non-discretionary was stable where the interchange rates are typically lower. Now as you have seen, there has been a marginal stability and some marginal increase off late, as the travel has gone up, restaurants have gone up, last year those things have gone up. So, what we see is futuristically for the next year, we believe that this rate will remain stable. There are some headwinds and there are some tailwinds. There are both positives and negatives which are happening in these categories but broadly we expect it to remain stable.

Anand: Sir, on the instance-based fee income, this quarter we have seen a sharp improvement. Do you think as we keep on charging more and more FC avenue like fee on the rental, do we see this instance-based fee income to improve further or?

Girish Budhiraja: We levied rental fee of INR99 from November of last year and then we increased it from March 17, to INR199. So, half of the last quarter was positively impacted by that, but you have to also recognize that the OVL fee was completely not there, which is also an instance-based fee in Q3. In Q4, we have seen a full benefit of INR99 and almost 17 days benefit of INR199. These are in line with what the industry is charging. Typically, the industry rate that is charged is 100 bps on the transaction and we have seen that the average ticket size is around INR20,000 to INR21,000. So INR199 is almost broadly in that range. It is in line with the industry average. We have not seen, as I stated earlier a decline in the spend. Whether the spend will increase further or not, that is a matter of conjecture but those spends are stable at this point.

Anand: So, if I look at in terms of spend, instance-based fee income is approximately 1.2

% of the spend

this quarter. Should we assume this trend to sustain or to improve from here on?

Girish Budhiraja: It would not be on rentals; it will not be 1.2% because we get interchange on that also. It is not a zero-interchange category. There is an interchange also available and after that we are now charging INR199. So, the number is higher. We believe that should remain stable at least in this quarter.

Anand: Perfect. Sir, this year our operating profit growth was 17%. Despite the fact that we have seen significantly higher interest rate, we have seen lower revolve rate. How do you see this number going forward because interest rates will likely stabilize in the second half, and do you see some cost synergy also coming for us?

Rama Amara: I think you are talking about E BCC or operating profit the entire year, it is currently based at 17% but for the quarter alone, if you look at, as compared to year-on-year basis, it is at 22%. So that way, this quarter, last quarter itself Q3 itself, reflected a kind of, it observed the negative impact and put the pause, some of the regulatory provisions, which has impacted certain core and fee lines like OVL, etc.. Then Q4, whatever steps we have taken more or less it is reflective of what is the contribution from this new levy. and with a kind of direction what we are aiming, where we want to optimize the cost, continue to focus on digital, increase the share of digital channels for sourcing, this will improve steadily. Overall if you look at, slightly away from this operating profit, overall return matrix if you look at, the way to look at is, a quarter to quarter, OSBICard SBI Cards & Payments Services Limited
April 28, 2023

Page 18 of 19

there will be fluctuation, even in operating profit, even in the ROE. But long-term averages, whatever we have like a 5% plus, 25% near about 25% ROE that, will be maintained. That is the minimum expectation.

Moderator: Thank you. We have our next question from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Hi, good evening. I have two questions., if you look at a new card sourcing, then over the past two years -three years, the mix of self-employed has risen to now 39%. It used to be in early 20s. And likewise, the mix of government employees has also reduced sharply. But the revolve rate isn't really picking up. In fact, it has only been like a downward trend. So, is there any threshold that you would like to adhere to while broadening the risk filters to boost revolve rate?

Nandini Malhotra: So basically, for the self-employed customers, a lot of the self-employed actually comes from our Banca channel, where we look at their saving account, current account behavior and we onboard them. So, it's a relatively better profile. We have a better visibility to the cash flow. So, in that way, I would say, it's a relatively a lesser risk, lesser risk in terms of self-employed because it comes from the Banca channel. In the open market also, we look at repayment performance in the bureau before we onboard self-employed customers. So, all those checks are done and in place and so we have a better idea about the customer's repayment potential, when you onboard self-employed customers.

Nitin Aggarwal: All right, ma'am, so today the number is like 61%, 39%. So, this number, like we are not looking to have any limit on this 39% self-employed, what we have reported this quarter.

Rama Amara: The way we are operating is like obviously, we look at what is the potential, what is the

customer's choice obviously and what is the kind of channel, we are using, etc., we take it into account. Of course, delinquency does matter and the risk-adjustment profitability at the end of the day, finally that matters. So as long as all these metrics match and the acquisition is holding in terms of meeting all these expectations, we would like to

continue. But to your question, the

other question around the, however self-employed, because in as much as, we are acquiring more of these customers through the Banca channel, where we have an auto-debit and auto-swipe, kind of facility. The revolve propensity will be lower, for a self-employed acquired through Banca channel.

Moderator: Thank you. We will take a last question from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Yes. Hi. Thanks for taking my questions. Just one data question on like, if you can share how many rental transactions happened on your platform, over the last three months. And just to clarify on this instance-based fees of roughly INR830 crores, is there any one of element of seasonality or any reason, why it should dip next quarter, if spends don't dip?

Girish Budhiraja : I have already told you the average ticket size is between INR20,000 to INR22,000 and the weightage on spends is almost around mid-teen. So, you can make an estimate on number of transactions there. OSBICard

SBI Cards & Payments Services Limited

April 28, 2023

Page 19 of 19

Piran Engineer: Okay. Fair enough. And on the next, something on instance-based fees?

Rashmi Mohanty: On the instance-based fees as I called out earlier that, there is a provision of rental fees that come in, in this quarter, which should stay or should stabilize or should stay at these levels only for the next few quarters as well. There is some milestone incentive that, we have gotten. That will normalize over the next few quarters. So while, if I were to just look at from a BAU business perspective, this number should continue to grow. Will it see the kind of jump if between quarter 3 and quarter 4? The answer is no. You will see a more normalized increase going forward, quarter-on-quarter.

Piran Engineer: Got it. That explains. Thank you so much and all the best.

Moderator: Thank you. I would now like to hand the conference over to Mr. Rao for closing comments. Over to you, sir.

Rama Amara: First, let me thank our shareholders, investors and business partners for their continued trust and support to us. I would also like to thank my colleagues at SBI Card for their continued commitment to ensure the company's success. I would like to highlight that SBI Card's strong focus on sustainability has helped it emerge stronger past any market turbulence. While we cannot control the external factors, but we do believe that our strong business model, our agility as a business, and adaptive approach equips us well to keep fueling our growth in the future. Thank you.

Moderator: Thank you. On behalf of SBI Cards and Payment Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you. OSBICard

Call: Aug 2023

August 3, 2023

The BSE Limited

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Re: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure

Requirements) Regulations, 2015 -Transcript -SBI Card 1Q'FY24 Earnings

Call

In compliance with the provisions of Regulation 30 read with Schedule III Part A of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the Earnings Call held on July 28, 2023 with analysts/investors, has been made available on the website of the Company at the below mentioned link. Further, the same is also attached herewith for reference.

<https://www.sbicard.com/en/who-we-are/analyst-investor-meeting.page>

Kindly take the same on record.

Thanking you,

Yours faithfully,

For SBI Cards and Payment Services Limited

Payal Mittal Chhabra

Company Secretary & Compliance Officer

Encl.:aa

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Page 1 of 19

"SBI Cards and Payment Services Limited

Q1 FY 2024 Earnings Conference Call"

July 28, 2023

MANAGEMENT : MR. RAMA MOHAN RAO AMARA – MD & CEO

MR. GIRISH BUDHIRAJA – CHIEF SALES & MARKETING OFFICER

MS. RASHMI MOHANTY –CHIEF FINANCIAL OFFICER

MR. SHANTANU SRIVASTAVA – CHIEF RISK OFFICER

MR. AMIT BATRA , HEAD - OPEN MARKET & CORPORATE SALES

MS. ANU GUPTA , HEAD - COLLECTIONS

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SBI Cards and Payment Services Limited

July 28, 2023

Page 2 of 19

Moderator: Ladies and gentlemen, good day, and welcome to FY '24 earnings conference call of SBI Cards and Payments Services Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rama Mohan Rao Amara, MD and CEO. Thank you and over to you, sir.

Rama Amara: Thank you, Yashashri! Good evening, everyone! I am pleased to welcome you to the Q1 FY2024 earnings call along with my senior management team. I also take this opportunity to introduce Shantanu Srivastava, our Chief Risk Officer.

This fiscal is special to us as it marks a key milestone in the organisation's history. As you are aware, SBI Card celebrated its Silver Jubilee on 15 May 2023. Through these years the company has exhibited business resilience and strength to stand the test of times. Our customers' patronage and trust have been instrumental in our success, and we remain committed to delivering value and growth to all our stakeholders.

As we meet today, the global economy continues to be impacted by the prolonged geopolitical tension, and volatility in global financial systems. However, India is well poised to sustain its growth momentum. In its annual review report, Ministry of Finance has said that the Indian economy appears to grow more durably than before. India's GDP has grown by 7.2% in FY2023 as against an earlier estimate of 7%, owing to a strong Q4. It is reassuring to know that India continues to be the fastest-growing major economy and should remain so in the next three years. Digital payments continue to grow at a fast

pace with transactional volume growth of 56% YoY in FY2023, which is expected to grow four times by FY2027.

Indian credit cards industry continues to grow at a steady rate. As per RBI June 2023 data, there are around 89 million (around 8.9 crore) outstanding credit cards in the country. In June 2023, credit card spends have been at Rs 1.37 lakh crore, marginally lower than record high INR 1.4 lakh crore achieved in May 2023. Coupled with highly underpenetrated nature of Indian credit cards market, this underlines the continued relevance, attractiveness, and long-term sustainability of the credit cards business. Many progressive regulations have also reinforced the growth prospects of the industry. These have balanced the healthy competition in the industry with customer-friendly measures. RBI Payments Vision 2025 outlines that card acceptance infrastructure will increase to 250 lakh touchpoints, which will further boost transactions in India.

Being the largest pure-play credit card issuer in India, SBI Card is at the forefront of industry's growth while driving up the penetration of credit cards in the country. As an agile organization, SBI Card continues to assess and explore opportunities that can support the growth momentum. With improving consumer sentiments, and stable macro-economic conditions, our aim has been to leverage this window to test and expand the variety in customer base, while being prudent. OSBICard
SBI Cards and Payment Services Limited
July 28, 2023

Page 3 of 19

During Q1 FY24 we have introduced Paytm SBI Card on the RuPay network, thus offering more choices to our valued customers. We have started roll out of SBI Card issued RuPay credit cards on UPI platform on a limited number of TPAP's and will soon be expanding it to other Apps. Over a period, we expect this to be a significant contributor to our transaction volumes. We continue our investments in technology. Our App platform, available both on Play Store and App Store, was revamped this quarter by enhancing the UI/UX to provide ease of navigation with access to several servicing features like digital KYC and cross-sell features. Our App has been downloaded by 13 million gross users with 7 million unique monthly logins by customers. It has been rated 4.5 out of 5.0 on play store and 4.6 out of 5.0 in app store. The app is being revamped in a phased manner, with several more features to be rolled out throughout the year. Let us now look at SBI Card's Business Overview in Q1 FY2024

During Q1 FY24 SBI Card pursued and achieved strong growth across most key business metrics, once again demonstrating resilience and sustainability of our business model. We crossed the 17 million Cards-in-Force (CIF) milestone. Our CIF stands at 1.73 crore with a growth of 21% YoY. CIF market share is at 19.6% in Q1 FY24. Our new accounts in Q1 FY24 stand at 10.97 lakh with a healthy 22% y-o-y growth. The current quarter, saw a moderation in growth in line with our experience during Q1 for a fiscal. Our share of new accounts sourcing from Banca and Open Market channels in Q1 FY24 stands at 54% and 46% respectively. We continue to leverage the network and customer base that SBI has to offer. We endeavour to keep our market share in net card addition at around 20%.

Our card spends growth has been strong, registering a growth of 24% YoY at Rs 73,913 crore. In fact, spends in Q1 FY24 are the highest-ever quarterly spends for SBI Card, superseding the

performance we achieved in the previous quarter. Retail spends have contributed Rs 58,347 crore with 28% YoY growth. Thus, making it the best-ever quarter for us in retail spends. Corporate spends have been stable and have contributed Rs 15,565 crore, with a 10% YoY growth, in line with our measured approach for the segment. Our spend per average card has grown from Rs 1,70,000 in Q1 FY23 to Rs 1,73,000 in Q1 FY24. Specifically, we have

seen a healthy growth in spend per average card for our retail spends which have grown from Rs 1,30,000 in Q1 FY23 to Rs 1,37,000 in Q1 FY24. During Q1 FY24, spends growth, have been driven by growth in categories such as, travel, dining and entertainment, apparel, education, and utilities. Online spends continued to be robust with a share of around 55% in retail spends. PoS witnessed faster growth than online in Q1 FY24. Our market share in card spends stands at 17.8% in Q1 FY24. With robust card spends, we have also seen a healthy 30% YoY growth in receivables too. Our receivables have grown to Rs. 43,271 cr. as of June end.

I would like to highlight that our share of interest earning receivables has grown to 62% in Q1 FY24 vs 61% in Q4 FY23. Our revolver assets stayed stable at 24% and EMI receivables were 38% of the portfolio. Most importantly, our receivables per card have grown to Rs 24,949 in Q1 FY24 vs Rs 23,202 in Q1 FY23.

Coming to the financial performance in Q1 FY2024 OSBICard

SBI Cards and Payment Services Limited

July 28, 2023

Page 4 of 19

Our total revenue in Q1 FY24 is at Rs 4,046 crore, registering a growth of 24% YoY. In Q1 FY24, our revenue from operations is Rs 3,912 crore with 26% YoY growth. Interest income forms a significant share of our revenue from operations which has been growing steadily. In Q1 FY24, interest income contributed 46% share, and has seen a growth of 30% YoY. Our PAT for Q1 FY24, is Rs 593 cr.

Our Cost of funds (COF) during the quarter increased by 37 bps. We expected the short-term rates to be lower and yield curve to normalize, however, higher than expected ST treasury rates and opportunistically borrowing more long-term debt as long-term rates eased off, resulted in our COF being higher by 37 bp Q-o-Q. The LT borrowings, as a result, increased from 35% to 37%. Given the predominantly short-term nature of our assets, we would be comfortable with LT Borrowings at the current level. During the quarter, we were also able to mostly transmit the increase in COF to our asset book, resulting in increase in Yield on loan by 20 bps, helping us keep our NIMs almost stable as Q4 FY23. We expect the COF in Q2 to be marginally higher by 5-10 bps from Q1 COF. NIM is expected to be stable next quarter.

On asset quality, as of Q1 FY24, GNPA marginally increased to 2.41% from 2.35% as of Q4 FY23. Our Gross Credit Cost increased to 6.8% in Q1 FY24 from 6.3% in the last quarter. As we shared with you in the last quarter's earnings call, our credit cost was elevated on account of stress emanating mainly from the 2019 sourcing. We have noticed that the delinquency behaviour for the 2019 vintage has been relatively worse, considering its weightage in the portfolio. The lifetime delinquency behaviour for this vintage, deviates from the expected lifetime behaviour. We have identified the stressed segments and have taken suitable portfolio actions. We have also intensified our collection efforts for this cohort.

While the overall new sourcing quality is within the desired delinquency band, we have proactively discontinued sourcing of less-profitable low limit cards, terminated a few pilots based on early signals, increased documentation and verification requirement for certain low bureau score segments and reduced sourcing from certain geographies. We also took portfolio actions on potential high-risk segments by reducing their credit limits and tightened eligibility criteria for cross sell to these customers.

The collection efficiencies for the industry particularly in the later buckets have not come back to the Pre COVID levels which can be partly attributed to change in customer behaviour. We reviewed our collection strategy and intensified field efforts including enhancing the field infrastructure in geographies with higher stressed portfolio. Our collection teams continue to leverage digital tools available.

We are certain that the gross credit cost has peaked in Q1 2024. The improved flow rates in the month of June resulted in lower credit costs as compared to April and May months. Initial trends in July also indicate continued improvement and we expect the credit cost for coming quarters to be on a downward trend. OSBICard

SBI Cards and Payment Services Limited

July 28, 2023

Page 5 of 19

In addition, the delinquency for our recent sourcing vintages is better and in line with expectations. As the weight of this recent, better -quality vintages increases, the overall portfolio quality will improve.

As you would have noticed, we have increased the sourcing from self-employed and Tier 3 and Tier 4 segments in the last few years. The delinquency behaviour for these segments has shown an improved trend over the last few years.

The increasing prosperity and therefore the increased consumer demand from Tier 3 and 4 cities in India will continue to drive growth for the financial sector. Government initiatives, growing consumption and thriving SME enterprises in these cities support our focus on these cities.

Access to the SBI network in these cities gives us an edge over other players. We are closely monitoring the performance of this growing segment and will calibrate our approach as and when appropriate.

With the steps taken in Q1 and encouraged by the results, we still maintain our full year guidance on expected credit costs for the second half of FY24 to trend back into our target range of 5.8 - 6.2%.

Our Cost to Income for Q1 FY24 is at 56.4%. We saw an improvement in Cost to Income ratio to 56.4% vs 58.1% in Q4 FY23. Our profitability ratios continue to be robust. In Q1 FY24, despite an elevated credit cost, our ROAA was 5.1% vs 5.4% in Q4 FY23. With steps taken to reduce the credit cost and increase share of digital sourcing over the next few quarters, we expect to maintain a healthy ROA.

In Conclusion, India's growth story remains intact, and the domestic consumption is encouraging. At SBI Card, we have always maintained an agile approach and taken well-calibrated measures to ensure sustainable and profitable growth. We embarked on this fiscal year on a positive note, as can be gauged from our strong performance across most key business parameters. Amidst the ever-evolving macro environment, we stay focused to take advantage of the immense growth opportunities that the Indian credit card market continues to offer.

So now we are open for questions.

Moderator: We have a first question from the line of Mahruk Adajania from Nuvama.

Mahruk Adajania: Sir, my question is on credit cost. So, the 2019 customers, what would be their rough contribution to current outstanding, any rough idea?

Shantanu Srivastava: This is Shantanu, here. The current composition in our portfolio is about 16% So, 2019 sourcing is about 16% of our NEA.

Mahruk Adajania: Okay. And what would be the range of credit cost in the near term? So obviously, you've taken a lot of portfolio actions, so say for the next 2 to 3 quarters for the rest of FY '24, what is the range of credit cost we can expect over the next 3 quarters? OSBICard

SBI Cards and Payment Services Limited

July 28, 2023

Page 6 of 19

Rama Amara: As I said in my speech, we started seeing a positive trend, in the sense, we started seeing the decline. We had a little bit of improvement, looking at the entire month of June, which was better than the previous month like April and May. Essentially, it means it has peaked in the first quarter up to May. We are monitoring the credit cost now very closely. So, it started declining. We are confident with the kind of measures what we have taken and initial trends what we are seeing, after September quarter, we will be back to our target range of 5.8% to 6.2%. So, you can estimate, where we will be. We are at 6.8% in this quarter. But after

the quarter, we will be

in the target range. So, you can estimate how it will trend.

Mahruk Adajania: Okay, got it, sir. Sir, my last question is on margins. So, see, rates are cut at some point in time, not immediately, but RBI cuts rates, then how will your margins behave, not only from a cost of funds perspective but from yield. So how soon do you pass on rate cuts to your customers in terms of yield? How will the yield side of things move?

Rama Amara: If you look at our past record, whenever the rates were declining or whenever the rate environment is very benign, we have always been the beneficiary in terms of improving margin.

That has been the case because of the lag effect, like the way, what you are seeing now. With the rates are increasing, our liability is getting repriced faster, but it takes some time for us to transmit the rates fully to the asset side, but exactly it will work in our favour when the rates are declining. So, any decline, while I'm not making any guess here, so when RBI will declare, I mean, will reduce the rates, that will be very positive for our margins.

Moderator: We have our next question from the line of Anuj Singla from Bank of America.

Anuj Singla: Sir, first question is on, again, the credit cost. So, we talked about, we have identified this 2019 cohorts, where we are seeing stress. So, can you talk a bit about what is the profile of these customers? What went wrong there? And what confidence do we have that the incremental sourcing we have done, maybe in the previous years or the years after that, we are not going to witness the same or similar stress in those cohorts?

Shantanu Srivastava: So, this is something that we've been very focused on in the last 3 to 6 months. Incidentally, I joined in April, so just about 3 months ago. And ever since that we have been running diagnostics of the problem and collectively thinking about the actions that should be taken, some of them are already underway well before I came. It takes some time to execute, and then result also take some time to show up, but that has been happening and we are seeing green shoots already. But to answer specifically what you were seeing in 2019 sourcing was, that the behavior of this cohort was somewhat different from what we noticed in the prior or subsequent cohort, in terms of both peaks that this particular cohort witnessed which is around 30-month path. The level of that peak, and the speed at which that peak was crossed, and the delinquency behaviour tapered out. That took somewhat different trajectory compared to the other cohorts. This is not very different from what we expected from the model, but it took some time for the discrepancy or anomaly to show up because it was coming just after the pandemic. OSBICard
SBI Cards and Payment Services Limited
July 28, 2023

Page 7 of 19

So, at that point of time, to distinguish the portfolio from the others, was not easy or distinguishing this from the rest of the portfolio from the others wasn't very easy. But as and when we did it, we've started taking those actions in terms of line decreases, increasing collection efforts etc.

In terms of the other subsets of this segment, some of the charts are available in the investor deck. You can see that alongside these portfolios, there is a component of our portfolio that comes from self-employed. In the duration of the last 3 or 4 years, the contribution of self-employed segment has gone up by about 4 percentage in the three and half-year period. Similarly, at the same time, the delinquency behaviour of this segment has actually improved. And there are 4 other similar sub-segments of this portfolio that we call Self Employed Vs Salaried, or Cat A, vs. Cat B within the salaried segment, or under 30 vs over 30 of age, in our portfolio. Across all those parameters, we have moved towards the higher risk segment as we have

you tried to generate revenue. But the riskiness of each of these segments has improved in the last 3 or 4 years. So that's a heartening trend and as the portfolio matures, and we get a higher and higher component from our more recent sourcing, that we find, is more suitable and is giving us much better delinquency performance in terms of behaviour, we are encouraged that the overall delinquency of the portfolio will improve. And it's on that basis that we are giving you the comfort that we just spoke about 2 minutes ago.

Anuj Singla: But anything specific here? Was it open market or bank outsourcing with a cohort came from? Any color you can share there, or it's a mix?

Shantanu Srivastava: It's actually a mixed bag. We can't really point out towards only one component, but whatever sub-segment we're seeing, whatever cohort we identified and the look-alikes of those cohorts that we're seeing through our portfolio, those are the ones we're taking actions on from our portfolio actions point of view or from our marketing actions point of view or from our collections point of view.

Anuj Singla: Got it, okay. The second question is with regards to the growth trajectory. So, Mr. Rao talked about this intervention as well. You've also put in Slide 6 to focus on profitable segments, cutting off credit limits, and also sourcing maybe some of the pin codes, they're not sourcing from. How do we see the 1 million net card addition target per quarter in that context? So, should we be expecting a lower number in the coming quarters?

Rama Amara: We are still mindful of that, that's the 300,000 per month and over a period of a quarter 1 million. As you rightly said, like some of the steps, the recalibration, etc. what we have done and the seasonality of what we've seen in Q1 has resulted in low numbers, but there is no change in our aspiration. But only thing is, it will take a month or 2 before we hit the kind of mark. It is the initial aspiration to reach 300,000 in a couple of months and going up gradually -- increase the run rate, but we'll try to be more careful, and we will try to balance it with how the credit cost is also behaving. So, we'll be mindful of both.

Moderator: We have our next question from the line of Piran Engineer from CLSA. OSBICard
SBI Cards and Payment Services Limited
July 28, 2023

Page 8 of 19

Piran Engineer: Yes. I just wanted to understand your delinquency chart on slide 15. So how exactly do I read it? So, all of them are up. They reached their peak in 24 months on book and then go down, but you're also saying this is ever 90 plus. So, shouldn't that just always be increasing?

Shantanu Srivastava: So, this is the standard industry slide, and you will notice the shape of the curve is very similar to what you might have seen elsewhere.

Piran Engineer: I just meant that, say the 30 -month on book number should always be higher than the 24 -month on book, which should be higher than 12 months on book, because this is ever 90 plus. So, I'm not sure if I'm understanding this chart properly.

Girish Budhiraja : Yes, this is an incremental number. You are right. If you actually do cumulatively, it will continue to grow. But the point here that we wanted to show is that the maximum peak after a buildup of assets happens at around 24 months, and after that the incremental number of people coming into 90 plus keeps on going down and you just manage that portfolio. So that's the chart that's representing along with index. So, it's not the absolute value. It's the index value.

Piran Engineer: Got it, got it. Okay. So, it's an incremental number of 90 plus, okay. But in that case, the dotted line which is CY '19, now it's been like 4 years, right, since it's CY '19 and that number has come down anyway. So, I don't see why it should impact us in 2023. Am I making sense?

Shantanu Srivastava : It's about 16% of our

assets and about 20% of our NPAs. So, a slightly disproportionate number. The incremental amount of credit cost that we're carrying because of this particular cohort is about 14 basis points.

Piran Engineer: No, no, sir, I don't think I've communicated my question well. I'm just saying that, so if I compare the CY '18 line and the CY '19 line, they are probably pretty similar. But last year we did not see any sort of hit due to the CY '18 line, but this year we are seeing the hit from the CY '19 line. So, I'm not really understanding why?

Shantanu Srivastava : It's the composition of the cohort in the overall asset. So, CY '18 ran off and it is not contributing significantly to the overall credit cost, because it's much smaller in value. In '19, it's 16% in our value.

Rashmi Mohanty : This chart on the slide, Piran, is, at the portfolio level and doesn't show, as Shantanu pointed out, the percentage contribution in the portfolio. It's the behaviour of putting an ever 90 plus in percentage. When you put this in context to the percentage of this vintage in the portfolio, that's where it starts to show up in a higher rate.

Piran Engineer: Makes sense.

Girish Budhiraja: Also, the other point of putting this chart was to also show you that the vintages which are belonging to 2020, '21, '22, which are the latest vintages which we acquired in last 3 years, are almost on an index level at the peak of around 0.59 or 0.6 compared to what we were acquiring earlier. So as these new vintages build up asset, automatically the weighted average will start to come down. OSBICard

SBI Cards and Payment Services Limited
July 28, 2023

Page 9 of 19

Shantanu Srivastava : So, the point is that the subsequent cohorts are peaking earlier and tapering faster.

Piran Engineer: Okay, got it. And the second one just for Rashmi, now if RBI does not hike anymore, cost of funds should be stable, or do we see that increasing? And in the last one year, how much have we increased our EMI yield by?

Rashmi Mohanty: The yield on our EMI book would have gone up by about 120 to 150 basis points. Even if the RBI doesn't increase rates any further as Mr. Rao called out, we do expect the cost of funds to go up this quarter as some of the other liabilities that come up for repricing, both on the short-term and as well as on the long term as well. Remember our long-term book which you would have borrowed 3 years back is at a much lower price. So, factoring all of that, we called about 5 to 10 basis points increase in cost of funds at Q2. I'm hoping post that, the rates kind of become normal for the second half of the year.

Moderator: We have our next question from the line of Abhishek M. from HSBC.

Abhishek M: I had a follow-up on this yield on EMI. How much of the 120 to 150 bps would have translated already and how much would be get repriced as we go along?

Rashmi Mohanty: The numbers that I called out is the translation of the cost of funds going some -- the increase in cost of funds being passed on the EMI booked.

Abhishek M: No, I meant, the increase in yield on the EMI book, 120 to 150 basis points, that would be applicable only the book sourced through over the last, let's say 2 to 3 quarters, right? So, there would be a part of the EMI which is not...

Rashmi Mohanty: That's right.

Abhishek M: Okay. So, anything....

Rashmi Mohanty: What you would like to know is...

Abhishek M: So, what I would like to know is that what part of that EMI book is yet to reprice?

Rashmi Mohanty: So, we can't reprice our existing book at all. The EMI loans are a fixed rate loan.

Rama Amara : Abhishek, what happens is, you know the nature of the business is, we extend only fixed rate kind of loans, so they will be fixed for the period or tenure of the loan, but every month we make certain disbursements, spends getting converted into loans or otherwise encash kind

of loans or

balance transfer, etc. where you have an opportunity to transmit the rate increase. So, it takes a few months for the entire portfolio, because considering the life of the portfolio, which is around may be 11 months or less than a year, it takes that kind of time for the entire portfolio to get repriced.

Girish Budhiraja : On the FlexiPay and Subvention, more than 80% of the book would have already got repriced because its average tenure is 9 months. So, it's only some of the 18-month tenure book would OSBICard
SBI Cards and Payment Services Limited
July 28, 2023

Page 10 of 19

have been left and Encash is where the repricing is still continues to happen because the average tenure is close to 33 months.

Abhishek M: Okay. So how much of that Encash book would have been at new rates. Let's put it that way. Anything in the last 2 quarters, basically.

Rama Amara: Actually, less than 12 months is fairly less because personal loan tenure is primarily 24 months and above. So, the new addition into that book or incremental book is at a higher rate, the replacement cycle will continue to happen over a period of time.

Abhishek M : Got it. And what part of that EMI is on encash versus the other 2, like FlexiPay and Subvention?
Girish Budhiraja : We have not declared the breakup of all 3.

Abhishek M: Got it. Okay, no problem. So, that was on yields. The second one was on this collection teams, which were enhanced in certain geographies, etcetera. Do you think this will have a sort of follow-on impact on costs on an overall basis, on opex?

Anu Gupta : So, we are mostly focusing on the field channel. And what we do there is, the full model is based on variable cost. We only kind of pay when the money comes in. So, this addition infra is actually on the field channels, which is basically a variable channel.

Rashmi Mohanty: While the absolute collection cost will go up, but there are obviously benefits coming in as well as better collections and better recoveries as well. So, we are mindful of that numbers.

Shantanu Srivastava : And also, better collection efforts that lead to lower LGDs as well that helps with our credit cost.
Moderator: We have our next question from the line of Bhaskar Basu from Jefferies.

Bhaskar Basu: Yes. I just had a follow-up question on this 2019 cohort. I just wanted to understand, I mean, before these accounts slipped. And I assume that these are spends made by those customers now. They would have ideally slipped into a revolver book and then subsequently become an NPL.

So why haven't really been seen any impact on revolvers because of this whole slippage and why do they continue to be there in the system? I mean they should ideally probably reject out after they become an NPL? That's all from my side.

Girish Budhiraja : So, I think Bhaskar, the kind of behavior what we have seen with regard to this cohort is, while they have been bearing some payment record, the moment they become stressed, particularly with the moment they cross 30+, we have seen behaviour, it is straight flow practically. That means our ability to normalize from this segment was limited. That is what we have noted. So, that means you will not see the revolver rate as it is not like a regular revolver, they continue to pay maybe more than 5%, 10%, 20%. But it's just like an inability to pay, which will be more like a wash in the revolver. So that way you won't see a significant increase in the percentage of revolver because asset is also growing on the other side. So, it won't be a kind of a very big increase on account of it. But it is only the segmental behavior when you track only, then only OSBICard
SBI Cards and Payment Services Limited
July 28, 2023

Page 11 of 19

we'll come to know that there is some, it's not a regular revolver, it will more like a deliberate revolver.

Bhaskar Basu: And the fact that we

continue to see that stress, does it mean more and more borrowers from that pool continue to default? Is that how it works or is it the same borrower making some payments, continued to make higher spends. Is that the reason why this number continues to be elevated?

Rashmi Mohanty: So, for the last 2 quarters, as we had identified these accounts, we did see some increase, but if you look at this slide which talks about the credit actions that we've taken, obviously we've taken steps to now make sure that their utilization of the credit card limit, and therefore the addition to the stress reduces. And that's where we are hoping that as that stress reduces and the collection efforts help us in recovering the already lent out money, is where it will help us to reduce the credit cost.

Girish Budhiraja : So, we are very careful about 2019 segment. So, and there is a deeper cautiousness, as, if a customer has to revolve, we go after that customer at the initial stages itself. As Sir said, they are going through higher collection efforts, try to identify look alike, do credit limit declines in some of those segments. So, there are multiple actions which are happening. We are restricting

ourselves from cross-selling products to these customers at this stage. And that's how the whole asset percentage has come down to mid-teens for this segment. And it will continue to go down in weight age as we grow the good assets, which is coming, as you can already see from that slide 15 which is coming from 2020 onwards vintages. So that is the way that we're looking at it. Those new vintages as you see, they are peaking at a lesser rate, but that also along where it goes that revolve rates are also lower which we are fine with, because the idea is to keep the revolve rates if we have the revolve rates at 24% and the get credit cost within control, we can continue to grow from that by working on the term lending portfolio.

Moderator: We have our next question from the line of Shweta from Elara.

Shweta: Sir, any sale to ARC this quarter or anything anticipated in near future?

Rashmi Mohanty: So, we keep looking at these opportunities as and when we think it makes more sense to fill up our portfolio to the ARC, we will do that.

Shweta: So, nothing as on today?

Rashmi Mohanty: So, if your question is, did we do anything this quarter, the answer is no.

Shweta: Okay. And my second question is somewhat pertaining to the previous question. So, look, if I look at systemic delinquencies on the credit card portfolio, they have been clearly rising at least for the banks. So, in such a scenario. I mean we did highlight the fact that incrementally the new portfolio has been showing a decrease in delinquencies. But then in such a scenario generally it tends to be like that, in a scenario where delinquencies tend to raise, your revolver book tends to pick up. So, can you just give us colour on how the revolvers look like from your own?

Rashmi Mohanty: Your question is that the delinquencies are increasing and therefore the revolver should go up. OSBICard SBI Cards and Payment Services Limited

July 28, 2023

Page 12 of 19

Shweta: Yes.

Girish Budhiraja : So, who is a revolver ? Revolver is a customer who pays up to 5% or more on the outstanding balances. These are the people who are current also and they pay interest. So , they are the people who are good revolvers and that is what we have been stating in earlier calls also that these days even that revolve behaviour has changed. Earlier people used to be revolving, 6, 8, 9 times in a year. Now people revolve, maybe 2 or 3 times as and when the short-term fund requirement is there. People who keep moving from transactor to revolver, revolver to transactor, so that happens. If the customer becomes delinquent. In any case after a point of time, whether it is a 45th day or 60th day, the card gets blocked. And we

will not allow the customer to spend further

onto the card if the earlier payments have not come. And in any case, after 90 days, it becomes Stage 2, Stage 3. So that is a very different value compared to the overall amount that you look on revolver. So , revolver is a very different ballgame all together .

Shweta: Okay. Then how is the colour on the revolver book going forward? We are currently at 24%. we have been around that percentage for a while now. So how do you see this going forward?

Girish Budhiraja : So, good point. on the revolver book, what we have seen is that even when we look on a month-on-month basis, it is stable there is not much variation. It is hovering at around 24% or so, plus minus 20 bps, 30 bps in that scenario. We have seen -- as the new portfolio is also maturing, because as you'll see it was 2020, 2021 good customers maturing. This is a trend, which was shown in slide 15 of 90 plus, but we are seeing revolving behaviour in those segments also. And this time the revolving behaviour is that the customer would revolve for one or 2 months and then again become a transactor , which is a very good sign. So , it is stable at 24% , at this point. We don't foresee much change at least going further in next 3 to 6 months. And then we will keep you people posted at if we see changes in that behaviour on the positive or other side .

Moderator: We have next question from the line of Prashant Kothari from Pictet.

Prashant Kothari: Yes. Just wanted to understand the lifecycle of the customer. I mean why does it takes so long time to even kind of understand that this was the kind of the bucket of customers, which is going bad like the portfolio, which kind of started in 2019. It's 4 years old and now we are understanding, recognizing, realizing that this was a bit of a weak bucket. Why feedback mechanism is so kind of slow. And secondly if this the case, that will take about 3, 4 years --

Rama Amara: Sorry, we couldn't get the last part of your first question.

Prashant Kothari: Yes. So, the question is, why is the feedback mechanism so slow? Because what I -- as your feedback would be very fast in the credit card business that you will know which customers are bad or good. And therefore, you can take corrective actions much sooner. But why is it so slow? So that's the first part of your question.

And second, related to that is, if the feedback mechanism is slow really, then how do we kind of keep the incentives aligned in the business? Because people are getting rewarded maybe on, I OSBICard SBI Cards and Payment Services Limited

July 28, 2023

don't know maybe on monthly, quarterly, yearly, performance, but if the problem takes whether 3, 4, years, actually to emerge properly, then how is the incentive system lined in internally?

Shantanu Srivastava: I'll take the first part of the question if I understood correctly. Your question was, why does it take so much time to identify the problem areas and for the actions to be taken, and the results to be seen? If that's the question, that's especially true for the 2019 vintage from the cohort that we were just looking at. And I explained some of reasons earlier, but I will elaborate further. Until the time that 2019 portfolio was peaking, in particular between 24th and 30th month period, the aberration wasn't there. The aberration was, the way that curve has flattened or come down and that was an aberration and that we should have picked up some time in '22, but because we are coming out of the pandemic, remember '21 was still the pandemic year, which is a year in which the second wave happened. So, the early part of '22 is when we could have potentially found the problem and then acted on it. –But it wasn't so apparent at that point of time because the entire portfolio was showing some stress at that point of time. This aberrant behaviour became more apparen

t and bigger in the year

and that is when the action took place. So that slight delay is on account of coming from the pandemic period to non -pandemic or normal situation. I hope that answers some part of your question?

Prashant Kothari: Yes. And how do you keep the incentives aligned? I mean if it is taking 2, 3 years for us to understand, where the underwriting is right or wrong. How do you keep incentive aligned?

Girish Budhiraja: You are asking about the incentive for the salespeople?

Prashant Kothari: Yes, incentive for the salespeople and incentives for the underwriting team that they are taking the right decisions, when they are getting new customers?

Girish Budhiraja : Okay. So underwriting teams are not on variable incentives or anything.

Rashmi Mohanty: So, on incentive, the salespeople are on incentive and there is strict metric that we measure their performance on, and their payouts are made only after 3 MOB -- 4 MOB performance of the accounts that has been sourced by them. The underwriting team is not on incentive, but there is no individual decision that's happening in the underwriting team. There are scorecards and models that are being used for underwriting our customer.

Moderator: We have our next question from the line of Gao Zhixuan from Schonfeld.

Gao Zhixuan: Just some data keeping questions on this 2019 cohort. Just want to understand there has been more. So can you provide us with number one, what's the revolve rate of that cohort as of this quarter. And number 2, what's the credit cost of that 16% book for this quarter, please?

Rashmi Mohanty: The second question is you want to know what the credit cost is for this 16% , 2019 cohort . We didn't get the first question. You want to know as to what is the --

Gao Zhixuan: What's the revolver rate. So, book number? OSBICard

SBI Cards and Payment Services Limited

July 28, 2023

Rashmi Mohanty: Revolving rates in 2019, credit cost in 2019 ? We do not usually give out revolvers by vintage. I think that's something that we won't be able to share with you.

Shantanu Srivastava : The second part of the question is, we have answered earlier as well. The 2019 vintage contributes about 1 6% of our assets and over 20% of our NPA , and it is adding about 14 basis points to our credit costs as we speak in the current quarter .

Gao Zhixuan: Okay. So, on the revolve rate on a cohort. Appreciate it. You can share that number. But are there any -- is it higher or lower than the overall book level?

Girish Budhiraja : Give us time. We will look at the data and tell you. Just give us time.

Rashmi Mohanty: Somebody from the Investor Relations team will reach out and share the data and questions with you.

Moderator: We have our next question from the line of Rahul Jha from Bay Capital.

Rahul Jha: Yes. My question is, the guidance that you've given on credit cost, is it on the gross basis or net basis?

Rama Amara : We are talking about gross. gross basis.

Moderator: We have our next question from the line of Saurabh from JPMorgan.

Saurabh Kumar: Sir, just wanted to know what is the approval rate right now for new credit cards sanctions , in the open market book? And what was at let's say, pre -COVID? That's the only question.

Girish Budhiraja : So, we usually don't give segment wise or open market versus Banca approval rate. Yes, we can tell you that the open market approval rates are higher. They run anywhere between on an average 55% to 65%. They will continue to go in that range. And they are broadly similar to what we had pre -COVID numbers.

Now, you have to also look at this in light of that the sourcing pattern and the way the customer acquisition happens, has completely changed now. At the initial stage it, after taking some for 4

or 5 filled, from the customer, we are able to either give a soft approval, soft decline or a referred status to the customer.

Now after that, once the application is fully filled, then you look at what is the status of the customers. So, it is not about -- it becomes a 2-step thing to be able to start digitally to reduce the cost. So, approval rate, that can be looked into very different line all together.

Saurabh Kumar: Okay. And during 2020 and 2021, fair to say that this would have been maybe lower 30%, 40%?

Girish Budhiraja: No, nothing of that sort. Actually, these days, the filtration, we try to do upfront itself. The modelling status and then we try to do after 4 or 5 filled, if a customer is credit tested or he has a CIBIL score already, whole lot of models go upfront itself, to be able to see whether we want to go ahead with that customer or not rather than waste our time, that we don't want to do. OSBICard SBI Cards and Payment Services Limited
July 28, 2023

Page 15 of 19

Saurabh Kumar: Okay. So, your approval rates haven't changed through 2020 -2021 even today?

Girish Budhiraja: The point I'm trying to make here is that they have changed, how the context and the situation has completely changed. If you look at completely online, the approval rate would be in the range of 10 % to 15%.

Rama Amara: Other thing, to just to supplement Girish. In addition to the bureau scores, we also started looking at some alternate data as well, where it is available, may be through the partnership or otherwise.

Now, at least we have started looking at account aggregators. So that's why the percentage (approval) is that much, but underwriting has changed as compared to pre-COVID period. The kind of extra due diligence which we do for some segments, having low score etc., we do that extra due diligence in terms of validating the information or being sure about the profile.

Moderator: We have our next question from the line of Dhaval from DSP.

Dhaval: Yes. Just one clarification. So, you said about 14 basis point is due to the 2019 cohort. Is that correct? So, about INR60 crores.

Shantanu Srivastava: That's right.

Dhaval: And the other point was just the next quarter, you expect somewhere between 0 to 14 basis points, as the impact and the following quarters, it should be back to BAU, so about 6.2% to 6.3% kind of gross rate cost?

Girish Budhiraja: Yes. So, this quarter -- after this quarter, we expect to come back to our target range. That's right. Current quarter. September quarter.

Dhaval: Okay. Right. So, my point is that the 14-basis point is the maximum impact that we can see in the September quarter, is that's the point I'm trying to get.

Rama Amara: I think the trajectory where credit cost will only be coming down. In order to reach even the target range, it has to come down in this quarter itself, which we shared like in month of June, we have seen good rate (credit cost) and again July also it is holding good. So, this gives us the confidence to say like a September quarter overall gross cost will be lower than June quarter, but reaching the target range will happen only by Q3. So, we believe it has peaked in the month of May and it just started to come down.

Moderator: We have our next question from the line of Krishnan ASV from HDFC Securities.

Krishnan ASV: Yes. My question is partly related to what Prashant asked earlier which was about the feedback mechanism being too long compared to what conventionally we would think given the kind of signs and the kind of analytics that is now available on credit cards. I thought this feedback loop would be shorter. Having said that, if you say that this was indeed not something that you will see. I mean to one of the earlier questions by Anuj, you said there wasn't too much different about the 2019 cohort in terms of origination. It was a mixed bag, both open market and Banca. So, the cohorts that we originated thereafter, did we get them right just by pure accident or OSBICard

SBI Cards and Payment Services Limited
July 28, 2023

Page 16 of 19

mean, it seems that if there was nothing different about the 2019 cohort compared to the others, and what is it that we got right and how accidental or was that?

Rashmi Mohanty: 2020, if you recall, was the COVID year. And therefore, like every other organization, we also had tightened up credit norms. And therefore, you will see that '18 and '19 behaved almost similarly. '18 peaked a little higher than '19 and is now obviously came up earlier and the percentage contribution was lower as that. But the benefit that we got that COVID made us all tighten our credit norms. And as a result, you see '20 performed better, learning from '20 helped us fine tune and we also fine-tuned our models post the COVID once the market opened up and

we also started sourcing from the market. We fine tune the models, taking in the inputs from the COVID period and prior to that as well and that helped us in the quality of the portfolio post that being better .

Krishnan ASV: So, it's all right, Rashmi. I think my limited point was. given that much of the market has matured towards early warning signals, right? Four years past is kind of far too long for a portfolio to be, I mean, bleeding and us not knowing about it in terms of why 2019 cohort is behaving very differently. What is it that we did and where is it that you tweaked it tighter? That was the limited point I was trying to get to, given, I mean all those....

Rashmi Mohanty: It's not that we did not see the EWS. Obviously, we have a strong EWS mechanism, and we do work on that but as Shantanu pointed out that the early years on this particular portfolio, it was also colored by the COVID behavior. Remember that we were required to give restructuring to our customers, etcetera. And as a result of that, that behaviour in a way -- because of the restructuring and the COVID, it camouflaged the real behaviour of this portfolio. And last year as well, and we called that out in the early -- in the previous earning calls as well, that end of last year -- calendar last year is when we realized that the signals of EWS for this particular portfolio is hitting us, telling us that the behaviour is not as per where it should be for the MOB and that's where we are partly taking actions on it. So, through the cycle of the customer, we do keep monitoring the EWS but as we said it got camouflaged under the RBI RE and the COVID period.

Moderator: We'll move on to the next question from the line of Shubranshu Mishra from PhillipCapital.

Shubranshu Mishra : So, when we speak of the Tier 3 and other cities, how many total cities are there? Do we plan to change these Visa or Mastercard cards with RuPay credit cards which is acceptable on UPI, given the lack of peers ' infrastructure in these cities? That's question one. Second is, in the open - source customers, how many customers already have a credit card? And if we have a similar number for SBI sourced customers? Thanks.

Amit Batra : On second one, the sourcing strategy of open market is to leverage the existing carded customers . Primarily , we target customers who have been carded by the industry. We do not really disclose, or we do not really publish the data around the percentage of carded customers in either of the segments. But primarily, the strategy is to use the digital channels , to use the co -brand sourcing channels , to provide these customers with an alternate value proposition, which is compelling enough for them to have an alternate card in their wallets. OSBICard

SBI Cards and Payment Services Limited

July 28, 2023

Page 17 of 19

Similarly for the Banca channel, the strategy is to also reach out to some of the non -carded segment because of the relationship with the bank, which makes it compelling for the Bank to have another relationship apart from CASA or any other relation

ship that they have.

Girish Budhiraja : On the Tier 3, Tier 4, we are already giving cards there which are RuPay cards. with the new draft guidelines of RBI, the customer preference will also get taken into consideration and as MD sir mentioned in the opening remarks, that we are already going live with UPI on RuPay cards. We are testing it. We have not opened it for the large T SPs. for RuPay portfolio, the testing is taking place. Once that happens, we believe that it will get more transactions in Tier 3, Tier 4 towns from these customers .

Shubranshu Mishra : How many Tier 3 and other cities are we catering to? That question is still unanswered. How many cities are there?

Girish Budhiraja : So, we grew more than close to around 200 -250 cities in overall scenario . So, these days, the definition of Tier 1 and Tier 2 is that Tier 1 is a top 10 and Tier 2 is the state capitals. And beyond that we say Tier 3 and Tier 4 .

Amit Batra : Also , a graded approach, so , it's not that you are fully operational in every city. And we keep revisiting that strategy every now and then, depending on the penetration and the portfolio quality.

Moderator: We have our next question from the line of Abhishek M and from HSBC.

Abhishek M: Yes. Just on this business development incentive income, like last quarter, also a lot of conversation happened and what I want to understand is, when does the measurement start?

Does this start at the beginning of the year? And then, your partners, see how much volume you are generating for them and then they pay you an incentive. So , from when does this measurement start?

Girish Budhiraja : So, on the business development incentives with these partners, some of these deals are long - term deals which are 4, 5 years in period. There are certain set of milestones. On Achievement on those milestones, there is a set of income streams, which follow. That is how it typically works. We have usually constructed those deals so that we are able to achieve at least one milestone in a year or so. So that's how it gets constructed. But there are some deals which -- where we are able to get business development incentives for some specific activity to be done,

let's say, in 3 months or 6 months or 9 months .

Abhishek M: Okay . So, the reason for this kind of fluctuation would be that you've got a big milestone payment maybe in the fourth quarter and then you are now getting the usual regular payments, is that correct? And then as you progress through the year, it should take a higher trajectory, or it could go lower as well.

Girish Budhiraja : So, we can't give you estimate around that. Usually what starts to happen is that there is some amount of evening up (Smoothening) which happens, because as per Ind AS , if you look at a whole period and look at income streams in that way, but there are some opportunistic OSBICard SBI Cards and Payment Services Limited

July 28, 2023

Page 18 of 19

arrangements for business development that you can get for a period of time, that we also keep on lookout for .

Moderator: We'll move onto the next question from the line of Pankaj Agarwal from Ambit Capital.

Pankaj Agarwal: So, these cohorts originated post CY '20, are they behaving differently in terms of spends and revolve rate as well?

Girish Budhiraja : So, you are right. The spends that we are getting from these cohorts is higher. And that is what, how you are able to see our average spend per customer, continuing to go up. The revolve rates are lower, but they are still happening. So, we are now stabilized at 24% on the weighted average portion. So, this is how the behavior is. Higher spend slightly, lower revolve. But we are getting good EMI traction in these cohorts.

Pankaj Agarwal: And second, this competition in the sector, is it leading to ...

Moderator: Mr. Agarwal, I request you to strictly ask one question. Participants are requested to

stick to one

question, please. We have our next question from the line of M .B. Mahesh from Kotak Securities.

M.B. Mahesh: Yes. Just one question. This chart on exhibit 15, you do it by number of customers or is it by outstanding loans or by spends? How do you do this?

Rama Amara: Which chart are you referring to?

Rashmi Mohanty: Which chart are you talking about, Mahesh.

M.B. Mahesh: This delinquency is ever 90 + plus data that we all have been asking, how do you make this chart?

Girish Budhiraja: I think this is value -based chart.

Shantanu Srivastava: It's the value.

Rashmi Mohanty: It's the value.

M.B. Mahesh: How do you do it in value, because the customer has been -- could be a revolver, he could be EMI customer, he could have been -- generally been a normal customer who is paying on time.

How exactly have you created this chart?

Girish Budhiraja : So, Mahesh, I think as Shantanu has been saying earlier also in the call, these customers are behaving as usual, if you look at the chart, 2018 , 2019 broadly look similar. It looked similar till the time 30 month and that time COVID was also happening. So even though there were warning signals, but whether it was because of RBI RE or because of the customer behaviour, it was not evident . And it is 6 months back, we were very clear that this is the segment , which is causing us issues. The last call we declared that, and the actioning has already been all on these customers and as Sir was saying, I think it is, we believe that it has peaked out in May , and it is now on a OSBICard SBI Cards and Payment Services Limited

July 28, 2023

Page 19 of 19

downward trend. So , we should see that in the next quarter. The automatically, the overall thing should start coming down .

M.B. Mahesh: Okay. Sir, just one question, is there any possibility that we could have also, what is the kind of customer base that was acquired during this period, in a sense that during that period, was the activity levels of origination more towards the below prime segment, which has cost this problem? Or you think that they transferred into below prime eventually after COVID hit them?

Girish Budhiraja: So, Mahesh, I think as Shantanu has been saying earlier also in the call, these customers are behaving as usual, if you look at the chart, 2018 , 2019 broadly look similar. It looked similar till the time 30 month and that time COVID was also happening. So even though there were warning signals, but whether it was because of RBI RE or because of the customer behaviour , it was not evident . And it is 6 months back, we were very clear that this is the segment, which is causing us issues. The last call we declared that, and the actioning has already been all on these customers and as Sir was saying, I think it is, we believe that it has peaked out in May, and it is now on a downward trend. So, we should see that in the next quarter. The automatically, the overall thing should start coming down.

Moderator: We have our next question from the line of Ajit Kumar from Nomura.

Ajit Kumar: So, if you can quantify what percentage of your card base are let's say, less than INR30,000 and whether that proportion has increased or decreased in the last few quarters? That's it.

Rama Amara: Can you repeat the question?

Ajit Kumar: What percentage of your card base are having limit, let's say, less than INR30,000 and whether that proportion has increased or decreased in last few quarters?

Rama Amara: So, we have not declared the credit limit breakup of our portfolio. I can only tell you that the average credit limit of the customer is more than INR90,000 for the full portfolio. So that's where the average is. Medians are slightly lower, but that's where they are.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Rao for closing comments. Over to you, sir.

Rama Amara: First, let me thank our shareholders, investors and business partners for their continued trust and support. I would also like to thank my colleagues at SBI Card for their unwavering commitment to ensure the company's success. SBI Card has and will continue to steadily move ahead on the path of sustainable, profitable growth. While we cannot control the external factors, but we do believe that our strong business model, our agility as a business, and adaptive approach equips us well to keep fuelling our growth in the future. Thank you!

Moderator: Thank you. On behalf of SBI Cards and Payment Services Limited, that concludes the conference. Thank you for joining us. And you may now disconnect your lines. OSBICard

Call: Nov 2023

November 2, 2023

The BSE Limited

Corporate Relationship Department.

P J. Towers.

Dalal Street, Fort

Mumbai -400 001

SCRIP CODE: 543066

SECURITY: Equity Shares/Debentures

Dear Sirs, The National Stock Exchange of India Limited

Exchange Plaza,

Bandra-K urla Complex.

Bandra (E), Mumbai -400 051

SYMBOL: SIBICARD

SECURITY: Equity Shares

Re: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 -Transcript SBI Card 2Q'FY24 Earnings Call

In compliance with the provisions of Regulation 30 read with Schedule III Part A of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the Earnings Call held on October 27, 2023 with analysts/investors, has been made available on the website of the Company at the below mentioned link. Further, the same is also attached herewith for reference .

<https://www.sbicard.com/en/who-we-are/analyst-investor-meeting.page>

Kindly take the same on record.

Thanking you,

Yours faithfully,

or SBI Cards and Payment Services Limited

Payal Mittal Chhabra

Company Secretary & Compliance Officer

Date and Time of event: -October 27, 2023 at 7:37 PM

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CIN -L65999DL 1998PLC093849

Page 1 of 15

"SBI Cards and Payment Services Limited

Q2 FY 2024 Earnings Conference Call"

October 27, 2023

MANAGEMENT :

- MR. ABHIJIT CHAKRAVORTY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
- MR. GIRISH BUDHIRAJA – EXECUTIVE VICE PRESIDENT AND CHIEF SALES AND MARKETING OFFICER
- MS. RASHMI MOHANTY – EXECUTIVE VICE PRESIDENT AND CHIEF FINANCIAL OFFICER
- MR. SHANTANU SRIVASTAVA – EXECUTIVE VICE PRESIDENT AND CHIEF RISK OFFICER

Moderator: Ladies and gentlemen good day, and welcome to SBI Cards and Payments Services Limited Q2 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Abhijit Chakravorty, MD, and CEO, SBI Cards. Thank you, and over to you, sir.

Abhijit Chakravorty : Thank you, Neerav . Good evening, everyone. I'm pleased to welcome you to the quarter 2 of Financial Year 2024 Earnings Call , along with my senior management team at SBI Card. While the world's economic recovery remains uneven and uncertain, Indian economy broadly continues to stay resilient. India's GDP growth year -on-year in Q1 FY '24 was 7.8%, RBI estimates India's GDP growth in FY '24 to be 6.5%.

As per later RBI survey, consumer confidence is also at a 4 -year high. India's digital economy is playing a critical role in enabling this growth. Digital payments have grown at the rate of 58% year-on-year in FY '23. With Indian Government estimating the share of digital economy to be over 20% of country's GDP by 2026, the quantum of digital payments is expected to increase significantly. Amidst this growth, credit card continues to be one of the popular digital payments ' instrument s, having grown at 30% year -on-year in last fiscal year. September 2023 has seen a number of credit cards in circulation increasing to around 93 million. Card spends reached a new high of INR1.48 trillion in August 2023. While the growth has been strong, the indu

stry also needs to sustain this with care.

Credit card uses have gone up by 30% year -on-year to INR2.18 lakhs crores as of August 2023.

Amidst this strong growth, the regulator has been highlighting the need for prudent risk management, the industry data from credit bureau too suggests some deterioration in delinquency in cards and P ersonal Loan .

The regulator continues to focus on customer centric approach and the recent circular on 'Arrangements with Card Networks for issue of Debit, Credit and Prepaid Cards' is another step

in that direction. We have built an extensive reach when it comes to card and merchant network and continue to enhance it, offering our customers easy access and opportunity to use their SBI credit cards for varied transactions. In line, we already have partnerships with all major card network platforms - VISA, MasterCard, RuP ay, and American Express.

Let us now look at SBI Cards business overview in Q2 FY 2024.

In Q2 FY '24, SBI Card registered a strong business -- growth in business performance while underlining the strength of its business model. The business continues to exhibit resilience even amidst a dynamic environment. OSBICard

SBI Cards and Payment Services Limited
October 27, 2023

In Q2 FY24, SBI Card registered a strong growth business performance while underlining the strength of its business model. The business continues to exhibit resilience even amidst a dynamic environment.

During the quarter, we added net 530K cards. On a gross basis, we added 11.42 lakh new accounts. Our total attrition for Q2FY24 has come down on YoY basis, but slightly increased on QoQ basis, owing to KYC related attrition. Our cards in force reached 1.79 Cr in Sep'23, showcasing a 21% YoY growth. SBI Card's market share in cards in force stands at 19.2%.

Q2 FY24 has seen a very strong growth in card spends with SBI Card achieving the highest -ever quarterly spends which stands at over Rs 79,000 Cr. Card spends have seen a growth of 27% YoY. Notably, our overall average spend per card has also grown from Rs 1,71,000 in Q2 FY23 to Rs 1,80,000 in Q2 FY24. With around 18% market share in Q2 FY24, SBI Card continues to be the second largest credit card issuer in terms of card spends for the quarter. During the quarter our retail spends have seen a strong growth, reaching Rs 61,446 Cr while witnessing a 21% YoY growth. Corporate spends too witnessed healthy growth registering 55% YoY increase to reach Rs 17,718 Cr. During H1 FY24, we have seen good growth in both PoS and online spends across various spend categories that include departmental stores, health, utilities, education, travel, entertainment, and restaurant, among others. In fact, PoS spends across all key categories including consumer durables, furnishing & hardware, apparel & jewellery etc. have increased significantly, indicating consumers strong preference for offline shopping experiences as well. Online spends continue to be strong and contributed 57% of total retail spends in Q2 FY24.

I am happy to share with you that during Q2 FY24 we introduced the functionality of UPI on SBI Card -issued RuPay credit cards which enables SBI Card users with RuPay cards to make transactions using UPI-enabled apps. It has been one of the key initiatives for SBI Card and is aimed at enhancing our customers' convenience through ease of payments, seamless transactions, and increased accessibility. We have received an excellent response just within a few weeks of its introduction. Already 9% of our RuPay cardholders base have enrolled for the UPI usage. As expected, department stores & grocery, utilities, and fuel have been among the top categories for UPI spends. Interestingly, restaurants and consumer durables also feature among the top spend categories. Our monthly average UPI spends per account have already reached Rs 11,000.

With 19% YoY growth our receivables have g

rown to Rs 45,078 Cr as of Sept'23. I would like

to highlight that our share of interest earning receivables has been stable at 62% QoQ in Q2 FY24 while increasing from 59% in Q2 FY23. Our receivables per card are stable at Rs 25, 220 in Q2 FY24 Vs Rs 25,445 in Q2 FY23.

Besides UPI functionality, we rolled out various new initiatives during the quarter too. We introduced new features on our super -premium card AURUM. The card now extends enhanced benefits to card users and offers more rewarding and richer experience. Another key initiative has been the launch of SimplySAVE Merchant SBI Card that is curated for MSMEs. The card has been designed to cater to short-term credit requirements of MSME merchants while also

offering them various benefits. OSBICard

SBI Cards and Payment Services Limited

October 27, 2023

Page 4 of 15

We continue to bolster our digital customer acquisition capability. We have extended the SBI Card end-to-end digital acquisition platform 'SPRINT', through YONO. The access is currently in CUG for testing. This will enable the SBI bank customers to digitally apply & get a new SBI Card on successful approvals and KYC verification. We plan to roll out this facility in the current quarter.

As you are aware, in July23, SBI Card ESOP Scheme 2023 was approved by the shareholders. The core objective of the scheme is to enhance the culture of ownership & performance in the organization along with retention of key talent. We plan to make grants to identified employees during this quarter.

Coming to financial performance in Q2 FY 2024.

We continue to see healthy revenue and profit growth. Our total revenue in Q2 FY24 has been at Rs 4,221 Cr., registering a 22% YoY growth. In H1 FY24, our total revenue stood at Rs 8,267 Cr. with 23% YoY increase. In Q2 FY24, our revenue from operations was Rs 4,087 Cr. with 24% YoY growth. While in H1 FY24, revenue from operations has been at Rs 7,999 Cr. with 25% YoY growth.

Interest income has also grown to 47% of overall revenue from operations. Our PAT for Q2 FY24, is Rs 603 Cr with 15% YoY growth.

Our Cost of Funds have been stable at 7.1% vs previous quarter. We benefitted from the increased long-term borrowings taken in previous two quarters, limiting our repricing risk this quarter and hence had a stable CoF at 7.1%. However, with the short-term rates again experiencing volatility, we expect CoF for next few quarters to be marginally higher. The yield is lower marginally by 14 BPS in the quarter owing to a larger share of short-term interest-bearing term receivables in the overall IBNEA. During the quarter has seen NIM slightly compressed by around 10 BPS during this period.

On asset quality, As of Q2 FY24, GNPA is at 2.43%. Our Gross Credit Cost is at 6.7% in Q2 FY24, lower as a result of actions taken at portfolio level and collection strategy. While we will continue to grow, we will continue to take portfolio actions to mitigate the risk. Collections intensity has also been re-strategized with different swim lanes for riskier segments. Our newer sourcing vintages too continue to perform better, and going forward too we will continue to take appropriate measures as needed. Our credit cost has reduced Q-o-Q although industry data is showing stress.

Our Cost to Income for Q2 FY24 stood at 57.1%. The marginal increase is owing to higher corporate spends, pass back, and cashback costs.

In conclusion, India's economy continues to be resilient and has been at a sturdy growth path while domestic consumption remains robust. And with the current festive season period, we are confident of witnessing a healthy volume of spend across categories, including discretionary. It is encouraging to see that we have been able to maintain the momentum of strong performance across most key business parameters since the start of this fiscal year. Keeping all current and OSBICard SBI Cards and Payment S

foreseeable macroeconomic dynamics in mind, we continue to take a balanced approach with a focus on sustainable and profitable growth. And while doing so, we are committed to create value for all our stakeholders.

So now we are open for questions.

Moderator: Thank you very much. The first question is from the line of Gaurav Kochar from Mirae Asset. Please go ahead.

Gaurav Kochar: Good evening. Three questions from my side. Firstly, you mentioned about RuPay cards. You said about 9% of your RuPay card base has enrolled for credit on UPI. So, I just wanted to understand, what would be the proportion of RuPay cards in your total cards? And if you can give, what would be your market share in RuPay cards?

Girish Budhiraja : The proportion of RuPay cards in our portfolio is close to 10%, as of now. It is increasing with every new month acquisition that we do. We wouldn't be aware of the market share because the data is not available in the public domain. But we know for sure that we are one of the larger players of RuPay issuance.

Gaurav Kochar: Sure. And in terms of, let's say, right now, the enrolment is 9%, but have you identified set of customers who would be enrolling and by, let's say, year -end, can this number be 30%, 40% of the total card base? Do you see that as possible?

Girish Budhiraja : This number is as of September end because that is what we have declared. Every passing day, we see more number of people getting their RuPay cards attached or as a source of fund for doing UPI payments. This number is growing rapidly. Where it finally lands up at the end of Q3, we will declare in the next call, but we see that rapidly increasing.

Gaurav Kochar: In terms of spend s as a percentage of total spend s, is this meaningful? May be not as of now, but going forward, do you believe this could be meaningful?

Girish Budhiraja : Well, that is the intent. Because as of now, it is just a start, but it is a good start.

Gaurav Kochar: It's a good start. Okay. Sure. And my second question is with respect to the credit cost, gross credit cost, you mentioned around 6.7% in this quarter. Write -offs were elevated even sequentially. And despite all this, the slippages still remains at 2.4%. So just wanted to get some sense on where these slippages are coming from. Is it essentially the 2019 cohort which is causing the pain? Or is it beyond that?

Secondly, if that pain is largely behind and incrementally, one could see probably lower slippages? And in that context, your credit card guidance for the remaining half?

Abhijit Chakravorty: So, 2019 cohort, we have sort of controlled. In our earlier calls, we have stated that what kind of steps we have taken over there. And those portfolio level actions have done us good. We were expecting good results out of that during the quarter, trajectory should have been lower. But where we find ourselves in the present credit card scenario is somewhere the unsecured loan environment prevailing in the ecosystem. Somewhere we are finding that we are not untouched OSBICard
SBI Cards and Payment Services Limited
October 27, 2023

from the sentiments on unsecured loan scenario. So, while we were expecting better trajectory, downward trajectory from where we were in Q1, we are finding slight stress, not in any particular cohort. But generally, there are customers who are under stress are not able to pay during the period.

This somehow has offset whatever gains we would have got, not only on the 2019 cohort because somewhere we found that those type of cohorts would have prevailed during the subsequent years also. But then the portfolio actions were uniform, and we were expecting better results out of those portfolios. But then somewhere we are not untouched out of the overall unsecured loan scenario prevailing, which is quite prevalent and well known.

Shan

tanu Srivastava: Just to add more colour to what MD sir mentioned. In terms of the composition of the NEA, the '19 cohort has actually come down in weightage in terms of our NEA. It used to be 16% last quarter. It's 14% odd right now. And the newer vintages, that is '21, '22, '23, they now together account for more than 50% of our NEA. That's also moving up in the right direction. The early delinquency numbers for these new vintages are more benign. On back of that, we are quite hopeful that this will improve the quality of the asset mix.

Gaurav Kochar: Okay. So, in the second half, can we expect moderation in credit costs and overall stress loans?

Abhijit Chakravorty : Difficult to say entirely for the second half, but Q3, we expect the levels to remain elevated.

Gaurav Kochar: Okay. If I were to just ask a little more on this. I mean, what has led to this? Is it the open market sourcing that we did or the share of self-employed that were increased post COVID. Can you give some colour as to any particular pockets where the stress is coming from?

Abhijit Chakravorty : As I said, we are not attributing this to any particular cohort or any particular segment. We are seeing

individuals ; certain individuals are under stress. And we believe it is part of the overall ecosystem. It's not particular to any specific sourcing or any specific cohort or any specific vintage. We are not really seeing that. But as we stated during our earlier speech that the new onboarding has been good. We see better quality over there . But there is no specific indication of any vintage or cohort. It's somewhere, we are finding that certain individuals, certain customers may be under stress. And we believe it is due to overall ecosystem prevailing.

Moderator: Gaurav, sorry to interrupt you. I'll request you to come back in the question queue for a follow-up question. Next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Sir, two questions, the first question is on the stress, which you're indicating that is in certain segments and customers, you can see that. But then how are we to look at really the revolve rate and the mix of overall EMI customers? And should that not also move higher in line with the stress and the overall delinquency that you are witnessing?

Girish Budhiraja: Nitin, I'll first talk about the revolve rate. You have seen the revolve rates have been fortunately stable for the last four quarters, five quarters. So, we are at , around 24% or so. We have worked towards getting the EMI balances up so that the overall interest-bearing asset is up to around 62% or so, okay. OSBICard

SBI Cards and Payment Services Limited

October 27, 2023

Page 7 of 15

Now what is being mentioned is , in an overall sense, if you look at a long-term scenario, there will be people who will go into ex -30 and further buckets , will initially be looked at as a revolver but after 90, they are not looked at as a revolver . So, that is not a condition which is there. Second, that number has been fairly stable at 24%, while your credit costs have been moving up and down. So, you can't exactly say that if one goes up by 10 bps the other will also go up by 20 bps. That kind of thing does not exist in this scenario.

What MD sir has been reiterating is that the overall portfolio at this point of time, while we have done a lot of actions to get the credit cost to come down, what we see is that there is a generic sense in the environment also, which is working as a headwind at this point of time, and not any specific cohort related. When it was a cohort related stuff that was also declared in the last quarter. And as Shantanu mentioned, because of the actions, the weightage of those cohorts has already come down.

Nitin Aggarwal: The second question that I have is on the margins. We are seeing a very calibrated fall this quarter, again, a

12 -odd basis point fall. How have you been looking this trend going on? Are we expecting more decline from here and has there been any change in the interest rate to our EMI customers to accommodate for higher risk that we are witnessing?

Girish Budhiraja: On the margins, you have seen that the overall change in the margin is around 14 bps or so. While cost of funds has been stable . Whatever we have seen on the yield side of it is essentially the interest-bearing asset was 62% last quarter also , it is 62% this quarter also. However, there is a marginal movement in asset mix, – the term assets books have different rates. Our Flexipay has a different rate compared to what we get in the subvention versus what we get on Encash. The mix can change in a quarter on a certain way. For example, in the month of August, we did an Amazon sale. So, you get a lot of subvention. It might show as a lesser amount in the yield because it is at a slightly lower rate, but you also get an interchange income because of the incremental sales volume, which is not showing here. So, there is no change in the rate of interest that we have done with any products in the last quarter , it's just about the mix, which has led to this.

Moderator: Thank you. Sorry to interrupt you, Nitin. I'll request you to come back in the question queue for a follow-up question. The next question is from the line of Mahrukh Adajania from Nuvama Wealth. Please go ahead.

Mahrukh Adajania: Sir, my first question is on margins again, and then I have a follow-up question on credit costs. So, we've seen the list of festive offers from SBI Card. It's well highlighted. And the scale this time in this festival looks much higher than in the previous years. So how would that impact, if at all, your margins or Opex in the coming quarter?

Girish Budhiraja: You're right , and this we have been stating earlier also because the cashback costs when it goes up, your Opex to revenue or Opex to CV (Contribution Value) , whatever you look at, will also go up, and that has been a trend in and seasonality, which is seen in every festival quarter. Last year, this was over two quarters because it started in the last week of September. This time, it will all be in the Q3 . On the margin side, we won't be able to give you a guidance as of now OSBICard

SBI Cards and Payment Services Limited

October 27, 2023

Page 8 of 15

because now we see a very strong pick-up at the point of sale, when people are purchasing consumer durables from the e-commerce website, we see a lot of tendency to convert them into instalment lending products. But the overall mix as how it will land up, as there are other things in the play here also so, we would be able to tell you only later. The only thing I can say is that we have not changed the interest rates for any product, not reduced it. They're all at the same rates as they were earlier. Rashmi Mohanty: Let me add here, Mahrukh, that MD sir stated in the speech as well, we do expect the cost of funds to go up marginally over the next one quarter or two quarters. And that could impact the NIM a little. But as Girish mentioned, that on the asset side, while we haven't changed the rates, the mix could impact the overall yield.

Mahrukh Adajania: Got it. And you did mention about credit card delinquencies rising in addition to other unsecured loans. Sir, is that an industry-wide thing because we've heard only about unsecured loans BNPL?

Abhijit Chakravorty: No, I don't think we said anything about credit card delinquencies increasing. What we are saying is, in specific query to our credit cost, we are saying that all of us have read what is being stated in the domain, what is happening in unsecured loan scenario. So, what we are saying, we are not untouched. We are not saying that is industry-wide, we won't be able to comment on that.

Moderator: Thank you. Next question is from the line

of Bhavik Dave from Nippon India Mutual Fund. Please go ahead.

Bhavik Dave: Two questions. One is, on when you see the mix being quite stable, like you mentioned, the earnings assets at 62%. Just want to understand with the kind of delinquencies or the customer behaviour that we are seeing, is it worthwhile to look on the pricing front, considering the yields has come this time around. So are we pricing the product right in terms of the EMI as well considering the revolvers are not going up and they maintained that 24%. On the EMI side, is it worthwhile to maybe look at the pricing?

And second question is on the write-offs. The write-offs seem to be quite elevated at INR660 crores-plus, like almost INR630 crores to INR670 crores that we've clocked for a few quarters in a row are INR1,000 crores kind of GNPA book. So, I just want to understand the trajectory that we are -- in terms of writing-off loans. I understand it has to be written-off within 120 days to 180 days. But just that this number seems to be quite high.

And what are the risk management practices that we are taking to control incremental business that we are doing. As the previous participant asked, we have been reasonably aggressive this

time in festive season. So how do you risk manage our book to ensure that we don't go out of proportion? Thank you.

Girish Budhiraja: So, on your first question, which is about driving the term loan book, yes, you're right. The term loan book typically because the product Encash, we give it to people after we have seen their behaviour for at least nine months on book. Even the Flexipay or subvention products or the conversion of spends into EMI, is within the already approved credit line of the customer. OSBICard SBI Cards and Payment Services Limited

October 27, 2023

Page 9 of 15

So, we see a better behaviour on the instalment products, from a credit perspective. obviously better because customer is showing his or her intention to pay us back by booking the amount into instalments. So that's a lower rate, which is there, and we want to push that.

The second part of pushing that is also, we also want to keep our interest-bearing assets above a certain percentage because the revenue profile is also very, very critical. So that is the second part on which we work at. On the revolver front, there's no actioning from a portfolio that we are doing to push the customer to become a revolver that as of now, we are not doing any of those activities.

Bhavik Dave: Sir, just my question was on pricing the encash in the pricing?

Rashmi Mohanty: I'll answer that. On the pricing front, there are two triggers that will make us change the pricing on the EMI product, which is, one, of course, is you have to always keep the industry in mind. We can't be out of the industry. So, you can't have a very high pricing or a lower pricing as well.

And the second, we are also driven by --Cost of funds. So, there has to be a rationale for us to be increasing the pricing to the customer as well. We keep both of these things in mind as we look at the pricing to the end customer on the EMI loans. As required, we have been taking actions, we've shared that with you in the past as well. As and when, it has warranted us to change the pricing, we have done that in the past.

Bhavik Dave: On the risk management side, considering you are aggressive this time around and the write-offs have been quite high. So, if you could just throw some light on that?

Shantanu Srivastava: I'll add some colour to what MD sir mentioned earlier. So, write-offs can't be viewed in isolation.

You have to view write-offs in relation to recoveries also and to the other elements of credit cost, which is changes in our provisions. The net effect of all of that is what finally feeds into what is called credit cost and that number has trended positively for us. It's come down by 13 basis points

ts in the quarter. So, we can't look at right -offs just in isolation.

Also, in terms of actions that are being taken, they straddle the entire continuum of the customer life cycle management. So, that includes underwriting standards, it includes portfolio management actions, it includes marketing decisions and marketing campaign related decisions and, of course, collection strategy. So, all four elements are being worked upon, and we've given colour to you on this subject in the previous call.

These include things like, for example, i) using the analytics and insights that we have around figuring out which customers to exclude from certain types of campaigns, ii) tightening our customer selection filters on the underwriting side, iii) getting aggressive with line decreases and auth declines to manage exposures on customers, iv) figuring out which types of customers to be exposed to which type of strategy, whether calling or whether field visits or a combination of the two, v) decentralizing our collection efforts, vi) using digital measures to get customers to pay us more frequently and more on time. So, those are the types of actions that we've been taking in the past and we will continue taking them based on the insights that we get from our portfolio analytics. OSBICard
SBI Cards and Payment Services Limited
October 27, 2023

Page 10 of 15

Moderator: Thank you. Next question is from the line of Abhishek from HSBC.

Abhishek: My question is on the repricing of your book of FlexiPay and Encash, which last quarter also we discussed that it's a continuous effort. So, how much of the book remains to be repriced? When you look at the yield, it has not really moved up, it's actually gone down. So, this means that there is some offset to the repricing that would have happened this quarter in the EMI book. So, can you just talk about that part?

Girish Budhiraja: Most of the Subvention book has been repriced because it is around eight -to-nine -month kind of thing. FlexiPay is 11 -12-month tenure, some part of it would still be pending for repricing.

However, you should also note that on FlexiPay, earlier we used to charge higher rates, because we moved to risk-based pricing on that. So, the rates were higher. So, there was some contra movement there also. Encash, because the average tenure there is 33 months or so, so, most of it is still to be priced as of now. So, this is how the movement is.

Abhishek: What was the rate on FlexiPay earlier versus now? And what's the rate on Encash now?

Girish Budhiraja: So, Encash rates are broadly similar. They have not changed. Subvention rates have gone up. We have taken that up by 100 to 200 bps higher. FlexiPay had, if I would say, a U-shaped curve on that one. It came down when we changed the methodology of pricing, which was before the cost of fund moved up, before Quarter two or quarter one, I think. So, there was a downward trend there. And then after one downward trend, then it has been a constant upward trend to almost, I think, 200 to 250 bps higher. So that's how the trend line has been.

Abhishek Murarka: I thought you said the FlexiPay rates have come down?

Girish Budhiraja: So FlexiPay rates came down around nine months back. July, August of last year they came down. And after that, they have been going up.

Abhishek Murarka: So how much is that increase? That's what I am asking. So, from July, August to till now?

Girish Budhiraja: From July, August, till now, it is almost 200 basis points plus. You should also note that it's not a onetime increase. It's happened in three tranches. So, as the cost of funds kept on going up, we started passing on the interest rate to those guys. So, the full FlexiPay book has not yet been repriced.

Moderator: Thank you. Next question is from the line of Dhaval from DSP Mutual Fund.

Dhaval: I just had one question relating to the portfolio

Insight. It seems like the open market, Tier 1, category A customer base is the problem based on the past delinquency and the index numbers right now. I just wanted to understand what course correction are we taking any certainly in these filters? And also, when you think about the sort of elevated delinquency that you're seeing, if you were to sort of map the bureau check of these set of customers, this cohort of customers, which is giving extra problem. Are there any common patterns related to leverage or multiple carding, etc.? I mean, any insight that you could provide on this cohort of customers? Thank you. OSBICard

SBI Cards and Payment Services Limited
October 27, 2023

Page 11 of 15

Shantanu Srivastava: Just to go back to the point you made about what you mentioned earlier. So self-employed sourcing, as we mentioned last time, has been increasing to the index values that we shared last time. So, compared to Q3 of '20 we were doing 1.64 more in terms of self-employed in Q1 of 24, that trend continues, we're doing even more self-employed. At the same time, delinquency of the self-employed segment is coming down. So that's a positive development. Similarly, we also mentioned last time, Tier 3, Tier 4 locations, there also the sourcing in that geography has

been increasing. That's somewhat plateaued out. So relative to Q3 of '20, for example, we were doing 1.67x more in Q1 FY24, that's remained flat at about 1.67x only in Q2 FY24. So, in that sense, the trend from the last quarter has continued in both in terms of sourcing and in terms of delinquency for both of these segments.

Girish Budhiraja : Dhaval, you said that open market Tier 1, you see it higher, can you point out to that because I'm sure you're reading this on Slide number 14. So how are you looking at that?

Dhaval: I was just looking at March '23 data because last two quarters when the elevated credit cost has been a problem. So, if you look at March '23, has a similar slide and where we are today, the biggest delta is basically in the Tier 1, category A, open market, if that's where the index levels have gone up, so that's the reason I was trying to?

Girish Budhiraja: Dhaval, I think what you're looking at is three separate points. And while from an indexing perspective, because if the overall index goes up, then you will see that. But from a trend line perspective, what we see in various markets is yes, Tier 1, at this point of time, is overall cards in force is 0.99. I don't remember the March number, so we'll check that. But where the changes, what we had done was initially Tier 3, Tier 4, we were seeing some problems. So, we cut down certain set of cities. And in fact, we declared that last to last quarter that certain cities we exited out. We said, we will not source in some of these cities, and that led to Tier 3, Tier 4 now improving, okay, that is why from an indexation perspective, you will see something there. Because Tier 1 was 0.97 and it is now 0.99. So, that marginal changes are happening because of that only. And if you look at, Tier 3 was, it was 1.05. So, it has come down. Because we've stopped sourcing in some of those cities, some markets. So, all that has happened. While you should also recognize we have always been saying that open market will be giving you higher revenue, it will have slightly higher losses. And Banca will give us slightly lesser revenue because the spend per account is lower, revolve rates are lower. And hence, at the same point of time lower delinquency. So, it is a good mix of these two is how we have been operating our strategy there.

Shantanu Srivastava: And importantly, the indexation values are relative to the mean of that time period. They are not indexed to history.

Dhaval: I appreciate that. So maybe I'll just simplify the question by asking that if from March to now, is it correct to assume that we've not made any

major changes to our risk filters. And the strategy that we've continued, we've just continued that in the last six, seven months and so there's no

change. And the outcome that you're seeing is in line with what you're expecting. Is that the way I should read it? OSBICard SBI Cards and Payment Services Limited

October 27, 2023

Page 12 of 15

Girish Budhiraja: No. On the contrary, we have made specific changes to the way we are sourcing. We have cut sourcing in the areas that we were finding problems in, and we reported that in the last quarter itself. In fact, we were taking those actions way back in December as well. So those actions take time to show up and they are showing up now.

Dhaval: Okay. And could you give some strategy about the cohort of customers is extra pain that is coming through? Is there a common point from a bureau data perspective that you've been able to identify if there is any extra over leverage or I think other behavior small ticket personal loan being in excess, any pattern that you could provide here?

Abhijit Chakravorty: As we said, we have not noticed any cohort. We have earlier also stated, we have not noticed any cohort. But yes, how we look at and as we stated, that we have improved our collection strategies based on the early warning signal. So how we look at it, we do compare our cards' performance in our books as well as with the information available in the bureau. So, we do compare, and we do find that how the movement is taking place. And that's how we redirect our collection strategies in that account. But then, as I said, that we are not noticing any specific cohorts.

Moderator: Thank you. Next question is from the line of M.B. Mahesh from Kotak Securities.

M.B. Mahesh: Just a couple of questions. One, there has been a significant slowdown in the receivables growth this quarter, just to amid about 30% and it's come down 20%. What explains this?

Girish Budhiraja: Mahesh, Last year September, last five days, you had a jump up on the spends. So, it's more of a denominator thing, receivables growth is intact. If you take that out the last four, five days of spend, if you remember that quarter had also impacted our revolve rates because the festive season started 25th of September last year.

M.B. Mahesh: Yes. Just one clarification on this entire credit cost and the new fresh cards trading a problem, how often do you scrub the data back of your customer base to see what kind of indebtedness do they carry?

Rashmi Mohanty: We have a defined portfolio review strategy. There are segments where we do monthly scrub, there are segments we do a quarterly scrub, and for every customer, six months on board.

Moderator: Thank you. Next question is from the line of Hardik Shah from Goldman Sachs.

Rahul: This is Rahul here. I had two or three questions. Number one, again, on the portfolio quality. Just slightly confused, I just wanted to seek some clarity. You said that you've not really noticed any specific consumer cohorts. And yet our write-off has been going up over the last few quarters. While, of course, there is concern in the market, but that's more about small ticket personal loans. In credit card portfolio, I think we are the only one who has kind of seen the increase in write-offs. So, what explains this? I think there's been a lot of questions around the consumer cohort of where the problem is coming from. But if you can help us really understand and how do we plan to correct this, would it have any bearing on the business in the coming quarters? OSBICard
SBI Cards and Payment Services Limited
October 27, 2023

Page 13 of 15

Abhijit Chakravorty : I think I will have to repeat what I have stated earlier. And I'll not repeat. In fact, it will be repetition again and again on the credit cost thing. Let me share some more thought process. We are looking at our credit cost at 6.7%. It was 6.8% in the

last quarter. We explained what all measures we have taken. And we have stated that how all of us, you and I together are looking at unsecured loan portfolio. All this taken together, what could have been an aspirational credit cost? We ourselves stated that we aspire to be, say, around six or six plus a bit. We are at 6.7%. We don't think it's a runaway scenario. We have taken adequate majors ; those have given us results. Somewhere, we may see a bit of this scenario prevailing, but we don't see that it is a runaway scenario where we can end up in a huge credit cost escalation. So , we are on it , we have been working on it , the results are there for all of us to see. It's on the declining trend. Yes, not the trajectory, that we had aspired for. And we are not out of the market, somewhere we are impacted in whatever is happening in the ecosystem.

Rahul: Got it. That's helpful. The reason I was asking this question is because none of these large credit card players have been complaining about their portfolio. So -- and even their unsecured portfolio. And hence, this question came about, but I appreciate the answer.

Moderator: Thank you. Next question is from the line of Pankaj Agarwal from Ambit Capital.

Pankaj Agarwal: My question was that, can you give more information on the use of ESOP scheme in terms of number of employees covered?

Abhijit Chakravorty: We have opened the scheme for a certain designation and above in the company. As of now, how we look at it is a miniscule part of our overall book. And what details can I share here? If you want something, we can always share over later. We have already disclosed it and the disclosures are there. We can share the data with you, I don't have that readily available with me.

Rashmi Mohanty: Pankaj, what exactly are you looking for? I mean, the ESOP was approved by the shareholders and the information was put up on the stock exchange. It's typical to any other organization above a certain level. There are identified employees who have been rewarded through the ESOP program. Is there anything specific you are looking for?

Pankaj Agarwal: Yes. So earlier scheme, I think, only few employees were covered in the SBI per 10 employees?

Rashmi Mohanty: This is a little broad-based ESOP scheme, as I said, and as MD sir said earlier, covering a large set of employees above a certain level. It includes middle managers as well this time.

I may just add to the response that MD sir gave on the credit cost and the subsequent remark that came in about the other players in the industry not reporting. We are the only standalone credit card company. The other players report their credit card as part of their overall portfolio, which is why you don't see that as standing out. I think the point that sir also made earlier is that there is stress building up in the retail consumption consumer loan portfolio. And we are also part of the industry and seeing the same headwinds.

Moderator: Thank you very much. Next question is from the line of Rohan Mandora from Equirus Securities. OSBICard
SBI Cards and Payment Services Limited
October 27, 2023

Page 14 of 15

Rohan Mandora: Sir, just to touch base upon the delinquency part again, in the initial remarks, you had indicated that in FY'21, FY'22 portfolios , the delinquencies are relatively benign. So, if we were to index the overall delinquency to 100, if you can indicate how is the trends here in the newer cohorts of portfolio?

And secondly, the just judging by from the cohort part, internally, while there have not been any specific cohorts, but if we do an external scrub, are there any changes on the number of products per customer or credit lines per customer, which are elevated where we are seeing some higher delinquencies?

And also, on that portfolio scrub in case we find some stress customers, what are the actions that

we take even if they are currently behaving on

the portfolio? What kind of exit strategy do we follow? Thanks.

Shantanu Srivastava: I'll take the first part of the question. You're right. FY'21, '22, '23 sourcing vintages are indeed showing benign early delinquency. We don't disclose the number by vintage, but we are quite satisfied with the progress that we're making. And that is giving us comfort that our newer sourcing is indeed behaving in line with expectations. And it is increasing in value as a percentage of our NEA. I think I mentioned that earlier. And relative to overall, it is certainly showing us lower delinquency levels than the overall average.

Rohan Mandora: Is it meaningfully different or just marginally different?

Girish Budhiraja: If you look at our last quarter declaration, where we had shown the vintage chart, you could see at the same point of time, the newer vintages are at around 60% to 65% of what the early 2019 vintages were. So that trend continues. So that is why we showed those vintage charts last quarter.

Shantanu Srivastava: And just to complete the picture, the problem cohorts of 2019, which we were saying showed elevated levels of delinquency, that cohort is behaving better and normally now and is trending downwards as per expectations. Likewise, for '18.

Rashmi Mohanty: If I may just respond to the second part of your question where you asked us as to what you are seeing in the bureau. Obviously, when we pick up the bureau data, typical to any portfolio review that we do, we do look at what does the behaviour offer with the other lenders? How many trade lines have they added incrementally? What is the trend happening on the repayments in the scrub? So, it's in the bureau. So, all of that data is picked up by us. And based on whatever we pick up there are differentiated actions that are decided. Some of that data is also passed on to the collection team for them to focus more and keep a watch on those collections. So there are differentiated steps that we picked up from the bureau.

Shantanu Srivastava: And not just the trade lines, but also inquiries

Rashmi Mohanty: Yes, inquiries by the clients, so to say...

Shantanu Srivastava: They are indicator of credit hunger. OSBICard

SBI Cards and Payment Services Limited

October 27, 2023

Page 15 of 15

Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question. I will now hand the conference over to Mr. Abhijit Chakravorty for closing comments.

Abhijit Chakravorty: Thank you. I must thank you for joining with us and looking at some insights with our numbers. So we will continue to be watchful of our portfolio. While being watchful, we are bullish on our numbers. We are doing the metrics, the other parameters and metrics are looking good. The profit is on increasing trajectory. So all taken together, we will be continuing to do good business. Thank you.

Moderator: Thank you very much. On behalf of SBI Cards and Payments Services Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you. OSBICard

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Mumbai -400 001

SCRIP CODE: 543066

SECURITY: Equity Shares/Debentures

Dear Sirs, MAKING LIFE SIMPLE

The National Stock Exchange of India

Limited

Exchange Plaza,

Bandra-Kurla Complex .

Bandra (E), Mumbai -400 051

SYMBOL: SBICARD

SECURITY: Equity Shares

Re: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure

Requirements) Regulations, 2015 -Transcript -SBI Card 3O'FY24 Earnings

Call

In compliance with the provisions of Regulation 30 read with Schedule III Part A of SEBI

(Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the

Earnings Call held on January 25, 2024 with analysts/investors, has been made

available on the website of the Company at the below mentioned link. Further, the same

is also attached herewith for reference.

<https://www.sbicard.com/en/who-we-are/analyst-investor-meeting.page>

Kindly take the same on record.

Thanking you,

Yours faithfully,

For SBI Cards and Payment Services Limited

Payal Mittal Chhabra

Company Secretary & Compliance Officer

Date and Time of event: -January 25, 2024 at 7.35 PM

SBI Cards and Payment Services Ltd.

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CIN -L65999D L 1998PLC093849

Page 1 of 17

"SBI Cards and Payment Services Limited Q3 FY24
Earnings Conference Call"

January 25, 2024

MANAGEMENT :

- MR. ABHIJIT CHAKRAVORTY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
- MR. GIRISH BUDHIRAJA – EXECUTIVE VICE PRESIDENT AND CHIEF SALES AND MARKETING OFFICER
- MS. RASHMI MOHANTY – EXECUTIVE VICE PRESIDENT AND CHIEF FINANCIAL OFFICER
- MR. SHANTANU SRIVASTAVA – EXECUTIVE VICE PRESIDENT AND CHIEF RISK OFFICER
- MS. NANDINI MALHOTRA – EXECUTIVE VICE PRESIDENT AND CHIEF CREDIT OFFICER

OSBICard

SBI Cards and Payment Services Limited

January 25, 2024

Page 2 of 17

Moderator: Ladies and gentlemen , good day and welcome to the SBI Cards and Payment Services Limited Q3 FY24 Earnings Conference Call.

As a reminder, all participants' lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal the operator by pressing "*" and then "0" on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhijit Chakravorty – MD and CEO. Over to you, sir.

Abhijit Chakravorty: Good evening, everyone! I am pleased to welcome you to the Q3 FY'24 earnings call along with my senior management team at SBI Card.

Indian economy continues its sturdy growth pace. India's GDP is expected to grow at around 7% in FY'24, as per the National Statistical office's (NSO) and RBI's projections of 7.3% and 7% respectively. One indication of this resilience is the positive consumer confidence. In fact, as per some studies, India has emerged as one of the most optimistic markets across the world. The credit cards industry has been experiencing robust growth, with outstanding cards reaching 97.9 million in December 2023 witnessing a 20% YoY increase. Growing usage and adoption of credit cards can be gauged from strong growth in credit cards spends. In October 2023, industry witnessed the highest ever monthly credit card spends reaching the value of Rs 1.78 lakh crore with over 23.5% growth YoY. As the industry continues to grow, during the past few months some significant measures have been introduced by the regulators that will be key in shaping the industry's course. Some key measures include:

measures include:

- Increase in risk weightage for unsecured lending - This will ensure prudent growth and have a positive impact on good quality customer acquisition.
- Enhancement in UPI transaction limits for hospitals and educational institutions as well as increase in the limit for recurring payments for specified categories that include mutual fund subscriptions, insurance premium subscriptions and credit card repayments.
- Roll out of master direction on Internal Ombudsman Mechanism in regulated entities to further strengthen the customer protection and fairness.

Indian credit cards industry continues to hold potential. SBI Card is well -equipped to tap into the opportunities arising out of it and will continue to leverage its extensive network and experience for sustainable and profitable growth.

Let us now look at SBI Card's Business Overview in Q3 FY'24

In Q3 FY'24, SBI Card continued its growth track with a sturdy business performance. Our cards in force have grown 16% YoY and are at 1.85 crore, as of Dec'23. We continue on a steady path of new account sourcing. SBI Card's market share in cards in force stands at 18.9%. We added OSBICard
SBI Cards and Payment Services Limited
January 25, 2024

Page 3 of 17

nearly 11 lakh (10.96 lakh) new accounts in Q3 FY'24. We remain focused on continuing the momentum to building a quality portfolio, deprioritising certain segments.

We have seen strong growth in card spends during Q3 FY'24, reaching the highest ever quarterly spends milestone. Overall spends have grown 41% YoY to Rs. 96,860 crore with strong performance in retail and corporate spends. Our market share in spends stands at 18.3%. Our retail spends have been strong with 35% YoY growth rising to Rs 73,519 crore in the quarter , with increase across all key spend categories. Our spends per card for retail spends grew to Rs 1,62,000 in Q3 FY'24 from Rs 1,42,000 in Q3 FY'23. (Retail+corp spend per card in Q3 FY'24 – Rs 2,13,000) .

We rolled out around 2200 offers across 2700+ cities to enhance festivities of our customers. Reflecting our customer centricity, these offers were introduced across online and offline merchants at national, regional, and hyperlocal levels and catered to our millions of customers countrywide. The increased festive spends also improved our 30 -day spend s active rate to 52%

in Q3 FY'24 indicating the success of our festive campaigns through strong engagement with our cardholders.

The UPI functionality on Rupay credit cards is fast becoming popular among our customers with about 25% of all RuPay cardholders already being enrolled for UPI usage. Our monthly average UPI spends per active account has increased to over Rs 12000 with average ticket size being around Rs 880.

Our receivables have grown to Rs 48,850 crore with a 26% YoY growth on account of strong spends. Our receivables per card have grown and are at Rs 26,438 in Q3 FY'24 Vs Rs 24,318 in Q3 FY'23.

Our share of interest earning receivables is stable at 62% QoQ in Q3 FY'24 while increasing from 61% in Q3 FY'23. The percentage share of revolvers in the receivables mix has reduced marginally and stands at 23%, however, it has been growing in absolute numbers. The share of term NEA is going strong and has increased to 3.8%. EMI volume was also positively impacted that led to 58% growth in Q3 FY'24 vs Q3 FY'23.

Some of our initiatives during the quarter :

- We have recently launched a new co-branded card in partnership with Reliance. This card is available digitally and through all Reliance retail stores.
- Another important development has been connecting our SPRINT platform with YONO. This now enables YONO customers to get SBI Card digitally end to end.
- Further, during the quarter, SBI Card went live on Bharat Billpay under credit card biller category. This adds to the various features that we have provided to our cardholders, delivering them greater convenience and flexibility.

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SBI Cards and Payment Services Limited

January 25, 2024

Page 4 of 17

Coming to the financial performance in Q3 FY2024

Our revenue and profit growth remain healthy. Our total revenue in Q3 FY'24 was at Rs 4,742 crore, registering a 30% YoY growth. In Q3 FY'24, our revenue from operations was Rs 4,622 crore with 32% YoY growth. Interest income has also grown by 29%, contributing 45% share of overall revenue from operations. Our PAT for Q3 FY'24 is Rs 549 crore with 8% YoY growth.

Our Cost of Funds (COF) has increased to 7.6% vs the previous 7.1% quarter. We had indicated last quarter that our cost of funds will be higher. The increase is on account of higher borrowing rates compared to the previous quarter and is also impacted by the RBI's action of increase in risk weights for banks on lending to NBFCs. Our cost of borrowing from banks is higher by about 25 -30 bps post the RBI circular. We will see the impact of this increase for the full quarter in Q4 and, therefore, expect the COF to increase further in Q4.

RBI's action on increased risk weights on unsecured lending impacted our CAR like others in the industry. Our CAR for Q3FY24 is at 18.4%. While we are well capitalized and well above the regulatory guideline of 15%, we further augmented our Tier 2 capital through a bond issue this week. Our profits will continue to increase the CAR.

The yield has increased by 82 bps YoY to 17.2% in Q3 FY'24. I would like to highlight that we have been reporting all our financial metrics on a quarterly average number and hence for a festive quarter such as this, where the NEA book is volatile through the quarter, the quarterly average is not the right representation of the metric. A more accurate presentation of this metric will be on a monthly average basis and at that measure the yield and the NIM for the quarter were 16.6% and 11% respectively. As an annexure to our presentation, we have presented the financial metrics both on a quarterly average and monthly average basis. And in future we will provide all metrics on a monthly average basis.

On asset quality, As of Q3 FY'24, GNPA is at 2.64%. Our Gross Credit Cost is at 7.5% in Q3 FY'24. As per our conversations with the credit bureau, there is an increase in 30+DPD and 90+DPD for credit cards across the industry. Industry data also suggests there is a worsening in delinquency levels for unsecured exposures. This has been recognised by the RBI and has been factored into recent regulatory changes (e.g. changes in risk weights) and their guidance for increased adherence to their prudential norms with regard to unsecured lending. Since we have a 19% market share and are part of the ecosystem, these industry and macroeconomic trends also impact us, as was already stated in our last quarter call.

We have taken multiple actions over the last few quarters covering underwriting, portfolio and collections to address the stress in certain segments of the unsecured advances ecosystem. These actions include reduction in limits, restrictions on cross-sell and spend trigger based early blocking. As a practice we keep refining our underwriting policies based on portfolio diagnostics and bureau information. Our new sourcing continues to be better based on early delinquency trends. We will continue to fine-tune our policies and processes across the customer lifecycle. OSBICard

Page 5 of 17

While we have taken the actions, and the recent portfolio is displaying better quality, the stress in the certain accounts in existing portfolio due to multiple tradelines indicates that the credit cost will remain elevated around the current levels over next two quarters. However, our collection intensity and recovery measures will continue.

Our ROAA for Q3 FY'24 is at 4.1% due to increased cost of funds, increased credit cost and

higher festive campaigns.

In Conclusion, we expect to maintain a healthy business momentum to continue, owing to positive consumer confidence and the healthy traction in discretionary spends including travel and entertainment. We remain committed to our shareholders, customers, and partners as we continue to create value for all our stakeholders through a growing and profitable business.

Now, we are open to questions.

Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Sir, I just wanted to discuss more on credit costs. Basically, it's a general rise in delinquencies in the system; it's no particular cohort. And why would you think this is happening? Is it because of the seasoning? Is it because of inflation? What do you think? Or is it just because of aggressive lending by the sector, which affects all players then?

Shantanu Srivastava: It is difficult to give an attribution, but what is clear is that what we are experiencing is in line with the rest of the industry as well. Although this is not part of the presentation because we don't disclose it because we are not authorized to, there is data from the bureau that indicates that the stress is widespread throughout the industry in the unsecured assets space. While the overall consumer assets space is somewhat more benign, especially in the secured segment, the unsecured segment isn't doing too well in terms of the delinquency trends, as noted in the 30-day number or the 90-day number, which is measured on a quarterly and half-yearly basis by the bureaus. And the quarter-on-quarter and 6-month on 6-month trends indicate that there has been a pickup to the extent of about 80 basis points in the 30-day number and about 40 basis points of the 90-day number, which is an appreciable increase of about 16% in delinquencies at the 30-day mark and the 90-day mark, both. This is specifically for the cards segment. What we are experiencing is in line with the rest of the industry. What might be causing it is more difficult to say but there is enough and more mentioned in the mainstream media or the general media around macroeconomic factors and other environmental factors that might be causing it, but we don't have an attributable reason for this.

Mahrukh Adajania: Sir, my next question is on margins. You have given a monthly average of margins where margins seem to have declined by 25 bps. What kind of margin decline would you envisage in the 4th quarter then given that the cost of funds would rise even then? OSBICard

SBI Cards and Payment Services Limited
January 25, 2024

Page 6 of 17

Rashmi Mohanty: We have already said that we do expect the cost of funds to be higher in Quarter 4 and also gave you reasons as to why we think that the cost of funds will be higher. Already 1 month into the quarter, we are seeing the impact of the higher cost of borrowings from the bank. Obviously, our endeavor will be to pass on whatever we can of this increased cost to the customer. So, it is difficult to give you our stance on the NIMs. We will try to compress, make sure that the compression is as minimal as possible, but at this point in time, the guidance or the note that we can share with you is on the cost of funds. We will try to minimize the compression.

Moderator: The next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Sir, you mentioned some of the steps you all are taking to improve underwriting, but can you just run us through if you have an NPL account, once he pays his overdue, do you then block the limit? Do you restore it back to the original? What sort of actions are you taking here? And in that light, how should we think of credit costs over the next year?

Shantanu Srivastava: In terms of actions that we are taking, we can give you more color but the wider projection of credit costs, MD sir has already answered in his speech in terms of what the outlook might be.

Abhijit Chakravorty: You wanted to know about how we treat an NPL account to be specific. Did I understand it correctly?

Piran Engineer: Once the account turns NPL, you are obviously putting in all your collection efforts. Once you collect that, do you block that account? Do you remove him as a customer? Do you just give him a reduced credit limit? Do you reinstate the entire credit limit? How does that work?

Nandini Malhotra : When an account becomes an NPA and the customer pays all his overdue, while he gets out of NPA, in order for it to be assessed whether we should reinstate the limit, there is an assessment that happens. There is a policy that we follow. And we don't restore the entire credit limit completely. We follow a graded approach. It's not that all customers will get reinstated. We have a specific policy which includes looking at the credit bureau and looking at other factors before reinstating.

Piran Engineer: Can you give a sense how many such customers you all would have now just stopped, like fully cut the credit limit? I'm just trying to get a sense of because this is eventually a revolving credit, right? It's not a one-time loan. So, I want to get a sense of how much of the cleanup is done.

That's my point.

Nandini Malhotra : Majority of the cleanup is anyway done once an account reaches NPA, which of course it is a hard block. And as I just mentioned, there is a reinstatement policy and a process that follows.

It is not that we open the limit immediately, if that is your question.

Girish Budhiraja : You can also estimate it from the other side of the overall attrition because these customers we take them out of our books of the overall attrition. Close to 40% to 45% is involuntary, which is OSBICard

SBI Cards and Payment Services Limited

January 25, 2024

Page 7 of 17

where we have taken the customer out of our books. On an annualized basis, which is where you can assess the numbers from.

Piran Engineer: And secondly, in terms of you all have been curtailing new card sourcing. How should we think of spends growth next year in that context?

Abhijit Chakravorty: I would just supplement it. We are not curtailing. If we were curtailing, we would not have done 11 lakh cards in this quarter.

Piran Engineer: You were doing 15 lakh cards 2-3 quarters back. So, relatively, it is curtailing.

Abhijit Chakravorty: That was Q3 December, and we did run various pilots at that time, which we came out of during later stages. I wouldn't say it is curtailing; it is restricting to certain geography and to certain segments. We will continue to have a robust business plan. We will continue to grow. It's not that we are going to curtail. I would supplement that we have not used the word curtail. We have done certain corrections on certain geographies and certain segments. That we have done. And compared to the previous years' certain periods when we were running certain pilots, we have come out of those pilots.

Moderator: The next question is from the line of Shubhranshu Mishra from PhillipCapital. Please go ahead.

Shubhranshu Mishra: The first question is on open-sourced customers and SBI sourced customers. When we onboard both customers, how many of them or what percentage of them already have a credit card or another trade line? That's the first question. And second is, what was the spend in the festive season for the 2,200 schemes that we just discussed? What's the absolute dollar value of these spends? These are my 2 questions.

Girish Budhiraja : First part, on the open market, 100% of the customers will have a trade line. We don't do new-to-credit customers through the open market. On the Banca piece on the NTCC which is what

y

you are asking, which is new to credit card or new to credit if you take that people who do not have a credit line, that number keeps varying from month to month, but the range of the Banca customers will be anywhere between 10% to 15%.

Shubhranshu Mishra: 10% to 15% will have a credit card?

Girish Budhiraja : Will not have a credit line. These will be 10% to 15%. And these customers are assessed through their savings bank account data through which we are able to see the cash flows of the customer, and there are models which are run to be able to assess these guys.

Abhijit Chakravorty : And the relative mix between open market and Banca is about 50:50.

Shubhranshu Mishra: And the second one? OSBICard

SBI Cards and Payment Services Limited

January 25, 2024

Page 8 of 17

Girish Budhiraja : On the second one, which is the festival season spending, we have given you the retail spends for the quarter. The retail spend was close to almost around Rs. 76,000 crores for the quarter.

Because this time the festival season started from 1st of October itself and it typically ended with 14th November, which was Deepawali, we saw October spending at the peak and then November and December were slightly lower than October. But month-by-month spends is already available on the RBI website. You can see the spends there.

Shubhranshu Mishra: I am asking about the OPEX. I am not asking about the spends. What is the OPEX that was there – the cost?

Rashmi Mohanty: We don't disclose the line item around the expense that we have incurred for the festive campaign, Shubhranshu.

Moderator: The next question is from the line of Shweta Daptardar from Elara Capital. Please go ahead.

Shweta Daptardar: Two questions. 1) Can we attribute NIM compression also because of continued increase in corporate spends? 2) You did guide on elevated credit cost sustaining for the next 2 quarters. I am referring to gross credit cost. Do you believe there will be a further spike in this number going forward? If you can give a range.

Rashmi Mohanty: Your question is that is the NIM compression happening because of corporate spends. The answer is no, because the corporate spends do not really add too much of the NEA. They neither give you any interest, nor do they have a cost of funds impact as well.

Abhijit Chakravorty : Regarding the credit cost part, we have given guidance, and we are anticipating that it will prevail around the elevated levels, and it will be around the current levels. And how do we do it?

Somewhere we have done our portfolio analysis. We have seen how the stress is building up and specific accounts, how they are behaving, their behavior through the bureau. All taken together, we have seen there is a probability of certain accounts which will continue to remain delinquent, and based on that expectation, we are anticipating it to be around the current levels. That's how we are looking at it.

Moderator: The next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Two questions; one is on the delinquency side. If you can share some color as to how you compare the delinquency between the EMI and the revolver mix? We have incurred 7.5% credit cost while the revolver mix is going down. How do you really see this trend? Because, if you look back, generally an increase in revolver is somewhat to be correlated with the increase in credit cost, maybe on a lag basis. But here, the revolver rate has been sticky for so long. In fact, it has gone down a bit this quarter versus the credit costs are inching up. How do you see this disconnected trend?

Shantanu Srivastava: The first part of your question is about the relative quality of the revolver base versus the EMI base. The EMI base has indeed lower yield and also lower risk, as is intuitive, and I think we OSBICard SBI Cards and Payment Services Limited

January 25, 2024

Page 9 of

17

have spoken about it earlier as well. The other part of your question is around why the credit cost is going up and revolver is coming down. One part of the answer is that it's not really established in terms of empirical proof to what extent they are correlated. So, we can't really attribute movements in one direction versus movements in the other direction in an empirical sort of way. But yes, it is somewhat anomalous, but the answer lies in the changes in the credit quality as evidenced in our flow rates. And that is part of the reason why we are projecting elevated credit costs over the next few quarters.

Nitin Aggarwal: One more if I may. It's on the capital side. Because of the risk rate impact, the capital levels have come down. Any plans to support or beef up the capital ratios over the coming quarters?

Rashmi Mohanty: We are actually very comfortably placed on the Tier-1 capital. There, we can augment our overall capital through Tier-2 issuances. We have done 1 bond issue this week itself and will continue to explore to do more.

Moderator: The next question is from the line of Amey from Tata Mutual Fund. Please go ahead.

Amey Sathe: Just one question. On the credit cost, how much was the standard asset provision for the quarter and how much was the loan loss provision for the quarter?

Shantanu Srivastava : The breakup that we give you is in terms of write-offs and provisions only. Out of the increase of Rs. 140 odd crores in the credit cost, there is a breakup between increase in provisions and delta in write-offs that's evident in our presentation deck as well. Rs. 100 crores and Rs. 40 crores are the breakup.

Amey Sathe: Because your loan balances also have gone up, logically, your standard asset provision also would have been quite high this quarter?

Shantanu Srivastava : Yes. In the deck, the disclosure is made in the deck on the right-hand side of the deck.

Amey Sathe: On the margin side, once this 4th quarter increase in funding cost is done, logically next year onwards, should we see at least stable margins from that point on?

Rashmi Mohanty: I hope I had a glass where I could foresee where the rates are.

Amey Sathe: Assuming the rate stay as it is?

Rashmi Mohanty: I would say that even if we see a bit of an increase in the cost of funds in quarter 1 of next financial year, it will be a very marginal post which we should definitely see a stable scenario on the cost of funds.

Moderator: We have the next question from the line of Roshan Chutkey from ICICI Prudential Mutual Fund. Please go ahead. OSBICard

SBI Cards and Payment Services Limited

January 25, 2024

Page 10 of 17

Roshan Chutkey: I just wanted to understand if there is any color in terms of vintage curves. Which vintage is hurting us? Or is it broad based? Any further dissection to this gross credit cost by some cohort

which is useful to learn, sir?

Abhijit Chakravorty: We continue on the same lines which we stated in the previous call also that as of now, there are no cohorts. We see it right across the portfolio. Specifically, we look at what is happening in their bureau behavior. The common thread is, wherever there is a multiple trade line, all the delinquencies what we are seeing and the probabilities, the common thread is having multiple credits.

Shantanu Srivastava: Just to supplement on that, while we can't call out any particular cohort in the manner that we did 2 or 3 quarters ago, we do continue to monitor our portfolio through various factors like vintages, like geographies, like city tiers, like self-employed versus salaried, like age, like category of employees, etc. And we do both univariate and multivariate analyses of our portfolio and wherever that shows up, areas of stress, appropriate portfolio actions are taken.

Roshan Chutkey: One other question here. Basically, how should I get comfort that we are close to the end and what does it

take for one to believe that we are at the bottom of the cycle here?

Shantanu Srivastava: It is difficult to say that. That's also evident and subsumed in the answer we gave around projection for credit cost. We can't call the top or the bottom.

Roshan Chutkey: Any leading indicators here? Anything that you are doing from your end? Sourcing, portfolio actions which will help us get better outcomes later?

Shantanu Srivastava: Yes, we take actions through the life cycle of the customers, starting from the underwriting stage right through portfolio management including our marketing efforts and cross-sell efforts. All of those are informed by the insights that our portfolio insight team comes up with and also off-us a bureau performance data as well.

Moderator: The next question is from the line of Anuj Singla from Bank of America. Please go ahead.

Anuj Singla: The first question is with regard to credit cost. I think you mentioned it's going to remain elevated for the next 2 quarters or was it a few quarters? Do we have the visibility that it can normalize towards the end of next year?

Abhijit Chakravorty: Everything will depend on how the ecosystem improves based on the corrective actions taken by RBI. So, somewhere what we are looking at is our own portfolio that has been impacted by multiple trade lines where there is a delay in payment by certain accounts. There is a delay cum inability of the payment because of multiple trade lines. Once we have seen it, we are looking at it for the next 2 quarters. It's very difficult to say how it will come out after 2 quarters or so, but then what we can see as of now, we have shared. OSBICard

SBI Cards and Payment Services Limited

January 25, 2024

Page 11 of 17

Anuj Singla: And the second question sir, I think we had articulated a target or the sustainable credit cost guidance of 5.8 to 6.2. Will it be fair to assume that's likely to be too conservative in the current scenario and this could be a new normal where the credit cost could remain high for an elongated period of time versus that guidance?

Abhijit Chakravorty: In the last quarter also, we had stated that if anybody asks me for an aspiration, I will still say my aspiration will be around 6%. Why should I not aspire to be that? But then, if in spite of our best of our models and best of our sourcing, if there is a multiple borrowing subsequently and inability to pay compounded with various factors impacting the borrowers, this will continue in the short run. But left to me, I would definitely aspire to be at 6%. But as I said, for the next 2 quarters, at least in the near term, we don't say it is happening.

Anuj Singla: And lastly, on the UPI credit card customers that the linking has happened. You have shared some good insights there. Is it possible to share something on the asset mix as well? Is the asset mix similar to what we have on the company level or is it very differentiated there?

Girish Budhiraja: Too early for asset mix behavior. As you see, the numbers have actually grown rapidly. It's more than 3x what we were at the end of September quarter. In the next couple of quarters as we see the assets buildup coming across, we will start giving that information also. But as of now, it is too early for that aspect.

Moderator: The next question is from the line of Rahul Jha from Bay Capital. Please go ahead.

Rahul Jha: My question is regarding the credit cost. At the end of Q1 call, you had given a guidance that H2 credit cost will be around 6%, but we have already breached that at 7.5%. What has changed in the last 2 quarters that we have breached it with such a large margin?

Abhijit Chakravorty: Somewhere we need to see what has made RBI take these drastic actions too suddenly. When nobody was expecting, RBI came out with their guidelines in November. And even before RBI came out with guidelines, I will again refer to my own earnings ca

ll on the 27th of October,

where we shared that we are seeing an overall stress in the ecosystem and that is impacting us. Very clearly, we had stated that. So, somewhere the stress was building up and it started impacting. As I said, the aspirations will remain and we will continue to work towards that, but unless there is an improvement in the ecosystem and there is a higher ability to repay back

through the multiple trade lines, this will continue for the short run.

Rahul Jha: How often do we scrub the CIBIL database? How do we know whether you have multiple trade lines post him defaulting or before him defaulting? How often do we do that?

Shantanu Srivastava : The approach is to do it in a calibrated fashion depending on the nature of the customer. It can be as frequently as once a month.

Abhijit Chakravorty: I will just supplement that. I think the industry is aware of the services that are provided by the bureau. So, we avail them. OSBICard

SBI Cards and Payment Services Limited

January 25, 2024

Page 12 of 17

Moderator: The next question is from the line of Anand Laddha from HDFC Mutual Fund. Please go ahead.

Anand Laddha: I just wanted to understand like is it possible for us to categorize customers based on the behavior pattern or based on the multiple lines they are running. How many customers of ours could be such that who have multiple lines running for them and who could have seen delayed payments so that at least we can categorize that this is the pool size which is seeing some stress and probably action can be taken against that pool size? Secondly, what I understand is that the bulk of the customers we acquired have a CIBIL score of 725, 750, and above. Despite that CIBIL score, we are seeing such large delinquencies.

Abhijit Chakravorty: The day he comes for a credit card, he must be at around 730 -750. He merrily goes, creates a credit history, then borrows more, and one fine day, he is at 600. So, when the credit decision was taken, it was fine, with good repayment capability. But then, over a period of time, using the same good credit score, a fellow builds up a liability which he is unable to sustain and service. This is what we observed when we went through the portfolio.

Anand Laddha: Sir, is there anything we can do on that before that? Before the customer turns 600 score, are there any lead indicators that the client has taken multiple lines of credit? What action we can take?

Abhijit Chakravorty: In our call itself, we have stated what we have started doing. One is that some of them perhaps will definitely flow. And that's where our estimates of credit costs come. Those we have identified early; we pull the plug on the limits. And we have been able to take action on almost 3 lakh accounts where we have taken action on the limits. Wherever we have been able to cap, we have capped the limits at the lower levels so that we are able to cut the losses . And this is a perpetual process . This is a daily and perpetual process which has been happening for the last 5 to 6 quarters.

Anand Laddha: In which cohorts do we see the maximum delinquency? Is it the salaried or self -employed? Is it the government employee cat A or cat B? Any color you can give?

Abhijit Chakravorty: That's where we have been repeatedly saying that this is a malady which is spread across the portfolio. We see one here, we see two there, it's like that.

Anand Laddha: And there is no differentiation in the portfolio which is sourced outside from SBI and from open market? Is there any stark difference between the 2 portfolio qualities?

Shantanu Srivastava: I think I answered this question a little while ago. We analyze our portfolio in multiple ways across channels, across segments, across city tiers, and whenever we notice any pockets of stress, we do take action. But it's difficult to color any one segment or channel with a broad brush.

Anand Laddha: Last

one from my side, sir. Today, credit card in general is a high -risk category, and we used to earn high yield on the revolve. Now, the bulk of the customers have moved to EMI whereas the OSBICard

SBI Cards and Payment Services Limited

January 25, 2024

Page 13 of 17

credit risk and the default risk remain the same. Is there any way that you can increase the interface on the EMI customers so that at least it gets compensated?

Girish Budhiraja : On the installment lending products, if you notice, rates have increased over the last 1 to 1.5 years. They have gone up from almost 150 basis points to 250 basis points in certain categories.

There is a limit to which we can take it up, but wherever we get an opportunity and – you are right – if the risk weightage increases of the EMI customers or as the cost of fund goes up, we get those opportunities to increase the rates and we have been increasing the rates in the past. If we see that continuing, for example, as Rashmi was mentioning, if there is a cost of fund increase that we will see in our portfolio, we will try to pass that on to our customers.

Anand Laddha: Do you believe that the credit card addition for the industry will slow down and even it will slow down for us also?

Abhijit Chakravorty: We don't have any reason today to believe that. As we speak, about hundreds of my fellows or thousands of our fellows will be out in the market sourcing some card or two at this moment.

Moderator: We have the next question from the line of M. B. Mahesh from Kotak Securities. Please go ahead.

M. B. Mahesh: Sir, the spend growth has been about 40% and if you look at the loan growth or the receivables

growth, it has been about mid 20s. In the past, usually you should see it in the month after the spends has been completed. But this time, December was a bit slow. So, just I'm trying to understand why the loan growth translation has been a bit weak.

Girish Budhiraja: You have to first, rather than year on year, look at it from a quarter -to-quarter movement perspective. From the last quarter, the spend s increase is almost close to 20% or so on a quarter -to-quarter basis. Just the retail spend s I'm talking about because corporate spend does not lead to assets . That increase we saw, in most categories, in the month of October itself because most of the spending happened in the month of October. And that was the peak. After that, November was lesser than O ctober, and December was almost at a similar level compared to November. What has also happened is when you look at the asset buildup, not only the revolve asset has increased in absolute terms because if the asset has increased by close to around, as you were saying, 9% to 10%, the revolve asset has also increased broadly at the same rate. It is that the new sale of installment lending has actually increased by a far larger level. It is because there is a pay down which happens on installment lending. So, it is always on a treadmill kind of a scenario. But the new sales have actually increased dramatically. This time, we saw a large amount of new spends converting into installment lending. Usually, the number used to vary at around close to 9.5% to 10% of the spends, but this quarter, we have seen this number go up to almost 11% of the spends. And most of it is, as you are aware, happening digitally. Customers do it on their own on our mobile app itself. Actually, the asset buildup this quarter has been fair ly strong. And also, not only the transactor assets because it has remained stable, but it is also the installment and revolve assets both have got built up. OSBICard

SBI Cards and Payment Services Limited

January 25, 2024

Page 14 of 17

M. B. Mahesh: Because the retail spend growth was up 20% whereas if you look at the overall loan growth, it's about 8% QoQ. Do you think it's largely explained by the EMI product?

Girish Budhiraja : Yes, absolutely.

M. B.

Mahesh: Just one question on the QR codes and the RuPay ecosystem. In your discussion with NPCI, how has been the market opening up at the merchant level on the credit card on RuPay products?

Girish Budhiraja : As of now, what we have seen is that the transaction data is fairly strong. You can already see that the ticket size is around Rs. 880 or so for the quarter and the average spend is around Rs. 12,000. The transacting customer is making almost close to 14 to 15 transactions on a monthly basis, and that becomes a fairly common routine. Fifteen UPI transactions per transacting customers; they are using it at almost every mercha nt that they can find. Not many complaints we have got. There are a few merchants who do not allow specifically credit card transactions to still go through. But most of these merchants are more organized merchants where otherwise credit card payment was also allowed and they are just trying to save something on the MDR. Smaller merchants, local shops, we have not seen that kind of trend picking up.

M. B. Mahesh: So, overall, you are saying that the merchant acceptance levels have not been too painful?

Girish Budhiraja : Yes. If you will see, for example, these are some organized online merchants and certain merchants which manage utility bills for residential colonies; some of those merchants would charge a surcharge or do something when we were paying through credit card and allow only UPI transactions and not through credit card. But the primary purpose of this was to get the smaller department stores, tea stalls, barbershops, those are all accepting the card through these UPI transactions.

Moderator: The next question is from the line of Kaitav Shah from Anand Rathi. Please go ahead.

Kaitav Shah: Sir, just one question; that's regarding more about the growth on Advances next year. Given what has been happening, a) on the risk weight side, b) a general increase in credit cost at your end, do you think we are going to tighten how we are going to give out credit cards for next year? Any sort of thoughts around here?

Girish Budhiraja : As of now, for the next 2 quarters – MD sir has already talked about – we will continue to run at this rate for the new customer acquisition at least for 2 quarters. If things start to improve from there, we will enhance our run rate going into next year. Let's see the conditions for the next 2 quarters. Hopefully, by Q2 of next fin ancial year, we should be able to get the new customer acquisition at a slightly higher rate. The spends is going very strong, and the reason why we say this is that it's not only in this season, but you have also already seen the existing customers are spending higher. When the existing customer starts to spend more through more categories, through more options, and the RuPay UPI thing is still spreading – we started to scratch the surface as of now – we believe that more spends will definitely come. Regar ding the assets, that's a second -degree buildup on this one, we foresee that the installment lending is going to be fairly OSBICard

SBI Cards and Payment Services Limited

January 25, 2024

Page 15 of 17

strong. Revolve, to a degree, is also dependent on the kind of measures that we take on the underwriting space and on the portfolio management space. As we stated last time that if it remained stable at this 24% plus or minus 1%, we would be very happy. That is the way we look at it going in the next year.

Moderator: The next question is from the line of Anand Dama from Emkay Global. Please go ahead.

Anand Dama: Sir, is it possible for you to share the breakup between the PLCC, i.e., personal loan on credit card and the EMI portfolio?

Girish Budhiraja : We have not declared that earlier, so we would not be able to do it at this stage.

Anand Dama: In terms of the asset quality or the NPA formation that we have seen in the recent past, any breakup that you can share

or any thoughts like in terms of whether we are seeing more delinquencies coming from the EMI pool or it's mainly the revolver customer who is delinquent?

Shantanu Srivastava: Unfortunately, we don't give that level of disclosure.

Anand Dama: But if you can just give some relative view on that.

Shantanu Srivastava: That I have already mentioned. Relative to the revolver bit, the EMI assets are better in terms of asset quality, and they are much lower in terms of the credit cost as well.

Anand Dama: Basically, a lot of NBFCs and banks usually tend to give out their portfolio at risk book. Going forward, if you can start sharing that data as well through the presentation, that will be really appreciated.

Rashmi Mohanty: Noted. Thank you so much. We will think about it.

Moderator: The next question is from the line of Rohan Mandora from Equirus Securities. Please go ahead.

Rohan Mandora: Sir, in the earlier participant's question, you had explained that when we are onboarding customers, they are at around 720 -730 levels and then subsequently fall to 600 . I just want to understand, sir, is it possible or are we doing something to assess the income of the customer when we are onboarding and the kind of profile? Because one of the credit card journeys that I had with SBI Card, it just took the name of the company where I work and the designation, but no subsequent documents were collected. Is there something where we can – which I may not be aware of, and you may be doing it – assess the income profile and the quality of income to avoid these kinds of scenarios? Just wanted your thoughts on this. And second, if we look at the Stage -2 that were disclosed, it is not increasing despite the jump on delinquencies that we are seeing. Why is it sort of flattish Q -on-Q or year on year? OSBICard

SBI Cards and Payment Services Limited

January 25, 2024

Page 16 of 17

Abhijit Chakravorty: I will answer the first part. Please rest assured that we do arrive at the income assessment. There are ways of doing it in the market and we also do it and we do it to very fair accuracy. Income assessment is one of the most important pillars of the card assessment. So, that is definitely done.

Rohan Mandora: Stage -2 is not increasing in the receivables that we give quarterly despite the delinquencies that we are seeing and the guidance of higher delinquencies for the next 2 quarters. Why is it still at 6%?

Shantanu Srivastava : The relative mix that you are talking about or stage 1, 2, and 3 receivables.

Rohan Mandora: Stage -2 Receivables .

Shantanu Srivastava : There is a bit of a rounding error here as well because we don't publish beyond the round numbers. So, the decimals aren't visible. But you can see a pickup in receivables and the mix remains largely the same at a whole number level. But there are marginal movements in decimal numbers for the Stage -2 assets.

Moderator: The next question is from the line of Krishnan ASV from HDFC Securities. Please go ahead.

Krishnan ASV: I was just wondering, 1) about all the behavioral issues that you mentioned with the multi -carded customers. And my query was regarding supposing if you carded me, Krishnan, as a multi card customer in your open market channel and if you have noticed some behavior already in the December quarter, why wouldn't you be able to switch off the Krishnan outstanding? Why would you need two more quarters to see the same? I am saying, with all the algos and the science that we do, why would you find it difficult to dial down on the customers where you have already identified across pools, across bivariate, multivariate, every cohort way that you can analyze? If you know that there are pools that are likely to give a problem, why wouldn't you be able to dial down or switch off those? 2) On the borrowing side, you are bank heavy now. Is there any thought process around wanting to diversify that a little

bit better?

Abhijit Chakravorty: On the first part; first of all, it is not multi -carded, it is multi trade lines at times. And as I said that let's say for open market at the time of onboarding, there is a possibility of a trade line. It can be carded, or it can be any other trade line. Now, having noticed Krishnan's behavior through the bureau and the spends in December, as I said, I do block the limits wherever possible. If Mr. Krishnan is having a limit of Rs. 5 lakhs and I find him on outstanding he is at 3, I will cap it at 3. And thereafter, I will watch him continue to cap it. But then what happens? The moment if

Mr. Krishnan does not want to pay, he will not reduce his outstanding below Rs. 3 lakhs. So, this Rs. 3 lakhs is going to flow ultimately to NPA and to write -off stage over 180 days.

Krishnan ASV: But wouldn't that already be a part of what you have recognized during the December quarter? Because, you have been saying this, as you mentioned, on the 27th of October also; you called this out even before the RBI did anything about this. OSBICard

SBI Cards and Payment Services Limited
January 25, 2024

Page 17 of 17

Abhijit Chakravorty: Yes, we did notice, but then, as I said, Mr. Krishnan could have been one of the indicators when I started working in August, but he was fine. Suddenly, his behavior started deteriorating in December.

Krishnan ASV: Okay, I understood.

Abhijit Chakravorty: It's not that we have cut a line where all the good borrowers have remained good after August, and they have not deteriorated. It's a perpetual process of identification through the bureau monitoring and the spend behavior that we are perpetually observing. And that exactly answers your question. If we are sitting in December, we can only look at the behavior up to December and predict up to the next 2 quarters. This explains everything.

Krishnan ASV: The other one around bank borrowings versus how you could diversify.

Rashmi Mohanty: That's something which we keep doing. It's not that we have just been borrowing from the banks. Even in this financial year, we have a couple of bond borrowings, opportunistically borrowing from the capital market wherever we got the rates right. And we will continue to look at that.

Krishnan ASV: I just have one last question which is related to the first one. Is there any merit in relooking at your expected credit loss norms given what you are experiencing from a behavioral thing? And this is not just for you. I'm assuming SBI Cards is not unique in this. It's something which is probably prevailing in the entire credit card industry right now. But you being a monoline player, is there a reason for you to relook at your ECL working?

Shantanu Srivastava: Our ECL model – like our other Tier 1 models – requires external validation on an annual basis and also quarterly refresh of all the data and it's also subject to close scrutiny by the regulators as well. And they have looked at it on the most recent visit. And even our board and our ACB look at our model and validate it and look at the validation reports of the external validation consultant. We follow market best practice in this area, and we continue to refresh our model on the specified frequencies.

Moderator: Ladies and gentlemen, we will take that as our last question. I would now like to hand the conference over to Mr. Abhijit Chakravorty for closing comments. Over to you, sir.

Abhijit Chakravorty: Thank you all of you for joining and looking at us quite closely. I share my gratitude towards our shareholders, investors, and business partners for their continued trust and support and believing in the strength of SBI Card.

Moderator: On behalf of SBI Cards and Payment Services Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines. OSBICard

Call: May 2024

May 03, 2024

The BSE Limited

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Re: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure

Requirements) Regulations, 2015 -Transcript -SBI Card Q4'FY24 Earnings

Call

In compliance with the provisions of Regulation 30 read with Schedule III Part A of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the Earnings Call held on April 26, 2024 with analysts/investors, has been made available on the website of the Company at the below mentioned link. Further, the same is also attached herewith for reference.

<https://www.sbicard.com/en/who-we-are/analyst-investor-meeting.page>

Kindly take the same on record.

Thanking you,

Yours faithfully,

For SBI Cards and Payment Services Limited

Payal Mittal Chhabra

Company Secretary & Compliance Officer

Date and Time of event: -April 26, 2024 at 7:35 PM

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CIN -L65999DL 1998PLC093849

Page 1 of 16

"SBI Cards and Payment Services Limited Q4 FY24
Earnings Conference Call"

April 26, 2024

MANAGEMENT :

- MR. ABHIJIT CHAKRAVORTY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
- MR. GIRISH BUDHIRAJA – EXECUTIVE VICE PRESIDENT AND CHIEF SALES AND MARKETING OFFICER
- MS. RASHMI MOHANTY – EXECUTIVE VICE PRESIDENT AND CHIEF FINANCIAL OFFICER
- MR. SHANTANU SRIVASTAVA – EXECUTIVE VICE PRESIDENT AND CHIEF RISK OFFICER
- MS. NANDINI MALHOTRA – EXECUTIVE VICE PRESIDENT AND CHIEF CREDIT OFFICER

OSBICard

SBI Cards and Payment Services Limited

April 26, 2024

Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to SBI Cards & Payment Services Limited Q4 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Abhijit Chakravorty, MD and CEO. Thank you, and over to you, sir.

Abhijit Chakravorty: Good evening, everyone. I'm pleased to welcome you to the Q4 FY '24 and FY '24 Earnings Call, along with my senior management team at SBI Card. India has sustained its growth momentum and surpassed all projections despite issues on global fronts. The second advanced estimates placed real GDP growth at 7.6% for FY '23 -24, the third successive year of 7% or higher growth.

The urban consumption stays buoyant. Credit cards have been significant contributor to the overall digital growth in the country. 21% growth in the number of cards in H2 2023. And credit card transactions value stood at INR 9.39 trillion and saw a rise of 11% during the same period. Total number of credit cards in the industry crossed 100 million in February 2024. Spends have seen an impressive growth with over 27% year-on-year increase in financial year FY '24. Spends have grown from INR1.4 trillion during '22-23 to over INR1.8 trillion in '23 -24.

In financial year '24, many new customer-focused implementation, regulatory measures have been introduced and implemented. These include offering of card network

options to customers,

rollout of master directions on internal Ombudsman mechanism and regulatory entities and other implementations relating to billing, account closures, etc. Risk weight for unsecured lending was also increased during the year. These measures are crucial for the long-term stability of industry as the credit card penetration in India is increasing.

At SBI Card, the agile nature of our organization has allowed us to adapt and implement these regulatory measures and remain compliant while maintaining a strong growth momentum. As you are aware, financial year '24 has been a significant year for us as we completed 25 years of successful journey in the Indian credit card market during the year. During this journey, SBI Card has continuously set new benchmarks and achieved new milestones with each passing year. This trend of growth journey continues as we have achieved robust business performance across all key parameters, even in financial year '24, too.

As always, we continue to create value for our stakeholders, and I'm pleased to share that we declared an interim dividend of INR 2.5 per equity share for financial year '24 in the month of March 2024. During financial year '24, our new card acquisition was 4.4 million. We have added 1.03 million new accounts during Q4. We have been selective in new acquisitions. And maintained the new customer acquisition volume between 1 million to 1.1 million. We intend to continue this at around this rate for the next 2 quarters also.

Our cards in force stood at INR 1.89 crores. We continue to be the second largest credit card issuer in the country. And our CIF market share is at 18.6% during financial year '24. Card OSBICard

SBI Cards and Payment Services Limited

April 26, 2024

Page 3 of 16

spends have grown to INR3.3 lakh crores during financial year '24. Retail spends are now at over INR2.6 lakh crores, which is a strong 27% increase over financial year '23.

Our total card spends in Q4 of financial year '24 stands at INR79,653 crores with 11% year-on-year growth. Out of this, retail spends have contributed over INR69,189 crores with 25% year-on-year growth in quarter 4 of financial year '24. This is a contribution of around 87% to the overall spends during the quarter. It is noteworthy that our retail spends per card has also increased by around 9% year-on-year in Q4 of financial year '24. We continue to maintain

number two position in the spends market share at 17.8% for financial year '24.

During Q4 of financial year '24, we have seen good growth in both POS and online spends across all key spend categories including departmental stores, health, utilities, education, travel, entertainment, restaurant, among others. Our online spends continue to be strong and have contributed 58% of total retail spends in financial year '24. We have always maintained that a higher customer spends active rate is vital. And at SBI Card, our retail spends active rate has been over 50%, including during the year, financial year '24.

With new guidelines coming into play, corporate spends are at INR10,464 crores during the quarter. B2B spends were completely stopped from mid-February, as the vendors now are slowly getting set up as merchants by acquiring banks, billing volume will return. We expect that this should normalize by June, July of the next year.

We expect retail spends and NEA to grow in tandem at around 23% to 25% in FY '25.

Driven by customer centricity, we have rolled out many new initiatives during FY '24. We had introduced the functionality of UPI on SBI Card issued RuPay credit cards, which enables SBI Card users with RuPay cards to make transactions using UPI-enabled apps. Our monthly average UPI spends per active account has increased to around INR12,500 in Q4 of financial year '24. Departmental stores and grocery, restaurants, fuel, utilities and apparel have been among the t

op

five categories for UPI spends. Tier 2 and beyond customers are utilizing this facility more than Tier 1 as this facility increases the number of acceptance outlets for RuPay cards.

We have also forged strategic partnerships with leading brands in the country to roll out full co-brands, including Reliance SBI Card. This card has been launched in partnership with Reliance Retail, India's largest retailer. Reliance SBI Card has been crafted to meet the varying needs of a wide spectrum of customers, right from mass to premium. Customers have given us a very positive response. The card has already crossed 1 lakh cards milestone since its launch.

Titan SBI Card - This card has been launched in partnership with Titan Company Limited, a leading player in jewellery, watches, eyewear and ethnic wear categories and has been designed to address the consumers' aspirational spending needs. Since its launch in March this year, we have been receiving positive feedback on it. We will continue to assess, curate and launch more such customer-centric products.

Our focus and investment in harnessing the power of technology continues. We have extended SBI Cards end-to-end digital acquisition platform, SPRINT to YONO and Internet banking of OSBICard SBI Cards and Payment Services Limited

April 26, 2024

Page 4 of 16

State Bank of India. This allows the customers of State Bank of India to digitally apply and get a new SBI Card on successful approvals and KYC verification.

We roll out hyper local and national offers in partnership with leading brands throughout the year. In line during festive season in financial year '24 also, we have rolled out around 2,200 offers across 27,000 cities to enhance festivities of our customers.

We have continued our focus on ESG efforts with focus on areas of environment and employee welfare. Our commitment to environmental, social and governance principles has been at the forefront of our operations through our Impact 360 program. Since the fiscal year 2023, we have diligently adhered to the reporting requirements outlined by the Securities and Exchange Board of India through business responsibility and sustainability report. In addition, I'm pleased to announce that we are fully prepared to embrace enhancements introduced in BRSR framework, including the incorporation of core metrics and assurance requirements.

Some of our efforts in ESG include continuous focus on paperless communication to customers and tree sapling plantations under 'Pehel' program, financial literacy workshop for women employees undertaking of new projects to set up Mother and Child Hospital at Uttarakhand and many others. During the year, we have also added rural development as a new focus area for our ESG efforts with an aim to enhance the quality of life in rural communities through skill development and improved healthcare.

In our endeavour to further strengthen information security posture, we continue to enhance security controls and practices. We have upgraded our PCI DSS accreditation to the latest standard that is PCI DSS version 4.0. Considering the ever-evolving threat landscape, we will continue to invest and enhance our security posture to improve our cyber resilience and bring agility in business decisioning.

I am proud to share that this year, too, our all-round efforts have been duly recognized. SBI Card has earned various prestigious recognitions in different areas. For instance, SBI Card was recognized as Super brand for the year 2023 in the credit card category for the second consecutive year. We also received Golden Peacock Award for CSR and Best CSR Excellence Award in healthcare by ASSOCHAM in their healthcare summit. SBI Card has been felicitated with DSCI Excellence Award under the category of best security practices in nonbanking

finance company. This award reflects our relentless pursue to enhance information security posture a

t the enterprise level. Our sound business momentum has also helped us in registering healthy financial growth in quarter 4 of FY '24 and for the FY '24.

Some of the key metrics are:

Our total revenue has grown to INR17,484 crores, with a 22% year -on-year growth during FY '24 setting another benchmark. Our revenue from operations too stands strong at INR16,968 crores with a 24% year -on-year growth during FY '24. Strong spends growth has resulted in the healthy growth of our receivables. Our receivables have reached INR50,846 crores with a 25% year-on-year growth in FY '24. Our receivables per card have also grown and are at INR26,918 in Q4 FY '24 versus INR24,293 in Q4 FY '23. OSBICard

SBI Cards and Payment Services Limited

April 26, 2024

Page 5 of 16

In financial year '24, SBI Card has achieved a profit after tax of INR2,408 crores, registering a 7% growth over financial year '23. In our Q4 financial year '24, our PAT has grown at INR662 crores, registering 11% year -on-year and 21% quarter -on-quarter growth, respectively. We have been focusing on growing our overall interest earning receivables.

The share of interest earning receivables is stable at around 61% in Q4 FY '24. The percentage share of revolvers in the receivable mix has increased marginally and stands at 24% in Q4 '24. It has been growing in absolute numbers.

Our cost of fund was around 7.4% for Q4 '24. As we had indicated in our last quarter's earnings call, that the full impact of the increased risk weight on bank borrowings for NBFCs will be held in Q4. And with the increased bank borrowing costs, the cost of fund was higher by 20 basis points this quarter.

Given the uncertainty around interest rate cuts, we expect the rates to be stable or marginally higher over the next quarter. This could make cost of funds increase marginally for quarter 1 of FY '25. However, we feel comfortable in being able to absorb this nominal increase through transmission onto the asset side and keep our NIM stable.

We continue to monitor the market developments and align our funding strategy accordingly.

Net interest margin during the fourth quarter stood at 10.9% despite high cost of funds. For FY '24 as a whole, it stands at 11.3%.

Our cost to income for quarter 4 of financial year '24 stood at 51%. This has improved owing to non-festive season and lower corporate spends proportion. Cost -to-income ratio shall be in the range of 58% to 60% for financial year '25. And due to lower corporate spends targeted to grow gradually shall remain subdued around 55% in the first quarter.

Gross NPA is at 2.76% in quarter four of financial year '24 as against 2.64% in quarter three of FY '24. Our gross credit cost is at 7.6% at quarter four of FY '24 as against 7.5% at quarter three of FY '24. As stated in the previous quarter, the industry has been witnessing stress in the overall card segment over the last few quarters, driven by macro factors like higher leverage and growth in advances, which were also taken note of by RBI and factored into regulatory actions.

We had pointed out that some customers had obtained multiple trade lines from other lenders after taking a card from us and that this overleverage has impacted the repayment capacity, which in turn had impacted our portfolio. We had also indicated that our credit costs would remain elevated around current levels for next two quarters. And that future trends would depend on how the ecosystem improves based on the corrective actions taken by RBI.

We are now observing that in the overall industry, delinquency trends of 30 -plus and 90 -plus have remained elevated in December '23 at the same levels as of September '23. In response to this, we are taking a wide range of actions covering the entire product life cycle, including sourcing, underwriting, marketing, cross -sell campaigns, portfolio management actions like credit line decrease and blocking o

f cards, intensification of collection efforts and also offering

restructuring via flexible payment plans to reduce overall credit costs. We are also refreshing, OSBICard

SBI Cards and Payment Services Limited

April 26, 2024

Page 6 of 16

upgrading and continue to leverage a large number of analytic capabilities in order to create sharper insights, early warning triggers about our portfolio.

We leverage a large amount of variety of data across the card life cycle stages from onboarding to collections, recovery, account aggregator. We leverage data from GST, EPFO, etc . It is a continuous effort. We have also reduced limits of more than 1.5 lakh accounts last quarter taking

the total limit reductions to over 5 lakh accounts over the last financial year with focus on intensified collection efforts on these accounts. We will continue to fine-tune our policies and processes across the customer life cycle.

As previously mentioned, the industry has experienced challenges in the card sector due to macroeconomic factors such as increased leverage and advance of growth. Recoveries typically spread over a couple of years. And noting the current microenvironment, we expect a slightly elongated period of recovery for our write-off pool. At the same time, we note that our more recent sourcing has been continuing to perform better as stated in last quarter, too. As the share of this resourcing increases, the overall portfolio quality will improve.

We expect our credit costs to remain elevated in the near future with variations during the year. The interventions already implemented should help in improving credit costs later during the year. We will continue to keep an eye on the environment and portfolio performance to take appropriate actions and expect the average credit cost for the financial year '24 -25 to be lower than the current levels, but it may prevail above 7%.

In financial year '24, our return on average assets is at 4.7% as against 5.6% in financial year '23. During quarter four financial year '24, it has been at 4.7%. Going forward, we expect return on average assets to be around 4.5%. Our ROE is at 21.7% as against 25.3% in financial year '23.

We look forward to financial year '25 to continue our growth trajectory and scale of the business in a profitable manner. The company has grown its CIF base at CAGR of 13.5% in the last five years. Our overall spends have grown strong at CAGR of 20.3% in the last five years. SBI Card is actively working on many initiatives to increase customer focus, and thereby grow CIF and spends in future as well. We expect the business to continue delivering higher profits at a healthy ROA and ROE.

Our liquidity position continues to be strong during Q4 of FY '24. The company raised INR1,275 crores of Tier 2 bonds to augment its capital adequacy ratio this quarter. With this issuance, our CRAR is at 20.5%, up from 18.4% as of December 2023. Our liquidity coverage ratio for Q4 of FY '24 is at 105% as against the statutory requirement of 85%.

So, India continues to have a strong consumption story, which is an encouraging sign for us. We are all geared to take advantage of the vast growth potential at India's growing credit card market offers. Now we are open to questions.

Moderator: We'll take our first question from the line of Mahrukh Adajania from Nuvama. OSBICard SBI Cards and Payment Services Limited
April 26, 2024

Page 7 of 16

Mahrukh Adajania : So, my first one is that you did give a commentary around credit costs and even delinquencies December versus September at sector level, but is there any sign or any data that you've picked up that they are improving in Jan, Feb, March? I know that published Bureau data may not be available for the March quarter, but in general, your market intelligence.

Shantanu Srivastava : We like to comment on published information, and we don't really have anything available so far.

Mahrukh Adajania : Okay, sir. And sir, if you see excluding the standard asset provisioning also, there's probably a slight uptick in credit costs. I mean the delinquencies would have risen somewhat quarter-on-quarter? Or how do we view that?

Shantanu Srivastava : So, in the last quarter, the increase in credit cost comes from worsening of write-offs, but incremental provisions that we've taken in this quarter are lower than the incremental provisions taken in the previous quarter. And recoveries are also somewhat better. And that is evident in the slide that we have given in the deck. If you read closely, you can make that out.

As regards flow rates, our experience with flow rates is in line with the industry experience as it is published. And that's what we can say for the moment. But the flow rate or the early delinquency performance of our new sourcing, as we mentioned last time, continues to be better. And as the composition of the new book improves, we think it will start having a material impact on our overall delinquency numbers.

Mahrukh Adajania : Got it, sir. Thank you.

Moderator: Thank you. We'll take the next question from the line of Anuj from Bank of America.

Anuj : Good evening, everyone. Thanks for the opportunity. The first question is from Slide number 28. So that you talk about taking a more cautious view on new sourcing. But if I look at the market share across various parameters, cards, spends and transactions, we have seen a significant decline over the last 12 months or so. So, can you talk about maybe the strategy around that? Would it be taking precedence over the growth in the near term, and we could see this trend in the next coming years as well? Or is there some strategy to have a reversal there?

Girish Budhiraja : Good evening, Anuj. Regarding the market share, our strategy has always been, and we stated earlier also that we would like to maintain or grow the market share. With respect to cards in

force, we are at around 18.6%. As we stated, two quarters back, we had done some cleaning of our portfolio where there were inactive accounts and there, we were unable to get some KYCs from the customers, so closed those accounts.

On the spends piece, in fact, we were doing better till quarter three, RBI data is published. Until quarter three, we are doing quite well. In quarter four, the impact has come essentially because of the business-to-business payments which we stopped from mid-February. If you see the data, this brought the share of the corporate spends on the overall spend mix down. And because of this, you see a decline in share. We would get this back on track from June-July onwards. We have already started working on this front. So, you should see at least the baseline coming back very quickly and growth from there. OSBICard

SBI Cards and Payment Services Limited

April 26, 2024

Page 8 of 16

On the transactions piece, we are betting on UPI, and you have seen the RuPay data, which has also been put across. So, in Tier 2 plus towns, we see a far better pickup of RuPay customers using it on UPI terminals. So, these are the three action points that we are taking. But on a strategic basis, we would want to maintain and grow market share on all three fronts.

Anuj: Got it. And just to delve a bit more on the guidance. So, the two parameters, one is credit cost and NIM, I think, which are of interest. Firstly, on the NIM side, is it fair to assume this is the bottom? And unless there is a further rate hike by the regulator, we are not going to see any further NIM deterioration. And second part on the credit cost. So, sir, talk about Y-o-Y decline and -- but still elevated at 7% plus for the next year. So how do we see the trend line in the second half? Like should we see a number closer to 7% and maybe declining below 7% in FY '26, if I were to take extrapolated to the next year?

Ras

Rashmi Mohanty: I'll take the first question, Anuj. On the NIM, we've said earlier that we do expect the cost of funds to be marginally higher but also expect that we should be able to transmit that increased cost, whatever marginal increase that might be there on the asset side as well. So, I expect the NIM to be in the around the same level, plus, minus obviously, depending on where finally the cost of funds happen, how soon can we transmit that on the asset side, but around these levels only. And this is, again, I'll qualify based on the current understanding of when the rate cuts are going to happen, nothing in the first half of the year for sure, and this is based on that understanding.

Abhijit Chakravorty: Coming to the credit cost part. We had stated in the previous earnings call also that based on the portfolio analysis and an account level scrub, we had identified, and we have been monitoring closely the accounts, which are having early trends of delinquency. And we have taken actions on that part. Now what happens is that as the recent acquisition component increases and the portfolio mix stabilizes, definitely, there will be improvements and that's where we are seeing that there will be a reduction. But whether it will come down below 7%, it will be difficult to estimate and comment as of now.

Anuj: Okay. Got it, sir. Thank you very much.

Moderator: Thank you. The next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Sir, I have two questions. One is on Opex, where in the cost ratios have improved considerably this quarter, which we have attributed to the lower corporate spends and this being a non-festive quarter. So how should we view the corporate spends now in FY'25? And any color around the cost income ratio for the year?

Girish Budhiraja: So, we are working on getting our corporate spends back to maintain the market share and grow it. This would take this first quarter to get us back to almost close to normalcy. So, from second quarter onwards, you can estimate, as was stated in the opening remarks also, we will grow back to the 55% plus opex to CV ratios. This quarter, you would see a lower number. OSBICard

SBI Cards and Payment Services Limited

April 26, 2024

Page 9 of 16

Nitin Aggarwal: Okay. And secondly, on margins, while we have said that the cost of funds has gone up, but sequentially, like 7.6% from there, it has come down to 7.4%, but the yields have also come down by 40 basis points.

Rashmi Mohanty: Nitin, I would suggest that instead of looking at the 2-point average, which is where it is showing at 7.6% to 7.4% on page number 31, we have also given the weighted daily average cost, where you will see it's gone up from 7.3% to 7.5%. And that is a true reflection of where the cost of funds is.

Nitin Aggarwal: Okay. And alongside on the yields then, that... ?

Rashmi Mohanty: The yields dropped marginally by 10 basis points, 11 to 10.9 on a like -to-like basis monthly average basis .

Girish Budhiraja : So, yield actually went up.

Rashmi Mohanty: Sorry, not yield. NIM.

Girish Budhiraja : So, yield went up from 16.6% to 16.7%. And cost of funds went up from 7.3% to 7.4%. The NIM from 11% to 10.9%.

Rashmi Mohanty: 10.9%, yes.

Nitin Aggarwal : Okay. Got that. And lastly, if you can share some color on the UPI spends because if you look at the monthly UPI spends that is running very close to the overall average spend per card. So, whatever , let's say, RuPay portfolio is there, how is the non -UPI spend on those RuPay cards? How is that trending?

Girish Budhiraja : So monthly average spend per customer is in the range of INR 1,48,000 which comes to around INR12,000, INR13,000 per customer per month. But because 50% of them are active every month, spend per active customer goes up to INR25,000 - 26,000 per month. So, this INR13,000 that you see is an active c

ustomer spend. These all customers are active. So like -to-like these customers are spending INR13,000 on UPI and the balance INR12,000, INR13,000 is happening on the card.

Moderator: We have a next question from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer : Congrats on the quarter. Just a couple of questions. Firstly, sir mentioned that you are resorting to restructuring of loans, I think I heard something like that. Can you just elaborate a bit more on that?

Abhijit Chakravorty: So basically, we provide them some headroom to pay out. So basically, it will be converted into EMIs. And like any amortized loan, it is allowed to be paid over a certain period, can vary up to 12 months or more also . So that depending upon their own cash flows, they are able to pay us out comfortably without asking for the entire delinquent amount to be paid upfront after they have turned NPA.

Piran Engineer : Okay. Sorry, these are before they turn -- these are like Stage 2 customers? OSBICard SBI Cards and Payment Services Limited

April 26, 2024

Page 10 of 16

Abhijit Chakravorty: No. These are Stage 3 customers.

Piran Engineer : Stage 3, okay. Okay. Fair enough. And sir, secondly, I just wanted to understand what parameters network incentives depend on. Because I see this year, retail spends are higher, but our number of card sourcing is lower, and our network incentive seems to be lower than what I thought would have come through.

Girish Budhiraja : Piran, network incentives depend on various variables, but they also vary from network to network . We look at , essentially, there is a cost of using a network and then there is an incentive with kind of a return back for certain performances that we do, which we get from the network. Essentially, we are interested in the net cost. Net cost for us for all 3 networks, which is Visa, Master Card and RuPay is broadly similar. RuPay, as a network, last year, if you see, we have done many more cards on RuPay. We have increased the total volume to almost close to 3 million plus. Given that scenario, in case of RuPay the net work incentive amount is lower, but the cost of RuPay network of using the RuPay network is also fairly low. So, you don't see that in the cost line, but you don't also see that in the network incentive line also. Net cost wise it is all similar .

Piran Engineer : But sir, the interchange would also be lower, right, then?

Girish Budhiraja : Yes. It will show in a cost line also.

Piran Engineer : Got it. Fair enough. And just lastly, in terms of rental spends we used to track about 10%, 12% of our total spend used to be rental -related spend. Has that sustained, has it come off and are we still charging INR 200 bucks per transaction on that?

Girish Budhiraja : We are still charging a fee for every rental transaction. However, rental -spend growth has reduced considerably. So , if the overall retail spends has grown close to 27% year -on-year, rental spends growth rates would be half of that.

Moderator: We'll take the next question from the line of Nishant Shah from MLP . Please go ahead.

Nishant Shah: So, I just want to go back to this cost bit a little again. On the P&L summary slide which is slide number 12. So sequentially, we've seen a fee and other revenue decline of about INR300 crores.

So, from INR 2,500 crores down to INR 2,200 crores. And the operating cost is down from INR2,400 crores down to INR1,900 crores. So, about INR 500 crores. What part of this is attributable to corporate spends coming off? If you could help understand that? Because I'm trying to understand that what part of this cost reduction is more sustainable. Is it to do just because corporate spends came off so the cost came off the moment they are back, the spends come -- like this opex comes back or is there an element of like higher promotional costs during the festive period in the base

and like net -net to the fee income and the cost income of corporate cards and spend is about similar . Could you help me understand that a bit, please?

Rashmi Mohanty: I think the way to look at it would be, look at the cost -to-income ratio for a non -festive quarter and this quarter because that's comparable. Don't compare to quarter 3 cost -to-income to a quarter 4 cost -to-income because quarter 3 is any way influenced by higher cash back spend that OSBICard SBI Cards and Payment Services L imited
April 26, 202 4

Page 11 of 16

we do for the various campaigns that we do which is where we said earlier that we expect that the cost -to-income ratio for the full year to be in that range of 58%, 59%, 60%.

This quarter will be lower because as we pick up the corporate spend it will be around 55 -odd percent or maybe a little lower than that as well. So, 51% reported for quarter 4, we're talking about 55% kind of a range for quarter 1. That should just give you an idea in terms of if the corporate spends come back. What element of the operating expense will be back with the spends back.

And also, one last comment on the fee income. The fee obviously is lower because of the , as you mentioned the corporate spends were lower and therefore the interchange also goes lower. So, to that extent as the corporate spends come back this number will go up as well.

Girish Budhiraja : Usually , the interchange that you receive on corporate spends is 1.9% to 2.1% depending on the kind of spending. So, for every, let's say, INR1,000 crores, it's close to INR 20 crores worth of revenue line which you can add there and that will also give you the sense of drop because of the corporate card spending fro m a quarter -to-quarter revenue.

Abhijit Chakravorty : Yes. But simultaneously you need to add it to the cost also .

Girish Budhiraja : Simultaneously, you need to reduce the cost there . Just one more point. You should look at our interest income growth on quarter -to-quarter that has grown. So that's going to go stable because that is a baseline asset buildup which has already happened in that sense. And this particular part if the revenue comes in then the cost will also come in and both are very directly linked to each other.

Nishant Shah: Got it. And that's perfect. That's clear. And our second question , one of a small, midsized private sector banks mentioned in their call that they're expecting a circular on credit cards. So, it didn't really specify what that was around, b ut like if you've been engaging with the regulator, could you comment about what's in the p ipeline in terms of regulation b ecause the comment was also that it's perceived to be a little more stringent whatever that means. So, if anything in the pipeline could you just talk about it what nature of this regulation is coming in?

Abhijit Chakravorty: No, we won't venture into regulators ' area. It is for regulator to come out with whatever guidelines. They have been coming out with various guidelines and we fall in line, we complied with them. We won't like to speculate on what regulator would like to do.

Nishant Shah: Okay. Yes. The context of the question was just like ther e is a heightened regulatory scrutiny around that and there are monoline company. So, the anxiety levels are a little higher. All right.

Perfect. Those are my two questions.

Moderator: Thank you. T he next question is fro m the line of Shubhranshu Mishra from Philip Capital. Please go ahead.

Shubhranshu Mishra : So, when I look at the job openings on SBI Cards websites, I think almost 50% -50% of the job opening s are either for recoveries or collections. Is this becau se of heightened delinquencies, a sticky delinquency of very high churn and those deals that's the first. Second is also around credit OSBICard SBI Cards and Payment Services L imited
April 26, 202 4

Page 12 of 16

cost, I think has been much

spoken about it. We are speaking of close to 7% kind of credit cost in our credit card business where we get so much of data in one spend versus say when we look at other business models like microfinance where there are hordes of new to credit customers and we get a slightly lower cre dit cost of similar credit cost and the quality of customers also would be different based of the income levels.

So how do we compare these two business models , microfinance and credit cost a nd the demographic cohort should also be different and it's just a bit overwhelming to get similar kind of credit cost?

Abhijit Chakravorty: I'll take the first part first. The second part, I was not very clear. The first part regarding jobs. Well, there are jobs to offer, jobs to be taken in the entire industry. So, people join us. We do need people; we do need hands a t various point of time. So, job openings will keep on coming, and we are part of the industry. There will be some amount of churn, some amount of heightened business activity. So, it's a combination of all taken together where we require people, and we keep o n augmenting our strength as and when wherever we require. So , I won't be able to join

you in your assessment whether to what extent this is linked to attrition or the credit cost part of it. But then this is about process. The second question, I could not understand.

Shubhranshu Mishra : Sir, second question is why our credit cost is comparable to a microfinance business where the income level and demographics cohorts is inferior to the income level than the demographics that we offer. And there will be a lot more new to credit customers in the microfinance business system?

Shantanu Srivastava : So, I think you should look at all the metrics together, not just the credit cost number. Look at the net interest margin that other businesses deliver. And finally, the proof of the pudding is the ROE that we deliver and the kind of capital base that we have. So, we deliver 20% plus ROE on 20% plus of capital adequacy.

Moderator: The next question is from the line of Gao Zhixuan from Schonfeld. Please go ahead.

Gao Zhixuan : Congratulation on the quarter. Just wanted a little more on the comments of the new vintage is better. First of all, which vintage are you talking about? Is it FY '24 vintage?

Shantanu Srivastava : Yes. The vintage is '22, '23, '24. That is now contributing to about 45% of our book. This number used to be about 40% in the last quarter.

Gao Zhixuan : Yes. So, when you say new vintage is doing better, are you just referring to FY '24 vintage in the last 12 months?

Abhijit Chakravorty: This is 23-24.

Gao Zhixuan : Okay. So - and also, do you mind elaborating a little bit on what do you mean by new vintage is better?

Abhijit Chakravorty: I will complete, why '23-'24 because somewhere during the beginning of calendar year '23, we started initiating the corrective actions. So that's where the recent acquisitions are helping us out. OSBICard

SBI Cards and Payment Services Limited

April 26, 2024

Page 13 of 16

As we have stated out in our call also that after we have initiated various steps beginning from the calendar year of '23 we have now getting the results out of it, and we expect that to continue.

Sorry, I interrupted you, but I thought I will complete that.

Gao Zhixuan : Thank you so much for that. So just wanted to understand when you say the new vintage is better, do you mean that it's better than the average credit cost, let's say, the new vintage credit cost now is better than average credit cost of delinquency or you mean it from a vintage analysis basis because if I recall correctly, the credit cost takes about 24 months in which peak delinquency and the start is pretty benign. So, just wondering whether you can share more color on that?

Shantanu Srivastava : Yes. So, this is a like-to-like comparison of the early deli

quency performance of the new

sourcing versus the performance of sourcing done in the prior period at the same point of their life. So, this is called the M6 30 plus, 6 months on book, 30-plus delinquency it's a standard industry metric. That's performing better for our new sourcing versus the sourcing done in the prior period.

Gao Zhixuan : Got it. And the magnitude of how much better, is there any way you can share the magnitude with us?

Shantanu Srivastava : We don't provide that level of detail in our disclosures.

Moderator: Thank you. The next question is from the line of Shweta Daptardar from Elara Capital. Please go ahead.

Shweta Daptardar Thank you sir for the opportunity. Sir, you did mention in the opening comments that we have been taking corrective actions with respect to the customer cohort, which has availed multiple credit lines and later on added to our delinquency. But have you revamped or rebuilt predictive analytical models wherein customer data or cash flows that are easily available to us sort of give us some early warning indicators and therefore, there might be certain credit cost guidance that we can provide. So, are we sort of working on these lines?

Abhijit Chakravorty: Yes. So, I will invite my Chief Credit Officer to respond.

Nandini Malhotra Shweta, we have rebuilt all our models right from acquisition to portfolio to collection, using the spends, repayment and cash flow data that is available for these customers. And we have started utilizing these models to take corrective actions, whether it is in terms of better selection of customers or in terms of identifying existing customer segments for corrective actions, which could be limit reduction, which would be basically early payment reminders, et cetera., to also looking at customers who are delinquent, so that we can identify the right type of offers for them. We talked about hardship. We talked about reaching out to them in a slightly different manner. So, we are doing all those actions based on newly developed predictive analytical models.

Moderator: The next question is from the line of Rohan Mandora from Equirus Securities. Please go ahead. OSBICard

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April 26, 2024

Rohan Mandora Good evening, sir. Thanks for the opportunity. So just wanted to understand, have you got any recommendations from the regulator on any corrective actions? Similarly, considering the fact that recently, a lot of entities have got some updates from the regulator. That was one. And second, from a strategy perspective, if you look at it, right now, whatever actions have been taken on card industry, the competitive intensity is reducing because many players are going slow on that business. So how should we look at SBI Card over the next 2 years, would you look to aggressively gain market share or would like to be conservative given the macro environment right now?

Abhijit Chakravorty: The first part first. Answer is no. We do not have anything from the regulator, which is a red flag. As you all are aware, being a regulated entity, we are subjected to periodical oversights. That continues. We submit our compliances, that's a regular process. Beyond that, we don't have anything else.

You're right. Competitive intensity has reduced in the last quarter or so. Our stated position is that we would want to maintain and gain market share. In the next 2 quarters, we are looking at close to 1 million to 1.1 million only. This has to be done in a balanced way. We will want to increase our new customer sourcing and gain share. But while getting our credit costs at a much more reasonable level. So, these are both the things will go hand in hand. It cannot be that we, in the pursuit of market share, we will not look at the credit cost. So, both things will continue to get balanced. As our Chief Credit Officer was mentioning, new models

have been developed,

new work has happened on some of these areas. We should be able to have much better selection of customers with these actions.

Rohan Mandora : As just a data driven question, sir. You alluded to that on the corporate spend the interchange is between 1.9% to 2.1%. How should we think on the cost and that will come up and the spend comes up? if you can bolt a guide on that? And secondly, on the 30 -plus DPD flows during March at a portfolio level, how would that be vis-a-vis in the December quarter?

Girish Budhiraja : On the first part, it's a deal -to-deal basis. So, it is dependent on what kind of deal you've done with which partner. So whatever return goes out of that, which is called pass back or return back to the customer is deal -to-deal dependent. It is a confidential information. So really, we don't declare that particular line.

Rohan Mandora : Ballpark range, average?

Girish Budhiraja : Won't be, but it's a competitive number. It's a market -- proprietary information.

Moderator: The next question is from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka : Hi, good evening. I just wanted to understand that you've been saying that you've been reducing limits of, let's say, 1.5 lakh accounts last quarter and so on. Can you help me understand what - - maybe 1 or 2 attributes that you observed, which gives the trigger for you to cut back on limits. So how do you go back identify that, let's say, for somebody who's been given a card 12 months back or 15 months... OSBICard

SBI Cards and Payment Services Limited

April 26, 2024

Nandini Malhotra : We are looking at their spends and repayment behaviour with us. We do look at if there are any issues that we see in the Bureau records. We also see if there is an increase in leverage of that customer and we feel that even if there is no stress that observe right now, it could be ensuing stress because of the leverage that is building up. So, these are some of the key features, besides we have also started looking at the transaction spend with the customer, seeing how if there is any shift in the transaction pattern over a period of time, which may indicate that there are some signs of economic stress.

Abhishek Murarka : And to get this data apart from the transaction data, which of course you get automatically, but to get the other data of leverage, et cetera., how often do you have to hit the Bureau, or maybe do you have to ask the customer for consent? How does that work?

Girish Budhiraja : So, for all our customers, we get the Bureau data at least once in a quarter. These days, we have increased the frequency of Bureau hits for a certain set of customers, as per our model, becomes high risk. Apart from that, there are a lot of triggers that we take from Bureau. So, if the customer takes another trade line or takes suddenly 3 or 4 personal loans, all that information comes back to us as trigger and gets fed into these models.

Abhishek Murarka : And that happens on a quarterly basis?

Girish Budhiraja : No. Triggers are on a daily basis.

Nandini Malhotra : Triggers are on whenever the Bureau gets updated.

Abhishek Murarka : Okay. All right. Got it. Thank you so much.

Moderator: Thank you. The next question is from the line of Saurabh Kumar from JPMorgan. Please go ahead.

Saurabh Kumar: I am on the Slide 15 of your Presentation . So, just a question on this open market channel. So now you have a history of more than 6 years of this business. Given the delinquency, given the operating cost of the channel, do you think that the profitability of this channel is better than the company average? Or it will be lower than the company average?

Girish Budhiraja : It is similar to company average.

Saurabh S. Kumar : Despite the higher sourcing costs and the delinquencies here?

Girish Budhiraja : If we have higher sourcing costs, it h

as slightly higher delinquency as this one, but it has higher revenues.

Saurabh S. Kumar : Yes, I understand. So, the revolve basically is on the interest...

Girish Budhiraja : Higher spend, higher fees, higher interest income, more premium.

Moderator: Thank you. The next question is from Pranav G. from Bernstein. Please go ahead. OSBICard SBI Cards and Payment Services L imited

April 26, 202 4

Page 16 of 16

Pranav G.: Hi, good evening. Thanks for taking my question. You have guided on the credit cost for next year, that it would be about the 7%. Would you also be able to provide a sense of where your Stage 2, Stage 3 numbers, the share could trend to by end of next year?

Shantanu Srivastava : We don't give that level of detail in our disclosures.

Pranav G.: Okay. No worries. Thank you.

Moderator: Thank you. We'll take that as a last question for today. I now hand the conference over to Mr.

Abhijit Chakravorty for closing comments. Over to you, sir.

Abhijit Chakravorty: Thank you, everyone, for being with us and interacting with us. SBI Card has continuously proven its metal to achieve strong growth and set new benchmarks. Going ahead to, we will ensure that SBI Card continues its sustainable and profitable path. I would like to share my gratitude towards our shareholders, investors and business p artners for their continued trust and support to SBI Card. Thank you.

Moderator: Thank you, sir. On behalf of SBI Cards and Payment Services Limited, that concludes the conference. Thank you for joining us, and you may now disconnect your lines. OSBICard

Call: Aug 2024

August 2, 2024
The BSE Limited
Corporate Relationship Department.
P.J. Towers.
Dalal Street, Fort
Mumbai -400 001
SCRIP CODE: 543066
SECURITY: Equity Shares/ Debentures
Dear Sirs, MAKING LIFE SIMPLE
The National Stock Exchange of India
Limited
Exchange Plaza,
Bandra-Kurla Complex.
Bandra (E), Mumbai -400 051
SYMBOL: SBICARD

SECURITY: Equity Shares
Re: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 -Transcript -SBI Card 1O'FY25 Earnings Call

In compliance with the provisions of Regulation 30 read with Schedule III Part A of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the Earnings Call held on July 26, 2024 with analysts/investors, has been made available on the website of the Company at the below mentioned link. Further, the same is also attached herewith for reference.

<https://www.sbicard.com/en/who-we-are/analyst-investor-meeting.page>

Kindly take the same on record.

Thanking you,

Yours faithfully,

For SBI Cards and Payment Services Limited

Payal Mittal Chhabra

Company Secretary & Compliance Officer

Date and Time of event: -July 26, 2024 at around 8:09 PM

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Page 1 of 16

"SBI Cards and Payment Services Limited Q1 FY25
Earnings Conference Call"

July 26, 2024

MANAGEMENT :

- MR. ABHIJIT CHAKRAVORTY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
- MR. GIRISH BUDHIRAJA – EXECUTIVE VICE PRESIDENT AND CHIEF SALES AND MARKETING OFFICER
- MS. RASHMI MOHANTY – EXECUTIVE VICE PRESIDENT AND CHIEF FINANCIAL OFFICER
- MR. SHANTANU
- SRIVASTAVA – EXECUTIVE VICE PRESIDENT AND CHIEF RISK OFFICER
- MS. NANDINI MALHOTRA – EXECUTIVE VICE PRESIDENT AND CHIEF CREDIT OFFICER

OSBICard
SBI Cards and Payment Services Limited
July 26, 2024

Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to SBI Cards & Payment Services Limited Q1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded . I now hand the conference over to Mr. Abhijit Chakravorty, MD, and CEO. Thank you, and over to you, sir.

Abhijit Chakravorty: Good evening, everyone! I am pleased to welcome you to the SBI Card Q1 FY 2024 -25 earnings call along with my senior management team. India continues to be the fastest growing major economies across the world. As per estimates, India's real GDP growth forecast for FY'25 is likely to be around 7.2%. India's credit cards market has already crossed 100 million outstanding credit cards, as of June 2024. Monthly card spends have also reached ■ 1.58 lakh crore in June 2024. As the credit card s industry exhibits promising growth path, SBI Card continues to be the beneficiary, as well as one of the key contributors.

Let us now look at SBI Card's Business Overview in Q1 FY'25

Our resilient and sustainable business model built over the years helps us in achieving profitable business growth.

New Accounts

Our cards in force are at 1.92 Cr. with 11% YOY growth. We continue to be the second largest credit card issuer in the country and our CIF market share is at 18.5%. During Q1 FY'25, our new account acquisition was at 9.04 lakh. This enabled net new card addition to be at

3.5 lakhs,

which is 17.4% of the industry. Banca contributed 42% of the new accounts and the balance coming from the open market and co -brands. There is seasonality factor associated with Banca acquisition in Q1. While customer interest continues to stay strong in terms of applicants, we have been further selective in acquiring new customers. These incremental selection parameters have been implemented to further improve new customer acquisition credit quality. We have gone live with Our Instant card issuance journey on SBI's digital platforms, such as YONO and Internet Banking. We would be focusing more on growing and acquiring new customers by leveraging these digital journeys.

Spends

Our total card spends during Q1 FY'25 stand at ■ 77,129 Cr. with a 4 % YoY growth, despite degrowth of around 66% in the corporate spends. Retail spends remain strong at ■ 71,880 Cr. with a 23% YOY increase in Q1 FY'25. SBI Card spends market share in Q1 FY'25 is at 15.9 % (As per RBI June 2024 data). During Q1 FY'25, we have seen strong growth across all key discretionary and non -discretionary spends. Jewellery segment has seen strong spends growth rate at 11% YoY in Q1'FY25, influenced by Akshaya Tritiya during the quarter. The consumer durables category witnessed a strong 85% YoY growth during the quarter, with high sale of appliances & mobiles. Online spends continue to contribute around 57% of total retail spends. OSBICard

SBI Cards and Payment Services Limited
July 26, 2024

Page 3 of 16

50% of our customers make new purchases every month. Instalment based transactions have grown 37% YOY, indicating customer's comfort with affordability options. Corporate spends

during the quarter have ended at ₹ 5,249 Cr. It has been increasing consistently month by month, with June month contribution at 45%.

New Products and Initiatives

In Q1 FY'25 as well we rolled out many new customer centric initiatives. A key initiative has been the introduction of our travel -centric credit card – 'SBI Card MILES .' With increasing popularity of travel among Indians, we have introduced this card with an aim to bringing holistic travel benefits to travellers of all kinds – travel aspirers to frequent fliers to travel aficionados. Since its launch it has already seen an extremely positive response from the consumers. RuPay card spends at UPI terminals have grown by 50% this quarter also. Our monthly average UPI spends per active account has been stable at around ₹ 12,800 in Q1 FY'25. Department stores & grocery, restaurants, fuel, utilities, and apparel have been among the top five categories for UPI spends. Tier II+ customers continue to utilize this facility as this facility increases the number of acceptance outlets for RuPay cards. RuPay cards spends on UPI terminals has crossed 1000 Cr per month on regular basis. During Q1 FY'25 SBI Card partnered Apple to launch an offer wherein our cardholders could avail up to Rs. 6,000 instant discounts across different Apple products – applicable for both EMI & Non -EMI transactions. This offer is being extensively advertised across Airports, Television, Print Ads, and social media.

We have continued with varied ESG initiatives during the quarter, including:

Celebrating environment month with employees in June, featuring impactful initiatives including, seed ball making and awareness campaign on biodiversity, waste, water, and renewable energy. Initiating three impactful CSR endeavours by investing ₹ 11.51 Cr. for elderly care, children with cancer assistance, and climate -smart agriculture.

We are extremely pleased to share that, SBI Card has been recognised and awarded two coveted awards, including, Media Abys 2024: Silver Award in the 'Innovative Use of Radio' category for the radio campaign on its 25th anniversary celebrations.

Coming to the financial performance in Q1 FY'25

Our focused business momentum has a

helped us in registering healthy financial growth in

Q1 FY'25. Let me share some key ones:

Total revenue has grown to ₹ 4,483 crore with a 11% YoY growth during Q1 FY'25 . In Q1 FY'25, SBI Card has registered a PAT of ₹ 594 Cr., vs ₹ 593 Cr. in Q1 FY'24. In line with strong spends growth rate, our receivables have seen strong growth too. Receivables have grown by 22% YoY in Q1 FY'25 to ₹ 52,705 Cr. Receivables per card have grown by around 8% YOY to ₹ 27,395 in Q1 FY'25.

Our initiatives and focus to increase the earning receivables have begun to reflect positively.

The share of interest earning receivables is at 62% in Q1 FY'25. OSBICard

SBI Cards and Payment Services Limited

July 26, 2024

Page 4 of 16

Cost of Funds

Our Cost of funds (CoF) has increased by 13bps to 7.5% for Q1 FY'25. We expect CoF to remain at around current levels going forward till we see any rate cut action. However, Net Interest Margin (NIM) during the quarter has remained stable at 10.9% . Our Cost to Income for Q1 FY'25 is at 49.1%. This decrease is owing to lower corporate spends during Q1 FY'25.

Asset Quality

Now a comment on the asset quality for the Company . You may recall, in our last earnings call we had indicated that we expected credit cost to remain elevated in the near future, with variations during the year. Our credit cost for Q1 FY'25 has increased to 8.5% as compared to 7.5% in Q4 FY'24 . GNPA is at 3.06% as compared to 2.90% in Q4 FY'24. Incremental Provisions are up by Rs 51 crores Q -o-Q. Write -offs have increased Q -o-Q by Rs 105 crores. The primary reasons for the increase in Credit Cost as have been explained earlier is that customers obtained multiple trade lines from other lenders after taking a card, and this overleveraging has impacted their repayment capacity .

Reduced payment capacity has also been seen in customers where life events have led to delinquency. This has been seen with vintage customers having good repayment behaviour until now. We continue to review portfolio and scorecards, across a wide range of vectors to identify accounts requiring special attention. Accordingly, multiple actions have been taken based on portfolio diagnostics and bureau information/triggers. These include refinement in new accounts sourcing, reduction in limits, restrictions on cross -sell and spend trigger based early blocking, enhancements in scorecards and enrichment of predictive models for portfolio management, customer payment – assist programs, and augmentation of collections infrastructure.

Our new sourcing continues to perform better on early delinquency trends. The credit cost continues to stay elevated, despite actions taken as mentioned earlier. The impact has somewhat been offset by the prevailing environmental factors, and industry challenges. Therefore, in

response we have further intensified our collection efforts and scope of our portfolio actions. For example, during last three months we have reduced limits across 5 lakhs, in comparison to the 5-lakh done over the previous full financial year. Similarly in collections we have significantly increased the capacity across all channels. Given the present market scenario we expect credit costs to remain elevated. A reducing trend is likely only towards the later part of the financial year.

Our CAR is at 20.6% for Q1 FY'25. In Q1 FY'25, our ROAA is 4.1%. Our ROAE is at 19.1% during the quarter.

In Conclusion, The Indian credit card industry is at an exciting intersection of increasing discretionary consumption, growing digital payments, along with evolving consumer credit behaviour towards EMIs, and greater awareness around credit profile. In the prevailing environment our topmost priority is to be agile and take portfolio actions with speed and ensure OSBICard SBI Cards and Payment Services Limited
July 26, 2024

Page 5 of 16

that the credit cost comes under control. At the

same time, we are committed to build and grow our business for the long-term.

Now we are open to the questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Firstly, I just wanted to understand what the levers are we can take to offset credit costs? So, I understand collection part of it but anything on the top line front, for example, increasing the revolver charge from 3.5% to 4%, something like that. So many things I understand are regulated like interchange, et cetera, you can't do much. But what are the levers we can take apart from, say, collections, et cetera, to offset the impact of credit cost?

Girish Budhiraja: The lever that you mentioned, which is interest rate with respect to revolvers, that specifically, we would not like to take at this point of time, take action in terms of increasing the interest rate because over a period of time, we have seen that good customer revenue, is coming from instalment lending customer. So, if the customer takes instalment lending, gives us fee, gives us interest income, and does not default, that is a better way rather than getting a higher interest and we are already at 3.5% per month, which is almost 42% APR. So, increasing that is not a good idea. That is point one. Second thing is that, yes, there are other places where you can take actions. But these are more with respect to the fee income with where you are providing a service to the customer and the customer is utilising it. For example, we did that with respect to putting a fee on the rental side of it. We would be looking at certain set of fees over a period of time to defray some of that. However, we have to get the credit cost in control. And that is what our M.D sir was saying is the first primary action. While from a revenue perspective, the action steps will continue to be taken.

Piran Engineer: Okay. Fair enough. Secondly, just trying to understand on your new underwriting measures. Now we've acquired 9 lakh new customers this quarter. Now can you just give us a sense, say, for example, how many are new to credit, how many are new to credit cards?

Girish Budhiraja: While we will give you specific breakup of how many are new to credit and new to credit cards, however, want to detail out that the interest of new customers is consistent. People are applying for the card. We have been more selective about this. 60% of the customers are carded customers, 40% customers are new to credit or new to credit card, but we acquire most of these customers only through our Banca.

Piran Engineer: Okay. The non-carded ones will be through our Banca channel?

Abhijit Chakravorty: Correct, So, new to credit and new to credit card is through Banca channel.

Piran Engineer: Okay. But then, sir, if I may just ask like the problem, essentially is over-leveraging. Now someone has a card, he or she is coming to you for a second card, maybe third card, I don't know.

Then why are we giving such customers a card? OSBICard

SBI Cards and Payment Services Limited

July 26, 2024

Page 6 of 16

Abhijit Chakravorty: We have data with us and our portfolio, we have seen that when we onboard a customer, even an NTC or a customer having zero active trade lines at the time of on-boarding, over a period of time, and we have analysed our written off portfolio, we find that at the time of write-off, they carry a minimum of 1 to 5 going up to 10 trade lines. So, one is the financial position, how many trade lines were there, minimal, Bureau score, Prime, all taken together onboarding not an issue, but post onboarding the behaviour changes.

Piran Engineer: Okay. And then in such a case, could this be a possibility? I don't know if it will be an appeal to

the customer or not, but in the terms and conditions you have that

if that customer takes another

credit card, then his limit will be reduced by, whatever, 25%, 40%, something like -- can we have a rule-based engine out here, which makes the credit exposure for you more flexible depending on the leverage of the customer which is somewhat similar to what microfinance companies are doing in a way. Could something like that be a possibility because there does not seem to be an end in sight for the credit cost problem for the industry?

Girish Budhiraja : You're right, Piran. What is done is that first of all, if we have given a card to the customer and if there is a second financial institution, which wants to give a card or a loan, they should be looking at debt to income and already whatever has been given to the customer. We also continue to monitor even, let's say, after years customer has come to us over a period of time, if more trade lines are getting added, more debt is getting taken. And you're right, action is taken. We believe that the customer debt repayment capacity keeps going down. And hence, all the credit line decreases, which has been done over a period of time. The good part is after last September, October, RBI's decision of increasing capital adequacy, there were players who were not looking at some of these metrics. Now all the large banks and all the large institutions look at that, and this problem should not be continuing over a period of time.

This is going to get addressed. So that is where we are at this point of time. It is monitored continuously. Models are being run on a regular basis, which is the regular scorecard for your portfolio management. And basis that, if you see a high risk or movement of scores, immediate action is being taken rather than waiting for the default to occur.

Moderator: Thank you. The next question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania : So, in the last con call we had discussed that there are no cohorts in terms of vintage that are contributing to higher delinquencies of costs. They are kind of cohort of vintage diagnostic. So, is it that customers or process cohorts are multi-leveraging as in that even customers that you may have on-boarded say 1 year or 1.5 years ago, is it happening across cohorts? And is the re culture really deteriorating or how do we look at it?

Abhijit Chakravorty: We find that the delinquency is moving across the segment. There is still no cohort identifiable. While if we talk about vintage, we have seen accounts which have been doing well for last 4 to 5 years also suddenly become delinquent. And the behaviour part is very unique. Once this account becomes delinquent, PDD, there, not a single penny comes. And that's when we go for OSBICard SBI Cards and Payment Services Limited

July 26, 2024

Page 7 of 16

collection efforts, we largely find that there has been a lifetime event that has happened. That is one. Another is that, if you leave aside vintage, we have found the delinquencies going across salary, going across self-employed, going across tiers of cities. So, we have not found any specific behavior happening with any specific cohort that could have led us to do some analysis and introduce certain actions.

Having said that, only one indication that was found earlier last year and we have implemented was a geography-based delinquency pattern. When we found that a specific geography was largely behaving abnormally, we took actions, and we stopped sourcing from those geographies based on the pincode identification. Except that, we have not largely found any specific cohort, the delinquency is more on the customer behavior or the inability to pay.

Mahrukh Adajania : Got it. And in terms of opex where -- how long do you see the remaining subdued?

Rashmi Mohanty: So, the opex is lower this quarter because of the lower corporate spends and also because of the lower card acquisition

on compared to previous quarter. As we build our corporate card spends business again and the cards acquisition come back to the range of a million cards a quarter. This should as we've been saying earlier stabilize around the mid-50s level. Obviously, the seasonality is there depending upon the month when we run the campaigns when the opex will be high.

Mahrukh Adajania: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Rohan Mandora from Equirus Securities. Please go ahead.

Rohan Mandora: I just wanted to understand, based on the bureau scrub that we have been doing for the existing customers, what is the watch list pool of customers that we have identified based on the current portfolio where we can potentially expect some stairs or some action that we would like to take?

Nandini Malhotra: Basically, we do the regular bureau scrub. We also subscribe to bureau triggers. So, we get real-time update on the customer situation and test. So, you're right, we do create a kind of a watch list basis our scorecard and what we've seen. And we take actions accordingly.

Rohan Mandora: What I wanted to understand was, if you can give some indication of what could be the pool size

to get a flavour on how long can this credit cost continue?

Nandini Malhotra: We can't tell you the number. The thing is that it is a regular action. It is conducted as soon as we get the trigger. So, it is as real time as we can do it. But of course, the good part is that we do see an impact in terms of the inflow delinquency has stabilized. In fact, it has gone down marginally. So, we are going to continue this activity.

Rohan Mandora: And secondly the 5 lakh customers where we have reduced the limit if you can give some sense on what was the exposure that was there to these customers before the reduction of limit. And where does it stand now? OSBICard

SBI Cards and Payment Services Limited

July 26, 2024

Page 8 of 16

Abhijit Chakravorty: That is something we would like not to speculate upon. But what we can tell you is that the reduction of limits is around 25% of their limits.

Girish Budhiraja: And the average limit has been around close to INR 1 lakh. So, you can estimate.

Rohan Mandora: Sure. Because I was trying to understand when we are reducing the limits on these customers, because it would have been in watch list. So, if there were no balances which were worth reducing. Like 25% reduction does not impact the balances for these customers, right? When is it outstanding? So just want to stand the nature of this reduction. Like how -- because the earlier comment that management has given that the delinquencies that we are seeing the customers for 4 to 5 years, they were performing well and certainly, the default and it's difficult to recover anything. So just trying to understand the actions that we are taking to cut the limits or anything else like how do we get ourselves assured that this will have some impact in terms of reduced delinquencies incrementally?

Abhijit Chakravorty: Yes. So how it works is that these customers who are getting identified as high risk or on a watch list definitely, these customers would have utilized their limits. Any customer who has not utilized the limits will not be on the watch list. We categorize them, we wait for that opportunity when there is a headroom available. And then we reduce the limits at the appropriate time. So, we have an operational mechanism for that. So, we do it.

Now does it prevent the customer from becoming delinquent. No. If some of them, not all, some of them do become delinquent, then at least there will be creating a loss less 25% or more the limit that has been cut. That is the best option. That is the best step that can be taken by us, considering that we are already committed to the limit. The limit has been utilized. We wait for an opportunity to reduce the

limit. And if the account becomes delinquent and does not pay at all, somewhere we have cut our losses.

Rohan Mandora: Sure. And sir lastly if you look at the share of interest earning assets despite all the efforts that we are taking to increase the share of term lending, it has not moved up in the last 1 year. So, should we continue to expect that it would remain at the similar level?

Girish Budhiraja: The revolver is now stable at 24 and as we have stated earlier if it stays between 23, 24, 25 it is a great thing at this point of time. Second thing is on the assets, because our instalment asset whatever is customer spends and converts into instalment is usually runs off between 9 to 12 months and more instalment asset is getting filled and we are seeing that growth. This as a percentage share good mix would be 38%, 39%. Best case scenario, it can reach up to 40%. 38% to 40% is the range that we foresee in the next 3 to 4 quarters.

Rohan Mandora: Sure sir. Thank you.

Moderator: Thank you. The next question is from the line of Roshan Chutkey from ICICI Prudential Mutual Funds. Please go ahead.

Roshan Chutkey: Just wanted to understand if you can talk about the delinquency number in terms of number of accounts, how has that moved over the past 4 quarters. Just wanted to understand whether -- is OSBICard

SBI Cards and Payment Services Limited

July 26, 2024

Page 9 of 16

it that there are some chronic cases and the amounts in these chronic cases are increasing or you can ultimately talk about the bounce rates as well. How are the bounce rates doing? And is the bounce rate that you are seeing stable maybe those numbers?

Shantanu Srivastava: I'll take that one. The ECL model consumes data over a long period of time. And this time compared to the previous quarter, we've seen for all 3 stages 1, 2, 3, the rates have come down and this is driven by long-term 8 quarter or thereabouts worth of data. Certain elements of the model are refreshed on a quarterly basis. And one quarter data then gets added on and another quarter's data from previous 2 years gets dropped off. And that is what is causing the change in the ECL rates. This is in line with the IndAS guidelines, and this model is reviewed annually by an external expert and is audited by multiple auditors. So, the model itself is sound. And we've

also done a back testing of the model and that satisfies our auditors and regulators. So that's on the model.

Roshan Chutkey: Okay. How about your guidance I mean in December quarter I remember distinctly you said two quarters and things should be all. Where are we now?

Abhijit Chakravorty: So, we did say that we were anticipating for two quarters. But then look at the market, the way the market has behaved. What happens is that we create a watch list, we look for the trends. We find that there will be certain accounts which may have a tendency to flow. Now what happens to the certain accounts which further get impacted out of those watch lists itself and add to the delinquency. While our expectations and our actions are based on our models, everything is an indicator. We can only expect the best coming out of the customer behavior. Having a larger impact in the ecosystem if some more customers are unable to pay. This will add to the delinquency.

Roshan Chutkey: Understood. That's all from my side.

Moderator: Thank you. The next question is from the line of Shweta from Elara Capital. Please go ahead.

Shweta your line is unmated please proceed with your question.

Shweta Daptardar: Okay. So, I have two questions. First question. Sir, you mentioned that you have added 9 lakh - odd customers or card additions this particular quarter. You also mentioned that we have been selective, and the number of new card additions are also declining each quarter. But we saw that last quarter, we reduced limits for 1.5 lakh customers. And this quarter, in

the past 3 months,

like you mentioned in your opening remarks, that number has gone up to 5 lakhs.

So, what were the triggers or observations or signals that you observed the past 3 months that suddenly, from 1.5 lakh, this number has to go to 5 lakhs despite the fact that your new card additions incrementally have been coming down. You also mentioned vintage customers having -- and still showing slightly good behavior and also you are being selective. That's my first question.

Nandini Malhotra: So basically, we have been doing limit decreases for our existing portfolio and not new vintages.

In the new vintages, we see the performance is satisfactory. So, it's not that we are actually onboarding the customer and over a short period of time reducing the limit at some of the places. OSBICard

SBI Cards and Payment Services Limited

July 26, 2024

Page 10 of 16

For our existing portfolio, like we had mentioned earlier, we have early warning system which includes looking at the bureau triggers updated, looking at repayment with us. Over time, we have defined, and we have created predictive models looking at further attributes to the customer with us could be his spending pattern etc basis which we have identified a watch list, which we would like to take action earlier. We're also taking actions early compared to the last quarter. And the reason behind that is that we would like to address this problem early on in this tranche of year itself.

Shweta Daptardar: Okay. Sir, just a related question, sir, how do we perceive this 8.5% credit cost going ahead. So basically, we are just trying to figure out trend or any sort of parameter or factor which will help us forecast what we could foresee going forward? So, what could be that parameter or what could be that, say, maybe new account addition come down? Or this reduced limit towards customers that number? I mean, what is it that we should be factoring into sort of get some sense on credit cost movement ahead?

Abhijit Chakravorty: The credit costs cannot be related to the new accounts. New accounts acquisition strategy has been formed and will continue. Based on our experience and whatever actions we have taken on the acquisition front, which is already on record, we have stated how we have stopped sourcing from certain geographies. As far as the credit cost is concerned as we stated that we had expected based on our own analysis and the behaviour of the customers on -us off-us, trade lines all taken together, when we have created and categorize them. We have expected certain delinquency patterns. Now what happens is that over a period of time, we are looking at overall impact of their total borrowing and the lifetime events and those taken together. There is an incremental impact which is increasing the customers. So somewhere while we definitely have our own analysis and expectations, that get delayed by the environmental impact on some larger accounts. So, unless the ecosystem improves further, somewhere these incremental additions, we are seeing to continue for a shorter period.

Moderator: The next question is from the line of Jignesh Shial from Incred Research. Please go ahead.

Jignesh Shial: Yes. Just two questions quickly. One since you indicated that 60% of your customers are existing credit customers and 40% is non credit -- new to credit or non-card holders and all. So where are basically we are seeing more of defaults happening from 60 or 40 just rough cut? And secondly, this existing credit card customers, as you say that balance what is basically coming from Banca Channel.

So how the sourcing happens for the earlier the card customers and is it through more -- through

internally or externally or externally, is it how the commission fixer plays out? Because we have to understand how the occurrence or the basically issuances are happening. So, these would be my two questions.

Na

ndini Malhotra : So, with respect to the sourcing from the Banca channel, I'll take your second question first. In the Banca channel, we basically look at the savings account and their relationship with the bank, and basis that we give them a credit facility. Of course, we have our score cards in place for new OSBICard SBI Cards and Payment Services Limited
July 26, 2024

Page 11 of 16

to credit and new to credit card customers. And we look at the cash flow information and basis that, we basically take an underwriting decision. So, that is on the Banca channel.

On the carded customers, they can come from the open market channel or Banca channel. We have specific scorecards for existing carded customers, where we take into account their card behaviour outside and accordingly, we take a decision. Do you want to know the processes?

Jignesh Shial : Understood. This is really helpful. But for the 60 what will be the channels from which you're sourcing; 40 I am assuming is fully Banca, majorly Banca . So, this 60 will be then through what sources how much will be Banca, how much will be others and all, can you give us some colour on that?

Girish Budhiraja : So, 60 out of that 60% close to 10 would be Banca balance close to 45 to 50 would be open market , in open market, out of that close to around 40% would be our co -brand partners we work with -- there are a lot of co -brand partners that we work with. We have digital acquisitions through Paytm. We have Reliance as our co-brand partner where we position our people. So, on the Reliance stores that is there. Some 30% -40% comes from our own stores and kiosks that we put up in the market. So, it is different sources that it comes .

Jignesh Shial : Understood. And the default should be from 60 -40, how the default should be playing out not the exact numbers?

Abhijit Chakravorty: No, defaults are spread around.

Jignesh Shial : Okay. the new to credit and old credit you are seeing the default across everyone the same.

Abhijit Chakravorty: Yes. Defaults are spread around as I said it does not indicate any particular group or cohort where it is spread around.

Jignesh Shial: Understood. That's quite helpful. Thank you so much.

Moderator: Thank you. The next question is from the line of Puneet from Macquarie. Please go ahead.

Puneet: Sir, just on the opex bit I understand you said it's low on the because of lower card additions and your corporate spends have also been low. Do you expect this to recover going forward?

Abhijit Chakravorty: Yes. Corporate spends we expect to recover. As we stated in our last call also that this quarter, we are expecting it to go up. And Q3 we expect it to be on close to original numbers, but we expect it to recover and hence the opex would increase accordingly.

Puneet: Okay. And another thing your last quarter I remember your credit cost guidance was around 7 percentage and on the current trends that you're seeing would you revise it or what do you expect any comment on that?

Abhijit Chakravorty: We had given a guidance of upwards of 7%. So, we do see a downward trend during the latter part of the year. And as of now we can only assume it to remain between 7% and 8%. We will continue to hold on to that to be between 7 % and 8%. OSBICard

SBI Cards and Payment Services Limited

July 26, 2024

Page 12 of 16

Puneet: That's it from my side. Thank you so much.

Moderator: Thank you. The next question is from the line of Ajit Kumar from Nomura. Please go ahead.

Ajit Kumar : Thanks for the opportunity. I just wanted to check on your ECL coverage and method to calculate it. If you look at a stage -wise PCR on Stage 1 and Stage 2 asset coverage has been coming down from past few quarters, even on a stage 3 our coverage has come down in this quarter versus last quarter. So why is coverage going down especially on the Stage 1 and 2 assets when it has been going

going up from a fairly long period of time like from last 8 to 9 quarters. And will you consider ramping up coverage ratios going forward?

Shantanu Srivastava : The ECL model consumes data over a long period of time. And this time compared to the previous quarter, we've seen for all 3 stages 1, 2, 3, the rates have come down and this is driven by a long -term 8 quarter or thereabouts worth of data. Certain elements of the model refresh on a quarterly basis. And one quarter data then gets added on and another quarter data from previous 2 years gets dropped off. That is what is causing the change in the ECL rates. This is in line with

the IndAS guidelines, and this model is reviewed annually by an external expert and is audited by multiple auditors. So, the model itself is sound. And we've also done a back testing of the model and that satisfies our auditors and regulators. So that's on the model.

Ajit Kumar: Sure. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of MB. Mahesh from Kotak Securities. Please go ahead.

MB. Mahesh : Just one question. When are you seeing the recovery efforts on the ground, and you see borrowers with multiple defaults on the bureau is how easy or difficult has been to put SBI Cards as a first point of repayment from a customer's perspective?

Abhijit Chakravorty: So how does one predict? So, what do we do it? We try to find out as to the best of the possibilities of trying to find the source of income if any. If we try to -- if we get that and if we find a pattern on that then definitely, we identify and we try to be there on the doorstep on the date of the cash flow. But that is for the customers who are going to pay. What we are finding is that customers are unable to pay at all. In case of multiple delinquencies also, if we look at the bureau data, we find that a high percentage of our delinquent customers are off-us delinquent too. So, it's not a question of how I get my payment first. The fellow doesn't have money to pay. And wherever there are cash flows available, wherever we find that there is a possibility of payment we have a promise to pay scenario, we are there on the doorstep on the cash flow. So, we do have those mechanisms in our collection efficiency. But as I said there are customers who are beyond that.

MB. Mahesh Okay. And one clarification on this incrementally are you seeing the slightly larger ticket size cards also showing delinquency or there are no trends in that as well?

Abhijit Chakravorty: I saw this discussion around two, three quarters back or also in the domain that the delinquencies probably were happening in the low-ticket ones. So, we stated earlier also that we found it spread OSBCard SBI Cards and Payment Services Limited

July 26, 2024

Page 13 of 16

across, and we still find it spread across. We find delinquencies at the lower limits as well as the mid. When we say higher limits say going up to say INR3 lakh to INR 4 lakhs also.

MB. Mahesh: And there's no change in this trend?

Abhijit Chakravorty: No. It's absolutely as per our analysis, as per our reverse feedback from the ground based on the collection team's feedback. We find that this has more to do with the inability to pay, irrespective of the vintage or the limit I mean, it's happening across the portfolio.

MB. Mahesh: Okay sir. Thanks.

Moderator: Thank you. The next question is from the line of Yash Agrawal from UBS. Please go ahead.

Vishal : Vishal here. Thanks for the opportunity. See two questions from my side. One you yourself indicated that there is more default in the industry and the segment is facing some stress. Now how comfortable you are growing your book at 20% plus if you are seeing this stress in the industry? That's question first?

Girish Budhiraja : Yes. You're right. We are -- be careful while growing the book. So, if you have noticed, we have

already stated that we are not looking at increasing revolve. We are not increasing the revolver book. The book which is getting increased is the instalment lending book where the customer has already spent on the card which we have always stated that is a very good book that we have built. Second thing is if you look at the number of customers or the CIF growth that is in the range of around close to 11% or so. Asset growth is more. So, we are not looking at adding more customers and growing from those more customers. We are looking at our existing customers and trying to get more engagement with those customers and building the book there. So, these are the two things that we are doing.

Vishal : Should we not expect like the receivable growth to slow down there in the near term?

Abhijit Chakravorty: Slowdown in?

Vishal : Basically, your loan book. Should we not expect it to slow down to more like mid-teens also if you're trying to be conservative here?

Girish Budhiraja : So we have always stated, in fact even in earlier calls we have also stated that we expect the card growth to be around 15% to 17% and another 5% to 7% coming from our existing card customer -- when you're looking at spend growth from a spend per account usually between 20% to 23% is the spend growth that we have always been stating. And the asset growth lags that by a bit. So around anywhere between 15% to 18% is the asset growth. So, we will continue to deliver those growth numbers and that is what we have indicated. The only thing is that we are looking at delivering these growth numbers from low-risk segment categories spends which are more converted into instalment lending because they give us interest and the credit cost also has to be monitored accordingly. OSBCard

SBI Cards and Payment Services Limited

July 26, 2024

Vishal: Okay. And the second question is actually on the Banca or SBI channel. Now when I look at your delinquency it's basically 19 %, 20% lower for SBI customers, but that also appears pretty high when we look at the SBI data. SBI has been reporting very good asset quality even on the unsecured segment. So how are you getting this adverse selection from their book? So, what is going wrong there?

Abhijit Chakravorty: We can see card behavior will be slightly different from an unsecured loan behaviour, number one. Another thing is that for SBI every unsecured loan may not be an NTC for them. And as I said, not only SBI but across the industry if you look at the unsecured loans specifically the personal loan segment, they will definitely be doing better even from interstate between the bank itself wherever the card business is part of the bank between the same bank the personal loans will be behaving better than the cards. So, you yourself can analyze it and you will see the difference.

Vishal: Yes, the gap is generally lesser, but that's okay. Thank you. All the best.

Moderator: Thank you. The next question is from the line of Krishnan ASV from HDFC Securities. Please go ahead.

Krishnan ASV: So, this is partly continuing from what the previous two queries there by both Vishal and M B. Are we reaching a stage now where you necessarily need to prioritize asset quality stability over the growth. Is it reaching a stage where it is becoming difficult to manage both because that's the perception that now seems to have, I mean, given the swing purely in terms of our inability to manage the credit cost. I mean these are getting elevated almost in the quarter. So, if you did take the kind of product actions and interventions that you mentioned, it's very difficult to imagine why this should continue to stay elevated. Why the credit cost should continue to stay almost record highs almost every quarter, right? And plus, we are still saying it will remain between 7% and 8%. It's not like a onetime -- so there is obviously

something with the behavior of customers, which I understand. But does that necessarily mean that now you need to take a step back to take a pause, as maybe prioritize quality and stability because I'm sure the regulator is also looking at these things. We don't want to give an impression to the regulator that's becoming difficult to manage asset quality, right?

Abhijit Chakravorty: I will not exactly agree with you. Asset quality can be a cyclical event also. While asset quality will need to be managed, it doesn't mean that one has to fold and hold up the shop and not do business at all. But it is definitely important how do we do business, what business do we do? So, when we do the new business, new acquisitions, expand our loan book, how we do it is more important. So that's what we have been doing, and we'll continue to do that. Simultaneously, work on the delinquencies, work on the credit cost. That is a separate thing to be handled and we will continue to handle that, and the business will continue the way it is. There is no stepping back.

Krishnan ASV: Like I mean the only reason I'm probably harping upon this is -- we have gone from about 6% credit cost nearly 2 years back. I'm sure that itself was a bit elevated at the time. We have been actually doing a lot of these portfolio intervention. Despite that these trade costs are not coming OSBICard SBI Cards and Payment Services Limited
July 26, 2024

off. I mean, I understand what you're saying that there is a system wide issue around some of these things and you can't be oblivious to that, you can't be immune to that completely. But my only point was does it reach a stage where you then say okay fine instead of us trying to manage both the engines now? Can we focus on one over the other and you're saying that's not necessarily yet?

Abhijit Chakravorty: So, as I stated I already made myself very clear. And another thing is we have been -- we did not start the portfolio actions 2 years back. We started doing it during last financial year when the signal started coming off. It's not that for 2 years we have been doing portfolio actions and then we are at this stage. The delinquency started somewhere previous financial year and they have continued an overflow to this financial year also and somewhere we find that we are not the only one to have seen this kind of a behavior. Now my data is in public; stand alone data is available. So that's why I'm subjected to more scrutiny, but beyond that it doesn't mean that I should not be doing business. I will be doing good, prudent, good business, continue to do business while working on the collections and recovery efficiencies also.

Krishnan ASV: Understood. So, I completely take your point. These credit card delinquencies are beginning to show up in a lot of other lenders. So, you are obviously not alone there. I mean I take your point.

Moderator: Mr. Krishnan, may we request you return to the question queue for any follow-up questions. The next question is from the line of Hardik Shah from Goldman Sachs. Please go ahead.

Hardik Shah: I have only one question which is can you explain how this index 30 plus delinquency are computed ? Just wanted to get some sense.

Shantanu Srivastava : The index ed delinquencies are point s of time indexation . So, for example if you look at the chart on the bottom left which is our open market to SBI sourcing, the overall number is taken as one and the relative difference of SBI to that number is then index ed. L ikewise for open market. So, in this example when it says 1.07 that means th e open market channel is 7% more than the overall average and the SBI channel is 19% better.

Hardik Shah: Understood. Clear.

Moderator: Thank you. W e will take the last question fr om the line of Shubhranshu Mishra from PhillipCapital. Please go ahead.

Shubhranshu Mishra : Hi Girish. Thanks for thi

s opportunity. Two questions t he first one is what the treatment of GST recovery is . Do we add GST to the principal outstanding on the NPA account or we excluded that is 1st. And what is the NUNP as of this quarter versus last quarter this year -- sorry this quarter last year?

Girish Budhiraja : So, I'll answer the NUNP question first . So, NUNP numbers now after the RBI guidelines of 37 days in active yo u have to close is almost nil. Those numbers which used to be at one point of time in the industry with pre -card floating around very high with this RBI guideline and we are charging fee base card that's hardly anything. OSBICard
SBI Cards and Payment Services Limited
July 26, 2024

Page 16 of 16

What we see is that almost close to anywhere between 95% to 97% of the cards we are able to, within 37 days , get them active in one way or the o ther and engage with us. So NUNP problem after last MDC circular is not there.

Rashmi Mohanty : So, Shubhranshu on any account there is a certain hierarchy that we follow whatever amount that we collect from the customer get applied in a certain hierarchy. And of course, the statutory payments are definitely prioritized over the other payments.

Shubhranshu Mishra : So, do we add the GST to the principal plus the fees that we charge, how do w e -- what would be if I ask for GST ?

Rashmi Mohanty : Yes absolutely. When we calculate the total outstanding all of the dues including the statu tory dues, interest payment et c is calculated. And then based on whatever we recover from the customer the application is made as per the hierarchy.

Girish Budhiraja : As per the latest regulation the minimum amount due, full GST is included in that.

Shubhranshu Mishra : Understood. And if I could just squeeze in one last question. What percentage of our custome rs pay MAD on a quarterly basis?

Girish Budhiraja : So, Shubhranshu we have not declared that number whereas what you can look at is at almost 24% of our assets is a revolving asset wherein the customer pays between 5% to 100% not 100%, but 5% to 100% a nd usually the revolving balance per customer is usually 2x to 2.5x of a normal balance. So, if you calculate you will get the numbers .

Shubhranshu Mishra : Thank you. This was very helpful. Best of luck for the future quarters.

Moderator: Thank you. L adies and gentlemen, we would take that as a last question for today. I would now like to hand the conference over to Mr. Abhijit Chakravorty for closing comments.

Abhijit Chakravorty: Yes. Thank you everyone for being with us and having the fruitful discussion. We have experienced a good positive start for FY'25 with the first quarter. SBI Card continues with its journey of achieving sustainable and profitable growth. SBI Card is committed to the highest standards of governance, ethics, and integrity for ensuring business sustainability. I would like to share my gratitude towards our shareholders, investors and business partners for their continued trust and support to SBI C ard. Thank you!

Moderator: On behalf of SBI Cards and Payment Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. OSBICard

Call: Nov 2024

November 05, 2024

The BSE Limited

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Re: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure

Requirements) Regulations, 2015 -Transcript -SBI Card 20'FY25 Earnings Call

In compliance with the provisions of Regulation 30 read with Schedule III Part A of

SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript

of the Earnings Call held on October 29, 2024 with analysts /investors, has been made

available on the website of the Company at the below mentioned link. Further, the

same is also attached herewith for reference.

<https://www.sbicard.com/en/who-we-are/analyst-investor-meeting.page>

Kindly take the same on record.

Thanking you,

Yours faithfully,

For SBI Cards and Payment Services Limited

Payal Mittal Chhabra

Chief Compliance Officer & Company Secretary

Date and Time of event: -October 29, 2024 at 04:55 PM

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Page 1 of 16

"SBI Cards and Payment Services Limited

Q2 FY25 Earnings Conference Call"

October 29, 2024

MANAGEMENT : MR. ABHIJIT CHAKRAVORTY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER

MR. GIRISH BUDHIRAJA – CHIEF SALES AND MARKETING OFFICER

MS. RASHMI MOHANTY – CHIEF FINANCIAL OFFICER

MR. SHANTANU SRIVASTAVA – CHIEF RISK OFFICER

MS. NANDINI MALHOTRA – CHIEF CREDIT OFFICER

Moderator: Ladies and gentlemen, good day, and welcome to the SBI Cards and Payment Services Limited Q2 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Abhijit Chakravorty, MD and CEO. Thank you, and over to you, sir.

Abhijit Chakravorty: Thank you, Sejal. And good evening, everyone. I welcome you all to the earnings call, along with my senior management team at SBI Card s.

Indian Credit Card Market: Gaining Momentum

- Recent reports on credit card market project that the number of credit cards in India will reach 200 million by FY28 -29, with a CAGR of 15%, further establishing credit cards as a significant payment instrument.
- September 2024 data indicates that credit card transactions in India reached 0.39 billion in volume, showing a 36% YoY growth in transactions volume and 17.8% in spends value.
- The demand for credit cards remains strong as consumer spending is growing at a healthy rate.
- This trend indicates the expansion of the credit card market in India, driven by technology advancements, consumer behaviour shifts, and supportive regulatory measures.
- SBI Card continues to adapt to the changing business environment, to ensure profitable growth.
- The demand for credit cards remains strong as consumer spending is growing at a healthy rate. This trend indicates the expansion of the credit card market in India driven by technology advancements, consumer behavior shifts and supportive

tive

regulatory measures. SBI Card continues to adapt to the changing business environment to ensure profitable growth.

Let us now look at SBI Cards business overview in Q2 FY '25 .

- Our cards -in-force (CIF) stand at 1.96 crore, with 10% YoY growth.
- New account acquisition during Q2 is at over 9 lakhs . We continue to be selective and focused on quality of acquisition, we will continue to be in this range in the near term.
- SBI Card continues to be India's second largest credit card player, with CIF market share at 18.5% (As per RBI September 2024 data).
- Our overall share of new accounts sourcing from Banca and Open Market channels stands at 41% and 59% respectively for the quarter.

Spends:

- Retail spends witnessed strong growth and reached ■ 76,398 crore with a 24% YoY growth.
- Total card spends stand at ■ 81,893 crore, with around 3% YoY growth.
- SBI Card spends market share is at 15.7 % (As per RBI September 2024 data).
- We have seen good growth in both PoS and online spends across various discretionary and non -discretionary spends categories. OSBIcard

SBI Cards and Payment Services Limited
October 29 , 2024

o Key ones include departmental stores, utilities, education, consumer durables, furnishing & hardware, apparel and jewellery, among many others.

- Retail spends per card have grown to ■ 1.58 lakh during the quarter, vs ■ 1.39 lakh for Q2 FY24.
- Online spends continue to be strong and contributed 60% of total retail spends.
- Corporate spends are at ■ 5,495 crore. The spends have grown QoQ, in line with our strategy for profitable growth in spends.
- RuPay card spends at UPI terminals continues to grow and have shown a growth of

40% over the previous quarter.

- o Department stores & grocery, utilities, fuel, consumer durable, and restaurants, have been among the top five categories for UPI spends.
- o Tier II+ customers are utilizing this facility more as it increases the number of acceptance outlets for RuPay cards.

Key Initiatives:

As a customer centric and responsible organization, SBI Card continues to focus on varied initiatives during the quarter:

- We have forged strategic alliance with Singapore Airlines to launch 'KrisFlyer SBI Card', a one-of-its-kind travel centric co-branded credit card, targeted at the super-premium segment.
- All our customers now have an option to have a product with the network of their choice. All our products, both proprietary and co-brand, are now fully compliant with the RBI guidelines.
- We were among the first few to enable payment through BBPS, to make instant repayment experience simple and seamless for our customers.

Financial Performance Q2 FY25

Coming to the financial performance in Q2 FY25, I am pleased to report that SBI Card delivered a robust performance, highlighting the resilience of our business model. The key financial highlights for the quarter are:

Revenue:

- Total revenue has grown to ■ 4,556 crore registering an 8% growth vs ■ 4,221 crore in Q2 FY24.
- PAT stands at ■ 404 crore vs ■ 603 crore in Q2 FY24. This owing to:
 - o Higher credit cost
 - o Increase in spend based expenses owing to onset of the festive season towards last few days of September, resulting in higher opex.

Receivables: OSBICard

SBI Cards and Payment Services Limited

October 29, 2024

Page 4 of 16

- Receivables have reached ■ 55,601 crore with a strong 23% YOY growth.
- Receivables per card have grown to ■ 28,387 vs ■ 25,220 in Q2 FY24.
- Interest earning asset stayed stable at 60% with EMI receivables at 37%.
 - o Spends and related expenses were higher for the quarter, with the onset of the festive season during the last few days of September.
 - o This also impacted NIM marginally as the asset mix changed due to spends coming in the last week of September. In earlier years too we have seen the same trend of NIM dropping in case of festival season sta

rtling in September.

- o NIM and asset mix will normalize over the next few months.

Cost of Funds:

- Cost of funds is stable at 7.4%.
- In our assessment at this stage, the Cost of funds has peaked out and will start coming down once interest rate easing cycle begins.
- Net Interest Margin during the quarter has remained stable at 10.6 %.
- Cost to Income for Q2 FY25 is at 53.4%.

Asset Quality:

Coming to the asset quality for the company. The credit card industry has continued to witness an increase in delinquency levels, largely driven by environmental factors which have impacted the repayment capacity of borrowers. As per recent RBI reports, these factors include increase in household debt and excess leverage through retail loans. The latest data from the credit bureau suggests that the card industry delinquencies will increase gradually during FY '24, have increased even more sharply in first half of FY '25.

This trend is seen in our portfolio too :

- The gross NPAs have increased to 3.27% from 3.06% in Q1 FY '25.
- Gross credit cost for the current quarter has increased to 9% from 8.5% in the previous quarter.

The primary reason for the increase in our Credit Cost has been the customers' inability to repay owing to cash flow challenges and increase in leverage. We have noticed that once the customers become delinquent, their ability to repay the pending dues has reduced significantly. Due to this, our delinquency levels have remained elevated with Credit Cost at 9% in Q2 FY'25.

We believe we are closer to the peak. Our flows into delinquency have improved over the last six months, this gives us some confidence about the efficacy of our actions.

As stated in our previous calls, our efforts have been directed towards tightening our underwriting standards, actively managing our portfolio, and intensifying our collections activity by leveraging digital and tele-calling earlier in the customer lifecycle. OSBICard
SBI Cards and Payment Services Limited
October 29, 2024

Page 5 of 16

We are seeing a drop in early delinquency of new acquisitions. In addition, the proportion of prime and above prime customers in our new acquisition has improved by ~15% over the last 15 months. That said, it is difficult to predict the exact timeline and quantum of improvement in Credit Cost, as this would also depend on the changes in the unsecured lending ecosystem and macroeconomic factors.

Liquidity and Capital Adequacy:

- Our liquidity position continues to be strong.
- Our Capital Adequacy Ratio (CAR) is at 22%+
- Our Liquidity Coverage Ratio (LCR) is at 108% vs statutory requirement of 85%.
- ROAA is 2.7%, lower by 218 bps YOY.
- ROAE is 12.5%, lower by 986 bps YOY.

Conclusion:

- We remain optimistic about growth prospects for the credit card industry.
- The rising consumer spending, increasing digital adoption and ongoing festive season ensure continued growth momentum.
- We'll continue to focus on all key aspects, including expanding our customer base and partnerships and enhancing our digital capabilities to meet the evolving needs of the customers.
- As a conscious and responsible organization, we will continue with our focus on ESG initiatives. Today, the positive impact of our initiatives can be seen across various assets from saving lots of trees owing to paperless communication to relief measures for communities facing natural calamities, etc.
- Additionally, we remain committed to maintaining strong asset quality and prudent risk management, ensuring long-term sustainability.

Thank you and now we are open to questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mahrukh from Nuvama Wealth Management. Please go ahead.

Mahrukh: My first question is on credit cost only. You said flows have peaked and I know that the environment is uncertain, and now

other lenders are also seeing a spike in credit cost on cards.

But if your flows have peaked, does it mean at least some moderation or at least a peaking of your credit cost now or how does it pan out? Because your early delinquencies on new acquisitions are also coming off?

Abhijit Chakravorty: What we stated just now is that we see ourselves closer to the peak. It will take a couple of quarters more, at least one or two quarters more to understand the pattern. But then yes, as I said, a combination of all the factors taken together, the flows into delinquency, various actions that we have taken together, all of that indicate that we are closer to the peak. We have been very specific in our speech. OSBICard

SBI Cards and Payment Services Limited

October 29, 2024

Page 6 of 16

Mahrukh: Okay. Got it. And sir, does opex hold here for at least in the near term? Or does it rise even further the cost to income that is?

Rashmi Mohanty: Mahrukh, as you would have seen from the previous year's results as well, quarter 2 and quarter 3 typically are high Opex quarters and that kind of normalizes and comes down in quarter 4. We have given a guidance, which is where we always ask to look at the full year opex number, cost-to-income number instead of looking at it quarter-on-quarter which we said will be in that 55% range.

Mahrukh: Okay. Got it. And just my last question on margins. Like given that third quarter is also festivals. I did not catch your last comment on margins when you were giving the commentary. So, would the margins be a little soft even in the third quarter and then come back in the fourth quarter?

Rashmi Mohanty: That's right, yes.

Mahrukh: Okay. Thanks a lot. Thank you.

Moderator: Thank you. The next question is from the line of Shweta from Elara Capital. Please go ahead.

Shweta: Thank you for the opportunity. A couple of questions. So first one being for our revolver share has come down. So, is it that we have categorically chosen? Or is it that customers are not

revolving, and they are just defaulting? That's question number one.

Girish Budhiraja : If you see the revolver share is around 23%. The primary reason for this is that during the last week of September, the festival season started. You have new spends coming in, which goes into the denominator and that takes time for the customer to pay off after some billing cycles.

So as stated in the speech, we see normalization of this happening by the end of this quarter.

Shweta: Okay. Sir, second question being, if I look at corporate spend so they have -- so your calibration has worked out. And so, shall we expect now INR5,000 -odd crores plus will be the range, and it will schedule your eventually or slowly and gradually now retail spend traction will catch up much faster than what we are seeing currently?

Rashmi Mohanty: You have to repeat the question, Shweta. We didn't get it. You were asking about the opex?

Shweta: As the strategy, our corporate expense calibration on the lower side has worked out for last two quarters so this quarter as well as last quarter, we have seen INR5,000 -odd crores plus kind of a number on corporate spend. Going forward, do we see this number settling here and therefore, retail spend traction catching up much faster?

Girish Budhiraja : On the corporate spend in Q3, we are at INR5,000 crores for last two quarters, it will go slightly up. But we will continue to be focused on the retail spend because this quarter is a festival season.

Going further, as we have stated, we are looking at more profitable spends coming out of the corporate spends rather than just a pass-through spend.

Moderator: Thank you. The next question is from the line of Piran from CLSA. Please go ahead. OSBICard
SBI Cards and Payment Services Limited

October 29 , 2024

Page 7 of 16

Piran : Thanks for taking my questions. One of them is just an extension to Sh

weta's question on

revolver share. Now not referring to the quarter, but in general, in the past, we've seen when we've tried to tighten our underwriting standards, the revolver share has dropped like during COVID, it went from mid -30s to mid -20s. What steps will we take to ensure that, that does not happen given that it's a big profit contributor for us or are there steps we can proactively take?

Girish Budhiraja : We are not taking any steps to increase proactively the number of revolvers. However, what we have seen from data is that because these steps on the underwriting and other things have been continuing for the last one year now, and it has stabilized at 24%. And even in last call, we have stated that it will continue to range between 23, 24, 25, depending on seasonality or what is happening at the end of the month. It should continue to be in that range at least for a foreseeable two to three quarters. What we are also seeing is that on absolute amount, the revolver balance has continued to increase.

Piran : Okay. And also, just in terms of sourcing from SBI, that share has been going down over the past few quarters. Now given that those customers are historically less delinquent, what explains that we are reducing the share of SBI sourcing?

Girish Budhiraja : That is not an active reduction on the number of accounts from the Banca channel. Because of the new underwriting parameters we have put in, we have worked with the bank to look at a new model to be put in by the bank for the new customer acquisition. That was put in somewhere in the middle of last quarter, but we should see the mix coming back to our standard mix of around 55 from Banca and 45 from open sourcing.

Piran: Okay. So, this is just a temporary thing?

Abhijit Chakravorty: Absolutely.

Piran: Got it. And just a last question for Rashmi. Cost of borrowing moderated this quarter. Is it simply an effect of T-bills, T-bill rates cooling off a bit?

Rashmi Mohanty: That's right. Yes. Our short-term borrowing is linked to T-bill rate. So, the expectation around interest rate and the softening of the T-bill rates have helped us in the cost of funds.

Moderator: Thank you. The next question is from the line of Shubhranshu Mishra from Phillip Capital. Please go ahead.

Shubhranshu Mishra: Hi, good afternoon. Thanks for this opportunity. So, three questions. The first one is on the credit cost. What could be the proportion from SBI customers versus open-source customer in the 9% gross credit cost that we see. Second is that are we going to see strong spend growth in Q3, Q4, especially the festival season that so much being spoken about the urban consumption coming off and festive season has been just about okay. So how are we thinking about that?

And third is around the new originations. So how much are we carding the carded there? In the new originations which could be probably the SBI or non-SBI, but what is the proportion of people who come in with a card in the new originations? OSBICard

SBI Cards and Payment Services Limited

October 29 , 2024

Page 8 of 16

Shantanu Srivastava : I'll take the first question, which is about the channel -wise makeup of the asset quality. We don't do credit cost calculations by channel because it's a fairly detailed calculation, it's not possible to attribute credit cost by channel with that level of precision. But we know that the SBI sourcing is of much better quality in terms of delinquency. And that is mentioned in our slide as well, if you'll see the investor deck, there were only 2 slides. One of the slides explains that. So, the index delinquency of SBI is about 0.77, which basically means is 23% better than the overall average.

Girish Budhiraja : On the spends portion, retail spends are running fairly strong. As you rightly said, urban consumption is going up, and we have seen these spend season thus far growing quite ok

ay. And

there is no issue that we see primarily on this front.

On the new acquisition front, where you stated that what is the mix. So, the way that we look at it is slightly different. The Banca channel primarily operates when we look at the bank customers. Customers' banking transaction data is used to underwrite from there. So, we have more new to credit from there and less of people who already hold a credit card. On the open market because the data is required, so there are people with thick files, which we look at. It may not be that people are already carded they might be running some personal loans, but they have a good credit history for a record at the credit bureaus to be looked at. And we are these days looking at a lot of other data, apart from just credit score to give the card to the customer.

Moderator: Thank you. The next question is from the line of Rohan Mandora from Equirus Securities. Please go ahead.

Rohan Mandora: Good afternoon, sir. Thanks for the opportunity. Sir, in your opening remarks, you mentioned that the flow rates have improved. But if you look at this quarter, the GNPA has gone up and write-offs are also higher. So, is it for a particular month that you are talking about the flowrate if you can elaborate further here?

Second, you also commented that there's a 15-percentage improvement in prime and above prime customer. So, I just wanted to clarify that 15% or 15 percentage points because if it is 15% then the mix wise there is no meaningful improvement. So just clarity here. And third, in the recent origination that we are doing on new cards, how is the breakeven period vis-a-vis say, 2, 3 years ago on the new relationships that we are originating in terms of duration?

Shantanu Srivastava: So, in terms of the flow rate, the statement made in the opening speech was around the early delinquency, flows "into delinquency". That's been improving. But other flow rates are, for example, from delinquent to write-off, that is not improving. And that is what is also witnessed in our write-off numbers, and they are clearly going up. So, there are 2 parts to the flow rate story. In terms of the asset mix, the improvement in the portfolio quality, the percentage number is in percentage of 100%.

Rashmi Mohanty: Absolutely, 15%.

Abhijit Chakravorty : Somewhere, I would say we need to recall our earnings -- on previous calls where we have stated that the issue remains with a set of cardholders who are unable to pay once they become OSBICard

SBI Cards and Payment Services Limited

October 29, 2024

Page 9 of 16

delinquent. So, the same pattern remains. While we have been able to improve "into delinquency" part, a portion of the delinquent customers once they become delinquent, they are unable to pay. So that is the difference.

Having said that, what gives us some confidence, towards improvement in future is that the inflow to delinquency has reduced and that will bring down the overall delinquent customers' number. And if it stabilizes going forward, then these are looking at some better times.

Moderator: Thank you. The next question is from the line of Gao Zhixuan. Please go ahead.

Gao Zhixuan : Firstly, is on the asset quality on the commentary that maybe in a one or 2 quarters' time, we could see the peaking of credit cost. So just wondering what's our best guess of what happens after the credit cost peaked, i.e., if I look at FY '26, how fast do you think credit costs can come down or is it likely to remain at a 9% level for some time. How should we think about this, sir?

Abhijit Chakravorty : We won't be able to guess those numbers or estimate those numbers as of now. As I said, we take actions at our end, but a larger part of the impact comes from the overall ecosystem. So, a lot will depend, the overall ecosystem improving and contributing towards our efforts also. So, giving a firm number at this stage

or estimating what can be the gradient will be a bit difficult at

this stage. But yes, as we stated earlier also, we expect that during the end of the year onwards, we expect it to improve further.

Gao Zhixuan : Got it, sir. And on the interest earning assets, I was just trying to back calculate what the interest-earning assets growth on a sequential basis. Not sure I get it correctly, but it seems to be about 2%, which that number used to be somewhere above mid-single digit for the last 7, 8 quarters.

So how should we think about the interest earning asset growth from here? Also given the tough asset quality environment, we are kind of taking prudently in terms of these interest earning assets growth. So how should we think about it going forward?

Girish Budhiraja : We had, in earlier calls also stated, that we should look at the spend growth at anywhere between 20% to 23% on a year -on-year basis going further and asset growth of around close to 17% to 20% on an annualized basis. As of now, what we see is that the interest-bearing asset is growing broadly in line with overall asset growth. So even if you look at this quarter on a year -on-year basis, the overall asset has grown by 23%, 24%. And the interest -bearing asset has also grown maybe a couple of percentage points lower than that, but broadly in the same line. So, we see that the interest -bearing assets would also grow probably between 15% to 19% in line.

Gao Zhixuan : Got it. That's helpful. And lastly is on the fee and commission income growth, how should we think about the growth there versus asset growth becomes flattish year -on-year. So, what's driving the divergence?

Girish Budhiraja : The spends growth will always have a divergence with some bit to asset growth. Typically, the spend growth leads the asset growth. OSBICard

SBI Cards and Payment Services Limited

October 29 , 2024

Page 10 of 16

Gao Zhixuan : Sorry, sir. I mean the fee income because fee income is like I think a bit negative year -on-year, right? So, I'm just wondering, expense growth is strong, but then why are we seeing the divergence with the fee income growth?

Girish Budhiraja : So, fee income, there are two elements to fee income. One is the interchange part, which is growing fairly strongly and in line with the spend. But on some of the other key lines, for example, the late fee and over limit fee either because of external actions or because of the tightness and selectiveness that we are showing with our portfolio and actions we are taking. Some of those fee lines are not showing the kind of growth that we would have expected. And it is good , as the late fee does not go to that level at this point of time because of the credit cost that we are running at, we believe, that should give us some benefits at a later date.

One other thing, which is the rental fee that we were charging, the rental fee also now is degrowing in a way compared to what it used to be earlier years, and it was a large part of the overall fee. So, there are those elements on the fee part. We are, however, taking certain actions and we will be looking at revision of certain fees in certain lines to get the fee income to continue to grow.

Moderator: Thank you. The next question is from the line of Anand from Emkay Global. Please go ahead.

Anand: My question is related to the flow rate that you talked about. So that reduction in the flow rates into the early buckets, is it more to do with some improvement at the customer level or is it that you have put more efforts and because of which you're able to collect faster and whether a similar kind of trend can be expected at the industry level?

Shantanu Srivastava : The efforts are on both sides, the portfolio management, underwriting side as well and also on the collection side, both of them are contributing to the improvement into the flows into delinquency.

Abhijit Chakravorty: So, to

expand that, we have started giving the nudges or calls to the customer early in the life cycle. So somewhere it has given some results, and we are going to build up further on that.

Anand: Earlier on, basically, you talked about your specific cohorts, the early vintage cohorts where basically you have seen some stress. So, whether we can say that those cohorts are largely done with and now whatever the near vintage cohorts are performing well. That is also could be a reason?

Abhijit Chakravorty: I don't think we spoke about near vintage cohort or any cohorts in last at least 5 calls. I've been in the last 4, 5 calls myself. We have never spoken about any cohorts, and then we have been very clear that we see the trends across entire stable. And we have never said that it's due to early cohorts. I don't think we've ever said that.

Anand: Sir, earlier, I think from 2018 or '19 cohort is where I think we are seeing higher delinquency what we had talked about? OSBICard

SBI Cards and Payment Services Limited

October 29 , 2024

Page 11 of 16

Abhijit Chakravorty: I think that we spoke almost 1.5 years back, and then that we are on record saying that, that part -- '19 part, got cleaned up. That was brought under control. And that is, I think, we are talking about some March or June 2023 story. We have come a long way up since then.

Anand: Sure. Sure. And sir, one more key item, which is basically business development incentive, which has been actually coming down. Any specific reason for that?

Abhijit Chakravorty: Do you mean -- by business development, do you mean cards in force?

Anand: No sir, basically there is this line item by business development incentive . I think which -- where you get some fees from the network providers, right? So there, the fee has been on a quarter -on-quarter basis has seen some reduction. So, anything to read into that?

Girish Budhiraja : There is a marginal reduction this quarter, but it is going to come back from next quarter.

Anand: Okay. So that's more seasonal, right?

Girish Budhiraja : Yes.

Anand: Thank you, sir .

Moderator: Thank you. The next question is from the line of Pranav from Bernstein Research. Please go ahead.

Pranav: Good afternoon. Thanks for taking the questions. I just two questions. One, on your earlier comment that you're seeing a significant drop or write -off once a customer becomes delinquent. Is that simply a function of lenders across the board tightening their disbursements and therefore, resulting in defaults or is that the driver.

The second question is on your shift in the quality of customers. If you're going more towards prime, what's the difference in profitability between a prime versus the average customer? Does that -- or would that lead to a significantly lower profitability in the medium term if you shift to a greater share of prime customers?

Abhijit Chakravorty: So, the first part, we can't comment what other lenders are doing. We can only state what actions we have taken and what results we are able to see. Regarding the prime customers, well these are recent acquisitions, and the trends are moving as we have stated. Typically, customer matures, the card matures over a period of 12 months to 18 months. The contribution from the profitability part varies between prime or a nonprime -- near-prime customer also. It also depends on the card variant that typically, the customer holds. So, it's a combination of various factors taken together that the profitability of a customer comes out. Why we have stated about the prime part is , because that is an indicator of the overall client health composition. That gives some confidence and strength to overall portfolio.

Pranav: Understood. Thank you very much. OSBICard

SBI Cards and Payment Services Limited

October 29 , 2024

Page 12 of 16

Moderator: Thank you. The next follow -up question is from the line of Rohan Mandora

from Equirus

Securities. Please go ahead.

Rohan Mandora: Sir, just if you could help in quantification of how the flow rates have improved in the early delinquencies?

Abhijit Chakravorty: That will be difficult to give that level of information .

Rohan Mandora: Okay. Sir, second is that in the historical calls, we have been talking about the reason for delinquency being that once we underwrite customers take loans from other lenders and then they over leveraged and default. Now if you look at the RBI actions in the last 3, 4 quarters, there's been a lot of clampdowns that has happened on small ticket personal loans and Fintech lending. So, on the current bureau scrubs, if you can just talk about how is the trend that you are seeing on those portfolios? What would be the incremental reasons for the delinquency that will come up because typically small ticket personal loans will get paid off in 6 to 12 months. So , those overleveraged customers should have typically repaid. So incrementally, whatever stress we are seeing what could be this attributable to?

Abhijit Chakravorty: So far as the CIBIL scrub and the data is concerned, we find the trend still prevailing. To the extent, like we have done some portfolio classification segmentations at our end, we stated earlier also, and we monitor, and we take actions on them. Even on those segments, we find their ability to raise new trade lines. So, we don't see a significant change in the ability of the cardholders, our own customers to raise new trade lines.

Rohan Mandora: Sure sir. Thanks.

Moderator: Thank you. The next question is from the line of M.B. Mahesh from Kotak Securities. Please go ahead.

M.B. Mahesh: Sir I had just one question, the outstanding recoveries that you have reported this quarter, which is about INR133 crores. Any color on one what is the outstanding stock of written off loans that is there in your portfolio and two when do you see this contribution starting to dilute over a period of time?

Rashmi Mohanty: Mahesh, your question is about the recovery -- INR133 crores of recovery this quarter?

M.B. Mahesh: Yes.

Rashmi Mohanty: When do you expect it to rise?

MB Mahesh : It's still flat Y -o-Y despite the kind of writing off nearly about 1,200, 1,500 crores every year. Just trying to understand how we should look at the standard aspect over a period of time.

Abhijit Chakravorty : So let us look at it from the customer profile. Nearly getting return off doesn't change the profile

of the customer. The customer was not able to pay a month back, is not able to pay even after 3 months later after getting written off. It's once the customer is able to generate cash flows, has OSBICard SBI Cards and Payment Services Limited
October 29, 2024

Page 13 of 16

ability to pay then only the repayment starts. So being written off, doesn't mean that suddenly, there is a repayment capacity coming up out of the customer.

So, what happens is it's a matter of time. Like today also when we are on a collection drive most of the customers have 2 responses. One, yes, I will pay. Second, I don't have money. I can't pay right now. I will pay you the day I have it. So, while the writing off the account is on a certain date, when the customer will have money and when they will pay off is a matter of, again, time and we keep on following. We can keep on chasing; we keep on making our collection efforts.

That's how the entire scenario prevails.

Shantanu Srivastava: I will add just 1 data point, which is that in our recoveries these days or always, we see vintages as high as 10 years. So, people do pay up even after 10 years. Actually, part of the flattening of the recovery pool or recovery numbers in the last few quarters is also driven by the stress that is felt in the overall ecosystem and the other delinquency bucket. So, the same kind of reasons apply to the written-off pool as well.

M.B.

Mahesh: In terms of order of priority, do you see any change at the customer side in the sense like do you stand in front of other lenders, or you stand behind other lenders?

Abhijit Chakravorty: Very difficult to find out. We can only see what is happening in overall Bureau performance because one is that it's only the trade lines we see, and we see the trade lines prevailing or growing up.

M. B. Mahesh: Perfect. Thank you.

Moderator: Thank you. The next question is from the line of Ken Ang from Pinpoint Asset Management. Please go ahead.

Ken Ang: Can I just ask with regards to credit costs. Where do you think credit costs would be for the next 2 quarters, and would it go above 10%?

Abhijit Chakravorty: We have stated that, we expect it to remain elevated around these levels. But then simultaneously, we have also stated that there are other indicators that help us in estimating that there will be some downward gradient in times to come.

Ken Ang: Got it. Any indication in terms of the magnitude that's the near term?

Abhijit Chakravorty: I didn't get you.

Rashmi Mohanty: Indication in the near term.

Abhijit Chakravorty: We have given the indication, sir, already.

Ken Ang: That's all. Thank you.

Moderator: Thank you. The next question is from the line of Bhavik from Nippon Mutual Funds. Please go ahead. OSBICard

SBI Cards and Payment Services Limited

October 29, 2024

Page 14 of 16

Bhavik: Sir, just a quick question on the like last time you mentioned, we had reduced limits for around 5 lakh odd cards. How would that number be trending now? How is that working in the sense? How many limits -- how many cards are we maybe reduce limits, how are you working around that?

Abhijit Chakravorty: Yes, Nandini.

Nandini Malhotra: So, in this half of the financial year, we've actually reduced limits for around 10 lakh customers and total limits of course, going down. So, our activities continuing that.

Bhavik: And when you mentioned that the flow rates have eased out, but again, I could see this is a short-term product, right in that sense, why would the credit cost be elevated or around this level for two more quarters, considering if the rates have started to fall off. Consequently, the credit cost also should start dropping, right?

And when it drops like again, it's a hypothetical question, what is the steady-state credit cost that we will be happy with the new type of the business that we are doing today with more prime customers. How would you like the credit cost to be? Because our interest earning assets have also been in that 60%, 62% range. What would be the comfortable credit cost that you would like to work with? And if you could explain that, that would be helpful?

Abhijit Chakravorty: What we have stated is, we are seeing the flow rates improving in the near term. I mean into delinquencies, but then what happens to the stock we are sitting up on the GNP A stock we are sitting upon. It's not that people are going to pay up from that. So, as I've already stated earlier in the call, we have a GNPA stock. We have a Stage 2 stock also. Once the delinquency sets in,

set of people will not pay. So, unless the entire flow comes under control, progressively that will not improve. So somewhere, we are already having a certain stock there out of that, we have set the write-offs to continue a bit, but what happens is how do we predict? Every time there is a promise to pay. And there is a deferral of payment. So based on the promise to pay, we make an estimate and based on the payment history in the near term, that also we make an estimate. Then there are people who don't pay at all. All taken together is how we arrive at what can be our near-term collection, but then some of them, if they are not able to keep up the promise and if they defer the payment, then our calculations can go a bit awry, and which is happening. So,

the stock we are holding at GNPA stage or in the late Phase II stages, they will be critical in defining what ultimately write-offs will take place. But as we said, if the inflows are getting restricted, ultimately over a period of time, the overall stock gets reduced.

Bhavik: Sure. And in terms of steady state credit cost with the kind of business that we are underwriting today from a long -- like from an FY '26 '27 perspective, just the best guesstimate on what credit costs will you be comfortable with to run this business?

Abhijit Chakravorty: When we speak to every person, and we ourselves look at it, this is our unsecured business. There will always be a credit cost. So, anything lower from where we stand today and going lower down further, we will be comfortable with that. OSBICard
SBI Cards and Payment Services Limited
October 29, 2024

Page 15 of 16

Bhavik: Why I ask this is because we used to be at 5%, 6% credit cost, which was maybe a good number to work with, then we went to 7%, 7.5%, and now we're at closer to 9, right? I'm just trying to understand if little lower is like 8%, 7% and our business mix has shifted and there's a lot of items that have got impacted. So, what is the -- like the profitability that will be comfortable with is what I wanted to understand on a steady state basis, not from 2 quarters?

Abhijit Chakravorty: It's not being what we are comfortable about, it's what we are seeing in ourselves with our portfolio and getting influenced by the ecosystem around us. Once the overall things improve, it starts coming down and we expect that, and we should be comfortable in due course with what was prevailing, say, 1 or 2 years back. But then we would wait for that to happen.

Bhavik: Sure. And last question, sir, we've seen some increase in your active rates in terms of cards. It was broadly around 50, it's now going to 52. Is it a function of the UPI or the RuPay card that we were giving out and they have a higher activation rates? What's leading to this increase in activity -- active rates in cards?

Girish Budhiraja: Two factors such as the festival onset happened in last week of September and the UPI transactions on RuPay cards which can be made. So, both of them are adding to the overall activity level.

Moderator: Thank you. The next follow-up question is from the line of Shubhranshu Mishra from Phillip Capital. Please go ahead.

Shubhranshu Mishra: Two questions. The first one is we would be doing the Bureau scrub almost every month. So, what proportion of our customers have more than 2 cards? What proportion of our customers have more than 3 cards? And the second question is that I understand that the customers are delinquent and have over leveraged. But in case they are not paying us who are they paying? Or are they delinquent everywhere?

Abhijit Chakravorty: Nandini, would you like to supplement?

Nandini Malhotra: Yes, we do monthly bureau scrub, and we basically keep on monitoring. The number of customers who have shown an increase in creditabilities and we take action accordingly. We cannot reveal what are the percentage of customers who have more than 3 cards of 5 cards. But we take action as per our defined early warning framework. And yes, we have observed that if they are delinquent with us, they are delinquent on unsecured credit lines outside as well.

Shubhranshu Mishra: They are delinquent with everyone?

Nandini Malhotra: Yes, they are delinquent on the unsecured side, yes.

Abhijit Chakravorty: And that's a bureau data available for anyone to see and check.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Abhijit Chakravorty for closing comments. OSBICard
SBI Cards and Payment Services Limited
October 29, 2024

Page 16 of 16

Abhijit Chakravorty: Yes, I thank everyone present for our earnings call today, and to each of our stakeholders for their unwavering support and trust. Before I close, here is wishing you all and all your loved

ones a very happy Diwali. Thank you.

Moderator: On behalf of SBI Cards and Payment Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. OSBICard

Call: Feb 2025

February 03, 2025

The BSE Limited

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Re: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure

Requirements) Regulations, 2015 -Transcript -SBI Card 3O'FY25 Earnings Call

In compliance with the provisions of Regulation 30 read with Schedule III Part A of SEBI

(Listing Obligations and Disclosure Requirements) Regulations , 2015, transcript of the

Earnings Call held on January 28, 2025 with analysts/ investors, has been made

available on the website of the Company at the below mentioned link. Further , the same

is also attached herewith for reference .

<https://www.sbicard.com/en/who-we-are/analyst-investor-meeting.page>

Kindly take the same on record.

Thanking you,

Yours faithfully ,

For SBI Cards and Payment Services Limited

Payal Mittal Chhabra

Chief Compliance Officer & Company Secretary

Date & Time of event: -January 28, 2025 at 07:15 PM

Encl:.aa

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Page 1 of 18

"SBI Cards and Payment Services Limited

Q3 FY25 Earnings Conference Call"

January 28, 2025

MANAGEMENT : MR. ABHIJIT CHAKRAVORTY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER

MR. GIRISH BUDHIRAJA – CHIEF SALES AND MARKETING OFFICER

MS. RASHMI MOHANTY – CHIEF FINANCIAL OFFICER

MR. SHANTANU SRIVASTAVA – CHIEF RISK OFFICER

MS. NANDINI MALHOTRA – CHIEF CREDIT OFFICER

SBI Cards and Payment Services Limited

January 28, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the SBI Cards and Payment Services Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star the n zero on your touchtone phone.

I now hand the conference over to Mr. Abhijit Chakravorty, MD and CEO, SBI Cards. Thank you, and over to you, sir.

Abhijit Chakravorty: Thank you. Good evening, everyone. I am pleased to welcome you to the Earnings Call, along with my senior management team.

Digital Economy & Credit Card Market Momentum

- Projections indicate that the digital economy will account for 20% of the GDP by 2026 and exceed USD 1 trillion by 2028.
- UPI transactions, for example, saw an 8% month -on-month increase in volume to 16.73 billion in December 2024, the highest volume for the digital system since it became operational in April 2016.
- As per the RBI December 2024 data, credit card spends has grown to ₹1.88 lakh crore in value terms, with transaction values exceeding ₹1.14 trillion on e -commerce platforms. This trend further highlights the increasing preference on credit for online purchases.

SBI Card: Key Contributor

- At SBI Card, we understand and remain committed to focusing on the Indian credit card industry's growth potential and increasing digital payment adoption.
- As India's largest pure play credit card player, with a 18.7% market share of cards in force, we are well -positioned to drive the sector's strong growth.
- A significant milestone for us this quarter has been surpassing the 2 crore cards -in-force mark in Dec'24, reflecting SBI Card's expanding customer base and market presence.

SBI Card Business Overview

Let us now look at SBI Card's Business Overview in Q3 FY25. We have sustained growth trajectory with strong business performance, while continuing to focus on customer experience and operational efficiency.

Key Initiatives:

- We rolled out many customer centric initiatives and campaigns. For instance, the 'Khushiyaon Ka Utsav' promotional campaign during the festive period (Oct - Nov 2024). o 100+ festive offers were introduced across varied categories on an array of brands and segments.
- o Collaboration with e -commerce platforms Amazon and Flipkart were launched to drive high-spend customer engagement & penetration.
- During the quarter we have launched our Hyper Personalization platform and have commenced running campaigns. The platform now gives us the capability to run customized and targeted campaigns.

SBI Cards and Payment Services Limited
January 28, 2025

- The key objective of Hyper Personalization platform is to enhance Customer Lifetime Value through personalized Customer engagement. This will be done through:
 - Scaling up and augmenting existing capabilities to more than ten times.
 - Achieve higher levels of personalization and one -to-one communication through SBI Card mobile app.
- We continue to grow end -to-end digital acquisition capabilities. For instance, owing to integration of SBI Card SPRINT platform with SBI YONO and internet banking, majority of BANCA new account acquisition is now being achieved digitally.
- We have leveraged AI to automate Dedupe stage in application processing journey, bringing in efficiency, cost benefits & error proofing on application decisioning.
- We continue to focus on varied ESG initiatives. Our commitment to sustainability continues to deliver results, as evidenced by our consistent 'A' rating from MSCI (Morgan Stanley Capital International - Registered with SEBI to provide ESG ratings to companies) this year.
- Our ESG Risk Rating of 16.5 from Sus

tainalytics places us in the 'low risk' category.

These ratings reflect our dedication to integrating ESG principles into our business operations.

SBI Card Financial Performance in Q3 FY25

Coming to financial performance, the results for the company for the quarter are in line with the seasonality of the business. The key financial highlights are:

- New Accounts:
 - I am pleased to share that during this quarter we have achieved a significant milestone. Our cards -in-force (CIF) have crossed the 2 -crore mark, witnessing a healthy 10% YoY growth.
 - During Q3 FY25, our new account acquisition was at 11.75 lakh with a 7% YoY growth.
 - This is significant, considering our continued focus on selective acquisition during past few quarters, and to grow in a calibrated manner.
 - SBI Card CIF market share in Q3 FY25 is 18.7% (As per RBI Dec'24 data).
 - Share of new accounts sourcing from Banca and Open Market channels stands at 55% and 45 % respectively.
 - Spends:
 - Retail spends remain strong at Rs 80,792 Cr with 10% YoY increase.
 - Corporate spends are stable at Rs 5,301 Cr
 - SBI Card spends market share is 15.6% (As per RBI Dec'24 data).
 - Retail spends per average card have remained steady at Rs 1.62 lakhs similar to Q3 FY24, despite festival season being spread over sept and Q3 this year.
 - Category comprising of consumer durables, furnishings and hardware, apparel and jewellery, witnessed 36% YoY growth for the nine -month period this fiscal.
 - Online spends are robust, with a share of around 58.5% of total retail spends for the nine-month period.
 - RuPay card spends at UPI terminals continue to grow and have shown a growth of SBI Cards and Payment Services Limited
- January 28, 2025

Page 4 of 18

more than 45% over the previous quarter.

- o Department stores & grocery, utilities, fuel, apparel and restaurants, continue to be among the top five categories for UPI spends.
- o Tier II+ customers are utilising this facility more as it increases the number of acceptance outlets for RuPay card.

- Revenue:
 - Total revenue has grown to Rs 4,767 Cr, almost similar to last year. It is higher by 5% QoQ contributed by both interest and the fee income.
 - PAT for the quarter is at Rs 383 Cr, 30% lower YoY .
- Receivables:
 - Receivables as on 31st Dec 24, are at 54,773 Cr, registering a 12% YoY growth.
 - Receivables per card is Rs 27,052 vs Rs 26,438 in Q3 FY24.
 - Interest earning asset and revolver rate is stable at 60% and 24% respectively.
 - With newer and quality vintages reflecting a lower revolver rate, we expect the receivables to grow at a lower rate.
- Cost of Funds:
 - Cost of funds (CoF) has remained stable at 7.4%.
 - We expect CoF to remain at around current levels going forward till we see any rate cut action.
 - Our Cost to Income for Q 3 FY25 is at 53.5%, almost similar QoQ, owing to festive offers during the quarter.

• Asset Quality:

Coming to the asset quality for the Company.

- The refreshed data from the credit bureaus suggests that the Credit Card Industry defaults have remained elevated due to the continued stress in unsecured portfolio.
- We have been taking several steps to strengthen our New Acquisition, Underwriting and Portfolio Management framework. As a result, we have been seeing a continuing reduction in our flows into delinquency and an improvement in the delinquencies of the new acquisitions.
- The asset quality composition is also improving and is moving towards higher bureau scores, as indicated by the increased proportion of the Prime and Above

Prime segments in the New Acquisitions, as well as the overall Portfolio. This is evidenced in the following:

- o Our GNPA for the quarter has remained stable at 3.24% as compared to 3.27% in the previous quarter. We expect the GNPA ratio to start improving now.
- o The Gross credit cost has increased by 40 Bps to 9.4% from 9% in the previous quarter.

- We believe we are at an inflection point in our credit cycle. As we further intensify our efforts on tightening underwriting standards, portfolio management, and collections, we expect the credit costs to start moderating. The rate of moderation

SBI Cards and Payment Services Limited
January 28, 2025

Page 5 of 18

will depend on the changes in the unsecured lending ecosystem and macroeconomic factors.

- Liquidity and Capital Adequacy:
- Our liquidity position continues to be strong.
- Capital Adequacy Ratio (CAR) for the period ended December 31, 2024, is at a healthy 22.9% as compared to around 18.4% in the same period last fiscal. This will support our growth aspirations.
- Liquidity coverage ratio for Q3 FY25 is 114% as against statutory requirement of 100%.
- ROAA for the quarter is 2.4%, and for the nine -month period is 3%.

The credit card industry continues to offer growth opportunities. As per reports, the number of credit cards in use in India is projected to continuously increase, as per projections up to 2029. As India's largest pure play credit card player, we realize the potential and are well geared to take advantage of these opportunities.

Thank you! Now, we are open to questions.

Moderator: The first question is from the line of Mahrukh Adajania from Nuvama.

Mahrukh Adajania: Sir, I have a few questions that if you see your write -offs, they continue to increase, and other provisions are declining. So, what would give you the confidence that write -offs would taper off from fourth quarter, because that is what will bring down credit costs, right? Or is it that asset quality will start improving and then credit cost will improve with the lag? I mean how do we view this? When do we see credit costs improving? And what would drive that ? Write -offs, they have been continuously rising and sharply. So, will they taper off now? Is this the peak? That's my first question.

Abhijit Chakravorty: Thank you for the question. what we have seen in the financials, the lesser provision is indicating towards a better asset mix , the Stage 2 and Stage 3 composition has reduced, and we are seeing it to continue during the quarter. As we stated just now, we are also seeing reduction in into X that is into delinquency. All this taken together now gives us an indication that things are going to improve from here onwards.

We see that from next quarter, the improvement should be visible , to what extent , which will depend on how the larger portion of our Stage 3 will behave. If you strictly speak about write -offs, you will be knowing that we have an NPA pool. We continue to work upon them. The NPA pool has reduced, we continue to work upon them and extract most out of it will depend to what extent the write -offs will be reducing. So, we do see an inflection point, whether it is gross NPA and the credit cost, both concerned.

Mahrukh Adajania: Okay. And so basically, from Q4, it should look better. We don't know how much better.

SBI Cards and Payment Services Limited

January 28, 2025

Page 6 of 18

Abhijit Chakravorty: Exactly. Let me go back to couple of quarters earlier call, where we had indicated that what we are seeing over the quarters with that by year -end, we were expecting the improvements to come up. And today, what we can see is that we will be adhering to what we expected.

Mahrukh Adajania: Got it, sir. And, what kind of receivables loan growth can be built for the next year? What do you think?

Girish Budhiraja : Mahrukh , as you are aware that for last almost 6 to 7 quarters, we have been very selective in our new customer acquisition, and that asset is building up. As you can see that the receivable

growth has slowed down. At O n a year -on basis, for this quarter, you have seen a 12% receivable growth. N ext year, what we are looking at is in the range of somewhere around 12% to 15% as the receivable growth.

Moderator: The next question is from Krishnan ASV from HDFC Securities .

Krishnan ASV: As Girish just mentioned, it's been nearly 2 years since our origination has been tweaked, improved just to get better quality of sourcing . Despite that, the write -offs or the overall credit costs seem to be hitting a record high almost every quarter. Also, it's fairly evident that the collection environment has been fairly tight , has been fairly difficult both for banks and NBFCs. In this, I just wanted to understand what is it that SBI Cards can control other than sourcing because we do a fab job in sourcing now. But other than sourcing, is there anything else in your control because that's what the franchise gets value for. What is it that you're able to control in the rest of the variable?

Nandini Malhotra : So, we've seen and even the market reports suggest that because of the rapid build -up of the retail lending going through a boom, especially personal loans, the leverage has been built up. So, what we have done is, to understand customers who have increase in leverage or who will display tendency to increase leverage basis their behavior, basis their transaction pattern and take prompt actions, so that we can at least reduce our exposure to these customers. So, we can do that, and we have talked about limit decrease in the past as well. we continue to enhance our early warning framework, so that we continue to identify and take action before these customers go into delinquency. Because once they go into delinquency, as you rightly said, the environment is tough. So, we have to cut our losses, before if we identify the right set of customers, we managed through that successfully over the last few quarters.

Shantanu Srivastava : The success of these actions is being felt in the performance metrics that we track. So, for example, for the first time in several quarters, the 30 -day delinquency and the 90 -day delinquency have come off appreciably by 20 basis points. And, we see similar trends in the industry. And, the performance metrics around our flows into delinquency, as MD sir mentioned, they have been improving. They've been improving consistently over the last 1 year. And this takes time to show up in results, and we're seeing the beginnings of that right now. At the same time, the other half of the equation, which is the flows from delinquent pool into write -off pool that also for the first time in several quarters have started improv ing.

SBI Cards and Payment Services Limited

January 28, 202 5

Page 7 of 18

Krishnan ASV: Okay, understood. Just 1 other question. This was majorly to do with what proportion of your customers have been defaulting. So, 1 is obviously the value that we tend to report in this quarter. But what proportion of these customers are reflecting in that credit cost of 9% last quarter, 9.4% this quarter. How many of these customers are still there in the pool, who can spring a surprise only?

Rashmi Mohanty : We don't disclose these numbers, Krishnan, first. And 2, in case of a product like a credit card, which is revolving where customers can come and pay you any time of the month, it's very difficult to track and at our point in time measure as to how many have defaulted and how many have not defaulted.

Girish Budhiraja : If the average asset is INR27,000, you can calculate that when the customer is defaulting on an overall basis, it's over close to 1 lakh or so . So, you can estimate what is the number of customers.

Krishnan ASV: Yes, that's correct, Girish. I was just wondering whether these are customers who have leverage even more than the average balance. That's what I'm trying to get at. Is that the reason they are defaulting?

Rashmi Mohanty : Obviously, they have high leverage, yes.

Moderator: Next question is from Piran Engineer from CLSA.

Piran Engineer: Just a clarification on what you said as an answer to the previ

ous question, what was INR 1

lakh? Is it the average ticket size of an NPA account?

Girish Budhiraja : No. So , this is close to INR1 lakh is you have to take it , it's not an exact number. It's in that range. This is the average what you would say balance of a defaulting customer. The customer gets into a write -off or becomes a defaulter, which is the kind of balance that it is. Otherwise, the average asset is around close to INR27,000, which you can see from the statement.

Piran Engineer: Yes. So, the NPL average is INR1 lakh. The average NPA customer has 1 lakh with you.

Girish Budhiraja : Close . This is not the exact number. That's what we stated. It is brought around in that range.

Piran Engineer: Fair enough. So , my first question is , you all have spoken about how the new customers have lower delinquency trends, the cards that you sourced in the last 1 or 2 years. How are the revolve trends versus earlier vintages that were sourced?

Girish Budhiraja : We are able to see after 3 to 4 quarters, we see the revolve trends for vintage more than 6 to 9 months, which we have acquired as of now, but slightly lower than what is the average of the portfolio. We would continue to view them over a period of time and see how they develop further, but they are slightly at the lower end of the spectrum.

Piran Engineer: Okay. Fair enough. And just secondly, in terms of what happens, when an NPL customer pays you back. Do you reinstate the same limit? Or how does it work? Or is this credit card just cut off?

SBI Cards and Payment Services Limited

January 28, 202 5

Page 8 of 18

Nandini Malhotra : So, if the customer pa ys back his entire due and becomes current for some set of customers, we feel now to be creditworthy , we will reinstate, but we may not reinstate at the same limit.

Moderator: The next question is from Shweta from Elara.

Shweta: Sir, I recall last quarter, you were mentioning the strong repayment history led customers also were facing slight difficulties in repayments. And second, the stress was also apparent for customers with higher credit card limits. So how is the scenario now?

Abhijit Chakravorty: The scenario is what we see in our NPA pool continues to be almost the same. We see the mix continuing. So, when we see that our write -offs have gone up, the composition remains varied.

As we saw earlier, the mix it will be an older vintage also our customer doing well and being a transactor or being turning to revolver, again, turning to transactor having a good history then defaulting. That trends we have seen and since our NPA pool continues to have this kind of a mix, we will continue to watch them and having a close look at them after having taken whatever portfolio actions, which we could have taken on them.

As I said, that based on whatever portfolio actions we have taken , somewhere the delinquency inflows are lower. So overall, the mix continues to be on a better side. Probably people are able to manage with whatever limits they have. They are transacting within what the limit we give. So, it will depend on what the NPA pool behaves over the next quarter.

Shweta: Sure. Fair point. Sir, second revolver portfolio, although marginal -- has seen marginal spike , and given the current scenario, shall we read negatively into this revolver and potentially this could be an NPA customer or how are the indications for the revolver pool customer behavior?

Girish Budhiraja : No, Shweta. At the end of September quarter, we had very clearly stated that the numbers there because of festival season having started somewhere around 18, 19th of September, you would -- there was a lot of transactor NEA , which got built up. Hence, the ratios were looking slightly different . We had stated in September quarter itself that this would normalize by end of December. So, this revolver has been stable as of now for last 4, 5 quarters.

Moderator: The next ques

tion is from Nishant Shah from Millennium.

Nishant Shah : A couple of questions from me. Just a follow -up question first about Mahrukh 's question that this quarter we see like a 40 bps rise and you're saying categorically that this is the peak. How should we think about modelling for credit costs going ahead? You've answered this a bit qualitatively that it depends on the macro environment. But any initial kind of like guidance or in a range that you can give that is this something which is like a peak and a plateau? Or is it a peak and a reversal? Like will the normalization be much sharper given the kind of sourcing we've done. How should we think about like the downward normalization of these credit costs? Like say, for FY '26 or '27, more like longer term , if you could give some guidance about how we should think about where the Credit costs should settle ? That's question one. I'll ask my next question later.

SBI Cards and Payment Services Limited

January 28, 202 5

Page 9 of 18

Abhijit Chakravorty: I will repeat , very difficult to give a firm number of credit costs considering what uncertainties we have seen over a period of time. As I said that the customer behavior has been changing very sharply over a period of time and there is a segment of customer, which , I have stated it earlier also, there is a segment of customer which was flowing into a write -off straightaway without paying me a single penny with all that taken together and on 1 side. On the other side, whatever portfolio actions we have taken, whatever collection efforts that we continue to make on early into the buckets. All that taken together has already given us this has brought us to a stage where we are seeing the Stage 1, Stage 2 composition significantly better even the Stage 3 composition has come down.

Now this should not be related to the present credit cost. When we are saying, if there is an improvement in the asset quality and the stages, definitely, it will translate to the credit cost. How much ? to what extent ? It will depend . We would like to see it over a period of time

ourselves and very difficult to give a guidance for entire FY '26 at this stage.

Nishant Shah: Okay. Fair enough. And the second question also on the ROA piece. So, like around before COVID, we used to operate at a much higher level of revolver and with the new sourcing that you've done, it's some like understandably at like a different revolver mix. How should we think about as like the delinquencies start to come off, hopefully? Should the revolver mix start to inch up from here? Or is this like the new level of revolver that we should kind of like model in that 25% or thereabouts is what like the new normal for the industry or for you guys. Any thoughts around that would be helpful. Initially, if I recall, a lot of reduction in revolver was also attributed to fintech players doing a lot of STPL and small loans, that market seems to have slowed down significantly. So, is there something to think about that's like revolver mix to start slowly kind of inching up from here?

Girish Budhiraja : Nishant, as I was stating earlier, in fact, some of the new vintages that we are getting are as of now showing a slightly lower revolving behavior when the average spectrum that we have, we don't expect the revolve rates to inch up from here at all. If they remain stable or a percentage point down. That would be a good place to be.

We are, however, trying to work more at the point -of-sale EMI conversion and the other product, which is we call as FlexPay, which is where the customer can convert the spend before the payment due date into instalments, so that is the portion on which we are working at and more activity is being done there. We are not trying to induce the customers to revolve at this stage at all.

Moderator: Next question is from Pranav Gundlapalle from Bernstein.

Pranav Gundlapalle: 1 que

stion on your sourcing shift that you have done, you look back pre -COVID, you had a certain model for sourcing, which hasn't helped on the underwriting front, but it did allow you to grow or maintain a certain market share. Now that you have tightened your sourcing strategy, do you think the growth will be a lot lower versus the industry? Or is it more you have now throttled it down because of the environment. But even with this new approach, you'll be able to grow at the same pace as you did pre -COVID, let's say?

SBI Cards and Payment Services Limited

January 28, 2025

Page 10 of 18

Girish Budhiraja : You are wanting to ask whether we will continue to keep growing our market share.

Pranav Gundlapalle: If you're sourcing better customers, can you still grow at the same pace as what you used to do in the past?

Girish Budhiraja : The growth rate at this point of time, in the near future, in the next 3 to 4 quarters, what we are looking at is that the growth rate will slightly come down. So, it will not be at the rate of 30% or so, which was happening earlier. But it is spends are looking at around 18%, 20%. So, this is how we are looking at the growth rates as of now in the near future. But we will continue to add new customers and maintain market share and grow market share.

Moderator: The next question is from Roshan Chutkey from ICICI Prudential Mutual Fund.

Roshan Chutkey: I wanted to understand how the minimum due paying customers, just about minimum due paying customers, not necessarily the entire revolver pool, just the minimum due paying customers, how has that been trending for us past few quarters?

Shantanu Srivastava : We don't share that data.

Roshan Chutkey: I don't want the data around it, just the trend of it, if you can talk a little bit about it?

Rashmi Mohanty : Yes, that is improving. So, we can just share that the number is improving.

Abhijit Chakravorty: It's a combination. you have to look at the combination. It is the minimum due being paid or entire due is being paid, all that together has contributed to the improvement that you are seeing now. It's not a stand -alone activity result that where only minimum due is being paid out. It's a combination of both the entities, minimum dues as well as the total dues being paid, all that taken together has contributed to the improvements what we are seeing.

Roshan Chutkey: I asked the question was essentially because if the pool of customers is just about paying minimum due, that means probably they are stressed, right? That is an indication of stress in some sense, right? So that is the reason I've asked this question. But if you are saying that things are increasing, it's good to hear, sir.

Abhijit Chakravorty: Not necessarily. They also get converted over FlexPay s and the EMIs also.

Roshan Chutkey: Right. Understood. Okay. And the other question I had is, just sir mentioned that the -the incoming pool into the written off bucket is improving. But when I look at the data to 22% increase sequentially, right? What was 90 -plus for us at the end of Q2 has probably been written off at the end of this third quarter now, right? If that is an increase of 22%, how are we saying that the write -off pool is also improving?

Shantanu Srivastava : The metric we spoke about earlier, there were 4 metrics that we wanted to allude to. One was the flow into delinquency. The second was delinquency to write -off. So, the first has been coming down sequentially month -on-month almost for the past 12 months. But the second part

of the equation, which was the flow from delinquency into write-off. That flow has not been coming down, it was actually increasing for the better part of the last 12 months.
SBI Cards and Payment Services Limited
January 28, 2025

Page 11 of 18

In the last 3 months, however, it has been coming down. So that reversal or that change in trend has happened about

3 months ago, and that is what is contributing to the outlook that we are giving to you right now. It's also measured by 2 other metrics, which is 30 plus and 90 plus. Both have been coming down for us and also for the industry over the last quarter. Moderator: The next question is from Dhaval from DSP.

Dhaval: A couple of questions. First is on the credit cost. So, if you look at the sort of normalized level of credit cost for the business was about 6%, 6.5%. And if you look at the 9-month number is about 8-odd percent net credit cost, do you think based on the current metrics that we are seeing next year credit cost should be around the 9-month level? Or do you think there is scope that it can fall even further from where we are. Like qualitatively, if you can just think about when we should normalize basically, that's the eventual question. So that's the first one. And the second is relating to cost-to-income. Any thoughts that you have on where the business is headed with this change in the underwriting that we've done. What's the cost-to-income sort of steady state that one should think about for the current underwriting that we are doing?

Abhijit Chakravorty: The first one, I already stated that it's very difficult to give a number and predict a number, I mean, we will see how it goes. But then, as I said, we are seeing a gradient, an inflection point reached and then it should improve here onwards. It's very difficult to give a credit cost number, the aspiration can be anything. But then having seen so much happening in the market and in our portfolio, impacting our portfolio over the last almost 4 to 5 quarters, it will be unfair to give a number without really seeing how the gradient takes shape.

Dhaval: As an external investor, what should one look at, to get confident that we'll be closing to 8% for next year or 6.5% like, what is that 1 or 2 metrics that you think we should look at so that you can get comfortable as an investors? It's a sort of very important question. When you say peak is understandable, but it can be like 100 bps reduction and thereafter stabilization like Nishant asked and it can be like a sharp fall. So that's what we're trying to get through.

Abhijit Chakravorty: You have to go back to a couple of quarters, when early into the year, when we had stated, that it will not be a sharp fall. We are on record on that because it can never happen that anything can improve overnight. Then if something improves overnight and then something was wrong in the entire system. So, no. What we are saying is we'll wait to see how it happens, and then we will together see, how it improves. But then we are projecting an improvement. That's what we will continue to say as of now.

Dhaval: Got it. Got it. And on cost-to-income...

Rashmi Mohanty: Dhaval, the numbers in the last 2 quarters, have been around 53.5%. These two were the festive quarters, so the number was higher. Quarter 4 number on the cost-to-income will be lower. But on average, as we've said earlier as well, the number should be around that 50%, 55% in a very broad range, but around 52% kind of a number for the year.

SBI Cards and Payment Services Limited
January 28, 2025

Page 12 of 18

Moderator: We take the next question from Manan Agarwal from ICICI Securities.

Manan Agarwal: Yes. I want to ask about the collection efficiency for the last part of December.

Rashmi Mohanty: We don't disclose the number, Manan. The trend is improving. As I think a lot of data points, otherwise, we have been sharing between MD sir and Shantanu and Nandini they've shared a lot of other data points, which indicate that the collection trends are improving.

Manan Agarwal: And I attended all the con-calls of microfinance companies. It is estimated that Q4 will peak out for the microfinance industry for credit cards and all. So, what's your take on FY '26? In particular about the cre

dit cost and ROA?

Rashmi Mohanty: As we've been saying, and I'll repeat whatever has been said by the speakers earlier that we are saying there is an inflection point. And I think we'll have to wait for the quarter 4 results to come out to be able to give you any direction for FY '26. The indications from whatever metrics at Shantanu and Nandini have shared, they are showing a positive trend. But the quantum, etc., is something which we still will have to wait for the full quarter results to come out.

Moderator: The next question is from the line of Bhavik Dave from Nippon Mutual Fund.

Bhavik Dave: Just a question, again, I'm circling back to the credit cost or the write-off comment that you're trying to address here. So, if I do a very simple math, where I take your gross write-offs and if I divide it by 3. I get a number of INR450 -odd crores that we may be doing, obviously, do not like exactly, but that will be the number that we'll be clocking monthly. And you were like doing INR350 -odd crores previously in the previous quarter is what I see, if I divide the gross write-off number by 3, right? Very, very basic math.

Are we saying that this INR450 -odd crores monthly that we were maybe writing off, that number has significantly come off because without data point, just like qualitatively talking about this number going down makes little sense, right? Because if you give us a trend line that this number is like coming back to that INR300 -odd crores level, and that's the way to think about it. It will be great if you could just help us with this, that where are we going in terms of monthly write-offs because unfortunately, we're not seeing any like good trends in terms of slippages because when I see our slippage numbers that are still like on the higher side. So just wanted to get a sense on this one here.

Abhijit Chakravorty: So again, I will repeat. So, it's too early to give any numbers, too early to predict what will be the reduction. We have to see a scenario, where there is a segment of customers, who are sitting in an NPA pool. And proceeding towards write-off unless we are able to collect from them and/or hold on to them wherever they are. So, it's a combination of all these actions taken together will define how many of them will get written off and what will be the amount. So, it varies quarter-over-quarter. But as we said, that since we have seen a lesser inflow into stage 3 altogether. Somewhere, it will result into a lower write-off.

SBI Cards and Payment Services Limited

January 28, 2025

Page 13 of 18

Shantanu Srivastava : Also on the performance metrics, slippages have actually improved in this quarter and so has the PCR rate and the ECL rate and also the GNPA rate, although up marginally.

Moderator: Next question is from Nitin Aggarwal from Motilal Oswal.

Nitin Aggarwal: Sir, firstly, if I look at the proportion of salaried customer, like this quarter in terms of new sourcing has come down. So, while you mentioned that, we are pretty much close to the peak in terms of credit cost and things should likely improve. So how do you really compare between the self-employed and salaried in terms of their repayment behavior? That's one. And secondly, where you said that revolve rate, we are not expecting any improvement from here. I just wanted to like check on as to how is the revolve rate difference between UPI and non-UPIs, because UPI is something which, while it is small today, but it is growing fairly fast. So how should one look at it in the medium term?

Nandini Malhotra : So, in terms of salaried versus self-employed, so in self-employed definitely the focus more is to look at the cash flows. And whatever sourcing we do, we do look at their bank account information. Whether it is from the account aggregator channel or if the sourcing is from the Banca channel and the sourcing from the Banca channel has increased in this

quarter. So

basically, it's an underwriting, which understands the profile, understands the credits and debits in the account. And accordingly, we give a card and give a limit.

Nitin Aggarwal: I was saying that because this number has trended down, but still UPI does not suggest that things are likely to get better from here. So, this is the reason I ask this question. Because the general notion is that salaried segment performs better than self-employed. So now with this mix coming down, should this not cause like continue to cause worries as such in terms of incremental delinquencies?

Nandini Malhotra : No. Because you see when you're underwriting, you're looking at the customer profile in general as well as, like I mentioned, is cash flow information. So, this should not result in an increase in delinquency. And through the account aggregator channel, we are able to see the transactions in the bank account and as said, the cash flow of the customer. So, I don't think that is a worrying signal. A lot of these customers come with their bank statement...

Moderator: Next question is from Jignesh Shial from InCred Research.

Jignesh Shial: I have one data keeping question quickly. We are seeing a surge in the investment sequentially. Anything to read into it?

Rashmi Mohanty : This is in line with the regulatory requirements. There was a graded increase in the requirements for keeping HQLA, which is highly liquid assets for LCR purposes. And we've been adding on to that number based on the requirements. And also, our liability book also growing. There are 2 reasons to that. It's a function of how your liability book is growing and the second one was the regulatory requirements. So, our liability book is growing as well as the regulatory requirement required us to keep adding about 10% on a regular basis in a phased manner and that's the reason.

SBI Cards and Payment Services Limited

Jignesh Shial: Understood. And just a trend on fee income side. I think it's more or less flat. If you see sequentially, and overall trend has consistently been declining if I see on a Y-o-Y basis. So how do you see the -- with more co-lending cards coming up together, along with it, obviously, online spends coming, which basically needs -- we take a little lesser cut on it. So how do you see the fee income trend going forward? Do you see that improvement can come up? Or what's the view?

Rashmi Mohanty : The fee income actually is made up of 3 parts. The composition that we put out in the investor deck on Page 11, it is a spend base, instance -based and subscription -based , is the split on the fee income side. There has been some bit of a moderation on the fee income, one because , on account of the number of cards that we are doing. That obviously is an important factor as to what makes up the subscription -based fee income. The trend base has a seasonality attached to it. I would think that as we do more cards and as the amount of spend s increase, this number should go up . Whereas we might see a bit of a moderation would be in the instance based . That could see some bit of a moderation, but the other 2-line items should see it growing with the business growth.

Jignesh Shial: So as your issuances increases, so fee income will be increasing going forward. That's a fair assumption, right?

Rashmi Mohanty : That's right, yes. And of course, the spend will also grow. So that part of the fee income will also increase.

Moderator: The next question is from Rohan Mandora from Equirus Securities.

Rohan Mandora: I'm sorry to touch on that flow rate question again. So, if we look at your Stage 2 plus Stage 3 in 4Q FY '24 and the percentage or absolute amount and in 3Q, 3Q is still higher. And the comment that we gave in 2Q was still that in the first half of current financial year, the flow rates have improved. So, what you said in the c

all today also is that the flow rates into delinquency is lower delinquencies to write -off is higher. But this is not reflecting in the Stage 2 numbers that we are seeing right now.

So, if you can share what is the 30 plus, how is it moving the last 2, 3 quarters? And also, what is our share of exposure in, say, very high risk and high-risk category of Bureau rating customers. Something around that would have helped to get some sense on how the improvement is happening.

Shantanu Srivastava : Yes. So, the 30 -plus and 90 -plus number as we mentioned earlier, they have come off significantly in the last quarter, quarter ending December was quarter ending September .

Rohan Mandora: Sir, if you quantify these numbers, that will help.

Shantanu Srivastava : We can't , we don't disclose those numbers in that level of precisions.

SBI Cards and Payment Services Limited

January 28, 2025

Rashmi Mohanty : Sorry, can I first , Rohan, ask you a clarification before we further answer your question.

You've just mentioned that if Stage 2 and 3 put together, you've not seen an improvement. And where have you taken the numbers ?

Rohan Mandora: On the presentation data that comes out. So, I'm comparing 4Q versus 3Q, 4Q '24 versus 3Q '25, right?

Rashmi Mohanty : Yes.

Rohan Mandora: If you look at numbers was 5.7 plus 2.8.

Rashmi Mohanty : If you look at the quarter 2 FY '25 and quarter 3 FY '25 and you calculate the percentages to any number given at the top and you add the Stage 2 and Stage 3, you will see a reduction in the stock of Stage 2 and Stage 3 for quarter 3 as compared to quarter 2.

Rohan Mandora: There's margin improvement on 2Q, even in absolute amount from 2Q to 3Q, but what I'm saying is, in the previous quarter also, the commentary was that flow rates into delinquencies have been coming down. So, if I'm comparing and this was the commentary for the first half as well of current financial year. So, if I'm trying to look at from the 4Q FY '24 numbers, bearing our Stage 2 and Stage 3 was 5.7 and 2.8, respectively, and if you look at Stage 2 plus Stage 3 combined, it was around INR4,300 crores. That thing has now gone up to around INR4,900 crores. So that flow rate coming down does not match with the data, if you're comparing with the year -end number and the 9 -month for the current financial year.

Rashmi Mohanty : Rohan, we'll probably have to go back and check, but I don't recall that we've ever said that the flow rates have been improving in the last 2 quarters. We've just said if there was a mention made on the delinquency numbers, it was to do with the sourcing that has been done in the recent past. There, we said, yes, we are seeing a better performance compared to the older

portfolio. But this time, we are calling out and saying that our 30 -plus and the 90 -plus numbers are looking better. As I mentioned, if we do a total of Stage 2 and Stage 3, even that number is lower. And as we mentioned earlier as well that what flows into write -off is nothing but the stage 2 and the stage 3 going into write -off. And this is a number, which is improving and the flow rate in addition for the earlier buckets are improving, which is where we've been able to make a comment saying that we think we are at an inflection point.

Shantanu Srivastava : Just to clarify , in last quarter, there was a specific question around this point. And the answer we gave was that while into x delinquency is improving, the next leg, which is delinquency to write -off. That was worsening. And that is mentioned very clearly in the FAQ from the Q&A transcript from last time. And this time, there is a reversal. For the first time we are saying, the second half of the equation also has behaved properly, which means improvement.

Rashmi Mohanty : So, while the into X continues to improve, where we are now seeing is an improvement in the Stage 2, Stage 3, which is where we are n

ow saying that the write -off number should be lower, and therefore, the credit cost should be moderating.

SBI Cards and Payment Services Limited

January 28, 2025

Page 16 of 18

Rohan Mandora: Got it. And just to reconfirm, for FY '26, any guidance that we 've given on receivable s growth or spend s growth ?

Girish Budhiraja : We just stated w e'll be looking at somewhere around 12% to 15%.

Moderator: Next question is from Shubhranshu Mishra from PhilipCapital.

Shubhranshu Mishra: So, the first question is around the management position. So, you've got quite a few people as directors from the parent SBI, why do we need someone as MD, who may or may not have requisite professional experience in cards business. Why don't we hire a professional MD, CEO from the credit cards industry to run the business, whereas we can have Board member representation from the parent, will be first?

Second is, through cycles, what has been the recovery from write -off accounts in year 1, year 2 and year 3 ? And third is the number of customers who have 2 cards, number of customers who have 3 cards and number of customers who are 4 plus cards?

Abhijit Chakravorty: The first one, I think we need not comment.

Rashmi Mohanty : The second one , you asked for, Shubhranshu , too granular information. We don't disclose that at that kind of a level where we kind of disclose as to how many customers have 3 cards, 4 cards, and 5 cards. I don't think anybody in the industry discloses that number, and we will not do so as well in the future. I haven't done that, and I will not do it as well.

On the recovery, as you asked the question that how much we are recovering from the written - off pool. We did see a bit of a dip in the recoveries from the written -off pool in the last 1 or 2 years. There is some, again, green shoots . Again, we do not share the exact numbers, but the recovery numbers as you can see for this quarter was higher from the previous quarter. The recovery numbers did get impacted as per the overall environment that was there for the last 12 to 18 months, but we have seen a higher recovery number for this quarter compared to the previous quarter.

Shubhranshu Mishra: What I'm asking is that through cycles, what percentage have you recovered from the written - off pools, not in the last 12, 18 months ? Through cycles, what is that number?

Rashmi Mohanty : We don't share that number, Shubhranshu.

Shantanu Srivastava : What we do share is that we do get recoveries for a long time after write -off, and that's been the case.

Rashmi Mohanty : And we have said that as well in the past, and we will maintain that, that we do continue to get recoveries for a longer period from the written -off pool. But in full transparency, we had shared as to what the number -- the recovery number has been quarter -on-quarter.

Moderator: The next question is from Pranuj from JPMorgan.

SBI Cards and Payment Services Limited

January 28, 2025

Page 17 of 18

Pranuj : Sir, one thing you mentioned was that you constantly monitor the leverage levels of the customers and take corrective actions if you see increase in stress. So just a clarification, is the corrective action that you can take only in terms of limiting the spends limit that the customer has or limiting the credit limit that you give to the customer? And second is on the frequency of scrub, I think, previously you guys issued it monthly. Will you be shifting to fortnightly now that the regulations allow for that?

Nandini Malhotra : Yes. So, the actions, yes, are reducing the credit limit, reducing certain kinds of spend doing early blocking. So, all these actions are taken. And secondly, with respect to the bureau pool,

we get a bureau trigger product we have subscribed to, which means that whenever the information is updated in the bureau for a certain set of accounts, we get information on T+1. So, if there is an incr

ease in leverage or inquiries or there is payment, etcetera, happening. So, we get to know, and we accordingly plan our actions. With respect to the 15 -day window , so while everybody has started the process , since we subscribe to this product, we will anyway get the information . But yes, we are looking at how we can reduce our bureau pool period with the new updates, which are happening fortnightly .

Moderator: We'll be able to take one last question. We take the last question from Rohit Jain from Tara Capital Partners.

Rohit Jain : Yes, my question is that this guidance of loan growth for next year, 12% to 15%, given that we are now incrementally sourcing better vintage customers, and a lot of poor-quality customers would automatically get weeded out because of the stress over the last 2 years. Is it fair to say that this now seems like more sort of a medium -term trajectory, and this is how it would be for the next 1 or 2 years?

Girish Budhiraja : So, this projection is for a period of next 12 months -- in 9 to 12 months, things can change. If we see that the credit cost trajectory is very different , things are different on a macroeconomic perspective, things can change both either way. It will depend on how we see the macro environment and our portfolio behaving over a period of next 3 to 6 months. This is a growth trajectory as of now looking at the future environment being suggested.

Rohit Jain : And I have one more question. On the cost -to-income, you said for the next year, the broad range is 52 to 55, but in an environment where, let's say, growth picks up, would it be fair to assume that cost -to-income would also go up?

Rashmi Mohanty : Yes. Yes, it's a function of how many cards that we do, if growth picks up, absolutely. And that number that I gave you about 52, 53 was for this year, but you're absolutely right. The growth will determine the cost -to-income ratio.

Moderator: We'll take that as the last question. I would now like to hand the conference over to Mr. Chakravorty for closing comments.

Abhijit Chakravorty: Thank you, Venu, and thank you, everyone, for your continuing trust and confidence in SBI Card s and have a fabulous year ahead. Thank you.

SBI Cards and Payment Services Limited
January 28, 202 5

Page 18 of 18

Moderator: Thank you very much. On behalf of SBI Cards and Payment Services Limited, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: Apr 2025

April 30, 2025

The BSE Limited

Corporate Relationship Department.

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Re: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure

Requirements) Regulations, 2015 -Transcript -SBI Card Q4'FY25 Earnings Call

In compliance with the provisions of Regulation 30 read with Schedule III Part A of SEBI

(Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the

Earnings Call held on April 24, 2025 with analysts/ investors , has been made available

on the website of the Company at the below mentioned link. Further, the same is also

attached herewith for reference.

<https://www.sbicard.com/en/who-we-are/analyst-investor-meeting> .page

Kindly take the same on record.

Thanking you,

Yours faithfully ,

For SBI Cards and Payment Services Limited

Payal Mittal Chhabra

Chief Compliance Officer & Company Secretary

Date & Time of event: -April 24, 2025 at around 08:33 PM

Encl.:aa

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Page 1 of 19

"SBI Cards and Payment Services Limited

Q4 FY '25 Earnings Conference Call"

April 24, 2025

MANAGEMENT : MS. SALILA PANDE – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER –
MR. GIRISH BUDHIRAJA – CHIEF SALES AND MARKETING OFFICER
MS. RASHMI MOHANTY – EXECUTIVE VICE PRESIDENT AND CHIEF FINANCIAL
OFFICER
MR. SHANTANU SRIVASTAVA – EXECUTIVE VICE PRESIDENT AND CHIEF RISK
OFFICER

SBI Cards and Payment Services Limited
April 24, 2025

Page 2 of 19

Moderator: Ladies and gentlemen, good day, and welcome to SBI Cards and Payment Services Limited Q4 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Salila Pande, Managing Director and CEO, SBI Cards and Payment Services Limited. Thank you, and over to you, Ms. Pande.

Salila Pande: Thank you, Ranju. A very good evening to all. On behalf of the Board members and the management of SBI Cards, I extend a very warm welcome to you. At the outset, on behalf of SBI Cards, I would like to place on record our gratitude to all the stakeholders for their continued support and confidence in the company as we navigated through uncertain times in the financial year '24-'25. I'm pleased to share that SBI Card continues to contribute towards India's growing digital payments ecosystem.

Looking at the digital payments' ecosystem, India's digital economy is a powerful growth engine and according to reports, it is expected to contribute to almost 20% of the GDP by 2026 and surpass USD 1 trillion by 2028. With UPI and Bharat QR, the nation is fast transitioning into cashless economy. In this environment, credit cards remain a vital component of the payment landscape. With nearly 109 million cards in force as of February of 2025, the credit card industry continues to witness robust adoption among aspirational consumers.

As far as SBI Card is concerned, with 18.9% cards in force market share, we remain India's largest pure-play credit card issuer. In December of 2024, we crossed the 2 crore cards-in-force milestone, reflecting our customers' trust and a well-calibrated acquisition momentum. We are committed to expanding our core cards portfolio with a focus on premium segments and co-brand portfolio as well as accelerating digital onboarding to deliver seamless and secure experience to our customers. We see immense potential in Tier 2 and 3 cities and digitally native consumers. In the coming year, we will continue to deepen our partnerships and invest in technology augmentation to enhance efficiency.

Coming to the SBI Card business performance, I'm pleased to announce that the company has successfully navigated through financial year '25 with a robust business performance, reflecting the resilience and sustainability of its business model. We have undertaken many key customer-centric initiatives during the year. For instance, with the integration of SBI Card Sprint, a good percentage of banca new account acquisition is now being initiated digitally. This, in turn, has significantly improved the customer onboarding experience.

In our endeavor to provide a diversified suite of products, we have launched key products like SBI Card Miles, a travel-focused credit card, and the KrisFlyer SBI Card in partnership with Singapore Airlines. Hundreds of national and regional offers have been rolled out across all key spend categories in partnership with reputed brands to increase spend and engagement.

As we have mentioned in our earlier earnings calls, SBI Cards has launched hyper-personalization platform to enhance customer lifetime value through personalized customer

SBI Cards and Payment Services Limited

April 24, 2025

Page 3 of 19

engagement. Our focus now is to scale up and augment existing capabilities and achieve higher levels of personalization and one-on-one communication through SBI Card mobile app. I'm pleased to share that SBI Card has recently reached the 4 million BPCL SBI Card milestone, making it one of the fastest

rowing and largest fuel co-branded credit card partnership.

We continue to take various measures to further strengthen our collection capabilities and expand capacity across digital and physical channels to guide customers through timely repayment and provide effective hardship solutions wherever required. We have also refreshed our risk management framework, including policies, procedures, practices, systems and tools in line with the latest industry best practices and regulatory guidelines.

This also includes constant fine-tuning of our models, processes and analytical capabilities.

These improvements in the underwriting, portfolio management, collections, fraud risk management and provisioning have enhanced our capability to support prudent business growth and protect our customers.

During the year, we also kept focus on ESG initiatives. We have further reduced paper usage through digital enhancements and actively engaged in tree plantation drives and beach clean-up activities in different geographies, reinforcing our focus on environmental and social responsibility.

We remain committed to creating value for all our stakeholders, and I'm delighted to share that for the fiscal year '24-'25, the company declared an interim dividend of INR 2.50 per equity share.

Continuing with the business performance, we remain the second largest credit card issuer in the country. In line with our strategy, new account acquisition has been steady at around 1 million cards per quarter. We added more than 1 million new accounts in Q4 as well, registering 8% Y-o-Y growth.

Our focus on leveraging the end-to-end digital onboarding platform, SBI Card Sprint, is showing positive results. Our share of new accounts sourcing from banca and open market channel in financial year '25 stands at 51% and 49%, respectively. Overall, we added more than 4 million new accounts during the year.

In terms of spends, according to RBI Feb '25 data, our spend market share is 15.6%. Overall, spends were INR88,365 crores in March quarter with 11% Y-o-Y growth. Retail spends have shown consistent growth due to the increasing popularity of digital payments and the expansion of payment infrastructure. This trend is expected to continue.

In Q4, retail spends were around INR80,000 crores with a healthy 15% Y-o-Y growth. Overall, retail spends crossed INR3 lakh crore mark in the year '24-'25 with a Y-o-Y growth of around 18%.

Our corporate spends have also started to come back steadily. In Q4, the spend reached around INR8,600 crores, witnessing over 60% Q-o-Q growth. Our strategy to diversify our corporate SBI Cards and Payment Services Limited

April 24, 2025

Page 4 of 19

portfolio has proven successful, and we anticipate continued growth. Our retail spend active rate continues to be healthy at around 51% in March '25 quarter.

During the quarter, we have seen momentum in all key spend categories across points of sale and online, especially consumer durables, furnishings and hardware, apparel and jewelry. Online spends have witnessed strong growth with around 58.9% share in retail spends.

UPI spends on credit card have also grown fourfold in March '25 quarter as compared to March '24 quarter. Department stores and grocery utilities, fuel, apparel and restaurants continue to be among the top five categories for UPI spend. The ability to use RuPay cards and UPI acceptance terminals through QR code is becoming quite popular in Tier 2 and Tier 3 markets, leading to uptick in spend.

Receivables have grown by around 10% to reach INR55,840 crores in March quarter versus INR50,846 crores in March '24 quarter. IBNEA is at around 59% and EMI receivables are at 35% during Q4 of financial year '25.

Our continued robust business momentum also helped us to register healthy financials in Q4 and in the year '24-'25.

■ Total revenue in Q4 is INR 4,832 crores and has grown by 8% Y-o-Y. To

tal revenue has reached

INR 18,637 crores during the year, registering a 7% Y-o-Y growth.

■ Our revenue from operations in Q4 is INR 4,674 crores with 8% Y-o-Y growth. Revenue from operations during the whole year was INR 18,072 crores with a 7% Y-o-Y growth.

■ Profit after tax in March '25 quarter is INR 534 crores with a 39% quarter-over-quarter growth. In financial year '25, profit after tax is INR 1,916 crores versus INR 2,408 crores in financial year '23-'24.

■ Cost of funds during the fourth quarter decreased to around 7.2%. Net interest margin has improved to more than 11% in Q4, aided by a better yield and lower cost of funds. We expect cost of fund to be on a gradual downward trend in financial year '25-'26, benefiting from the RBI rate action and expect the NIM to be steady.

■ Opex for March '25 quarter has been lower compared to the previous quarter, owing to Q4 being

a non -festive quarter.

In terms of asset quality , as we have mentioned in the last 2 quarters, the macroeconomic environment continues to witness headwinds, leading to stress in t he unsecured lending ecosystem.

At SBI Card, owing to several steps taken over the last 5 to 6 quarters to strengthen our new acquisition, underwriting and portfolio management framework, our asset quality has started to improve.

■ Gross credit cost improved by 40 bps to 9% from 9.4% in the previous quarter, marking the first quarter of GCC reduction after several quarters of increase.

■ Gross NPA for the quarter improved by 16 basis points to 3.08% from 3.24% in the previous quarter. In absolute terms, Stage 3 balances reduced by INR 59 crores to INR 1,718 crores from INR 1,777 crores in the previous quarter.

SBI Cards and Payment Services Limited

April 24, 202 5

Page 5 of 19

■ Similarly, Stage 2 balances have reduced by INR 282 crores to INR 2,801 crores from INR 3,083 crores during the previous quarter, effectively 5% from 5.6% of receivables.

■ 30+ and 90 + delinquencies have continued to reduce in this quarter as witnessed in the previous quarter.

As we continue to refine and calibrate our underwriting standards, portfolio management and collection strategies, we expect the credit cost to moderate in the coming days. As mentioned in the previous quarters, the rate of moderation will depend on the ch anges in the unsecured lending ecosystem and the macroeconomic scenarios.

In terms of liquidity and capital adequacy , with diversified sources of funding, our liquidity position continues to be strong.

- Our capital adequacy ratio for the year is robust at 22.9% and common equity Tier 1 ratio at 17.5% reflects adequate capital to grow.

- We also enjoy the highest credit rating of AAA and A1+ from the rating agencies.

In the end, in the coming financial year, our focus will be on profitable growth path, prudent risk management and long -term consistent value creation for all our stakeholders.

With that, we may now open the call for questions.

Moderator: The first question comes from the line of Anuj Singla with Bank of America.

Anuj Singla: Provision coverage for the Stage 1 to 3 , so there has been a significant change on a quarter -on-quarter basis. Stage 1 and 3 have come down where Stage 2 has risen. So, can you just run us through the thought process and what is driving this change?

Shantanu Srivastava : ECL rate changes are an outcome of the model refresh that we do every year. The overall ECL rate has remained within the range that we've seen in the last 2 years. It's changed from 3.6% in the previous quarter to 3.4% now. So, the 3.4% now is a result of full year changes. If you look back at our ECL rate over 1 year ago or 2 years ago, you'll see it moving between 3.2% and 3.6%. So, this number has to be viewed in that context. This is the overall ECL rate.

As you already know, the ECL rate is an output of our ECL model, which is based on IFRS 9 and Ind AS 9, which ar

e international and domestic standards for financial accounting. This

model that we follow is validated through an external expert every year. It has got oversight of our internal governance mechanisms and is also subject to scrutiny by several external stakeholders, reviewers, auditors and regulators.

So, what we're producing here has gone through that level of scrutiny and oversight. As we also told you in the past, this model consumes data over a long period of time, and therefore, changes are gradual. And the changes are based on rolling averages wherei n data from a recent period gets added on and data from a prior period gets reduced from the calculations. So, what you see is an outcome of all of that.

SBI Cards and Payment Services Limited

April 24, 202 5

Page 6 of 19

Coming to the specific question that you asked about what the logic of the changes is , we had noticed last year that we had significant challenges in Stage 2 balances. These are called SICR or "Significant Increase in Credit Risk". And as per Ind AS standards and also IFRS standards, there's meant to be significant differentiation between our Stage 1 assets and Stage 2 assets. Until last year, this differentiation was in the region of about 1.25% for Stage 1 and about 4% for Stage 2, roughly 3.5x delta. This, we have increased significantly given the challenges that we've seen. So, it's gone now to about 1% and 20%, or 1% thereabouts for Stage 1 and nearly 20% for Stage 2. This is on account of the experience that we have seen and also because of the

requirement to follow Ind AS guidelines in spirit and letter.

The changes that you see in Stage 3 are on account of better recognition of the recoveries that we are doing. Earlier, we were capping some recoveries in cases where customers would pay more than 100%. That cap has been made more prudent. We first do the discounting of recoveries to arrive at present value and then apply the capping. We were doing the reverse earlier. That is what has caused the change in the ECL provisions.

Anuj Singla: Okay. So, going forward, we should see it as a steady state from here on?

Shantanu Srivastava : Such changes happen only once a year. So at least for the next 1 year, there will be no model changes.

Anuj Singla: Okay. Got it. And the second question relates to the opening remarks by ma'am. So, two things.

One is, if I understood it correctly, you said the NIMs are going to be steady from here on. So, should not the lower cost of funding drive a NIM expansion during the course of the year? So that's one.

And the second, while you mentioned the credit cost normalization will be -- will reflect the macroeconomic, how the macro plays out. But when we, let's say, roll forward, let's say, 6, 7 quarters down the line, when can we look at a sustainable level of credit cost? What would that number be?

Salila Pande: The first question about the NIM . There are 2 factors involved over here, as you would know that we also have to be mindful of the kind of yields that we are going to see and what kind of cost of funds we are going to see. So, cost of funds, normally, we reap the benefits after a certain amount of lag.

And in terms of the yields also, as the interest rates have been declining, there will definitely be some kind of an impact on the yield side as well going forward. But our endeavor definitely will be to continue to ensure that the NIM remains steady. And going forward, after a certain period of time, we start seeing improved NIM as well.

Your second question was about credit cost. So, credit cost, 5, 6 quarters, I think, would be too far away to predict at this point of time. We are seeing improvement, as I mentioned during my speech, but there are a lot of unknowns right now in the environment. We will keep a close watch and see that we continue to stay on the right path.

SBI Cards and Payment Services Limited

April 24, 2022

5

Page 7 of 19

Moderator: The next participant is Anand Dama with Emkay Global.

Anand Dama: Sorry for joining late. So , my question again is on the margin front, which was a question of the previous candidate as well. So, in case of margin side, you are saying that the cost of funds will come down, whereas you run a typically fixed rate assets book and that the interest reversals on the NPAs also should come down as you see in asset quality improvement. And why shouldn't we have an exit margin in FY '26, which should be far better as compared to what we see in FY '25?

Rashmi Mohanty: So, you're right that we have a fixed rate book, but our borrowings are largely short term in nature, given the nature of our asset book as well. As ma'am said earlier that the benefit of any market rate cuts come to us with a lag , as our liabilities mature, or they come for a repricing. So, for example, if you were to take the rate cut that happened in February, we didn't get the benefit of the rate cut in quarter 4 FY '25.

We will get the benefit of that as the liabilities that come for maturity in quarter 1 get repriced at a lower rate. So, which is why there's a lag in getting the benefit on cost of funds. And that's exactly what ma'am said that as the first-rate cut has happened, we'll get some benefit. And as more rate cuts happen, we'll continue to get that benefit during the year with the lag only. At the same time, there are two points around the yield as well.

Number one, that we may also be required to pass on some of these benefits on the rate to our customers as well. And number two, we'll also have to see the mix of our NEA in between IBNEA and the transaction volume as well. So given all that, we are saying that it will be an endeavor to keep the NIM stable with an upward bias.

Anand Dama: Sure. Secondly, the corporate spends have actually gone up during the quarter. Is there any reason why there is a lumpiness in terms of corporate spend or it's more seasonal in nature? And secondly, your depreciation is negative during the quarter. Any reason for that?

Salila Pande: So, I will request Girish to supplement my response on this, but overall, yes, we have basically repurposed and repositioned our corporate card strategy in the last few months and quarters. And this is not a onetime lumpiness. I will request Girish to supplement.

Girish Budhiraja: As we've been saying earlier, we are endeavoring to continuously increase the corporate card spends. There is some seasonality, which is during the March, people end up paying their tax -- large corporates pay their taxes. So, some amount of seasonality is there, but not much. On an overall basis, you will see a growth trend quarter -on-quarter on the corporate spends.

Rashmi Mohanty : Your question on the depreciation, the number is negative or negligible for quarter 4 because we did one lease modification and that impacted the depreciation line, which is why you see a dip compared to quarter 3. It's a onetime -- it's a one-off modification that we have done in quarter 4.

Anand Dama: And lastly, if you can tell us like what's the share of our RuPay card portfolio in our overall CIF?

Girish Budhiraja: So, we have not declared that, but we are in the mid -20s.

SBI Cards and Payment Services Limited

April 24, 2025

Page 8 of 19

Moderator: Next question comes from the line of Shweta with Elara.

Shweta : A couple of questions. So, ma'am, the gross write-off pool continues to remain elevated. Could you just throw light on what is the customer cohort behavior and profiling here? And also, I remember last quarter, you sort of alluded on minimum due balance customers. So, has there been any sort of curtailing of movement from this pool towards write-off or, say, delinquency pool?

That's question number one. And just related to that, so I understand you explained quite in an elaborate fashion. But still w

hy this kind of significant spike in Stage 2 ECL? I mean, has it got to do also with any sort of customer behavior that might potential risk in future? So yes, that's my first question.

Shantanu Srivastava : Yes, I'll take it. So, I'll start with the point about the ECL Stage 2 provisions. As I mentioned earlier, the increase that we are doing in the provision is an exercise in accelerating our provision efforts. So, we try to take provisions early rather than later. That is why we're increasing the rate of provision for Stage 2 and decreasing the required provision for Stage 3.

You can see the impact of all of this in the overall stock of provisions, which last quarter were about 110.5% of our NPAs and now it is 110.9% of our NPA. So, the overall provision coverage is actually improving. With regard to cohorts, which cohort is causing this, we spoke about cohorts only once, and that was in June to September quarter of '23. After that, we have not pointed out any cohorts that are causing any significant stress. As and when we identify pockets requiring special attention, we take the appropriate portfolio management actions around those. And this also informs our collection strategy around how to move to different pockets, different segments, different geographies. So, we are using data and analytics to identify our strategy both for portfolio management and collections.

Shweta : Okay. Just a follow-up there. So, are you satisfied with the new customer acquired portfolio behavior?

Shantanu Srivastava : Yes. Our early delinquency for our new sourcing continues to get better. It's better than our previous sourcing vintages, and we've spoken about that in our previous quarters as well. We can measure this in through multiple metrics, delinquencies, flow into delinquencies, improving trends on both fronts.

Shweta : And any color on minimum due balance paying customers?

Shantanu Srivastava : Yes. We mentioned that last quarter. This is a new metric that we've been tracking based on feedback from the RBI, and we see improvements there as well. We call it collection efficiency.

That's what RBI calls it and we see improvements there as well.

Shweta : Okay. And my second question is, is the opex benefits on a sequential basis is coming from scaling back of rewards and benefits that has happened 1st April onwards?

Girish Budhiraja: No, this is essentially because of less spends on cashback that we have done in last quarter over the festival quarter.

SBI Cards and Payment Services Limited

April 24, 2025

Page 9 of 19

Moderator: Next question comes from the line of Rohan Mandora with Equirus Securities.

Rohan Mandora: Sir, just on the asset quality, please, I wanted to understand any quantifiable pool that you have in terms of the stressed assets as we speak as of 4Q end? Like how should one look at it on -- the potential stress that will come into FY '26, if we have to get some sense on that, if you could give some color around that?

Shantanu Srivastava : So, to give you more color on asset quality, I can point you towards the metrics that we normally track, and you can see them in our financials. If you notice, write-off has come down, our NPA stock has come down, NPA percentage has come down. Our Stage 2 stock has come down, our Stage 2 percentage has come down. Our delinquency numbers are improving, and our flow rates are also improving. So pretty much all performance metrics are improving between last quarter and this quarter. This comes on the back of similar improvement seen in the previous quarter as well, although write-off did not come off in the previous quarter. So, this is 2 quarters' worth of

sustained improvement in virtually all performance metrics with regard to asset quality.

Rohan Mandora: But sir, maybe on the flow rates, if you can qualitatively give from the peak level, how much would it have improved?

Shantanu Srivastava : S

o, I can talk about 30 -plus and 90 -plus. We don't give the exact number, but they have -- we have seen improvement between September and December, both for 30 -plus and 90 -plus, again, repeated between December and March.

Moderator: Next question comes from the line of Zhixuan Gao with Schonfeld.

Zhixuan Gao: Just on your comment on that, we are talking about margin may be stable because on the new side, there may be some changes in mix on the revolver, EMI and transactor. So, I just want to understand on your new sourcing, what's the difference between the EMI percentage or revolver percentage or your new source customers in the last 1 year versus the average portfolio? Any rough quantification on the gap?

Salila Pande: So I will ask Girish to supplement this further, but I would say that the composition has remained more or less the same . If you look at the numbers, the IBNEA has declined from last year to 59%, but overall, in terms of the composition of the revolver and EMI, it's more or less similar to the earlier composition. Girish, do you want to add something?

Girish Budhiraja: Yes. In terms of vintages, as we stated last time also, what we have acquired in last 1 or 2 years, we see a slightly downward bias on the revolving behavior of those customers. While that asset in weightages term has to yet come up, and we have increased the interest rates in last year, November. So, there are counter forces which are working at this point of time. As of now, overall portfolio remains at 24%. But yes, latest vintages have a downward bias.

Zhixuan Gao: So, is the bias say, below 20% or any rough range?

Girish Budhiraja: No, not that much. At a similar point, if I look at earlier vintages, which have matured to 12 months to 18 months, we see a, I would say, 10% to 15% lower in the new vintages. But as you're looking at the asset, it's the overall asset. So, weightages are also very important.

SBI Cards and Payment Services Limited

April 24, 202 5

Page 10 of 19

Moderator: Next question comes from the line of Mahrukh Adajania with Nuvama.

Mahrukh Adajania: I had two questions. Firstly, on growth, when do you see it improving to, say, mid -teens, right? Because I guess a bit of discussion on this happened last quarter as well. But what is your view now? When do you see it improving to mid -teens? And there has been already a lot of discussion around margins. But all I want to know is that will you -- I mean, usually, credit card yields are quite sticky.

They don't fall much, and they don't fall very steeply like, say, home loans or other rates. So, are you expecting to cut yields? I mean, how does it -- I know that the investment book can reprice. But just in terms of card yields, are you -- would you be doing major cuts as the rate cut cycle progresses? Or how do we view this?

Salila Pande: So, to your first question, Mahrukh, I would say that we are expecting that we will continue to grow in a calibrated fashion going forward. There are still some unknowns in the economy, and, unless we are sure and we are stable, we will continue to grow at a pace of around 1.1 million per quarter as we have been growing for the last 1 year.

And in terms of the NIM, as you mentioned, that rate action is definitely going to give us a benefit with a lagged effect. Yields, again, as you heard earlier as well that there are components relating to how the IBNEA grows, what is the component of revolver there. So, we will keep a watch. If you want to add something to that, Rashmi?

Rashmi Mohanty: So Mahrukh, while, of course, you are right that the book is sticky in terms of the revolver rate yield is not changing frequently, but we do adjust the yields on our EMI book based on our cost of funds, and there are other parameters as well that go into fixing the benchmark for our EMI book. So, if that benchmark changes as a result of the cost coming down, then in that ca

se,

automatically, there could be some marginal pricing difference that can happen.

I was just making a general comment that we'll have to be watchful, mindful of how the cost behaves and how that impacts key benchmark and therefore, the yield on the EMI book. I agree that on the revolver, yes, it's sticky, doesn't change, but on the EMI book, which is why I clarified that we expect the NIMs to be stable but with an upward bias.

Mahrukh Adajania: Got it. Got it. And just one clarification. There is no regulatory nudge on credit card yields as such, right?

Rashmi Mohanty: No. As I said, I will repeat what I said earlier on the EMI book. The regulator requires us to calculate a benchmark of which our EMI book gets priced, but there is no regulatory cap.

Moderator: Next question comes from the line of Punit Bahlani with Macquarie Capital.

Punit Bahlani: Just on the new sourcing mix, the 4Q mix towards Banca is like 63%. and it's like the highest

ever seen. So, is this like a new strategy where we are shifting towards more banca mix? Or is this like this quarter, we took a break from our sourcing or something like that? Any comments on that? Yes.

SBI Cards and Payment Services Limited
April 24, 2025

Page 11 of 19

Salila Pande: So, Punit, first of all, if you look at our overall acquisition for the year, almost 51% of the acquisition has happened through banca channel and 49% has happened in the open market. And yes, we have seen an uptick during the last quarter because we got some fillip from our digital acquisition strategy on banca. The endeavour going forward will be to continue to have a mix of around 50% to 55% on either side and acquire high-value profitable customers. So that's the strategy.

Moderator: Next question comes from the line of Hardik Shah with Goldman Sachs.

Hardik Shah: I have two questions. First is on the cost side. Why is the opex on an absolute basis higher in 4Q versus 3Q? I understand cost to income is lower. But on an absolute level, why is it higher?

Salila Pande: 4Q opex is higher?

Rashmi Mohanty: Lower Hardik. Which page are you looking at and what number are you looking at? Can you read out the numbers? Because I have some numbers showing a downward trend only.

Salila Pande: Operating cost for Q4 is INR2,073 crores.

Rashmi Mohanty: That's the management number. Where are you picking up the number from?

Hardik Shah: I am looking at -- so it's INR2,074 crores versus INR2,058 crores. This is from your update that you've given out.

Rashmi Mohanty: So, the numbers come down from quarter 3 to quarter 4, right?

Hardik Shah: Okay. This could be maybe because of restatement. Okay. And this could be because of restatement. I will look into this.

Rashmi Mohanty: Girish mentioned earlier, Hardik, that in quarter 3, it's the festive quarter, we do a lot of cashback campaigns. And that always takes our cost, operating expense higher in quarter 3, always every year because of that. And then, of course, the opex dips in quarter 4 because there are no such large cashback campaigns that we run.

Hardik Shah: Understood. Okay. And my second question is on the Stage 3 coverage being lower. So, I understand the logic of increasing the Stage 2 coverage, but what's the logic of reducing the Stage 3 coverage?

Shantanu Srivastava: I'll explain that. So, in Stage 3 computations earlier, we were not reckoning our recoveries in the right way in the sense that we were capping them artificially at 100% and then discounting them to arrive at present value. We've changed that to first do the discounting and then do the capping, which is the more correct way of doing it.

And that is what is driving this change in number. The overall provision ECL rate has not moved as much. As you can see it's moved from 3.6% to 3.4%, which is within the range. And you can also see overall provisions as a percentage of NPAs increasing from 110.5%

to 110.9%.

SBI Cards and Payment Services Limited
April 24, 2025

Page 12 of 19

Moderator: Next question comes from the line of Himanshu Taluja with Aditya Birla Sun Life AMC Limited.

Himanshu Taluja: Sorry, I joined the call a bit late. There's another company. If you have already indicated, can you just repeat your comments since you have mentioned that slippages have improved, flow rates are showing improvement, Stage 2, there's an improvement in the Stage 2 numbers as well as well as some bit of the pace of write-offs is also showing, by when -- so how do you expect the credit cost to behave in the coming quarters? And second, by when do you expect you can reach a normalized credit cost between 6% to 7%? So that's my first question.

Salila Pande: So Himanshu, on the credit cost, as you mentioned several metrics, since all of them are looking good, we expect the credit cost to moderate in the coming quarter. For answering to your second question and supplementing the first question, there are still several unknowns in terms of the macros. So, we will keep a very close eye and see in the coming days, I think you mentioned 7%, right? 6% to 7%?

Himanshu Taluja: Yes.

Salila Pande: Yes. That is still far. We are looking at calibrated moderation going forward in the credit cost in terms of the kind of strategy we are following right now.

Himanshu Taluja: Sorry, ma'am, I'm not expecting 6% to 7% credit cost in FY '26, but can you give some color, can we expect the similar trajectory around this trajectory in FY '27?

Rashmi Mohanty: As ma'am said earlier as well, I think it's too early to predict a number for 4 or 5 quarters from

now. At this point in time, we've seen the credit costs come down quarter -on-quarter. I'll repeat what Shantanu said as a reply to the earlier question that the metrics are looking good, but there are still certain unknowns that we'll have to see. So, I think it's too early for us to give any indication as to what that number is going to be for FY '27.

Himanshu Taluja: Fair. And second question is, since you're acquiring customers around 1 million new card addition or the new accounts addition every quarter, how do you expect this trajectory going ahead? And lastly, how should you expect the cost -to-income ratio to settle around?

Salila Pande : So, we expect in the near term to continue with the similar acquisition. And as we ramp up going forward, we might see higher costs because the last year, we saw lower acquisition and spend costs. As the acquisition and spends increase, we are expecting our cost to income to be in the range of around 55% to 56%.

Rashmi Mohanty: We've always mentioned that our yearly number would be between 55% to 57%. You will obviously see some seasonality given that we spend a bit more around the festive quarter. But for the year, the number should stay around 55% to 57%.

Moderator: Next question comes from the line of Tanuj with JP Morgan.

Tanuj Jain: So, I would just want to circle back to the -- an earlier question where you said your revolve rates on your newer vintages are around 10% to 15% lower. So, like if we take that to be at SBI Cards and Payment Services Limited
April 24, 2025

Page 13 of 19

around 20.5% to 21.5% revolve rate, so should we see this 24% slowly inching up to that particular level, if your tightened underwriting standards that you have had over the last 1 year remains? And do you see any reason why the tightened underwriting standards would reverse going ahead? That's my first question.

Girish Budhiraja: So, in this, that estimation is not correct essentially because what I said was this is the early vintage behavior that you see at between 12 to 18 -month period, okay. The portfolio for revolve maturity starts happening between 24 to 30 months. These segments that we have acquired in last 4 to 6 quarters have not reached those levels as yet.

That is p

oint number one. Second thing is even in these vintages, while we see some bit of lower revolve, but we see slightly more inclination of term lending behaviour in this portfolio. The mix is also dependent on the weightages. So, while we said that it is with a lower bias, but not as much bias as you mentioned. I would say that in the next 3 to 4 quarters, we have always stated that it can be either 23% or 25%, depending on month end transactor, if there is a seasonality or if there is some amount of changes.

But for the last almost, 6 quarters or so, we have been constant at 24% apart from a couple of quarters where it went down to 23% but again stabilized to 24%. So that is the way to look at it about the revolving behavior from here onwards.

Tanuj Jain: Okay. Understood. So as the vintage of these newer acquisitions increase, you still expect your revolve rate to settle between that 24% mark on average over time.

Girish Budhiraja: It could be slightly lower than 24%. We see those newer vintages slightly lower than 24%. But ultimately, we are interested in overall interest income, okay. So, we are trying to get those guys to take term asset, term loans. However, that said, last 6 quarters new acquisition, as was being mentioned by Shantanu also, is showing better behavior. And when you look at better behavior, there is a slightly more transactor bias in that portfolio compared to revolving bias.

Tanuj Jain: Okay. Understood. my second question is, I think your spend -based income, which is largely interchange, has seen a strong increase Q -o-Q. So, is the primary reason for that is that you have higher interchange on your corporate spend relative to your retail spend?

Salila Pande: You're right.

Girish Budhiraja: Yes, you're right.

Rashmi Mohanty : And higher corporate spends contributed to a higher spend -based income.

Girish Budhiraja: Correct.

Moderator: Next question comes from the line of Mohit Jain with Tara Capital Partners.

Mohit Jain: Ma'am, just wanted to ask regarding the growth we are expecting in our receivable balance considering the fact that the revolver may be slightly lower, and we'll continue What kind of growth we expect

SBI Cards and Payment Services Limited
April 24, 2025

Page 14 of 19

Salila Pande: It's not very audible. Your voice is not clear.

Girish Budhiraja: Are you asking about the growth in receivable balances?

Salila Pande: Mohit, is your question about the growth in the receivables number?

Mohit Jain: Yes, yes ma'am. Yes, ma'am. I was asking as to what the rate is we can expect in terms of the receivable growth for the next year, considering the fact that revolver may be slightly lower, and the credit card addition rate is going to be at the same rate of 1.1 million. So, what kind of a growth should we expect?

Girish Budhiraja: So, as you have seen, receivables last year has grown by close to 10%. The growth rate has moderated. This year, we expect it to grow anywhere between 12% to 14%.

Moderator: Next question comes from the line of Rohan Mandora with Equirus Securities.

Rohan Mandora: This is more on the spend growth at an industry level. So, if you look at the first 9, 10 months, it's been around 15% overall. And our spend growth is also at around 15 -odd percent if you look at it. I just want to understand with some players going slow on credit cards, is there a likelihood of we gaining spend market share? And second, over the next 2 to 3 years' timeframe, what kind of spend growth are you envisaging for the industry?

Salila Pande: So, you're right, Rohan, that the spend growth has been at slightly lower than last year at around 15%. If you look at our numbers, if you look at the retail spend, we have grown almost 18% in terms of the retail spend. Corporate, we saw a slowdown during this year. And we anticipate that we will grow in the range of a similar range for the next year as well.

And overall, for the industry, yes, the bigger market players are seeing an uptick in terms of the spend. And there's a little bit of a caution by the smaller players because of which we are seeing lower spend at their end. Anything you want to add, Girish?

Girish Budhiraja: Yes. So, our estimate for our growth, we are looking at 18% to 20% or so. As you would have noticed, we lost some market share when the corporate card spends went off in last year February. We are hoping to regain that slowly in a cautious manner. We want to get it in a profitable manner also. So, we are on that path. As the corporate card spend gets closer to the normal number that we used to have earlier; we will gain that share back.

Rohan Mandora: Sure, sir. And sir, second was on what was the share of UPI -based spend in total retail spend?

Girish Budhiraja: Can you just repeat that?

Rohan Mandora: UPI spends on -- in total retail spends. Share of UPI spends.

Girish Budhiraja: We have not given that number, but what I would say is that at least for our portfolio, it is now coming close to double -digit number.

Moderator: Next question comes from the line of Piran Engineer with CLSA.

SBI Cards and Payment Services Limited

April 24, 2025

Page 15 of 19

Piran Engineer: I just had one simple question. Out of our loan book of INR55,000 -odd crores, how much would come from customers acquired in FY '25?

Girish Budhiraja: As I was mentioning earlier, the asset -- usually, what happens is that the asset growth starts to happen only after 12 months or somewhere around 9 months onwards into the book because till that point of time, what the customer does is initially when the customer comes in, they will spend on the card and they will pay back almost fully.

It's slowly that they start becoming comfortable with the product, they start utilizing it either for revolving or loan or a term asset book. So, there is an evolution in which -- how the customer life cycle moves over a period of time. So as a percentage for the last year, the asset out of that would be fairly low. We don't declare vintage -wise asset percentages, but that would be low. It builds over a period of time.

Piran Engineer: Okay. But let's say, something acquired 2 years back, that would be -- would have reached a sort of steady state in terms of, say, spends per month and revolve share translating to loans per card?

Girish Budhiraja: Two to 3 years is what you can look at. So typically, I would say, anywhere between 24 months to 36 months, that becomes stable.

Piran Engineer: Understood. And is there a way I can think about, let's say, drop -off rate or fatigue rate that, say, 5 years later, people switch to another card? I'm just trying to back calculate what percentage of your book comes from what vintages. That's my exercise. For example, something you acquired in 2015, if you acquired 1 million cards in 2015, for example, how many of them would still be with you and how many would have dropped off?

Girish Budhiraja: Okay. So typically, the attrition rates, you can calculate through the numbers that we give you. They are anywhere between 10% to 13% in the range. Some of that is voluntary. However, some of it is involuntary. Involuntary is all the write -off numbers that you see essentially is those involuntary attrition numbers, okay. So, customers do drop off there. Asset also drops off there. However, we will not be able to do that on there unless until that number is declared by us.

Moderator: Next question comes from the line of Anirvan Sarkar with MLP.

Anirvan Sarkar : So just one question. I have joined the call a little late, so I'm not sure if it has been answered earlier, but did you disclose the net slippages number for 4Q and how it trended versus 3Q?

Girish Budhiraja: Anil, your voice is not clear.

Anirvan Sarkar: Yes. Sir, I'm asking, have you disclosed this number as

to how have net slippages moved in 4Q versus 3Q?

Shantanu Srivastava : Yes, slippages numbers we've given. They've improved from 2.2 -odd percent to 2.1%.

Anirvan Sarkar: This we are talking about net slippages or gross slippages?

Shantanu Srivastava : Say that again.

SBI Cards and Payment Services Limited

April 24, 2025

Page 16 of 19

Anirvan Sarkar: No, are we talking about net slippages or gross slippages?

Shantanu Srivastava : These are -- slippages are our NPA number. They are not adjusted for provisions.

Anirvan Sarkar: . So, I'm asking net of recoveries, net of recoveries and upgrades, what would be the slippages number for 4Q versus 3Q?

Shantanu Srivastava : We don't disclose that.

Anirvan Sarkar: Sorry, sir. You're not audible.

Shantanu Srivastava : Yes. We don't disclose net of provision slippages.

Anirvan Sarkar: Net of recoveries I meant sir.

Shantanu Srivastava : Recovery number is given separately. We disclose recoveries. That you can see.

Moderator: Next question comes from the line of Krishnan ASV with HDFC Securities.

Krishnan ASV : I had a couple of queries. One, what are the levers available, Girish, to improve corporate card profitability? When the mix does reflate, what are the levers available with SBI Card to be able to pull back or lift your IRRs there?

Girish Budhiraja: So, Krishnan, corporate card spends typically happen in 3 categories. One is the category of travel and entertainment, which your company gives you for usage on hotels and airlines. There, usually the profitability is very decent. The second category is when the company uses it to pay its vendors or their partners where the expenses have happened. There you get interchange, but a large majority of that interchange is passed back as a pass-back.

So -- and there is a cost of fund arbitrage also which needs to be taken care of. So, there are those plays. And there is a third category where the companies these days also pay their statutory payments like taxes, utility bills and all that stuff, they can pay through the card business. Then the profitability is there, but it is marginal.

So, it is a mix thing that people work with. Profitability is low. As I would say, absolute profit would be lower, but profitability is high because there is usually no asset here. So, ROA would be fairly high, yes. But you're not lending in this scenario. You are only essentially making it through from a payments perspective.

Krishnan ASV : The reason I'm asking that, Girish, is you said you voluntarily let go off some market share there because you were trying to recalibrate your own approach and strategy as well?

Girish Budhiraja: No, no, no, we didn't say voluntarily. We said RBI came out with a guideline, which was a BPSP guideline, okay, which is business partner solution provider. So there, what used to happen was, for example, company A wants to pay its vendor and in between, there were some third parties through which the payments used to happen. That model was stopped by RBI, okay. So once that got stopped, we have stopped that immediately. That's it. So, it was because of that, and we took that opportunity to start looking at rebuilding our business in a more profitable fashion.

SBI Cards and Payment Services Limited

April 24, 2025

Page 17 of 19

Moderator : Next question comes from the line of Hardik Shah with Goldman Sachs.

Hardik Shah: My next question is on the fee income growth. Given your corporate spends growth has increased and even cards in force growth have increased, what explains tepid fee income growth of 5% Y-o-Y? And how should we think about that in the next year?

Girish Budhiraja: So, there are some headwinds there also. One is the late fee is not growing with that rate. So that is one part. Second is we have seen on the rental spends also; we had levied a fee last year. So, rental spends have also started to moderate. So,

o, both the fee elements from these 2 have started to moderate. This year, from a fee income growth perspective, Rashmi, have you given any guidance?

Rashmi Mohanty: We don't give a guidance on individual revenue.

Hardik Shah: Understood. Okay. And one clarification again on the previous question that I asked. So, with the Stage 3 coverage going down, does that imply your loss given default was lower with these ECL refresh?

Shantanu Srivastava : Yes. So, the Stage 3 ECL rate is your portfolio loss given default rate. As I mentioned earlier, we were capping the recoveries at 100% and then discounting them to arrive at present value. We've reversed that sequence to first discount and then cap. That is what is driving the change in our ECL rate for Stage 3, which is the portfolio LGD.

Salila Pande: So, in summary, Hardik, you're correct.

Moderator: Next question comes from the line of Zhixuan Gao with Schonfeld.

Zhixuan Gao: Just a couple of follow-up questions. Number one is the cost to income 55% to 57% you're talking about for FY '26 because for FY '25, we are at 52-odd percent, right? So why would there be such a big jump?

Rashmi Mohanty: This year, if you look at our card, the new acquisition that we did, we actually ramped up the number only in the second half of the year. The first half of the year, the new acquisition number was lower. We're expecting a higher -- and we've already shared with you earlier, Girish has talked about the business growth and ma'am also spoken about the growth of about at least 1.1 million new cards that we're going to be doing, which is why we expect the cost to income to go up for FY '26.

Girish Budhiraja: One is that. The second this is the corporate...

Rashmi Mohanty: Corporate spend will go up, yes. The corporate spends also impact the cost to income. We expect that the corporate spends are going to be higher than what we have achieved in FY '25.

Zhixuan Gao: Got it. And next one is you say you're not giving quantum of improvement from a Q-on-Q basis in terms of 30-day flow rate or 90-day flow rate. So -- but in terms of the rate of improvement, if you compare this quarter's rate of improvement versus last quarter's Q-on-Q rate of improvement, how does that compare? Is the rate of improvement accelerating, getting faster or is it similar or it's actually diminishing?

SBI Cards and Payment Services Limited

April 24, 2025

Page 18 of 19

Shantanu Srivastava : So, in the previous quarter, we had shown improvement in our NPA stock and our Stage 2 stock, both in absolute terms and percentage terms. We had shown improvement in flow rates. We had shown improvement in delinquencies. That overall trend continues. And this time, apart from these, write-offs have also come down. So, in a sense, what we're seeing this quarter is the accumulation of what happened in the previous quarter as well as this quarter.

Moderator: Next question comes from the line of Krishnan ASV with HDFC Securities.

Krishnan ASV : This one is on cost of funds. Last time around when you saw low interest rates in the system, SBI Cards had benefited disproportionately. I'm just wondering structurally, has anything changed between then and now in terms of elasticity on cost of funds.

Girish Budhiraja: No, structurally, nothing has changed. We remain -- I think what has changed is the percentage of revolver mix has changed. The percentage of our asset mix has changed. Otherwise, structurally, we were giving fixed interest term loan rates earlier. We are still doing that. Our revolver used to be at a fixed interest rate. That still continues to be there. The rate has increased.

Rashmi Mohanty: That increase happened in November of 2024.

Girish Budhiraja: But otherwise, structurally, there is nothing that's changed.

Krishnan ASV : And on the liabilities side, then versus now, there is not much of a structural change, right? Because you

benefited immensely in that stage of the cycle then. I'm just wondering is there any reason why you may be --

Rashmi Mohanty : No, no structural change on the liability side as well, nothing.

Moderator: The last question comes from the line of Vikram Subramanian with Marshall Wace.

Vikram Subramanian: Am I audible?

Salila Pande: Yes Vikram, you are.

Vikram Subramanian: It pertains to gross Stage 2 and gross Stage 3. Basically, if I look at the trajectory of gross Stage 2 from first quarter, it's been going down steadily. And in fact, we have had a reasonably significant improvement in this quarter. This is on gross Stage 2, but Stage 3 is kind of sticky. So how should we look at this? What could be the outlook? Should we expect Stage 3 to remain at these levels, but Stage 2 to continue to reduce at the pace?

Salila Pande: So, you're right, Stage 2, we have been seeing improvement. And as you mentioned, yes, there is a much more tougher collection environment right now. And we have experienced that there has been some stickiness in terms of collections, and there has been a bigger flow from Stage 3 to write-off. But right now, as I mentioned earlier also, it's very difficult to predict. There are a lot of unknowns right now. So, we'll stay vigilant, and the metrics look positive, but difficult to predict right now.

SBI Cards and Payment Services Limited

April 24, 2025

Page 19 of 19

Shantanu Srivastava : But Stage 2 is also coming down between the 6-month period that we're reporting right now, from June to now. There's been steady improvement in Stage 3 as well, 1,821 was the number in September 1,777 in December and 1,718 now.

Vikram Subramanian: My question properly. My question was this reduction in Stage 2, is there also some non-business reason, meaning some kind of reclassification?

Shantanu Srivastava : No.

Shantanu Srivastava : The definition of Stage 2 and Stage 3 have not change d.

Moderator: Ladies and gentlemen, we have reached the end of question -and-answer session. I would now like to hand the conference over to Ms. Salila Pande for closing comments.

Salila Pande: Thank you, R enju. I'm grateful to all our shareholders, customers, partners and employees for their unwavering trust and support in SBI Card. And as we close this call, I wish all who are on this call a very successful financial year 2026. Thank you very much.

Moderator: Thank you. On behalf of SBI Cards and Payment Services Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2025

August 1, 2025

The BSE Limited

Corporate Relationship Department.

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai -400 001

SCRIP CODE: 543066

SECURITY: Equity Shares/Debentures

Dear Sirs, The National Stock Exchange of India

Limited

Exchange Plaza, C-1, Block G,

Bandra-Kurla Complex.

Bandra (E), Mumbai -400 051

SYMBOL: SBICARD

SECURITY: Equity Shares

Re: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure

Requirements) Regulations, 2015 -Transcript -SBI Card Q1FY 26 Earnings

Call

In compliance with the provisions of Regulation 30 read with Schedule III Part A of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the Earnings Call held on July 25, 2025 with analysts/ investors, has been made available on the website of the Company at the below mentioned link. Further, the same is also attached herewith for reference.

<https://www.sbicard.com/en/who-we-are/analyst-investor-meeting.page>

Kindly take the same on record.

Thanking you,

Yours faithfully,

For SBI Cards and Payment Services Limited

Payal Mittal Chhabra

Chief Compliance Officer & Company Secretary

Date & Time of event: - July 25, 2025 at 06:50 PM

Encl.:aa

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CIN -L65999DL 1998PLC093849

"SBI Cards and Payment Services Limited Q1 FY '26 Earnings

Conference Call"

July 25, 2025

MANAGEMENT : MS. SALILA PANDE – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER

MR. GIRISH BUDHIRAJA – CHIEF SALES & MARKETING OFFICER

MS. RASHMI MOHANTY –CHIEF FINANCIAL OFFICER

MR. KRISHNA KANT BISHNOI – CHIEF RISK OFFICER
MS. NANDINI MALHOTRA –CHIEF CREDIT OFFICER

SBI Cards and Payment Services Limited
July 25, 2025

Page 2 of 16

Moderator: Good day, and welcome to SBI Cards and Payment Services Limited Q1 FY '26 Conference Call.

As a reminder, all participant lines will remain in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing “*”, then “0” on your touch -tone telephone.

I now hand the conference over to Ms. Salila Pande – MD and CEO, SBI Cards. Thank you, and over to you, ma'am.

Salila Pande: Thank you, R ayo. A very good evening to all. On behalf of the board and management of SBI Card, I extend a warm welcome and sincere thanks for joining us today for the Q1 FY26 earnings call

I have SBI Card's leadership team with me, and I would also like to introduce Mr. Krishna Kant Bishnoi who has recently joined us as the Chief Risk Officer. He has FRM certification from GARP, along with an MBA in Banking & Finance. He comes with a vast experience of 31 years in the banking sector in India and International markets, across all key facets of banking, especially Credit Risk Management .

Macroeconomic & Industry Overview :

As you are aware, in April 2025, RBI MPC lowered GDP growth estimate for FY26 to 6.5% from 6.7% - an adjustment amid external uncertainties but underlining strong domestic anchors. India's payments ecosystem is undergoing a transformation —powered by the rapid scaling of digital infrastructure, real -time rails like UPI, and now RuPay credit card on UPI. India has emerged as a global frontrunner in digital transaction volumes, setting benchmarks in adoption, affordability, and accessibility. As per reports, by 2030, India's digital economy is projected to contribute nearly one -fifth of the country's overall economy outpacing the growth of traditional sectors.

The convergence of credit and digital is creating a new model: one where credit cards are no longer just plastic instruments, but digital financial tools integrated into mobile apps. Credit cards today are serving more nuanced roles —powering high -ticket, E MI-led, and reward -driven spending for an increasingly aspirational and digitally savvy customers.

However, owing to the prevailing environment, the industry is currently treading carefully. For instance, while India has around 111 million credit cards in circulation, as per RBI June 2025 data, net card addition in Q1 FY26 has been around 13.13 lakh, compared to 20.10 lakh during the same period last year. At the same time, the Indian credit card industry continues to offer immense growth opportunities for the long -term.

SBI Cards and Payment Services Limited
July 25, 2025

Page 3 of 16

Industry forecasts expect cards to double to 200 million cards by FY 28 -29. (~15% CAGR). As per RBI's data, credit card spends in Q1 FY26 rose 16% to around ₹ 5,57,157 Cr vs ₹ 4,80,276 crore during the same period last year.

Coming to SBI Cards strategy and outlook :

Looking at the corporate development, we see a lot of opportunities for SBI Cards to grow .

Today, SBI Cards is India's largest pure -play credit card player commanding a strong position with 19.1% market share in terms of card reports and 16.6% in card spend as per the RBI June 2025 data.

We remain focused on further strengthening our position by focusing on strategic priorities, including:

- Expanding our credit card portfolio, including premium and co -branded cards to meet evolving lifestyle needs of customers.
- Bolstering digital onboarding and servicing capabilities to ensure a seamless, secure, and intuitive customer experience.
- Deepening our focus on Tier 2 and Tier 3 markets where rising affluence and digital penetration present significant growth headroom.
- Leveraging data intelligence to sharpen customer insights and credit decisioning.

At the same time

me, we are curating offerings for digitally native aspirational consumers seeking convenience, flexibility and rewards. In parallel, we continue to focus on launching contextual and curated offers to enhance customer engagement.

Let us now look at SBI Cards' business performance for the 1st Quarter of '25, '26 :

As far as the new accounts are concerned, Cards -in-Force have grown to around 2.12 crore, witnessing a 10% YoY growth. We added over 8.73 lakh new accounts in Q1 FY26. We continue to be selective in new card acquisition for the time being. In line with our strategy, sourcing distribution remains balanced: Banca contributing 56% and Open Market the remaining 44%. As far as the spends are concerned, our spend market share has grown to 16.6% compared to 15.9% during the 1st Quarter of Financial Year 24-25. Total spend reached Rs. 93,244 crores in the 1st Quarter, which is 21% growth Y-o-Y. Retail spend saw sustained growth and reached Rs. 82,404 crores, witnessing a 15% Y-o-Y growth.

- We have seen good growth in both PoS and online spends across most discretionary and non-discretionary categories.
- Key ones include departmental stores, utilities, education, consumer durables, furnishing & hardware, apparel, and jewellery among many others.
- The travel and entertainment category witnessed strong online spends.

SBI Cards and Payment Services Limited

July 25, 2025

Page 4 of 16

Online spends continued to be strong and contributed 60.7% of total retail spends. Corporate spends have grown steadily and reached **■ 10,840 crore** during the quarter, aided by our continuous focus on diversification of use cases.

UPI-on-Credit -Card usage continue to grow 20% QoQ, especially in department stores, groceries, utilities, fuel, apparel, and restaurants —driven by RuPay and QR acceptance expansion.

We continue to forge strategic partnerships and roll out new products, to offer diverse and valuable options to our customers.

- In partnership with Tata Digital, we launched a powerful co-branded product Tata Neu SBI Card. This card combines the scale of Tata ecosystem with SBI Card's credit expertise.
- We launched Apollo SBI Card - a first-of-its-kind wellness-focused credit card in collaboration with Apollo Health Co. This card is aimed at fulfilling needs of India's growing health-conscious consumers.
- We also signed MoU with Bank of Maharashtra to expand co-branded credit card offerings for banks who want to do credit cards for their customers.

We have bolstered our digital initiatives to further strengthen customer acquisition and servicing capabilities, for enhanced consumer experience. Whether it is using digital innovation to improve customer experiences, building a more sustainable workplace, or strengthening our governance frameworks — we are taking consistent steps to create lasting impact.

SBI Card's varied initiatives have been recognized and bestowed prestigious awards, including the CRIF High Mark Data Excellence Awards 2025, and Economic Times HR Silver Training Award. SBI Card also won two Silver Abbys at the Abby South Asia Awards 2025, among others.

Now coming to the financial performance :

Total revenue in Q1 FY26 reached **■ 5,035 crore**, registering a growth of 12% YoY, and 4% QoQ. This increase has been driven by an increase in both interest income and fees.

In Q1 FY26, our PAT was **■ 556 crore**, lower by 6% YoY, and higher by 4% QoQ.

In terms of the receivables :

In line with the strong spends growth rate, our receivables have seen steady growth.

Receivables during the quarter reached **■ 56,607 crore** witnessing a growth of 7% YoY.

Interest Earning Assets were at 60% with Revolver Rate steady at 24%.

SBI Cards and Payment Services Limited

July 25, 2025

Page 5 of 16

Our Cost of Funds on our borrowings for Q4 FY25 was at 7.3%. (The reported COF was 7.2% with a one-off benefit from lease modification). We benefit

ted from the repo rate cuts this quarter

with the Cost of Funds (COF) for the quarter at 7.1% vs 7.3% during Q4 FY25. We expect the COF to be further lower in Q2 FY26.

With portfolio yield holding steady at 17%, and lower COF, the Net Interest Margin (NIM) for the first quarter was higher at 11.2% compared to the same period last year.

In terms of the asset quality :

At SBI Card, owing to steps taken over the last 6-7 quarters to strengthen our New Acquisition, Underwriting and Portfolio Management framework, we have seen improvement in the key portfolio metrics including GNPA%, Gross Write-offs and Stage 2 stock.

- Gross Write-offs have shown improvement in this quarter.

- GNPA for the quarter was stable at 3.07% versus 3.08% in the previous quarter.
- Stage 2 balances (portfolio at Significant Increase in Credit Risk) have reduced by 128 Cr. QoQ and 569 Cr. YOY to 2,673 Cr.
- The ECL rate has stayed range bound around 3.5% in Q1 FY26, increasing by 8 bps QoQ.
- However, the Gross credit cost has seen an increase of 58 Bps to 9.6% from 9.0% in the previous quarter. Credit Cost increased QoQ by ■ 107 Cr, from ■ 1,244 Cr. in Q4 FY25 to 1,352 Cr. in Q1 FY26, contributed by an increase in Provision by ■ 131 Cr. and a decrease in Gross write -off by ■ 24 Cr. The increase in provisions is due to higher ECL rates on account of periodic data refresh & increase in NEA.
- As we refine and calibrate our underwriting standards, portfolio management and collection strategies, we expect the credit cost to stay range -bound, depending on the changes in the unsecured lending ecosystem and macroeconomic factors.

In terms of liquidity and capital adequacy :

- Our liquidity position continues to be strong during Q1 FY26.
- Our Capital Adequacy Ratio (CAR) was at a healthy level of 23.2%.
- ROAA for the quarter was 3.4%, lower by 67 bps YoY, and higher by 4 bps QoQ.
- ROAE for the quarter was 15.8%, lower by 335 bps YoY and higher by 24 bps QoQ.

In conclusion :

Our near -term strategic priorities are clear and focused:

- Driving profitable and sustainable growth.
- Safeguarding asset quality through proactive portfolio management and advanced risk controls.

SBI Cards and Payment Services Limited

July 25, 2025

Page 6 of 16

This continues to shape our cautious yet confident outlook for the quarters ahead .

With that, I would now like to open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session . The first question is from Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: My first question is on the Credit Cost. Your ECL reset happened in the 1st Quarter and the 4th Quarter credit costs were lower. So, when you say range bound , because the reset is done, do you think it reverts to the 4th Quarter level or range bound at the 1st Quarter level?

Salila Pande: Mahrukh, when I am saying range bound , I am saying that whatever reset has happened for this quarter , has two or three factors which have played into the ECL computation. One, because of the model refresh, then we have also seen an increase in the Net Earning Assets. So, we expect, of course, its still early days, but we expect that the ECL rates will be somewhere between what we saw in the last quarter and what we have seen in the current quarter.

Mahrukh Adajania: Okay. And in terms of receivable growth, it's down to 7%. So , we are still confident of 13% to 15% for the year. Maybe 13 -ish or early teens?

Salila Pande: Mahrukh, if you look at the overall industry, there's a little bit of muted growth which is happening in the retail segment. Although the receivable growth is 7%, our IBN EA has grown almost 8%. Although , we might see higher growth than what we saw in the 1st Quarter because the 1st Quarter typically sees slightly weaker demand. The festive season is coming up where we will see an uptick

in the receivables. But it (Receivable Growth) will be in the range of around 10% to 12%.

Mahrukh Adajania: Okay. Got it. And then one last question on margin. So, the last repo rate cut of June is pending to be passed on by the banks , is that the reason why margins have stayed stable Q -o-Q?

Salila Pande: Margin has improved actually because of two things here. If you look at the cost of funds , as I mentioned, the cost of funds for the last quarter, if we remove the one -off adjustments which happened during the quarter , we have seen around 20 basis points of improvement already in terms of the cost of funds. But yes, we will see further benefits during the quarter for two reasons. One is that the benefits have still not played out fully . We are already seeing lower rates as compared to what we had witnessed last quarter. And number two, we have also tried to change a little bit in terms of our borrowing mix, which is also benefiting us. Rashmi, do you want to add something ?

Rashmi Mohanty: So, Mahrukh, the June repo rate cut is something which still we will get the benefit of that in this quarter. It came towards the end of the quarter. There has been a conscious effort on our part to ensure that we negotiate lower on our WCDL rates. We have also started doing some CPs as well this quarter. So, that has helped us in bringing down the cost of funds in Q1. The full benefit of all the rate cuts, especially the one in June, which is a bigger one , we will get that only in Q2,

SBI Cards and Payment Services Limited

July 25, 2025

Page 7 of 16

which is why if you recall MD ma'am guided that we expect the cost of funds to be lower in Q2 by about 25 to 30 basis points, which is where the benefit will come in.

Mahrukh Adajania: Sure. And there will be no change in yield. Of course, the proportion of IEA can change but you are not planning to cut rates or something, right?

Rashmi Mohanty: We have also mentioned in the past that the customer rate is a function of benchmark plus margin. There is a very clear formula that RBI has prescribed, to obtain the benchmark rate.

Unless, as you said rightly, I do not see a big change happening in that. But yes, the IBNEA can determine what the portfolio Yield is.

Girish Budhiraja: Mahrukh, even if the change happens, it will happen only on the new assets, existing assets continue to be at the same price.

Rashmi Mohanty: Although, the yields should stay steady.

Mahrukh Adajania: Got it. And just one clarification, what was the one -off in 4th Quarter, sorry?

Rashmi Mohanty: So, we had mentioned that in the last call and gave an explanation as well. There was one lease modification that we had done and the reclassification of some of our leases resulted in a benefit in the expense line on the interest and related items, and we got a 10-basis point benefit on that.

Mahrukh Adajania: Got it. Thank you so much. Thank you.

Moderator: Thank you. The next question is from Shweta Daptardar from Elara. Please go ahead.

Shweta Daptardar: Thank you, ma'am, for the opportunity. I have two questions. So, you mentioned that ECL reset is the outcome of data refresh. So, can you just give some color on new account acquisition of the new portfolio behavior? That's question number one. Question number two, also, if you can provide some color on, if at all, you are facing or witnessing competitive intensities in the EMI portfolio?

Salila Pande: Shweta, for the first question, as I mentioned earlier, we have become very cautious in terms of our underwriting standards. If we look at the medium to long term, we can see that the delinquency rates have been declining. So, that is basically because we are extremely cautious in onboarding new customers. So, definitely, the risk profile has improved.

Speaking of the competition in the EMI portfolio, I would say that it's a vast market. We have our own captive market.

ts. And we have seen an uptick in our EMI portfolio, which we are building consciously also. But I think there's an adequate opportunity for the market players to grow. Anything you want to Girish?

Shweta, anything else?

SBI Cards and Payment Services Limited

July 25, 2025

Page 8 of 16

Shweta Daptardar: So, just a follow-up on the first question. So, while the new portfolio acquisition behavior is in line with your expectations so, it's fair to assume that the increased credit cost is getting impacted because of the legacy or the past customer cohort. So, while you definitely guided the range bound kind of a number, but when are we going to see this parameter, sort of peaking out in the future?

Salila Pande: Number one, what you mentioned is correct. If you look at the credit cost, which has increased for the company in the last few quarters, as the model refresh happens and the new data, which is more recent, where we have seen higher credit costs, it basically inches the ECL rates up, and we are dropping off the better periods. We are bringing in the newer periods which have witnessed more stress. That is one reason we have seen the ECL rates going up and resulting in higher credit costs.

However, if you look at our numbers, if you look at our stock, in terms of Stage -2, you will see that there's been a marked decline this quarter and even in the previous quarter. So, in terms of stocks, I would say, we have been able to maintain the portfolio in terms of the new acquisitions. We have been prudent, we have been cautious, I would say. Yes, as we mentioned earlier also, there is leverage in the market which keeps on translating into stress and write-off.

As I mentioned earlier, we are expecting that the credit cost will remain somewhere in the range between what we saw in the March quarter and what we are seeing now, mainly because of the ECL refresh. Write-offs this quarter, I would again say, we consistently have been reducing the write-off numbers and that will continue in the days to come.

Shweta Daptardar: Okay. I will join back the queue. Thank you.

Moderator: Thank you. The next question is from Abhishek M. from HSBC. Please go ahead.

Abhishek Murarka: My first question is, can you give some sense of the delinquency trends? So, we can see write-offs coming off, gross Stage -2 coming off. But if you can talk a little bit about forward flows into maybe PAR 30, PAR 90 creation, how has that been trending over the last, say three, four months, five months?

Salila Pande: Delinquency is coming down.

Abhishek Murarka: So, can you share some maybe more qualitative color or the speed of delinquency coming off, is that increasing by any chance?

Rashmi Mohanty : We do not share. We do track, as we mentioned earlier as well in the call, we do track our 30 - plus, 90 -plus all the flow metrics internally. And what we can tell you, and this is something which we said last time as well that for the last three quarters we have seen an improvement in the flow metric.

SBI Cards and Payment Services Limited

July 25, 2025

Page 9 of 16

Abhishek Murarka : Right. But the pace of improvement , is that higher now? Or is it just the way it was , I mean , it will take its time?

Salila Pande: It's the same. The pace is still the same.

Abhishek Murarka : Understood. The second question is about this ECL refresh. So, it's done, right? So, now the PCR or the coverage for individual stages that should remain where it is at the end of 1Q? Or is it something ongoing that every quarter there is going to be a creeping increase in those numbers?

Salila Pande: So, a couple of factors will play in. Number one is that since it's a refresh of the data , as I mentioned, the new quarters are seeing more delinquency as compared to the old quarters, which are being dropped up from the model. So, we are seeing some deterioration in the credit cost

because of that.

Number two, there will always be an impact as we grow the asset book, the NE A grows, there will be an impact on that. However, we will also get the benefit as the mix improves . Because as Stage -2 goes down or Stage -3 goes down , or the Stage -1 portfolio increases in terms of the proportion, we will get a benefit from that as well . So, there are a couple of factors which are playing in, but there are some dominant factors there, the biggest one being that the current quarters have seen more stress as compared to the eight -year-old data which gets dropped off .

Abhishek Murarka : Okay. Got it. The third thing is in terms of corporate spend s. Now we have seen it go up for the past couple of quarters. But this quarter, your cost ratios did not go up actually. And typically, with higher corporate spend, the cost ratio should go up because you are paying out a lot of that revenue anyway. So , is there any particular big cost saving that is also there in the OpEx line which is masking that?

Rashmi Mohanty : The last quarter was also a big spending quarter for us , Abhishek . We did a lot of campaigns , throughout the year we have done a lot of campaigns, so it was inflated because of that. That's number one. So, as you compare Q4's cost-to-income ratio to Q1's cost-to-income ratio, that's a very important factor. Because in Q1, typically, we do not do that kind of campaign spend s, so that is one reason . Two, yes, because of lower Cards , sales cost or acquisition cost is lower , so that's also a factor of the cost of income being lower this quarter compared to the previous quarter.

Moderator: Thank you. We take the next question from Anand Dama from Emkay Global. Please go ahead.

Anand Dama: Thank you. Is it possible for you to spell out what the overall credit cost would be for the full year? I believe you said that it will be somewhere between what we have seen in this quarter and our 4th Quarter , but still like it could be around the 9% that you are expecting for the full year despite the flow rates coming off and the sale impact largely been taken care of ?

SBI Cards and Payment Services Limited

July 25, 2025

Page 10 of 16

Salila Pande: For the full year, I would not like to give guidance at this point because there are certain external factors as well, especially the leverage that we are seeing. But as I mentioned, that for the next quarter , we are anticipating that it will be somewhere between what we saw last quarter and this quarter.

Anand Dama: Sure. So , basically, is the higher leverage levels the reason why you are not so confident on the credit cost coming down meaningfully at this point in time? Or are there many other things at play?

Salila Pande: As you know, there are two factors involved here, one is ECL . So, ECL, as I have already elaborated for several reasons , even if we grow the asset book, we will see the ECL growth happening over there. In terms of the other factor, which is the gross write -off, definitely it's a function of leverage. Although in terms of the early delinquencies and in terms of the new onboarding that we are doing, we are being cautious . But we are also seeing that there are customers who have been with us for many, many years, who also get stressed . And that happens due to some lifetime events happening, which we are witnessing, and we have that in our portfolio. When we look at our Stage -3 and Stage -2, we have many of those customers sitting in that portfolio. So, although we are working on resolutions, that is the portfolio at risk which we are working on.

Anand Dama: You have done very well on the RuPay cards or UPI cards so to say , I think which is basically about 20%, 25% of the overall card in force . Is it possible for you to spell out what's the spend

share of RuPay card or basically spend per card that you are having over there? Because I think th

e retail spend for you is about Rs. 17,000 -odd. So , what would be the spend per card for RuPay cards? Can you give some more details on that?

Girish Budhiraja: So, on the RuPay cards, the spend per card is marginally higher than the average. I would put it anywhere between Rs. 3,000 to Rs. 5,000 higher.

Anand Dama: Okay. And how the profitability metrics is for that? Because now I think NPCI has given some additional incentives also RuPay card , do you see also the results will be a little better over the re?

If you can spell out what's the profitability metric s over there in terms of receivables, fees and the cost?

Girish Budhiraja: As of now what we see is that the profitability is broadly similar. There is some amount of lower interchange which we receive. We have not declared how much there is , but on a normal card we would get Rs. 100 as an interchange. On the same spend on RuPay card, we are getting anywhere between 70% to 80%. That is one. So, interchange is a bit lower, but that gets compensated with higher Spend s. So, in absolute value on profitability perspective, broadly, it is similar.

Anand Dama: And do you expect it to improve going forward as the book increases ?

Girish Budhiraja: Yes.

SBI Cards and Payment Services Limited

July 25, 2025

Page 11 of 16

Salila Pande: We are seeing good traction there, and we will continue to work on that.

Anand Dama: Thanks ma'am, that's very helpful.

Moderator: Thank you. Next question is from Rohan Mandora from Equirus Securities. Please go ahead.

Rohan Mandora: I was saying on the interchange revenues that we earn, on a computed basis it was coming closer to 100 basis points. So, I just wanted to reconfirm that number? And in the last two quarters, it seems to have declined meaningfully. So , just if you can explain, is it largely due to the RuPay card or is something else a factor here?

Girish Budhiraja: No, Rohan , I think we will get somebody to sit separately with you. The interchange has not gone down. And in any case, as the corporate card spend goes up, the interchange actually goes up because Corporate Spends is at the higher inter -Change levels . So, on a percentage basis, it is either similar or higher.

Rohan Mandora: So, if you can quantify what is that we earned in 1Q, percentage?

Girish Budhiraja: No, we have not declared, and it is dependent on two, three things. It is dependent on what kind of card which is being used in the market. The second dependency is also which merchant category in which the card is used. So, it can range anywhere between , let's say, 0.75 % on utilities to go as high as 2.1% -2.2%. So, there is a range. Usually, it falls anywhere between 1.35% to 1.45 %.

Rohan Mandora: Sure, sir. Sir, secondly, on the originations that we are doing incrementally, the mix of CAT -B salaried seems to be increasing. So, just trying to understand the customer profile there and what gives us the confidence that in the medium term this portfolio quality will hold up well ? Because a lot of pain we are seeing is in the CAT -A salaried segment , how do we correlate these two numbers?

Salila Pande: Rohan, while onboarding, as I mentioned earlier, we also look at a particular customer profile.

And we have our own metrics in terms of the underwriting standards which definitely a customer will have to qualify for. And not that there's no opportunity in the CAT -B segment or any other segments. The only thing is we will have to ensure that we are reaching out to the right customer and having the necessary insights to know whether this customer is in my risk appetite.

I will request Nandini to elaborate. We have also increased how we look at the customer in terms of account aggregators . And also, while we do sourcing from the Banca channel. So, definitely for the purpose of looking at what is the profile of the overall customers, we do this slicing and dicing, but we

also make sure that whichever customer is onboarded is as per the company's risk appetite and satisfies the scorecards whatever have been put in place in respect of a particular customer. Nandini, do you want to add something?

SBI Cards and Payment Services Limited

July 25, 2025

Page 12 of 16

Nandini Malhotra : Like ma'am rightly said, we have our internal norms which leverage the bureau data as well as any other data source that the customer gives us . So, account aggregator is a good method of assessment because we are able to see the cash flows over a period of time , and that gives us greater confidence in underwriting. So, we started leveraging it two years back, and we have increased the proportion of sourcing going through the account aggregated channels. Also, the

advantage is that they are based on customer consent, we can do a periodic refresh. It also helps us with portfolio management. So, like ma'am rightly said, the underwriting is done looking at the customer and all facets of the customer are considered while taking a decision and also by managing the portfolio.

Rohan Mandora: Sure. Thanks a lot.

Moderator: Thank you. Next question is from M.B. Mahesh from Kotak Securities. Please go ahead.

M.B. Mahesh: Just a couple of questions. One, on the new account acquisition, why are we in a sense seeing this slowdown here in terms of acquisition? Is it because there is a lack of demand for fresh cards or is the filters becoming even tighter than before?

Girish Budhiraja: So, Mahesh, demand is not a concern. There is more than enough demand. Quality acquisition is primary for us at this stage. So, we have done both the things. We have taken off some areas where we were not finding the quality applications coming in. So, there is some reduction in the number of applications that we have sourced. And some parts of it are also some more tightness or some more selectiveness that we are putting into our portfolio acquisition. So, these are ongoing practices, it will continue. However, as we have stated earlier, we will try to continue to deliver between 900,000 to 1 million cards, and while keeping an eye on the market also at the same time.

M.B. Mahesh: In the sense that at one point in time we were looking at 1 million, now we are looking at the number 0.9 million to 1 million. Do you say that even the recent origination of cards is not kind of coming through the quality that you would want for?

Girish Budhiraja: The recent origination, which was pointed out by MD Ma'am, that as per the standard it is fulfilling the requirements. However, what we are looking at is that we have to do even better because if the results where we want to be in from the future perspective, we want to be even in a better state. So, some of those criteria, and I will give you an example. For example, we are now focusing on at least getting an account aggregator access from most of our customers. Now this is not going to help us today, it's going to help us even in future because if we get consent from the customer, we will be able to access the customer account even two years, three years down the line and help in portfolio management. So, some of those long-term thinking processes are also being put into acquisition today.

Salila Pande: And one more thing I just want to add to Girish's point Mahesh is that ultimately, I agree that we had initially given guidance where we have gone a bit slow in the 1st Quarter. But ultimately, we are also a function of the industry, and our market share has grown despite growing slow this SBI Cards and Payment Services Limited
July 25, 2025

Page 13 of 16

quarter. We are hopeful, in the coming quarters as the festival season kicks in, we will see the kind of customers we want having more demand. And definitely, these numbers should go up in the coming quarters.

M.B. Mahesh: One clarification to this question,

the newer cards that are being issued, is it still a very large carded base that you are still targeting as key customers? Or is the action completely on New to Credit Card today?

Salila Pande: New to credit Card, what is the proportion?

Nandini Malhotra: It's sustained.

Girish Budhiraja: So, Mahesh, proportion, which Nandini is mentioning is broadly the same of both carded and new to card segment. And I think the way to look here is that our sourcing, mostly as we have stated earlier, from Banca tends to be New to Card, because that is where we are able to look at. So, if that remains 56% to 60% in that range, the mix will broadly remain similar.

M.B. Mahesh: Okay. The second question is about the spends, have you started seeing a slowdown by customers who have a larger credit balance? Does that explain a bit of a slowdown that you are seeing overall, or is there something that we need to worry about less about this issue?

Salila Pande: I do not think we are seeing any significant slowdown, of course, it's not what it was two years back. But I think we are standing on our ground and not seeing a marked slowdown there.

Girish Budhiraja: Not at all. Mahesh, if you see, actually, CIF has grown by almost 10% or so, spends have increased by around 21%. But if I look at only retail, it is still 15%. And even in that, so there is Spend Per Card is still increasing. And secondly, there is a play within the spend which is happening. Rental payments, we have been cautiously bringing them down. So, that has come down, and if I take off that rental, the growth will be early 20s, okay? So, hopefully, by the second half of the year when this base effect also goes away, you will see that kind of impact. We saw a couple of programs which we have done with large e-commerce players, the growth has been very decent.

M.B. Mahesh: Okay. Thank you.

Moderator: Thank you. Next question is from Kaitav Shah from Anand Rathi. Please go ahead.

Kaitav Shah: Good evening. Thank you for taking my question. The number one question was on the reset of credit cost, ECL norms. So, will this happen again next year? And if you can give us some sort

of guidance on whether we use a five-year, three -year, 10 -year kind of framework for ECL if that is possible to share?

Salila Pande: So, reset of credit cost, data refresh happens quarterly, Kaitav. And the period for which we look at the data is eight years.

SBI Cards and Payment Services Limited

July 25, 2025

Page 14 of 16

Kaitav Shah : I think those were my questions; the rest have all been answered. Thank you so much.

Moderator: Thank you. Next question is from Aditya Vikram from Digital Bees Securities. Please go ahead.

Aditya Vikram: Hello. Hi, good evening. It seems like quarter -on-quarter sequentially the performance is good. I just wanted to clarify or understand , the number one question is , why has the finance cost increased by 6% when our cost of funds went down?

Salila Pande: This year the Cost of funds have increased because, number one, our liabilities have increased. There is one additional day in the quarter as compared to previous quarters. And of course, we also got the benefit of lower rates, but because of requirements for higher borrowings and one additional day being there, there is a nominal increase of Rs. 18 crores, I think , in the finance cost. Yes , around Rs. 18 crores is the impact on the finance count.

Aditya Vikram: Ok. In previous quarters you suggested that the growth would be in mid -teens. I heard from one of the participants that you said that the growth could be 10% to 12%. Is that correct understanding ? Are we reducing our growth guidance? Or you are just saying it for now and probably again increase it as we go down the lane?

Salila Pande: So, yes, initially, last quarter we had given guidance of looking at 12% to 14% in terms of th

e

receivables. Looking at the offtake and what we have seen in overall credit growth during the quarter, especially in retail lending , and our own experience, we are looking at 10% to 12% growth. However, there are festive seasons ahead, and we will be working on the strategy. If we see opportunity, we will definitely grow there.

Aditya Vikram: And ma'am one last question, if I may. The interest income has increased again, right , but are there any other levers barring the repo rate cut, which will aid it? Or do you see any sort of new area you will dwell in to increase this? Or it will be just the repo rate cut which will help?

Salila Pande: So, if you are talking of the NIM, yes, basically the benefits we will see will be on the NEA growth, which will increase the interest income and the cost where we are anticipating further reduction in the cost of funds for the coming quarter s.

Aditya Vikram: Okay, ma'am. Thank you. Best of luck.

Moderator: Thank you. The next question is from Meghna Luthra from InCred Equities. Please go ahead.

Meghna Luthra: Hi, thank you. I have three quick questions. One is , what is your medium -term outlook on when would ROE return to, say, mid -20s or an early '20 sort of a level? And second, what proportion of your book have you tightened the limits, the example, the spending limit? And three, what's the proportion of the book is co -branded, like other players ?

Salila Pande: Mid-20, not this year, definitely , that I can say. Tighten s the limit , we would say that I do not know whether we tell this number.

SBI Cards and Payment Services Limited

July 25, 2025

Page 15 of 16

Girish Budhiraja: Early -teens portfolio percentage .

Salila Pande: And on the co -branded ?

Girish Budhiraja: Yes. Co -brand is between 25% to 30%.

Meghna Luthra: And so mid -20s, would you say next year , I mean, I know it's too early but any triggers we would keep that you would look up to?

Salila Pande: Mid-20s, I do not see immediately that I can tell you .

Moderator: Thank you. Next question is from Suhas Phalke from ARJ Securities. Please go ahead.

Suhas Phalke: Good evening, everybody. And thank you for this opportunity. While all the financing and operational metrics have been covered by my peers, I had a quick question on the ESG approach.

What is your ESG agenda? And how do you think about sustainability from an ESG standpoint?

I present the disclosure seems more like a check box exercise and rather than a conscious outcome in our effort . So, do you see ESG being tracked and disclose more rigorously going on?

Salila Pande: So, it's not a check box at all for us , that I can tell you Suhas . We are very mindful of our contributions to the community and to the environment. And ESG per se has a very active oversight from the Board members. Even the projects that we work on, the outlay of funds which is done, there is a lot of thought ful discussion which happens by the management team as well as by the Board. And the metrics are also tracked very closely over there. In fact, we speak not just about, as we mentioned, ticking the box but rather looking at whatever outlays we are doing, how sustainable those impacts are year -over-year. So, respectfully I would say that we do take ESG very seriously.

Suhas Phalke: Thank you for that. Are there any defined ESG KPIs or frameworks that you are planning to adopt either internally or in line with the global tenders like GRI or CBFC ?

Rashmi Mohanty : Yes. Obviously, we continue to benchmark ourselves with the best in the industry, especially and it's difficult to kind of get a lot of ideas in terms of what an NBFC can do but not a manufacturing company. Yet we do have medium -term and long -term growth both on ESG initiatives across key verticals.

Suhas Phalke: Thank you, ma'am. I hope to see that in the presentation as well. Thank you.

Rashmi Mohanty : You can pick up ou

r annual report for the year FY '25 when it gets published soon. And the details of all our ESG initiatives, along with the metrics, et c., are all part of the annual report. The BRSR report is there , you can read that , it's very detailed.

Suhas Phalke: Thank you so much, ma'am. I will take a look at that. Thank you so much for your time.

SBI Cards and Payment Services Limited

July 25, 2025

Page 16 of 16

Moderator: Thank you. We will take that as a last question. I would now like to hand the conference over to Ms. Salila Pande for closing comments.

Salila Pande: Thank you, Rayo . I would like to express my sincere gratitude to our shareholders, customers, partners and employees for their continued trust and unwavering support. Thank you once again .

And we look forward to your continued support in the journey. Thank you.

Moderator: Thank you very much. On behalf of SBI Cards and Payment Services Limited, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: Oct 2025

October 31, 2025
The BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
SCRIP CODE: 543066
SECURITY: Equity Shares/Debentures
Dear Sirs, The National Stock Exchange of India
Limited
Exchange Plaza, C-1, Block G,
Bandra -Kurla Complex.
Bandra (E), Mumbai -400 051
SYMBOL: SBICARD
SECURITY: Equity Shares

Re: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 -Transcript -SBI Card Q2'FY26 Earnings Call

In compliance with the provisions of Regulation 30 read with Schedule III Part A of SEBI (Listing Obligations and

Disclosure Requirements) Regulations, 2015, transcript of the Earnings Call held on October 24, 2025 with analysts/investors, has been made available on the website of the Company at the below mentioned link. Further, the same is also attached herewith for reference.

<https://www.sbicard.com/en/who-we-are/analyst-investor-meeting.page>

Kindly take the same on record.

Thanking you,

Yours faithfully,

For SBI Cards and Payment Services Limited

Payal Mittal Chhabra

Chief Compliance Officer and Company Secretary

Date and Time of event: - October 24, 2025 at 07:20 PM

Encl.:aa

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CIN -L65999DL 1998PLC093849

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Page 1 of 15 "SBI Cards and Payment Services Limited Q2 FY '26 Earnings Conference Call"

October 24, 2025

MANAGEMENT : MS. SALILA PANDE – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER

MR. GIRISH BUDHIRAJA – CHIEF SALES AND MARKETING OFFICER

MS. RASHMI MOHANTY – CHIEF FINANCIAL OFFICER

MR. KRISHNA KANT BISHNOI – CHIEF RISK OFFICER

MS. NANDINI MALHOTRA –CHIEF CREDIT OFFICER

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SBI Cards and Payment Services Limited

October 24, 2025

Page 2 of 15

Moderator: Ladies and gentlemen, good day, and welcome to the SBI Cards and Payment Services Limited Q2 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone tele phone.

I now hand the conference over to Ms. Salila Pande, MD and CEO, SBI Cards. Thank you, and

over to you, Ms. Salila Pande.

Salila Pande: Thank you, Sagar. A very good evening to everyone present on the call today. Along with the Board members and management of SBI Cards, I extend a warm welcome and sincere thanks for joining us.

India continues to be one of the world's most resilient and fastest -growing economies even as the global landscape remains marked by uneven recovery and geopolitical uncertainty.

According to RBI's Monetary Policy Committee meeting held in October of 2025, the real GDP growth forecast for financial year '26 has been revised upwards to 6.8%, underscoring the economy's strong momentum. The recent GST reforms, coupled with optimistic festive demand has stimulated consumption across both discretionary and non -discretionary categories, reinforcing the strength of domestic demand and rising consumer aspirations.

India's digital payment landscape is undergoing a rapid transformation propelled by key factors such as the expansion of digital infrastructure, progressive reforms, a robust fintech ecosystem and growing smartphones and Internet penetration. Digital payment transaction volumes are projected to nearly triple by FY 2030, rising from INR206 billion in FY '25 to INR617 billion, while the value of transactions is expected to expand from IN

R299 trillion to INR907 trillion.

As per the reports in the next 5 years, the volume and value of credit card transactions in India are expected to grow at approximately 21.7% and 20.8% respectively, reaching around 13 billion transactions, totalling INR54 trillion by the financial year 2030. India currently has around 112 million credit cards in circulation, a number projected to double to about 200 million by FY '30, supported by product innovation and wider acceptance.

As a customer -centric organization, SBI Card continues to pursue growth by focusing on offering seamless experiences, personalized rewards and best -in-class credit card products to millions of customers across the country. With digital platforms becoming the preferred medium for today's tech -savvy I ndian customers, we continue to strategically deepen our presence by forging partnerships with leading brands.

We launched three Marquee co -brand credit cards during the quarter. Flipkart SBI Card is carefully designed to offer curated cash -back benefits making everyday shopping more rewarding. The PhonePe SBI Card is yet another addition crafted to meet evolving customer needs by combining convenience, digital agility and everyday value. OSBICard

SBI Cards and Payment Services Limited

October 24, 2025

Page 3 of 15

And we also launched the IndiGo SBI Card catering to the aspirations of frequent travellers . We also launched an integrated nationwide festive campaign called Khushiyan Unlimited, bringing over 1,250 offers with leading brands across 2,900 cities.

We have witnessed an encouraging response from customers across all key categories, including consumer durables, electronics, jewelry, departmental stores and e -commerce. In addition, SBI Card has been bestowed with several prestigious awards for various i nitiatives. Notable among these is the prestigious CII National AI Awards at the AI Summit 2025 for our revamped SBI Card mobile app. This award reflects our commitment to digital innovation and operational excellence.

Coming to the business performance and key metrics during the quarter , cards -in-force have grown to around 2,15,00,000 with 10% growth year -over-year. We added 9,36,000 new accounts while continuing to focus on quality acquisition. Sourcing from Banca and open market channel was 50 -50 each . SBI Card continues to be India's second largest credit card issuer with cards in force market share at 19%.

As for the spend -- as per RBI August 2025 data, our spend market share has further grown to 16.8% in FY '26. Total spend during the quarter reached the highest ever level of INR1,07,063 crores with a strong growth of around 31% Y -o-Y. The retail spend reached INR89,611 crores, witnessing a 17% Y -o-Y growth. We have seen good growth across most online and POS spend categories.

Online spends witnessed strong growth across all non -discretionary and discretionary categories. Key categories include departmental stores, health, utilities, education, consumer durables, furnishing and hardware, apparel, restaurants and jewelry among others. Online spends contributed 62.5% of the total retail spend in H1 of FY '26.

Corporate spends have also witnessed strong growth and reached INR17,452 crores during the quarter with our continuous focus on diversification of use cases. UPI on credit card usage continued to grow 16% quarter -over-quarter, majorly in department stores, groceries, utilities, fuel, apparel and restaurants, driven by Ru Pay and QR acceptance expansion.

Coming to the financial performance. Total revenue for the quarter was INR5,136 crores, registering a growth of 13% year -over-year. Revenue has been higher, mainly due to higher spend -based income. Profit after tax was INR445 crores with an increase of 10% year -over-year. Operating cost during the quarter was higher, driven by higher cost of festive campaigns and offers and higher corporate pass back on corporat

e spend. As a result, the cost -to-income ratio was at 56.8%. Receivables during the quarter reached INR59,845 crores with 8% Y -o-Y growth. However, the interest -earning assets were at 56% with revolver rate at 22%. This is due to the higher transactor volume in the festive spend as has been the case in the previous years as well. The higher transactor volume also impacted the yield for the quarter being 16.5% versus 17% in the previous quarter. OSBICard
SBI Cards and Payment Services Limited

October 24, 2025

Page 4 of 15

Cost of funds on our borrowings for the second quarter was lower at 6.4% versus 7.1% in the first quarter. The cost of funds for Q2 was lower by 51 basis points on a daily weighted average basis. The benefit from repo cuts on our floating book has been mostly absorbed now.

The cost of funds is expected to remain stable at current levels until we see another policy rate action. With portfolio yield at 16.5% and lower cost of funds, the net interest margin for the quarter was at 11.2%.

Talking about the asset quality, as we mentioned in our previous quarter calls, owing to steps taken over the last few quarters to strengthen our new acquisition, underwriting and portfolio management framework, we have seen improvement in the key asset quality metrics.

Gross NPA for the quarter improved to 2.85% versus 3.07% in the previous quarter. In absolute terms, Stage 3 stock has reduced to INR1,705 crores in Q2 of FY '26 from INR1,735 crores in Q1 of FY '26. Stage 2 stock, which is, portfolio with Significant Increase in Credit Risk has reduced to INR2,485 crores in Q2 from INR2,673 crores in Q1.

The ECL rate has reduced by 17 basis points quarter -over-quarter to 3.3%. The gross credit cost has seen a reduction of 58 basis points in this quarter at 9% from 9.6% in the previous quarter. In absolute terms, there is a reduction of INR59 crores in gross credit cost during this quarter from INR1,352 crores in Q1 to INR1,293 crores in Q2 of FY '26.

Gross write -off for the quarter was INR1,281 crores. Looking at Stage 2 and Stage 3 stocks and the flow rates, we expect the credit cost to show an improving trend in the next 2 quarters of FY '26. Our liquidity position continues to be strong. Our capital adequacy ratio was at a strong level of 22.5%. ROAA for the quarter was 2.6%, lower by 4 basis points year -over-year. ROAE for the quarter was 12.1%, lower by 37 basis points year -over-year.

Summing up, we remain optimistic about the strong growth prospects for the credit card industry. With a clear focus on value creation and sustainability, we are committed to build and grow our business for the long term. We remain steadfast in maintaining robust asset quality and prudent risk management, ensuring long -term stability and resilience.

Now we are open to take questions.

Moderator: First question comes from the line of Mahrukh Adajania from Nuvama.

Mahrukh Adajania: So my question is on credit cost. So if you see the provisions, while it's a very low number, it's a small number, there's huge volatility across quarters, right? So last quarter, it was INR72 crores and this quarter, it's INR12 crores. So how do we think about it going ahead? How do we model it because it's so volatile? And then write -offs remain elevated. So when do you see those coming down? And you said that the trajectory of credit costs will be down in the next 2 quarters . Could you guide to a range? Will it be substantially below 9%? Any range? And last time, you had said that you would like to wait for some time before giving guidance on what credit cost - where credit costs would normalize at, right? Like over the next 1 .5, 2 years, do they go down OSBICard
SBI Cards and Payment Services Limited

October 24, 2025

Page 5 of 15

to the old levels of a little higher than 6% or they remain in the range of 7%? That's -- those were my questions.

Salila Pande: Thank you, Mahrukh. So

first of all, your question about the gross credit cost, I think first was on the ECL, right? The first question...

Mahrukh Adajania: Yes, was the provision. So this write -off and provision, yes.

Salila Pande: So the thing here is -- see, as we have been mentioning that we are following a model which basically calculates the provision build or the ECL numbers for us. As I mentioned earlier during the call the stocks have declined substantially, specifically in the Stage 2 category, almost INR188 crores of decline has happened over there. So as we had mentioned, two things will continue to happen.

One is that as we have been reducing the stocks ;and the loss rates which were better in terms of the earlier 8 -year numbers, we are seeing increase in the ECL rates. As the stocks are going down, we are also seeing an abatement , and hence, the ECL numbers and the provision numbers are coming down.

Going forward, what I can say right now is that we are anticipating decline in the write -off numbers looking at the stocks, looking at the flow rate. And also, we will see reduction in the gross credit cost. So, one or two things also which I want to point out since this question may come up again, and Mahrukh, in terms of the slippage ratio, we are at 2.07% this time.

We are also seeing some abatement over there in terms of the slippages. So stocks are going down, the slippages are down. So we are hopeful that we will see better asset quality in the coming quarters.

Mahrukh Adajania: But would you like to give any range?

Salila Pande: I can say it will be below nine.

Moderator: Our next question comes from the line of Abhishek M. from HSBC.

Abhishek M.: So, my first question is on opex. How much would have been the festive spend this quarter? And also, if you can give the corporate spend-related opex that you would have booked this quarter, just to get a sense of the underlying retail opex, how that has trended?

Rashmi Mohanty: Abhishek, we don't disclose the numbers with respect to the amount of expenses with respect to our festive offers and neither do we disclose the corporate expense on account of our corporate spends as well. However, we can definitely say that the corporate spend this quarter were way higher than the previous quarter.

And that obviously would impact the opex number for this quarter. In addition to the fact that opex for quarter 2 has always been higher given the festive offers that we have in this quarter.

But we don't give out the breakup between the two. OSBICard

SBI Cards and Payment Services Limited

October 24, 2025

Page 6 of 15

Abhishek M.: So if I want to get a sense of the underlying opex and the one-offs that have happened in this quarter, how do I make that out from your number? Should I anchor to the last, let's say, 2, 3 quarters average opex because that's clean and that doesn't have festive season spend? Would that have been the underlying...

Rashmi Mohanty: So, I would suggest that while -- Abhishek, I think if you go back a previous few years, you'll be able to see the seasonality between and the difference in the opex or the cost-to-income ratio between quarter 1 and quarter 2. Don't look at FY '25, though, because in FY '25, we anyway had lower corporate spend given the changes in the regulation.

And therefore, the quarter 1 FY '25 and quarter 2 FY '25 may not be a representation. But if you go back a few years, you should be able to see the kind of increase that we normally have between quarter 1 and quarter 2 in the opex number.

Girish Budhiraja: You have to also look at those years where the festival season should have begun in quarter 2...

Rashmi Mohanty: Quarter 2 as well.

Girish Budhiraja: Because sometimes in some years, the festival season is purely quarter 3.

Abhishek M.: So I guess FY '24 would probably be a better year because there was some volatility in opex between 3Q and 4Q. Okay. I c

an -- all right. Is that a fair year to look at?

Girish Budhiraja: There will be no like exact like to like...

Rashmi Mohanty: Exact like to like Abhishek.

Girish Budhiraja: Okay. Last year and this year had some similarities, a couple of years back versus this is slightly different.

Abhishek M.: Okay.

Salila Pande: I just want to add that -- see, in terms of the cost-to-income, the guidance that we had given initially was that we'll be somewhere around 57%. And this is the season and the time where we spend also because ultimately, we also have to see in terms of engagement with the customers and giving them the right value prop. So this is on expected lines.

Abhishek M.: So for the full year this year, we should average at 57%. Is that something we should anchor to?

Rashmi Mohanty: For the full year, in the last call also I mentioned...

Abhishek M.: FY '26.

Rashmi Mohanty: Yes, FY '26, I had mentioned it should be in the 54% to 56%. However, we are seeing higher corporate spend, so we'll be on the higher side of the range now. OSBICard

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October 24, 2025

Page 7 of 15

Abhishek M.: Okay. All right. So, second question, ma'am, is that if I look at the absolute balances of revolver and EMI for almost 3 quarters, it's more or less stable. And this quarter, obviously, there are transactors. Some of it will flow into EMI or revolver.

But -- I mean, what kind of trends do you expect on the absolute balances in EMI and revolver?

Do they look like they are going to grow at par with your overall AUM? Or does that ratio -- is that ratio going to keep coming down in the next few quarters?

Salila Pande: Yes. So a couple of things. As we have been mentioning earlier also that revolver, we are seeing a downward bias. This quarter, definitely because of the denominator impact, there is much more decline in the revolver percentage. EMI, yes, it's more or less stable. Again, because of the denominator impact, this quarter, we are seeing a bigger decline.

But overall, I would say it continues to be stable. And we have also been taking a lot of steps to work with our customers to increase the EMI portfolio. So, EMI is more or less stable. And as

Girish had mentioned in the last call also, revolver, we see a downward bias.

Abhishek M.: Okay. So would we be able to hold our NIM at the current level because you also said that your cost of funds should be stable and all the impact of repo cut pass-through, etcetera, has been absorbed. So should we see NIMs holding on to this level? Or should we expect some pressure on it?

Salila Pande: Yes. We will hold on to the NIMs.

Moderator: Our next question comes from the line of Piran Engineer from CLSA.

Piran Engineer: Okay. Yes, I was saying I just have two clarification questions and then two proper questions. So firstly, on the clarification, this INR30 crores stamp duty expense has come in other opex?

Salila Pande: It's a provision. Other opex...

Piran Engineer: No. So which provision line item is the question?

Rashmi Mohanty: It would go in the operating cost line item.

Piran Engineer: Opex, right? So the other opex basically.

Rashmi Mohanty: Other opex -- are you looking at the -- yes, yes, other expenses. Yes, correct.

Piran Engineer: Other expenses. Okay, okay. Fair enough. And the second one...

Rashmi Mohanty: So the line item that we have in the P&L is operating and other expenses. It goes in there.

Piran Engineer: Yes, yes, exactly. That's what I mean. Fair enough. And the second thing on Slide 11, when you calculate yield on loans, this is on a daily average loan basis or a period-end sort of basis?

Rashmi Mohanty: It's a 4-point average. Both the cost of funds on this particular Slide 11 is on a 4-point average.

Piran Engineer: You said 4-point -- okay each month? OSBICard

SBI Cards and Payment Services Limited

October 24, 2025

Page 8 of

15

Rashmi Mohanty: Yes. Each month -- correct absolutely, yes. So, this particular slide has a 4-point average, whereas if you see the cost of funds, we separately give out as a daily average on Slide 16.

Piran Engineer: Got it. Okay. Okay. That explains it. And then the real questions are, firstly, fee income as a percentage of spend is down quite meaningfully Q-o-Q. And this is despite higher corporate spend...

Rashmi Mohanty: I'm sorry, Piran, we couldn't get the question. What has gone down significantly?

Piran Engineer: So your fee income has a proportion of spend, ideally should go up when corporate spends are going up and when discretionary retail spends are going up. But it's the other way around. It's gone down. I'm a bit confused here. Or another way to put it is spends are up 15% and fee income is up some 3%, 4%?

Girish Budhiraja: So Piran, on the interchange rate, which we are getting on the spends, that is consistent. There is no change there. 1 bp here or there, which is kind of a monthly variation. The fee from certain categories of spends, for example, on the rental as a category, we were charging fees to certain set of customers and rental spends have been coming down. So those fee levels have started to come down.

Rashmi Mohanty: Piran, also, I think this is a clarification we've given in our call about a few quarters back. You cannot take up the entire fee income and divide it by spend because my fee income is on two accounts. One, it comes on account of accounts and the second line item comes on account of the spend.

So you can't mix the two and look at the total fee line item and say what is it and divide it by the overall spend because that number will not make any sense. It depends on the way our accounts have grown, it depends on the way our spends have grown.

Piran Engineer: No, which is true. I agree with you, Rashmi, but it's an overwhelmingly -- it's like more to do with spend than to do with accounts, right? I get there is a contribution...

Rashmi Mohanty: No, it isn't like that. It has to do with both the fee line item on account of the accounts as well as on the spends as well.

Piran Engineer: Got it. Okay. And sorry, just lastly, on this credit cost, I understand we are expecting an improvement from current levels. Ballpark, how do we think about next year? Are we back to normal next year given that it's a short-term product or is it normalization? And by normalization, I mean 6.5% to 7% credit cost. Is that still a while away?

Salila Pande: So I would refrain to give a number for the next year right now, but I can definitely assure that we'll see improvement and decline in the credit cost going forward in the next 2 quarters.

Moderator: Our next question comes from the line of Shweta from Elara.

Shweta: I have two questions. The first one being, so what are the key strategic measures that we have taken as far as sourcing strategy is concerned? And are we looking to change our guidance on cards run rate of 0.9 million to 1 million, which you put up in Q1? Second is, considering the OSBICard

SBI Cards and Payment Services Limited

October 24, 2025

Page 9 of 15

fact that there has been a material drop in interest-earning assets. So where do you see -- or are there internal targets now for ROA?

Because we saw in this quarter that higher spend traction was quietly negated by slow movement

in the top line led by slower cards in force growth. So how do you see or what are the internal levers that you have put up in place for ROA improvement ahead? Yes, those are my two questions.

Salila Pande : Okay. So on the key strategies, I would say that as you are aware, we normally have two channels on which we basically work on acquisition. So as I mentioned in my opening call that we have been tying up with some significantly large co-brand partners in the e-com space, in the digital payment space.

And we are seeing

good numbers coming as well from there. So that is going to be our strategy on one side. And then definitely, we will continue to work with the Banca channel as well in terms of having profitable good customers from there.

And about new card sourcing we continue as of now with the similar guidance that we have given around 0.9 million to 1 million in terms of the accounts. IBNEA, yes, I would say that we had given a guidance initially, which we reduced to -- 10% to 12% in the last call. We will maintain that -- because now we are seeing good spends happening after the festive season. So we are hopeful, and we will continue to stick to that guidance. And we have a couple of strategies to improve the IBNEA there, which will have its bearing on ROA as well, and we will continue to definitely work on that.

Moderator: Our next question comes from the line of Pranav Dheeraj Gundlapalle from Bernstein.

Pranav Gundlapalle: Just one question again on the revolvers and EMI. If I look at the absolute value, it's almost been flat on a year-on-year basis. Is this because of certain actions that you have taken in terms of the cardholders or any of the operating metrics or is this simply a reflection of the industry trends and the quality of the different customers that you have now started sourcing? So just trying to understand if this is a new normal or if there is a one-off that you have done and therefore, we should expect a reversal of this?

Girish Budhiraja: So it's a mix of both. In the absolute terms, there is a growth in the revolver asset. However, the growth is fairly muted. We believe because in the last 8 quarters or so, we have been focusing on very selective customer acquisition, which has, as we have previously also indicated, put the revolver at a lower bias.

As the things stabilize and as the credit cost starts to come down over a period of time, we will be able to look at accelerating some of those things. But as of now, for the next at least 2 to 3 quarters, our focus is essentially to get the credit cost down to a reasonable number before we start looking at the growth parameters.

Moderator: Our next question comes from the line of Anand Dama from Emkay Global. OSBICard SBI Cards and Payment Services Limited

October 24, 2025

Page 10 of 15

Anand Dama: So when we look at the overall growth spends in the POS segment, there we have seen that even the departmental stores, the travel-related spends actually have come down. Is there any specific reason for the spends to come down on the POS? Obviously, online spends are doing well, but why on the POS front? We thought that particularly post the GST cut, at least the POS spend also should see an improvement. Any explanation on that front?

Salila Pande: I think that is more of a customer behaviour also. And in terms of the co-brand partnerships, as I mentioned, that we have done, there will be more of a propensity to do online spend through those kind of tie-ups. And overall, also the customer behaviour where we find that people like to shop more online now as compared to the past, so -- anything you want to add there?

Girish Budhiraja: Just a couple of things. So if you look at the POS, yes, POS is down in category 1 and category 3. Category 3 is essentially there -- it's only in the restaurant category where the POS spends are going to be higher.

And in the category 1, it is the departmental stores, which is critical. So in these, if you actually look at it from October onwards, there is a movement, which is positive because festival season. Part of Navratri, essentially online just overtakes the spending because it's huge. The more of POS spending starts in the middle of the season from Dusshera to Diwali. So as we declare the -- if we look at the Q3 numbers, we would see it slightly different.

Anand Dama: And in that case, the opex also in the third quarter should be higher because a lot of

retail spend

actually would come in the third quarter. So I think the rewards and incentives related to that should be on a higher side.

Girish Budhiraja: So festival season has straddled from September to October. Our festival season-related spending will be in these 2 months. Corporates card spending, as Rashmi was mentioning, that is a constant thing that will continue.

Anand Dama: Then corporate spend would keep going up. And in that case, the overall cost also should be on a higher side, primarily because of the corporate spend. Is it possible for you to tell us like what's the overall ROA metrics of the corporate card business?

Girish Budhiraja: We don't declare the ROA on the corporate side. However, in the corporate card side, the asset

is hardly anything. So actually, ROA is very, very high. However, in this income, as we have earlier also indicated, the revenue is essentially the interchange and part of that interchange goes back to the customer as pass back. So hence, it just skews the opex to Income ratios.

Anand Dama: Is there any change in the incentive program, particularly on the corporate spend that you have done recently?

Girish Budhiraja: Yes, we have reduced it.

Anand Dama: Okay, we have reduced it.

Moderator: Our next question comes from the line of Punit Bahlani from Macquarie. OSBICard SBI Cards and Payment Services Limited

October 24, 2025

Page 11 of 15

Punit Bahlani: Just one question on the yield front. Your book mix has not changed. In fact, you also indicated that revolver and -- has changed only because of the denominator effect. So why have the yields declined so drastically? Is it because something like spends being towards the end of the quarter or something like that? And in that case, then we should expect from 3Q, it should bounce back, right?

Girish Budhiraja: Yes, you are correct.

Moderator: Our next question comes from the line of M.B. Mahesh from Kotak Securities.

M.B. Mahesh: Question on this rental side, which RBI had kind of made a norm in saying that you can't accept from the rental transaction. If you could just kind of broadly kind of give us an outline as to how does it impact your numbers in the next couple of quarters?

Salila Pande: So rental spend have almost stopped. And comparatively, although that is something we had started seeing from last year itself because when we had imposed a fee over there, we have started seeing reduction in spend. So overall rental spends are going to impact our overall spend by 3% to 5%.

M.B. Mahesh: Sorry, when you say 3% to 5%, this would be, let's say, of the current quarter's numbers, it would be lower by 3% to 5% next quarter or so. Is that the way to see it?

Salila Pande: So 3% to 5% over the previous quarter, whatever were the numbers for the previous quarter, we have -- depending upon the seasonality, we will start seeing somewhere between these numbers.

M.B. Mahesh: Okay. Just to clarify, has RBI put a full block on the rental transaction? Or are there any specific categories of rental, which is now currently blocked?

Salila Pande: Basically, they have said you have to do a KYC there. So RBI has said that for the merchants, the payment aggregators have to do the KYC. The payment aggregators, wherever they are unable to do the KYC, they are not doing those transactions. So that is impacting this kind of rental payments.

Moderator: Our next question comes from the line of Kamal from Jefferies.

Kamal: I would like to ask that given October was also a festive month, how has the demand environment shaped during October? And also, how do we see the mix of revolvers and transactors shaping as a result in Q3 and going forward?

Salila Pande: I think, yes, as you mentioned, it's a continuation. We have seen Diwali was in October. So the spends have continued to be better than the last 2, 3 months. And -- yes, better spend. But yes, after Diwali, we are s

eeing a little bit of a slowdown in terms of the spend.

Kamal: Okay. And the mix of revolver and transactors going forward, like how should be expected in the coming quarters?

Salila Pande: So for this quarter, it's too early to say. But as I mentioned earlier that the more of the uptick that we saw was because of the transactor volumes coming at the end of the quarter. So as we will OSBICard SBI Cards and Payment Services Limited

October 24, 2025

Page 12 of 15

start seeing payoffs over there, for the current cycle, the revolver percentage will increase from 22%.

Moderator: Our next question comes from the line of Sucrit D. Patil from Eyesight Fintrade Private Limited.

Sucrit D. Patil: I think you have pretty much answered about the margins and on the books. I have a forward-looking question. As credit increasingly integrates into digital platforms and journey, does SBI Cards plan to evolve its brand identity to remain emotionally relevant, particularly for younger digitally native consumers?

Salila Pande: So I think we are ., There are a couple of things. Credit cards, digital payments are different. Credit card is more of an aspirational product, and we are seeing a lot of interest from the younger lot as well. It's not that we don't get applications and we don't get interest from the younger lot.

They continue to engage with us, and we continue to engage with them. A lot of marketing efforts go into working with those customers in terms of their customer life cycle, engagements, value props. I don't see a challenge over there. In fact, we see a lot of promise going forward as more and more people want to spend -- as I mentioned, I see that there's a lot of aspiration to have a credit card, spend it, the kind of value prop people are seeing in that.

So as of now, we don't see any challenge over there. The digital payment space is growing. It is helping us. We are also doing pretty well through UPI when we are connecting our credit cards to UPI there also, we are seeing a lot of traction. So it's a win-win situation.

Sucrit D. Patil: And just my final and closing question. As the business continues to scale, what kind of partnerships or ecosystem sales do you see as important for expanding reach or improving cost efficiency over the next few years or the next Q3?

Salila Pande: See, we have a pretty well diversified suite of products and partnerships. We have covered more or less most of the segments. Having said that, we understand who are the significant partners, who are the big players. We keep on talking to them, and we keep on coming up with new partnerships with them as we see their dominance in a particular market segment.

So as I mentioned earlier in the call, we have tied up with a very significant e-com player, Flipkart. We have tied up with a very big player in the digital payment space, PhonePe. And we have also tied up with -- the largest market player in terms of the airlines, which is IndiGo. So we keep on looking, assessing, looking at what is the value for us, what is the value proposition for the customer and of course, our partners, and we will continue to work on that.

Sucrit D. Patil: And I think that is the good enough guidance and I wish the entire team and you best of luck for the Q3.

Moderator: Our next question comes from the line of Shubhranshu Mishra from Phillip Capital. OSBICard
SBI Cards and Payment Services Limited

October 24, 2025

Page 13 of 15

Shubhranshu Mishra: Three questions. The first one is, how do we model in the corporate spends going forward in the next 2, 3 quarters? Second is, has Encash or let's say loan on card, has it stopped because of some regulatory intervention?

And the third part is the new launches of the co-brands. So IndiGo also has a co-brand with Kotak. Flipkart has a co-brand with Axis and Axis has tried the co-brand with Google Pay, which didn't really take off.

So what

are our internal estimates about these particular programs? What will this contribute to the new accounts? Because a lot of these high spending customers would already have a credit card. So these are my three questions.

Girish Budhiraja: So we will go step by step. Your first question was on the corporate spends on an overall basis. Before the actioning in February of, I think, '24, we were touching close to 20% to 22% of the overall spends were corporate, even now we are not there. So we will move in that direction. However, we would -- as I stated earlier, we will want to do it with better margins. So that's the area that we want to look at. So it will continue to grow, but we will grow where we find good margin spending from the customers. So that is on the corporate card....

Rashmi Mohanty: The second question was about Encash. Encash continues to be part of our portfolio.

Shubhranshu Mishra: So my question was, has there been any regulatory intervention to stop it?

Girish Budhiraja: Encash book is continuing at this point of time.

Rashmi Mohanty: It is part of our portfolio of the IBNEA assets that we report.

Girish Budhiraja: The third question on the co-brand part, which you asked about the access. So yes, Flipkart has Axis as a co-brand, which is there. We have also recently participated with them, we see there is a demand for SBI card. Otherwise, Flipkart would not be looking at a second partner.

Secondly, Flipkart also is expanding to Tier 2, Tier 3, Tier 4 cities, and they want to go deeper into the country. We are very strong there. And SBI brand stands for trust. So we have seen a lot of customers wanting to apply, and we are getting very good volumes and interest -- very strong interest from the Flipkart customers for this card.

Shubhranshu Mishra: And the IndiGo also has Kotak and the other question on Axis and Google Pay, which didn't really take off.

Girish Budhiraja: So Google Pay and Axis, you would have to ask either of those people to as to why or what more needs to be done. But on IndiGo Airlines, there are only 2 airlines now. So one is IndiGo and the second is Air India. So at this point of time, IndiGo co-brand, we are very proud of partnering with them.

And I think the primary channel there will be either digital because a lot of people are applying on their own through our website and through our mobile app to coming and wanting to apply. OSBICard
SBI Cards and Payment Services Limited

October 24, 2025

Page 14 of 15

And we are seeing very good interest at our retail outlets or stores at various airports. So those are the primary channels through which we would want to acquire IndiGo co-brand cards.

Moderator: Our next question comes from the line of Abhishek M. from HSBC.

Abhishek M.: So if I look at your retail spend, can you give a sense of how much would be from rentals now versus, let's say, a year back?

Girish Budhiraja: As ma'am was saying, retail rental is 3% to 5%, depending on the month. It is very low. It used to be early teens almost around 18 months back, if I go back. And we had put a fee. We ourselves

were very careful to be able to look at these kind of spends. And as we put the fee, we saw the numbers come down, which we are okay with.

So now that this kind of KYC thing has come out, which is right -- which is completely correct because merchant KYC has to be done by the payment aggregators, and they should have done that before.

Now that it has stopped, the impact on us would be fairly minimal. You have seen that we had had a very strong growth in the last quarter on the retail spend of close to 14% plus, okay So for , more than half the month, these rental spends have not happened. So these are now absorbed into the overall scheme of things.

Abhishek M.: Right. So fair to say that X of this rentals, the rest of the retail spend growth is actually quite robust, even if we take out seasonality or

festive season bloating?

Salila Pande : Yes. We are seeing good spend.

Girish Budhiraja: Yes, yes.

Abhishek M.: I mean, may be would it be upwards of 20% on a Y -o-Y basis?

Salila Pande : On the retail side?

Abhishek M.: X of rental.

Salila Pande : No. On the retail side, if you look at the Y -o-Y, that was 17%. Retail spends have grown 17% Y-o-Y.

Girish Budhiraja: X Rentals, yes, it would be more than that. And the primary reason for that growth, as we have also been mentioning, has been the very strong pickup on UPI. And that's why we put a slide on to it and showed the numbers there. We are getting very good customer engagement and both in transactions as well as the value spend on the UPI, RuPay credit cards.

Moderator: As there are no further questions from the participants, I now hand the conference over to Ms.

Salila Pande for closing comments. OSBICard

SBI Cards and Payment Services Limited

October 24, 2025

Page 15 of 15

Salila Pande: Thank you, Sagar. I would like to thank our shareholders, customers, partners, employees and everyone present on today's call for their unwavering support and continued trust. Before I close, I thank all of you once again. Have a good evening.

Moderator: Thank you. On behalf of SBI Cards and Payment Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. OSBICard

Call: Feb 2026

February 04, 2026

The BSE Limited

Corporate Relationship Department.

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Mumbai -400 001

SCRIP CODE: 543066

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SYMBOL: SBICARD

SECURITY : Equity Shares

Re: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure

Requirements) Regulations, 2015 -Transcript -SBI Card Q3'FY26 Earnings

Call

In compliance with the provisions of Regulation 30 read with Schedule III Part A of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the Earnings Call held on January 28, 2026 with analysts/investors , has been made available on the website of the Company at the below mentioned link. Further , the same is also attached herewith for reference .

<https://www.sbicard.com/en/who-we-are/analyst-investor-meeting.page>

Kindly take the same on record.

Thanking you,

Yours faithfully,

For SBI Cards and Payment Services Limited

Payal Mittal Chhabra

Chief Compliance Officer and Company Secretary

Date and Time of event: -January 28, 2026 at 08:03 PM

Encl:.aa

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Page 1 of 20 "SBI Cards and Payments Services Limited

Q3 FY '26 Earnings Conference Call "

January 28, 2026

MANAGEMENT : MS. SALILA PANDE – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER

MR. GIRISH BUDHIRAJA – CHIEF SALES AND MARKETING OFFICER

MS. RASHMI MOHANTY – CHIEF FINANCIAL OFFICER

MR. KRISHNA KANT BISHNOI – CHIEF RISK OFFICER

MS. NANDINI MALHOTRA –CHIEF CREDIT OFFICER

SBI Cards and Payments Services Limited

January 28, 2026

Page 2 of 20

Moderator: Ladies and gentlemen, good day, and welcome to the SBI Cards and Payment Services Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone .

I now hand the conference over to Ms. Salila Pande, MD and CEO, SBI Cards. Thank you, and over to you, Ms. Salila Pande.

Salila Pande: Thank you, Sagar. Good evening to everyone joining us on the call today as we present Q3 FY '26 Financial Results . I would like to extend a warm welcome on behalf of the Board and the management team at SBI Card. Amidst the ongoing geopolitical uncertainties, India continues

to demonstrate remarkable resilience and sustained momentum. The GDP currently valued at USD 4.18 trillion.

India is firmly on track to become the world's third largest economy . GDP is projected to reach USD 7.3 trillion by 2030, underscoring the scale of growth opportunities ahead. This growth is underpinned by a sustained upward trajectory in domestic demand, driven by supportive tax reforms, robust consumer demand and structural improvements under GST.

Many such factors have collaboratively strengthened consumption across both discretionary and nondiscretionary categories. Over the past few years, India's digital payment ecosystem has evolved rapidly with strong support from the government and key stakeholders across the industry.

Specifically talking about the credit card industry. As per the RBI data, credit card spends up to December 2025 were INR17.67 lakh crores, 13.5% higher than a year earlier, while credit card transaction volume increased by 26.5% to about 4.4 billion during the same period. Overall, digital payments are now firmly embedded in consumer behaviour, with transactions becoming quicker, lower in ticket price, higher in frequency and increasingly integrated with credit.

As the credit landscape continues to evolve and improve SBI Card, as a customer-centric and agile organization views these developments as opportunities to drive sustainable growth and deliver consistent financial performance. Our growth remains anchored in delivering seamless customer journeys, offering personalized awards and offering best-in-class products that meet the evolving needs of our customers.

During the quarter, we rolled out various customer-centric initiatives, including the launch of Khushiyan Unlimited, our integrated multilingual nationwide festive campaign, featuring over 1,250 offers from leading brands across more than 2,950 cities. We continue to form strategic partnerships with leading players, including Amazon, Flipkart and Apple to enrich customers' shopping experience. We were a key partner with Apple for the newly launched iPhone 17 to drive spend and customer engagement.

Coming to business performance, our robust business model and disciplined portfolio management balancing customer engagement and prudent risk management have enabled us to deliver strong results during the quarter. The outcome validates the impact of our focused

SBI Cards and Payments Services Limited

January 28, 2026

Page 3 of 20

approach, including recent tech-driven initiatives such as hyper personalization and strengthening of early warning digital models.

Let me share some key metrics. Cards-in-force have grown to around INR2 crore 18 lakh with 8% Y-o-Y growth. We added 864,000 new accounts while continuing to focus on quality acquisitions. Sourcing from open market and Banca were 56% versus 44%, respectively. As per the RBI December 2025 data, SBI Card continues to be India's second largest credit card issuer, with cards in force market share at 18

.8%.

While this quarter's acquisitions were moderate, over the next few quarters, we aim to acquire around 900,000 to 1 million new accounts every quarter with focus on quality and premium accounts.

This will be done with an oversight on risk and asset quality to ensure sustainable, well-balanced growth. As for the spend, as per RBI December 2025 data, our spend market share has further grown to 17.7% in FY'26. Spends during the quarter reached the highest ever level of INR1,14,702 Crores, with a strong 33% growth YoY.

Moderator: Sorry to interrupt the line for the management has been dropped please stay connected while we reconnect the line for the management. Ladies and gentlemen, we have the line for the management reconnected. Please go ahead, ma'am.

Salila Pande: Thank you, Sagar. So going back to the spend. Retail spend reached INR91,962 crores witnessing a 14% Y-o-Y growth. We have seen good growth across most pos and online spend categories. Online spend witnessed strong growth across all nondiscretionary and discretionary categories. Online spend contributed around 62.1% of the total retail spends during the 9 months of FY '26.

As a result of our continued focus on diversification of use cases, corporate spends witnessed strong growth and reached INR22,739 crores during the quarter. We continue to benefit from the UPI on credit card linkage Driven by festive season, UPI and credit card usage continued to gain momentum, witnessing further 20% growth quarter-over-quarter majorly in department stores, groceries, utilities, fuel, apparel and restaurants.

Let me now share a few key metrics of our financial performance. Revenue from operations reached INR5,127 crores, witnessing 11% growth Y-o-Y. Revenue has been higher mainly due to higher spend based income. Profit after tax was INR557 crores, witnessing 45% growth Y-o-Y, mainly driven by improved gross credit cost and lower cost of funds. Operating costs during the quarter was higher due to higher corporate pass back driven by increase in corporate spend. We have also recognized a onetime increase in gratuity and leave encashment expense for the

past services amounting to INR12 crores, primarily arising due to change in definition of eligible wages as per the recently communicated revised Labour Code. The cost-to-income ratio for the quarter was 56.8%. Receivables during the quarter reached INR 57,213 crores with almost 4% growth Y-o-Y.

SBI Cards and Payments Services Limited

January 28, 2026

Page 4 of 20

The high interest earning assets were at 56%, with revolver rate at 23%. This is due to the higher transaction volume, leading to higher repayment post the festive period, as has been the case in the previous years. The higher average transaction volume also impacted the yield for the quarter, which was 16.3% versus 16.5% in the previous quarter.

With the revolver balances on a downward bias, we are focusing on prioritizing growth in our EMI portfolio to expand interest-bearing assets and drive more predictable revenue stream. Our tie-ups with merchants, OEMs and partners are also aimed towards this initiative.

The cost of funds on a daily weighted average basis for Q3 was lower by 5 basis points quarter-over-quarter. The benefit from repo rate cuts on our floating book has been mostly absorbed.

The cost of funds is expected to remain stable at current levels from here onwards. The net interest margin for the quarter was 11% versus 11.2% during Q2.

As regard asset quality over the last few quarters, our actions on underwriting, portfolio management and collections have helped us improve the asset quality, giving us a better portfolio mix, lower NPAs and lower credit cost.

Gross credit cost has improved from 9% during the previous quarter to 8.3%, mainly contributed by lower gross write-offs. Gross NPA for the quarter remained flat at 2.86%, however, the NPA stock has reduced by INR

67 crores quarter-over-quarter and INR 140 crores year-over-year to INR1,638 crores.

Stage 2 balance which is portfolio with significant increase in credit risk has also reduced by INR246 crores quarter-over-quarter and INR844 crores year-over-year to INR2,239 crores. The lower NEA and lower Stage 2 and Stage 3 stock resulted in a write-back of INR121 crores of provision as per the ECL model. However, the same has been retained and thus the company is carrying an additional provision of INR121 crores as at the end of the quarter.

With lower Stage 2, Stage 3 stock, there is an improvement in the slippage ratio as well quarter-over-quarter. As we have mentioned in our last earnings call, the gross credit cost is on a downward trend. With adequate provisioning, lower delinquent stocks and continued momentum on both portfolio management and collections, our portfolio today reflects a stronger profile.

As regards liquidity and capital adequacy, our liquidity position continues to be strong. Our capital adequacy ratio was at a strong level of 24.4%. ROA for the quarter was 3.2%, higher 79 basis points year-over-year. ROE for the quarter was 14.7%, higher by 322 basis points year-over-year.

To conclude, amidst a dynamic environment supported by a wide set of coordinated strategic interventions, the company has delivered robust results for the quarter and for the 9 months of FY '26. We remain focused on further strengthening our risk management framework, moderating credit costs and maintaining healthy asset quality to ensure long-term robustness and resilience.

SBI Cards and Payments Services Limited

January 28, 2026

Page 5 of 20

The performance reinforces our confidence that we are on the right path. Looking ahead, we intend to scale up our business in a calibrated manner to ensure stronger and sustainable profitable growth for the long-term. With that, we are now open for questions. Thank you.

Moderator: Thank you very much. Your first question comes from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Yes. Good evening. Sorry, I did not catch it properly. You said that there has been a release of INR121 crores, which you have not written back. So it would have been written back in the gross credit cost? Is it means the provisions would have declined by INR121 crores. Is that what you meant?

Salila Pande: So that's right, Mahrukh. Number one, the provisions would have declined by INR121 crores. The gross credit cost would have declined and also the profits would have been higher by approximately the same amount had we written it back.

Mahrukh Adajania: Okay. But since you already have been tightening over the years, your provisioning policy, why did you not choose to write this back?

Salila Pande: For two reasons, that we are hopeful that in the coming days, we will be able to grow the receivables, which we are working on. And, we do an annual review of our risk model refresh. In the past, we have seen there has been some volatility in the gross credit cost and the profit numbers. Then we have seen variance because of the variations in the stages rates, variation in

the receivable numbers. So to reduce that volatility, we thought that we'll wait for now till we have done with the model refresh, and we'll take a call after that.

Mahrukh Adajania: So model refresh is in the fourth quarter?

Salila Pande: We normally do it annually.

Mahrukh Adajania: But it will be now in the fourth quarter, right, like in the last quarter of the year ?

Salila Pande: Right.

Mahrukh Adajania: Okay. And my other question is on growth. So obviously, there's a festival base and all lenders have seen a decline in AUM, right, or in receivables. And everyone seen like a 5% to 7% decline and so have you. But I mean, what's the real reason, of course, there's a festival base, but receivable growth looks very anemic through the s

ector.

Is it that the credit cards are losing share to other payment products? How do we view this on a structural basis? And what is the guidance on AUM growth now because we are already at 5% year-on-year. So what would be the guidance? When would we reach mid -teens or early teens?

So that's my other question.

Girish Budhiraja: So, Mahrukh, on your second question on the AUM growth, first of all, a, it is not a structural issue. If you look at the retail payments and the transactions, both are growing consistently. In

SBI Cards and Payments Services Limited

January 28, 2026

Page 6 of 20

fact, it's the other way around, if you look at the spend growth on retail, which is at around 15% or so, is lagging the transaction growth.

That means customers are using the card for even low -value transactions, and it is becoming more ingrained in their lifestyle. So there is no issue on that side. On the asset side, as was being stated, the asset has three parts: transactor asset, revolver asset and the instalment asset.

Transactor asset can keep on varying on a month -to-month basis depending on the seasonality it keeps going up and down. But on a year -on-year basis, you will see some trend lines there, one festival here and there otherwise. As of now, the revolver asset i s where we see is either stable or no growth is happening there.

And we have been cautious there, and we have been stating that over the last 5 to 6 quarters, that we have tightened our new customer acquisition, and we have been more selective there. We want the credit cost to come down. And for that reason, we see the revolving asset has a slightly downward bias.

And as MD ma'am mentioned in her opening remarks, we are going to focus on what is in our control, primarily, which is on the installment asset, which is growing. So the new sale of installment asset actually is growing higher than the retail spend, which is a very good t rend because the new -- the customers who are spending are converting more of their spend into assets.

So spend to lend is going stronger. These are the trends as of now. As we see the credit costs come down to the levels where it is comfortable and we are okay with it, incremental or marginal customers can always be looked at.

Salila Pande: So just to supplement what Girish mentioned, Mahrukh, we will continue to grow, but the growth will be sustainable. -- Ultimately the customer as well as the business that we do has to be profitable. So, we are having a calibrated approach. This is something that we will continue to do that we are not going to grow recklessly. We'll grow where we see merit and where we see value.

Mahrukh Adajania: Okay. Thank you so much. Thank you.

Salila Pande: Thank you.

Moderator: Thank you. Your next question comes from the line of Aditya Vikram from DB Securities Private Limited. Please go ahead.

Aditya Vikram : Hi, thank you so much for taking my questions. After a very long period of time, we are seeing some really good numbers. So I think you answer ed about the receiv ables, right? What are the trends looking at, right? I s the spend increasing or are we going to focus more on the EMI assets? Because if I look at your presentation, right, what I see is that the Q -on-Q growth about the retail spend is not very significant, right? So just wanted your thoughts on some qualitative commentary on that. That's the first question.

SBI Cards and Payments Services Limited

January 28, 2026

Page 7 of 20

The second one, which I wanted to really understand is that you mentioned in your initial remarks that it was about 4 quarters back when you were growing at 1.1 million or almost 1 million customers every quarter. And you're saying you will go back to that . So what happens? What is your assessment again on the side of the quality? Do we add some new customers, you see the growth increasing on the same path going forward? Or you wi

It be more aggressive in

terms of acquiring new customers? Thank you.

Salila Pande: So if I got your first question correctly, it was about spends where you said that the spend has been lower than –Q2, the growth has not been significant. See, there's a little bit of seasonality in the previous quarter. And there was, to some extent, where we saw spend happening because of the festive season as well as an uptick because of the GST rationalization which happened in the last quarter.

But I would say that we see consistency. And in terms of the spend also, we are seeing a good growth happening. Quality of spend is also improving, and spends per card if you look at the investor presentation has also improved. In fact, last year, what I understand that the festivals were there for the 2 days in Q2, whereas this time the festival season started almost 10 days earlier before the end of Q2.

So there was a spend spillover which happened in the last quarter as well as this quarter. So both the quarters had a respective spend growth. Number two, in terms of NEA I would stick to what I said earlier that we will grow. We see ample opportunity. But we will continue to see where the value is. The business and customer profile should be valuable and profitable for the company as well.

So we will continue to grow. We are very hopeful with the kind of initiatives that we are taking that once we start seeing more abatement in asset quality, we will go to the next level. But as of now, also, it's not that we will not grow. We will continue to grow and have a consistent growth in terms of the customer acquisition.

Aditya Vikram : So just to follow up on that, mam. You said 1 million customers is what you're looking at, right? So I just want to get that clear, right? We will be able to acquire 1 million customers by having aggressive strategy, but at the same point of time, there will be more sustainable with less risk of any sort of discretionary kind of a category, right? That's what you were trying to say in baseline.

Salila Pande : Correct.

Aditya Vikram : Okay. Thank you very much. Again, after a very long period of time, a very good quarter. So I hope it sustain and continue. Congrats to you and your management.

Salila Pande : Thank you, Aditya .

Moderator: Your next question comes from the line of Gao Zhixuan from Schonfeld . Please go ahead.

SBI Cards and Payments Services Limited

January 28, 2026

Page 8 of 20

Gao Zhixuan : Firstly, on the margins. Given that we are going for quality and we talk about revolver assets of downward bias, where and when do you see the margin bottoming out? Or how should we think about the margin going forward?

Girish Budhiraja: So on the margin, there are 2 elements. The first one is on the yield. So I will talk first on the yield. We see a slight downward trend on the yield. And primarily, the reason here is that as I was stating earlier, that the revolving asset percentage will have a slight downward trend, at least for the next 2 to 3 quarters. So given that we will have a downward trend on the yield at this stage. Cost of funds, will remain stable .

Rashmi Mohanty: See, at this point in time, it doesn't look like there's going to be another rate cut. If it happens, obviously, we will get the benefit of that. But just adding on to what Girish was saying, the yield on the portfolio definitely looks like on a downward trend. Cost of funds at the most will remain stable if it doesn't start to go up because as the expectation of the rate cut has disappeared, you have seen this month, the short end and both the long end have moved up on the rate. But on a near to medium term, I would say the margin will shrink towards the second half of the year.

Salila Pande: See I just want to add that ultimately, we are talking about overall profitability over there. So the idea is how do we optimize the profits ? And so that we have the r

ight optimal margins and

also ensure that the riskiness of the customer is to the extent where we are not seeing substantial losses. So that is the idea. And we will continue to ensure that the margins remain stable within the profile that we want in terms of the customers.

Gao Zhixuan : Got it. Just on the growth outlook, we talked about going back to 10 lakh or 9 to 10 lakh kind of new customer run rate, which seems to be suggesting your cuts in cost is going to be growing, I say, 9%, 10%, which has been the case for the past couple of quarters. So with expense cut growth at 10%, spends grew by 15%, we have seen your receivable growth at 7% - 8%, now it's 5%. or -- So how do we get back to that 10%, 15% receivable growth with, let's say -- is that doable with kind of 9 lakh, 10 lakh customer acquisition?

Girish Budhiraja: It is doable. There are multiple levers for doing that. So it is not only that if the cards grow, then only the asset will grow because asset per customer also, there is an opportunity to grow. At this stage, because it is also about the kind of risk and return ratio that you are looking at. So as of now, what we are doing here is and what we are looking at is that we are being more -- as ma'am said, we are being calibrated, we are being fairly selective.

So we will look at this. There is no dearth of customers. We can always look at certain specific segments and go slightly deeper and build asset there. So those opportunities are there in front

of us. We will go to them at the right time when the comfort with the credit quality is there with us.

Gao Zhixuan : Cool. Sorry, so just last one question on the other income. It went from INR171 crores, 160 -odd crores. Usually, it went to INR 226 crores this quarter. What's the jump about?

Rashmi Mohanty : We've made a disclosure in the exchange filings, there is a release of one of the provisions that we were carrying , and INR50 crores of that release has gone into the other income. You can actually read the exchange disclosure. It has details on the provision release.

SBI Cards and Payments Services Limited

January 28, 2026

Page 9 of 20

Gao Zhixuan : Got it. Thank you so much . I will join back the queue.

Moderator: Your next question comes from the line of Rohan M from Equirus Securities. Please go ahead.

Rohan M.: Good evening, team. Thanks for the opportunity. On the ECL, model changes that we have done, if you could highlight what was the exact changes that led to the release?

Salila Pande: So we didn't make any changes in the model. It's just that as we keep on saying that we refresh the data. When we get on new quarter data, then we drop one quarter from the old -- in the overall model. And that is the only thing we did.

If you look at the Investor presentation, you will see that actually, because of that, the provision rates have actually increased. The reason why there was an ECL release is that the stock in Stage 2, Stage 3 as well as Stage 1 have gone down. So because of that, basically, the overall ECL amount declined, but we decided to have a management overlay there and retain those provisions .

Rohan M.: Sure. And one of the competitors in the recent 3Q results indicated that they will have 2 more quarters of pain and credit cards where slippage may likely elevated. So anything that we want to comment upon on until when this elevated slippage in credit cards can continue?

Salila Pande: So, we continue to see a downward trend in slippages because of the roll rates we are seeing, the reduction in the stock we are seeing -- and this has been because the company has been working on improving asset quality for many quarters now. So we are seeing the benefit. We don't expect looking at the numbers today that there will be any elevation in terms of the stress in the portfolio.

Rohan M.: Sure. And the total spend in the Category 3 has jumped sharply in the 9 months. So is it primarily

driven by corporate cards or like what is driving this jump?

Girish Budhiraja: No. So that data is completely retail data, there is no element of corporate in that one . I'll come to the category, I'll just explain the Category 3 to you. So in the Category 3, there is travel agents, hotel airlines and railways. So what we have seen is in the travel segment & in entertainment segment, there is a jump up on the online spends.

Rohan M.: Okay, fine. And lastly, if you look at the opex growth has been almost 21% in the 9 months and income growth is 12%. So from an operating loss perspective, going into FY'27, like how should one think on that?

Girish Budhiraja: So you're talking about the overall opex growth?

Rohan M.: Correct.

Girish Budhiraja: Yes, going into next year, there are -- there will be 2 elements which will be -- should be looked at. One is that we have -- as of now, we are indicating 900,000 to 1 million cards a quarter. So however, if during the year, we want to increase the number of cards or increase the acquisition, that will be incremental cost over this year. So that actually comes as an opex, but it is an investment into the future from a company perspective.

SBI Cards and Payments Services Limited

January 28, 2026

Page 10 of 20

The second part is also about the corporate card spends. We always stated that the market is at anywhere between 20% to 25%. And in this quarter, we are now finally around 19%, 20% of the overall spend. So we would want it to be broadly in this space. So from this quarter, whatever you see as a corporate card spend, we don't want it to as a percentage terms go further than that. So these are the 2 broad trend lines that you will see as a differential this year over next year.

Rohan M.: And lastly, just the Tier 1 ratio, which has jumped this quarter, what is the rationale for that?

Rashmi Mohanty : Profit for the quarter .

Rohan M.: Yes. Q-o-Q, there's a jumping Tier 1 ratio?

Salila Pande: That's because see both the risk -weighted assets have declined slightly and the profits have been added to Both the numerator and the denominator impact .

Rohan M.: Sure. Okay. Thank you.

Moderator: Thank you. Your next question comes from the line of Jignesh Shial from Ambit. Please go ahead.

Jignesh Shial: Yes. Hi, am I audible?

Rashmi Mohanty : Yes.

Moderator: Yes, you are audible.

Jignesh Shial: Thanks for the opportunity. I have three questions. First of all, this quarter, we have seen the new account addition has seen a kind of a decline, whereas we are talking about adding up 1 million accounts each quarter gradually. So can you give some color of which are the customer base that will be focused because you are talking about being selective and conservative. So what kind of which -- I mean, which geographies or which kind of customer base, if you can give some -- throw some light on that, that will be helpful. That's my first question?

Girish Budhiraja: Okay. To answer your first question. This quarter, we were -- as per our estimates, we were close to around 30,000 to 50,000 cards shorter in achieving our target. We would like to compensate for that in this quarter. So we try to keep stay between 900,000 to 1 million, but whatever 30,000, 40,000, 50,000, we fell short of in last quarter, we want to compensate for it in this quarter. Ideally, we would want our Banca contribution to be around 50% to 55% and the balance coming from the open market. As you have seen, we have -- in the last quarter, we have tied up with three large players. So we have a co-brand with IndiGo. We have done a co-brand with Flipkart and we have a co-brand with PhonePe and Tata Neu. So these are large digital co-brands. Strategically, we would want to on the open market go -- do work with as many large digital partners so that we can get the customers from there, where you get the spending customers with

have a value proposition, which they like. From the Banca side, we have already integrated with Yono1.

SBI Cards and Payments Services Limited

January 28, 2026

Page 11 of 20

And now with Yono 2, you would have recently seen the launch of Yono 2 and Internet banking. This is a primary focus area where we want to give a seamless end-to-end digital experience to customers. So these are the areas where we are focusing. It is not about geography or a particular segment obviously, government salaried is one of the best customer segment. And we continue to be strong in that particular segment. But from a customer psychographics and demographic perspective, we would want to go as much digital because it is not only about acquiring the customer, it is also about activating him, keeping him engaged with us for a long period of time. So looking at all those parameters, this is the way that we are looking at acquiring our customers.

Jignesh Shial: Perfect. That sounds great. Second question is now is on opex. So now obviously, we have seen a kind of a moderation in growth. And obviously, gradually, we are talking about acquiring more customers, obviously, through digital mode and all, how do you see our current cost to income is somewhere around 56% kind of number? And also, we are talking about doing more co-branded credit cards across. So what trajectory are we seeing on the opex front and cost-to-income front or cost to average assets front? Can you give some color on that?

Rashmi Mohanty: So, cost-to-income, we anyway have indicated that for the year, we should be in the 55% to 57% range. And the reason why we gave that guidance was because we were expecting.

Moderator: Ladies and gentlemen, the line for the management has been dropped. Please stay connected while we reconnect line for the management. Ladies and gentlemen, we have the line for the management reconnected. Yes, ma'am, please go ahead.

Rashmi Mohanty: So, I was saying that we had given a guidance for 55%, 57% because we were obviously expecting a higher corporate spend this year given the growth that you've seen there, and we maintain that for this year. I think on the other question, in general, on the opex, how will it look like for the next year, Girish has already given an indication that as we grow the number of cards per quarter, once we get back to that number, it will obviously impact on the opex numbers. I think corporate spend, we are at about 20%-odd of our overall spend. We will maintain that ratio. So in terms of year-on-year, that won't really be that bigger delta in the cost-to-income ratio. But as we continue to grow the number of cards, that will definitely impact cost to income.

Jignesh Shial: So we should see overall range inching up. Is that a fair assumption?

Rashmi Mohanty: I would still say it should be in the same range of 55% to 57% next year.

Jignesh Shial: Understood. And final third question is on your credit costs. So right now, it's 8.3%, obviously, if you adjust for INR121 crores provision release, it would have been even lesser. So any broad trajectory that we are thinking about that I understand that credit card generally means a cyclical business. But since MD ma'am is talking about bringing up more stability in overall earnings and all. So any broader range that is there what we are thinking about in case of credit cost for next -- say next 2 to 3 years kind of horizon? How do we see that one?

SBI Cards and Payments Services Limited

January 28, 2026

Page 12 of 20

Salila Pande: So as I have been maintaining earlier as well as Jignesh it's a very long period for credit card portfolio right now to speak about, but the intent is and the numbers reflect very clearly that we will continue to work on reducing the overall gross credit costs going forward. And you will definitely see improvement in the coming quarters.

Jignesh Shial: All right. Thank you.

here is no broader range that -- or any levels that you think we should be settling at, say 6%, 7% kind of number or nothing right now in the horizon?

Salila Pande: As of now, see, I will not commit on 6%, 6.5%. But as you have known in the past, we have seen those numbers. And once we reach, definitely, we will be very comfortable.

Jignesh Shial: Understood. That's really ma'am. And thank you and all the best.

Moderator: Thank you. Your next question comes from the line of Pranuj Shah from 3P Investment Managers. Please go ahead.

Pranuj Shah: Hi, thank you for taking my question. Most of them have been answered, just a couple of clarifications. One is, could you give the breakup between salary and self-employed between your new sourcing in 3Q?

Salila Pande: 72%. So For this quarter new acquisitions is 72% salaried.

Pranuj Shah: 72 is salaried?

Salila Pande: Yes.

Pranuj Shah: Okay. Got it. And second is just a clarification I think in note 11 you mentioned that some mandated contributions to PIDF have been reversed from your liability of INR70 crores. So could you give the context around that, what is that around?

Rashmi Mohanty : So very briefly there was a RBI requirement to contribute to the payment infrastructure development fund. And for that, we have been building the provisions. We did pay out up to a certain period to RBI and we received regulatory confirmation that the regulator will not be collecting it for the period July to -- July '24 to June 2025. And therefore, that provision has been released.

Pranuj Shah: Okay, but nothing about the continuity of that scheme beyond December '25?

Rashmi Mohanty : The scheme anyway ended in December, on December 31, 2025. So up until June, we have released the provision.

Pranuj Shah: Okay, ma'am. Got it. Thank you.

Moderator: Thank you. Your next question comes from the line of Piran Engineer from CLSA. Please go ahead.

SBI Cards and Payments Services Limited

January 28, 2026

Page 13 of 20

Piran Engineer: Yes. Hi, team. Thanks for taking my question. Most have been asked. Just firstly, on the cost of funds increasing 10 bps Q-o-Q, that's just mathematical because last quarter of the end-of-period borrowing effect?

Rashmi Mohanty : That's right, Piran. The numbers that you see are on a 4-point average and because the last quarter number was higher, which is why you see that kind of a trend. On a daily weighted average, which is what has been also shared and disclosed in the document, our cost of funds has come down by 5 basis points this quarter.

Piran Engineer: Got it. And Rashmi also mentioned that cost of funds should be stable unless we see another rate cut, but the December rate cut benefit should still come in, right? Or are you seeing that offset because stable rates have gone up?

Rashmi Mohanty : I was hoping as well, Piran, that the benefit should come in, but look at the rate on both the short end and the long end of the curve, they've only gone up.

Piran Engineer: Okay. Okay. So broadly, cost of funds should be here?

Rashmi Mohanty : That's right.

Piran Engineer: Got it. And then secondly, is the industry and you all taking any further cost-cutting measures to alleviate the top line pressure? Because this revolver pressure is, therefore, everyone not just you. Any measures in terms of reducing cash backs and reward points and -- or maybe sourcing fees, etcetera?

Salila Pande: So, nothing specific, but this is a part of the overall regimen that we continue to review our offerings, our value prop. And wherever we feel that the CBA is not holding out even in the long run, we keep on taking those measures. So nothing in particular.

Piran Engineer: Got it. Thank you and wish you all the best

Moderator: Your next question comes from the line of Ansh Kumawat from Capital One.

Ansh Kumawat : I just want to ask regarding the other operating expense, which has be

en largely the INR2,000

crores for the last 2 quarters now. Is it mainly -- is it mainly concerning the corporate spends ?

Or is there any other delta to it? Because we've grown from around INR1,400 crores to around INR2,000 crores in the last 5 quarters, 6 quarters?

Rashmi Mohanty : Sorry, your question is on the...

Ansh Kumawat: Other operating expense. Correct? Other operating expenses.

Rashmi Mohanty So this includes all the expenses around cash back, corporate pass back, sales at the acquisition cost, all of that.

Ansh Kumawat: Okay. So should we also -- should we also link it to corporate spend in any way then? Corporate spend is going to increase, this should also increase ?

SBI Cards and Payments Services Limited

January 28, 2026

Page 14 of 20

Rashmi Mohanty : So, as we said, that corporate spend this quarter were at about 20 %-odd of our overall spend, we would like to maintain that at that ratio. So in terms of the rate, you should now see a stable rate quarter -on-quarter.

Ansh Kumawat: Okay. So This INR2,000 crores would be the run rate for the coming quarters, right?

Girish Budhiraja: Yes, there are 3 elements of cost in this, customer acquisition costs.

Rashmi Mohanty : The cash back.

Girish Budhiraja: The cash back and the offers that we do in the market. And the third part is the corporate pass back. Plus customer value benefit utilization. So it has these 4 elements into it. So there will be some amount of variation depending on offer and season, but some of the things are fairly stable.

So for example, value proposition cost is fairly stable. Customer acquisition costs are because we are running at this point in the last 2, 3 quarters is fairly stable.

Ansh Kumawat: Okay. Alright, Thankyou

Moderator: Thank you and your next question comes from the line of Nitin Aggarwal from Motilal Oswal.

Nitin Aggarwal: And congrats on a good quarter. So one question is around the credit cost. So when you look at the credit cost, which has come down from 9% to 8.3%. It's quite a good decline we are seeing.

But can you also share some color on how much this is as a percent age of retail loans?

The reason I'm asking is because while there is a decline, but the mix of corporate spends also has increased from 6% to 20% in past 1 year. And retail loans I believe will be a major cause of this credit cost. So how should one look at this entire equation in entirety?

Salila Pande: So, we don't have any delinquency in our corporate portfolio. This -- whatever credit cost is reflected in terms of the write -offs related to all retail loan only, in the past as well as of the current quarter.

Nitin Aggarwal: So then what will be the percentage of the retail loans last year versus what is it now? So as to like make a better sense of this credit cost number?

Girish Budhiraja: So even in the asset, there is hardly any corporate. Corporate asset is not more than INR150 crores to INR250 crores. Balance everything is retail.

Nitin Aggarwal: Okay. Great. That's good to know. And secondly, like within the retail corporate spend mix, how should one look at this going forward, like the corporate has been growing at a very rapid pace.

So where do you want to mix to be over the coming year or maybe in the short term?

Salila Pande : So, Nitin, it's growing at a slightly higher pace right now because we had lost some ground in the last year. The idea, as Girish mentioned earlier, is that we will try to maintain a mix of having around 20% of the contribution coming from the corporate spend side going forward.

Nitin Aggarwal: Okay , Okay Thank you so much and wish you all the best

SBI Cards and Payments Services Limited

January 28, 2026

Page 15 of 20

Moderator: Thank you , your next question comes from the line of Kaitav Shah from Anand Rathi.

Kaitav Shah: Congratulations on a good set of numbers. Can you explain the sharp increase in the capital ad

equacy?

Salila Pande: So capital adequacy, one is that accretion of profit has happened. And then the risk -weighted assets have declined as compared to the previous quarter. Both the things have impacted. Other than that, there is nothing significant there.

Kaitav Shah: Okay. Sure, mam. And second question broadly is on outlook for growth over the medium term.

Is there a chance, and it's a reiteration of earlier question. But how do you see this panning out over the medium term? Do you see growth moving up to the double -digit levels ?

Salila Pande: So, when you talk of medium term, how long are you talking about?

Kaitav Shah: 2 to 3 years.

Salila Pande : Definitely. That will be the intent. And we see it even this opportunity and we'll work towards it.

Kaitav Shah : Thank you so much

Moderator: Thank you, your next question comes from the line of M.B. Mahesh from Kotak Securities.

M. B. Mahesh: Just a couple of questions, ma'am. First on the credit cost, just qualitatively, when you are now looking at selections from the bad loan book, is this improvement coming in because customers are now getting access to better funds because we also see personal loans kind of disbursements picking up.

Is it access to credit, which is leading to better recovery? Is it income leading to better recoveries?

If you just kind of give us some color? Or is it lower settlement that you're doing compared to what you used to do earlier. What is driving the credit cost decline?

Salila Pande: So, for credit cost decline, I would say, collections. We would be happy to see even better collections happening. As we mentioned, we don't think that it's happening as customers getting access to other cr edits . We have basically increased the intensity of our collections. We have become more efficient, enhance d the resources. And those are the things which are reaping benefits for us in terms of the customers who are already delinquent.

Apart from that, as we keep on mentioning that since we are more vigilant in terms of the acquisition, in terms of the portfolio management, we are seeing lower slippages as well. So that

is also benefiting us. But I would not say that it's happening because of people getting access to credit from somewhere else. I don't think it's working like that right now.

M. B. Mahesh: Perfect. And this confirmation, if you're now looking at the forward flows into 30 to 60 to 90, has that also started to drop down meaningfully? And are you seeing some pullbacks as well? How should we look at this number as we go forward?

SBI Cards and Payments Services Limited

January 28, 2026

Page 16 of 20

Salila Pande: Sorry, I didn't get you. You are saying it's dropping means?

M. B. Mahesh: Is the forward flow from 30 to 60, 60 to 90, is that also starting to fall off? And is there a pullback from the 60 to 90 back to 1 to 30? How are you seeing those trends as well?

Salila Pande: So, both are happening. We are seeing abatement in terms of the roll forward as well as pullbacks are also happening.

M. B. Mahesh: And if that logic holds, should we assume a meaningful reduction in credit cost based on what you have said so far?

Salila Pande: See, Mahesh, that's the intent. But what we have seen is it's such a volatile industry. We are working towards it. We are hopeful, and we look forward to it.

M. B. Mahesh: Okay. Just last one question. When you're looking at some of these platforms, third-party applications for where you see a RuPay credit cards. Does the MD R for you at a net level remains the same, or do you, as an issuer have to bear some costs to these apps as well?

Girish Budhiraja: You're right, Mahesh, we get interchange. However, in the whole ecosystem of this UPI CC, there is 2 more extra entities, which is called TSP and PSP, which is payment service provider and a technical service provider. As per NPCI guidelines, they also get some share of the over

all

MDR.

M. B. Mahesh: And it goes out of the share -of the acquirer side or from the issuer side, just trying to understand that.

Girish Budhiraja: So they have done some adjustment. Earlier, it was acquirer share and issuer share. So some part of it goes from the acquirers, some part goes from the issuer.

M. B. Mahesh: Okay. Because your number shows 1.2% on the gross side, but I can't see the net number, though?

Girish Budhiraja: Yes, because issuers share is slightly higher.

M. B. Mahesh: Okay. Thank you.

Moderator: Thank you. Your next question comes from the line of Anuj Singla from JP Morgan. Please go ahead.

Anuj Singla: Good evening. Thanks for the opportunity. So couple of questions. Firstly, we have been seeing a consistent decline in the revolver share. And I think in the past couple of calls, Girish has mentioned that for the newly acquired customers, the proportion of revolver is much lower. Can you give us some sense on what the quantum is versus where we are versus the current 23%, where can it settle down over a period of time?

Salila Pande: So, Anuj, we don't disclose those numbers. vintage wise. But again, yes, to Girish's point, yes, we are seeing a downward bias in terms of the new acquisition, which is intuitively also correct,

SBI Cards and Payments Services Limited

January 28, 2026

Page 17 of 20

because we are slightly more conservative in terms of the new acquisition. So we are seeing lower revolvers in the new vintages.

Anuj Singla: Okay. So I think during earlier part of the call, Girish also mentioned this can continue for the next couple of quarters and then settle down. Did I hear it correctly? And what gives you the confidence -- was it regarding revolver share that... ?

Girish Budhiraja: No, No, Anuj. So let me clarify. What I said was that we will continue to run the track that we are running today or till the time we see the credit cost come down under control fully, okay?

Once that happens, we can always ramp up because there is no dearth of customers and applicants, we have in fact, in the last 3 quarters, there has been a consistent increase in number of applications that we are receiving, okay?

We can always look at certain segments, certain other categories which we are today not looking at and look at some pilots in those scenarios, okay? So those experimentation and those things, we will look at the right time. As of now, for next two quarters, this is the track that we are running.

Anuj Singla: Got it. Got it. Pretty clear, Girish. And secondly, so what we have seen is that the spend growth is still good on the retail side. You mentioned 14% number? But when we look at the asset growth, it's a bit more depressed. Ideally, this should, these 2 numbers should converge at some point of time. Do you see that scenario panning out in '27 or '28 ? If you can just give us some guidance or some handholding there that will be helpful? Thank you.

Girish Budhiraja: Asset growth will lag spend's growth in next year, at least for next year.

Salila Pande: See, we are seeing overall in the portfolio also that as we have been saying that we see more

customers are aware and becoming more of transactor. So as we start building up in terms of the portfolio, in terms of the new cards and the spend start growing, ultimately, they will culminate into asset growth.

Moderator: Anuj sir, does that answer your question?

Anuj Singla: Yes.

Moderator: So you have any further questions? All right. We'll move on to the next question. Our next question comes from the line of Gaurav from ML P. Please go ahead.

Gaurav : Yeah. Hi. Good evening . Thanks for taking my question. I have three questions. First one, just a clarification . The other income includes INR 70 crore s reversal of PID F -- the contributing to PIDF, which we have reversed. So that's what written in this quarter. Is that correct?

Rashmi Mohanty: Of the

INR70 crores, -- INR51 crores was taken in the other income, and -- INR19 crores was reversed from the expenses.

Gaurav : Sure, sure. Got it. So the P&L impact came in this quarter. Secondly, on the ECL provision, you mentioned about INR121 crores of excess. So, the ECL disclosed in one of your slides of INR1,989 crores, . Does that include INR121 crore s, that's excluding the INR121 crores?

SBI Cards and Payments Services Limited

January 28, 2026

Page 18 of 20

Rashmi Mohanty: Including INR121 crores.

Gaurav : Sure. So -- but if you remove the INR121 crores, the PCR would have dropped because the breakdown of ECL that you have disclosed in the charts, that would have otherwise reduced the PCR?

Krishna Bishnoi: In PCR, whatever percentage we have disclosed, we have made a footnote on that , that it is excluding this INR 121 crores. So whatever the ECL is throwing PCR, we are showing that...

Gaurav : All right. So this INR121 crores is over and above the ECL provisions that you've provided Stage 1, 2 and 3?

Rashmi Mohanty: See, you have the stocks, you have the ECL rates if you just multiply and subtract, you'll get INR121 crores.

Gaurav : Sure, sure. Absolutely. Got it. The next question is -- sorry, I missed the earlier part of the call. So have you given any guidance for FY'26 to FY'27 asset growth or receivables growth, sorry?

Salila Pande: No, no, we haven't given guidance this time, we have not given any guidance.

Gaurav : Okay. So your earlier guidance of 10% to 12%, now that the asset growth has actually fallen to 4.5%. Does that stay, the 10% to 12% for this year?

Salila Pande: So, see, we had said 10% to 12% initially in the early earnings call. But looking at the numbers, and the way the portfolio mix has changed. As of now, we're refraining from giving any guidance because the portfolio doesn't reflect that kind of a growth might happen in terms of 10% to 12%.

Gaurav : Sure, sure. And just a final question on...

Salila Pande: And Gaurav, as I mentioned earlier also that ultimately, asset growth or any customer acquisition ultimately should culminate in better profitability. So the idea is to continue to work with the appropriate risk return and see that we give consistent returns in terms of the profits and profitability.

Gaurav : Understood. Sure. And on -- finally, on the opex, is it given a guidance of 55 % to 57 %. If I look at the comment that the net card or the gross card addition in this quarter 860,000 and the target is 900,00 to 1 million. Incrementally, if I look at NIM --should NIM on a full year basis should be higher next year versus this year?

So is it fair to assume that the opex to income would be at the lower end of your guidance? Or like this year, it will be at the higher end of the guidance. So how do we look at cost to income for next year given that the gross card addition will also not expand?

Rashmi Mohanty: Gaurav, we haven't given any guidance for FY'27 as of now. We will obviously give some indications around FY'27 in the next call and the April quarter .

Gaurav : Alright . So, this 55 % to 57% is for this year?

SBI Cards and Payments Services Limited

January 28, 2026

Page 19 of 20

Rashmi Mohanty: Yes, that is for this year.

Gaurav : Sure. Thank you so much. That's all from my side.

Moderator: Thank you. The next question comes from the line of Sucrit D. Patil for Eyesight Fintrade Private Limited . Please go ahead.

Sucrit Patil : Good evening to the team. I have 2 forward -looking questions. My first question is, with consumer spending pattern evolving and competition in the credit card space intensifying, how is SBI Card refining its customer acquisition portfolio mix and co -branding partnerships to drive sustainable growth? In this context, how are you balancing growth in spends and card in force with prudent underwriting and long -term asset quality? That's my first question. I'll ask th

e

second question after this.

Salila Pande: Great. I would say you've asked everything. So ultimately, see the numbers will reflect competition is there, but there's tremendous potential as well in this market. And we feel that there is a great opportunity. We have our strength which gives us enough levers to ensure that we continue to grow sustainably, profitably consistently. We are the single largest pure -play credit card issuers, which give us a lot of focus in that area.

We have very strong co -brand partnerships to grow. Number 3, we have a strong Banca partnership as well with SBI, which gives us another very big opportunity to continue to grow the credit card portfolio. And one thing which we continue to do is that we will continue to evaluate, assess, take action , basis what we are seeing in the market, what we are seeing in the portfolio. And we are very confident that we will continue to give sustainable results going forward as well.

Sucrit Patil : My second question is regard ing finance. Given the recent moderation in asset quality metrics and continued investments in customer acquisition and rewards, how are you thinking about margin sustainability and credit cost normalization over the coming quarters. Additionally, what guidin g principles are shaping capital allocation and risk management as the business navigates are changing consumption and interest rate environment?

Salila Pande: I think my first question should have answered the next question, but the thing is that, yes, as regards competition, sustainable growth improving. I would say that we keep on looking at our portfolio, wherever we see merit, wherever we see opportunities, value for the company, we will continue to invest there. You're right, moderation in asset quality metrics is happening, but we would like to see it improve further, and this is something that we will continue to work on as well going forward .

Sucrit Patil : Thank you and best of luck for the next quarter .

Salila Pande: Thank you so much.

Moderator: Thank you. Ladies and gentlemen, we'll take that as a last question for today. I now hand the conference over to Ms. Salila Pande for closing comments.

SBI Cards and Payments Services Limited

January 28, 202 6

Page 20 of 20

Salila Pande: Thank you, Sagar. I would like to extend my sincere thanks to our shareholders, customers, partners, employees and to everyone who has joined us today. for their continued trust, support and confidence in our company. With that, thank you once again for yo ur time and participation. Have a good evening.

Moderator: Thank you. On behalf of SBI Cards and Payment Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

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